UCO Bank (UCOBANK)

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Call: Feb 2023

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National Stock Exchange of India Ltd.
“Exchange Plaza”
Plot no. C/1, G Block
Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 051
NSE Scrip Symbol: UCOBANK

Dear Sir,

Sub : Transcript of Analysts/Investors Meet held on 06 .02.2023

Further to our communication dated 02.02.2023 and 06.02.2023 regarding intimation about the schedule of Analysts/Inv estors Meet held on 06.02.2023 and submission of audio recording of such meet, we submit the the transcript of Analysts/Investors Meet enclosed herewith in pursuance to Regulation 30 of SEBI (LODR) Regulations and NSE guidance note dated 29.07.2022.

The transcript of Analysts/Investors Meet is uploaded on bank’s website and the same can be accessed through below link :

https://www.ucobank.com/English/audio -video -recordings.aspx

Please take the above on your records and disseminate.

Yours faithfully,

(N Purna Chandra Rao)
Company Secretary

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,Fort,
Mumbai – 400 001
BSE Scrip Code: 532505

Transcript
of
Analyst s/Invest ors Meet
held on February 6, 2023
at Mumbai .

Moderator: Namaste and Good evening everyone . My name is Mamta Samat from Perfect Relations, and I will be the moderator for today's event . On behalf of UCO Bank, I would like to extend warm greetings to everyone. Thank you to each one of you for joining us on UCO Bank's Q3 -FY23 analyst meet. Today we have with us the senior management represented by Shri Soma Sankara Prasad, MD & CEO . Shri Soma Sankara Prasad, MD & CEO assumed the office of Managing Director & CEO of UCO Bank on 01 January 2022. Prior to this, he was holding the position of Deputy Managing Director and Group Compliance Officer at State Bank of India. During his 35 years of service, he has held important assignments in various capacities in Treasury operations, Retail, Corporate Credit, Insurance, and International Banking. Mr. Prasad has also worked as Chief Financial Officer at SBI General Insurance Co. Ltd. and as MD & CEO at SBI Pension Funds Pvt Ltd . We also have Shri Ishraq Ali Khan, Executive Director . He has been associated with the bank since 10 March 2021. Prior to this , he was Chief General Manager & Chief Technology Officer (CTO) in Union Bank of India. During his 33 years of service a t Union Bank of India, he held various positions in Regional Office, Zonal Offices and FGM Offices. We also have Shri Rajendra Kumar Saboo, Executive Director . He assumed the charge as Executive Director of UCO Bank on 21 November 2022. Before that , he has been associated with Oriental bank of commerce and Punjab National Bank. In his 29 years of service, he ha s held a rich banking experience across multiple banking domains such as Branch Banking, Credit, HR, Treasury among others. We also have Shri Shashi kant Kumar, Chief Risk Officer and Shri. Sujo y Dutta, Chief Financial Officer. Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward -looking in nature. We will begin the meeting with the ope ning remarks from the management, followed by the Q3 earnings presentation and later interactive Q&A session.I would now request Shri Ishraq Ali Khan, Executive Director to make his opening remarks . Over to you Sir.

Shri Ishraq Ali Khan : Good evening, ladies and gentlemen. I ex tend my war m welcome to all the investors and analysts to our investors meet to discuss about the Q3 financial performance of the bank, and before we commence our presentation, I wish to say a few words about our bank . Founded in 1943 , UCO Bank has grown into one of the leading Public Sector Bank with apan India presence . The bank has extensive networkof over 3,100 branches and 2 international branches, each at Hong Kong and Singapore . The Bank is serving huge customer base of 4 crores by delivering variety of pr oducts with adoption of state of the art technology. We have been on -boarding several Fintech companies and entering co lending tie -ups for enhancing customer reach and customer convenience . The Bank has crossed several mile stones in its 79 years of journey . The g lobal business of the bank scale to its highest level of Rs.3,94,228 crores, as on 3 1st December , 2022, with deposit of Rs.2,43,169 crores and advances, of Rs.1,51,059 crores . On capital front bank floated its initial public offer during the year 2003, and actively traded on National Stock Exchange and Bomba y Stock Exchange . The Bank has a huge shareholder base of over four lakh shareholders with government representing 95.39% of the capital . Employees of the bank have contributed significantly to the share capital through subscribing to E SPS. Employees hold 0.82% of the capital . As our country is expected to grow at a robust growth of 7% this year . Banks being the to rch bearer of the

economic growth, we expect the bank to continue to scale to new heights and win the investor confidence .

I once again, thank you all for participating in this in vestor meet. Thank you.

Moderator : Thank you s ir. May I request Shri Soma Sankara Prasad, MD & CEO sir to take us through the investor presentation .

Shri Soma Sankara Prasad, MD & CEO : I think all of you are aware that UCO Bank came out of P CA in 2021 August. After we have come out of P CA, the emphasis has been on growth.At the earlier phase when we are in P CA for 3 to 4 years, it was on recovery and consolidation. So from January 2022 , the focus has been on growth and that is one of the reasons why we decided to open 200 new branches all over the country. That is one thing which we have done, and of course, in this journey of nearly one year I can only say that the bank has really grown in terms of business and all other financial parameters which are in important to a bank .Of course , business -wise, I think all of you are aware that as at the end of December 2 2, our advances have grown by about 20.3 5%, which is more or less in line with the market and deposits have also grown at a pace which is slightly above the market, and one of the reasons as to why the bank has been doing very well is the quality of underw riting has gone up , the slippages have come down considerably, and we have been able to recover many bad loans which had gone bad in the earlier years. So, if you look at our gross N PA ratio as on 3 1st March 2022, it was 7.89% and today, as we speak as of the end of December, it was 5.63%. So, there is a drop of nearly 226 basis points in the grossN PA. In the net NPA, if you look at March -22 which is not very far away, about 9 months bac k, the net NPA w as around 2.7% and today it is at 1.6 6%. That is, there is a drop of 104 basis points.This we have achieved without sacrificing our P CR. Our provision coverage, ratio , if you have a look at it now, it is at 93.5%, which is the third highest in the banking industry , after the I DBIB ank and Bank of Maharashtra. So even the provision coverage ratio has gone up by about 200 basis points. The gross NPA and the net N PA h ave come down and the P CR has gone up by 200 basis points. At the same time, last year t he slippages for the entire year w ere around Rs. 6,100 crores , that is roughly about 1, 500 crores per quarter. If you look at the slippages for the three -quarters, that is for June, September, and December -22 are only 1,000 crores that is 500 crores per quarter, so the slippages, which used to be 1,500 crores per qua rter have come down to 500 crores per quarter and more importantly, our cash recovery plus upgradation ha s been more than the slippage. If you look at December 22, our cash recovery plus upgradation has been about 1,001 c rores.Whereas the slippage was arou nd 490 crores. This is the story , quarter after quarter, where our cash recovery place upgradation is more than the slippages. In fact, we have been able to write back the provisions which we had to make last year, and I think that is one of the reasons as t o why we are showing a healthy growth in our net profit. Of course, for the December quarter, 2 - 3 major highlights have been that we have made the highest ever quarterly net profit in the history of the bank at Rs. 653 crores, and we also have achieved t he highest ever net interest income which was at Rs. 1,900 crores, and we have also achieved the highest business around Rs. 3,94,000 crores. And even if you look at the 9 months profit which is around 1,280 crores, it is the highest ever net profit for 9 m onths . And on capital side, we are very adequately capitalized at 14.32% . So, on all the parameters , I would like to tell you that the bank is growing, and fundamentally, whatever parameter you look at, whether you look at the business growth, N PA,

provisi on coverage ratio and capital adequacy ratio , on all the parameters , the bank is v

ery strong . So, the future going forward looks very bright for the bank, and that is also reflected in the thumbs up given by the stock market. Our share price, which was around maybe around ■10.40 not very long ago, somewhere in June 22 and today I think it is at Rs.28 or Rs.29, and it had actually touched Rs. 37.So , the market capitalization has nearly tripled in the last one year . This is what I would like to say, and I thin k that has given even some perspective about the way the bank has performed in the last one year or the last 9 month s. So now I throw open the floor for questions, please .

Mr. Ajmera : Compliments to you sir for the fantastic results. In fact, you b ring along with you a wealth of experience from the State Bank of India , the largest bank in the country, and definitely it has helped the bank to transform . You said that coming out from P CA so fast to this level . Complements to the entire team on that.T he young executive directors and yourself and all the G Ms for the fantastic results. In fact, if you look at the peer bank of this size , nearest is Bank of Maharashtra . We don't count IDBI Bank as public sector banks in the list of 12 , and you are now slowl y going in the direction of the Bank of Maharashtra, which is the most efficient bank today i f you forget about the size of the business on all the parameters, and you are seen moving in that direction. Basically,since the base of your credit growth was low, and you needed the credit growth to be beyond 12 - 14% you are growing at a very good rate. You have your international business with 2 branches which has also shown substantial growth, so will you some colour to what is this international branches bu siness, and whether it is competitive as far the yield is concerned, and it is advisable to put so much money since we have minimum information on that. This is my first question, the second is on C ASA. On CASA, we are way behind. Maybe the legacy or the c haracter of the bank, as compared to 54 - 55% and now 52 and a half percent of Casa, of the Bank of Maharashtra , our casa is muc h lower. Going forward, how do you plan to improve so that you become a little more competitive in terms of offering the rates a s the Bank of Mahara shtra is doing?Why I'm comparing it to that is because that bank is around aRs3,68,000 crore bank and yours now is Rs3,96,000crore bank. That is nearest and the best bank to compare with. Going forward, I think you are a composition of the RAM, and the c orpora te is 6139.So , in order to keep the pace goingwould you go for more corporate book increase, or you would continue to be with the 60 over 40 kind of ratio in the c orporate and RAM? If you could also highlight on the Treasury as the Treasury income and investment income has gone down if you look at the other income. These are a few points of information and some clarification that I would seek .

Shri Soma Sankara Prasad, MD & CEO : Thank you, Mr. Ajme ra for coming and for the questions .As far as international operations are concerned, we have 2 foreign offices, one at Singapore, another at Hong Kong.Right now. We don't have an office at Gifts City.We are thinking of applying to the RBI to open a branch in Gift City.Once that happens, what ever external commercial borrowings I provide for my Indian companies.I don't have to park them either in Singapore or Hong Kong . So right now, whenever I'm required to provide an E CB o r a foreign currency loan to my Indian borrowers, I am required to park them in either Singapore or in Hong Kong .So, the international operations have seen a very impressive growth in terms of business .Of course , if you look at it inpercentage terms, it is less than 10% of my book. So, the bas e is very low. One of the reasons as to why the international operations

has grown is that when the U S Treasury rates wer

e very low ,there was an arbitrage which was available for swapping rupee into dollar and providing cheap dollars to our both Singapore and Hong Kong offices, so that arb itrage, I think has slowly come down and it is no longer there but we have taken advantage of this arbitrage till it was available, and we have been able to providedollars at competitive rates to our foreign offices, which is responsible for its growth.So far as your question relating to the I mean the n ames are concerned, when it comes to international operations.All of us are aware that the international NIM are much lower as compared to the domestic names. But what has happened is that the reason why th e international operations of most of our foreign offices of most of the banks have grown is because when the credit pickup was not there in the domestic market that is, at the beginning of this year until the middle of last year , we took advantage of the demand for foreign currency loans and the differential in the interest rate between the dollar and the rupee, so as to help our international offices grow the loan book. So, that is one of the reasons. But once the loan demand picks up in India , as it has picked up now, I think we will be looking at growing our domestic book rather than our international book, because it makes a lot of difference when it comes to my NIM. So, that is one thing I would like to say, and the second thing is relating to CASA.So, when it comes to CASA , I'm aware of the fact that our banks CASA which is around 38%, is low compared to the general banking average, because if you look at the banking average, I think it comes to around 45% or 46%.And we are acutely conscious of the fact that our casa is much lower compared to the other banks, and we are also aware that lower Casa also has an impact on the cost of funds. We are working towards improving the CASA . Digitally ,I should say that now, since a lot of things have gone digital, we are also trying to develop digital solutions, especially to the merchants, for the purpose of growing our casa . I am told that we are the first bank in India to launch this QR code with the Sound box which we have launched on January sixth of this year, wh erein we provided to the merchants . This QR Code and sound box basically helps them in doing digital transactions and if these merchants .The merchants need not have an account with us, but it is advantageous if they open an account with us .This is one of t he efforts that w e are making towards growing CASA , besides sensitizing our branches, as they're quite conscious of the fact that CASA is a major issue.So that is there on the radar of the top management, and we are looking into it.The third question was r elating to the corporate and the RAM ratio of 61 and 39 . What happened was that when the bank went under P CA.One of the suggestions or one of the ideas that was given was t hat the bank should grow its RAM portfolio, that is, retail agriculture, and M SME portfolio, because what happens is that in corporatem ost of the banks have gone into P CA and have they've gone into losses for the simple reason that large corporate loans have gone bad at that point of time, so it is always advisable to concentrate on RAM t o a large extent, because you get a better NIM on your RAM advances compared to your corporate advances, because, corporates, as you all know, have a better bargaining power to dictate interest rates to the banks. So, it makes sense NIM-wise also for me to concentrate on RAM rather than corporate. And of course , we are acutely conscious of the fact that we should be very careful when it comes to the corporate loans. So, I am concentrating only on corporates, rated A, and above, and almost 90% of my loans to corporates are A and above, I mean, I have given only loans to rated companies that are A, and above, of course, that also includes Central governm

ent in State government, guaranteed loans where there is

no rating, and we don't insist on a rating. If I take all that into account, it almost comes to about 89%.So the whole idea, while increasing my corporate, I am very careful that I do not want any large defaults on the corporate side, so I'm concentrating on higher rated corporates, and the emphasis going for ward would always be to maintain a 60:40 RAM and Corporate ratio because it makes sense for the bank as far as the NIM is concerned, and as far as the loan or delinquency is concerned . And the fourth quest ion relating to Treasury income. Treasury income, I think of all banks have gone down comp ared to the last year, that has been the trend, because when the eels have gone up, whatever opportunities are available by way of profit on sale of investments, those opportunities are no longer there, that is one of the reasons as to why the treasury profits have actually gone down but again, one thing of course I'm also aware of the fact that most of us, most of the banks, including UCO Bank, is holding excess SLR. Government securities that we are holding almost abo ut 10% more than what we are required to hold by way of S LR. But at the same time, I'm not in a position to actually make use of the excess SLR for the purpose of generating liquidity for the bank, for the simple reason there are only 2 ways that I can gen erate liquidity. I can either repo whatever S LR securities that are there.But since RBI has closed the repo window, I can only borrow through TREPS from other banks, and most of the banks are on the borrowing side, so I am not able to generate adequate liqu idity in the TREPS window and the second wayI can raise liquidity is by way of selling the excess common securities that I am holding.But most of the securities that I'm holding in we will increase in yields , there is a mark to market. I will have to book a loss if I have to sell these government securities. So,I'm not able to generate liquidity on that front.Yes, I'm conscious of that. But the treasury income going down is a cycle. Whenever the yield go up , the interest rate goes up the N IMgoes up ,but then you take a h it on that trea sury side. So that is one of the reasons why the Treasury income has gone down. He's our GM , Treasury, Mr. Shankar Narayan . He'll just supplement on the tr easury si de.If you just compare the results that have come , you will find that actually the treasury income as a per centage of the earning assets is roughly around 0 .15% to 0.20,%, this is actually just come compare the results of various publicity banks that has already been declared .With regard s to that,i f you see that treasu ry income of UCO Bank, it is 0 .22% of the earning asset which is fairly on the higher side . And as sir has already mentioned , another reason is that the eels are going up and the Banks avenue to book profits from the HTM has also come down because banks hav e been in the past booking substantial profit of the HTM.Going forward ,what I see is that not immediately , maybe 6 - 7 months down the line there is considerable opportunity for us in the purpose. And then what we have done is that in the last few months, as the rates were going up, we have purchased both G-Sec which we have put in our H TM portfolio, where there's a space. So tomorrow, if ther e is a little softening of the rates, I mean, as you are saying, that the interest rates have almost peaked, so tomorrow , going down the line 3 - 6 months down the line, if you find that there is a softening of the yields , then we'll be able to sell from th e HTM an d book profit. We don’t disclose the HTM but the modified duration is around 3%.
Analyst 2:Thank you for hosting this analyst me et and stable numbers 2022, best

wishes for 23. My first question is Iran trade has been assigned to UCO Bank.Historicall y, UCO Bank enjoy

ed almost 20 -30,000 crore of deposits.W hat's your

rough estimate based on the current rate which UCO Bank is likely to garne r from the trade, the cash balances.

Shri Soma Sankara Prasad, MD & CEO : RBI has recently come out with a circular for opening a special vostro accounts for the purpose of internationalizing the rupee.This circular is actually a replica of the trade which we had done with Tehran earlier, but that was not a special vostro account. It was a current account, ordinary current account, and there was a substantial balance which was lying in that account till 2019, because we were buying oil at that point of time from Iran. So, what happened subsequently was when we stopped buying oil.This balance has depleted and right now it is not worth talking about.It is in a few 100 crores now. When it comes to the trade in rupee, and the balance is being available to the banks, one is that this R BI circular, which has been issued is not specific to a country.It is country agnostic though people talk about Russia .Any country which is willing to trade with India, and rupees can do the trade in rupees.That is the first thing which I would like to say. The second thing is that, unlike the earlier trade, w hat we did with Iran where the balance was simply lying in the account without being utilized, and therefore it was a C ASA for us the new circular, provides that if there is any rupee balance lying in the account , it can be invested in government securitie s in the meantime, till it is utilized so that they earn interest on that.The second thing is that rupee balance can be utilized by way of F DI in India into corporates, and the third way that money that can also be converted into any of the major convertib le currencies and the home currency of that country .So, there are three ways in which this rupee balance can be utilized can be utilized so most of the banks, even if there is a trade tomorrow which happens in rupee, they may not like to keep it idle in a rupee where they don't turn any interests, because special vostro account doesn't provide for payment ofany interest, because Special vostro account doesn't provide for any payment interest, so they may put the money in G-sec. They may utilize that in some other fashion.But right now , the mechanisms has been put in place, but no transactions have happened so far .So, going forward as and when the transactions happen ,of course , there will be some rupee balance lying in the accoun t, but it will not be like earlier, when there was no way of utilizing the money so the balance was lying in the account .If you are talking about the Iran transactions, it is all centralized in UC O Bank.But, as I said, when buying oil stopped from Iran , the balance of that account has come down.So , the level of transactions which are happening are at a very low level, because when the rupee balance is not there in the account,the amount that can be paid to the Indian exporters by way of rupee from that account has also come down , so the transactions have come down in that account. So unless and until something happens by which the balance in this account goes up, either tomorrow we start by buying oil again ,if the sanctions are lifted, then they will be some balance which will come into that account, or there are certain other exports which happen from that country to India, so that the rupee balance again increases in that account, unless and until that happens or we look at some mechanism, like we give a loan in rupees to that country, and then that balance is augmented. Unless these things happen, the chances of any substantial rupee balance lying in that account are not there .
Analyst 2:Rupee balance is one part to earn, but the trade itself can give yo u a lot of fee, income, as I understand.

Shri Soma Sankara Prasad, MD & CEO : Yeah. But then further tra

de to give us a fee
income.
Shri Rajendra Kumar Saboo , ED : In this rupee account of Tehran means Iran trade because of the sanctions , as the MD sir told,the oil import has stopped, and only few transactions are happening which are allowed under the sanctions related to the humanitarian grounds, like around medicines or food items only.So , there is the limited scope of transactions available in that particular account right now, due to

the sanctions. So, we can't enter into other transactions which are covered in that under the sanctions.So , out of sanctions p urview only these items, like humanitarian grounds, export and import, are only allowed.

Analyst 2: My n ext question , you highlighted about our market capitalization which we enjoy, government holding is at 95 , is government directing for dilution or are we planning our dilution?

Shri Soma Sankara Prasad, MD & CEO : See, there is no Government directive as such to dil ute the capital, but we are also conscious of the fact that the amount of shares which are available for trading are very less because 95% is held by the government, and we are also of the opinionthat we should raise capital when the going is good. We have actually taken an approval from our Board for raising capital, either through equity or through AT1bonds , that approval is already in place, so as and when we find that the market is good for us to raise capital, the idea is to raise capital.But as you ar e aware that we should demonstrate to the market that the performance is a sustainable on a longer -term basis before we get equity capital from the market . Right.

Analyst 2: Based on the current growth pattern, which is visible , do you need equity in 2023?

Shri Soma Sankara Prasad, MD & CEO : See, we have a capital adequacy of 14.32, as on December 3 1st2022.This is without adding back the profit that we have made so far .We have made about Rs1,200 crores profit so far, and another Rs.500-600 crores we w ill easily be mak ing for the month of March. So , if you add back something like Rs.1,700 crores to the capital. Our capital adequacy will increase from 14.32 to 15.70.That is what we are estimating as at the end of March .With the capital adequacy of 15.7 0,I don't require to raise any capital from the market for the purpose of my growth, at least for the next one to one and a half years . I mean raising capital because we require it for growth is something which is not necessary for me, so I don't have to access capital market , for raising capital, for thepurpose of my growth, because I have adequate capital adequacy as on date. At the same time , it is always better to raise capital from the market first of all, to demonstrate our ability to raise capital from the market, and w e'd also to test the market for AT1 bonds. Also, we'd like to see the pricing at which we would be able to raise AT1 bonds. It is only for that purpose that we want to access the market, and as it is said that it is always good to have a good capital adequa cy on our books, most of the private banks, as you are all aware, have a very high capital adequacy of course for a different reason altogether being a Public Sector Bank , I don't need to have that kind of capital at equivalent, but it's always good to demonstrate to the market that I'm capable of raising capital.

Analyst 2: Have you ever explored that the 95% holding ,10% of equity being converted to tier one or equ al in bonds, perpetual bonds, which qualifies for tier1 lending. A t the same time the government has achiev ed the direction of S EBI norms are m et for reduction in Tier 1 into equity.

Shri Soma Sankara Prasad, MD & CEO : Government equity to Tier one is what you're saying, no , that is something I don't know. I'll have to check and see . I'll also tell you one thing, I'm having equity, right? I'm not paying any dividend on the

capital, and I
have the option of either paying dividend or not paying dividend . But once I convert som ething into t ier one, then it becomes an obligation to pay interest on that.

Analyst 2: Let's assume that you're being G-sec of 8% on it. And if you go for a FPO and you pl ace equity to other bankers or L IC, w hat impacts the existing shareholders will have, and what is the cost of carrying for dilution of th at equity into the measure ment . I suppose that measurement will give you the answer why, it is beneficial, at least in this sum.

Shri Soma Sankara Prasad, MD & CEO : Let us look at it to see what i t is, a t what rate I would be able to raise equity. And that exercise if you do, maybe they will get an answer but that is an option which we have not looked at .

Analyst 2: If any of your credit cost as a provision, plus write back, is going to collapse from wherever it is to date to 0.9 even lower the can you give some kind of an indicator colour for credit cost the next 3 -4 quarters.

Shri Soma S ankara Prasad, MD & CEO : Credit costs actually have come down to 0.60%.The n there is a credit cost ,if you look at the trend,say, for the last 5 quarters, 6 quarters, the credit costs have come down.That is because the slippages have

come down. So, going forward, see what happens is that, see t he way the credit costs have come down over the last one year ,maybe we'll not be able to bring it down at the same pace going forward, because generally what happens is that, see whatever soft recovery has happened, whatever NCLT recovery has happened, whatever other recovery has happened subsequently what happens one, one and a half years to two years down theline, if you are left with a few hard core assets, few hardcore loans where the recovery is not so easy . Then in that case, I mean since your credit cost is a factor of all this, I mean, I see credit costs coming down, but then it may not come down at the pace at which it has happened for the last one to one and a half years.
Analyst 2: There's not much left so what is the estimated ca sh recovery for a period of time?
Shri Soma Sankara Prasad, MD & CEO : That is difficult to say. See our cash recovery so far almost every quarter has been around in the range of about Rs.500 crores . I'm talking about this Rs480 – 500 crore in the return of account. But actual cash recovery , if you look at it into other N PA accounts, and all that, it is much more than that. So, it has been around Rs400-Rs 500 crores in written of f accounts and a little more than that if you take the N PA accounts also into account . Rs.817 crores in the last quarter. Rs817 crores is the total total cash recovery, including recovery in written off accounts. So going forward I see the same trend because what has happened is that in some of the accounts like, for instance, if you look at some of the sticky

accounts like agriculture, we have actually gone i n a standardized OTS sc heme where the borrower can pay a certain percentage of the amount and we want to settle it.And we have, in fact, launched it, and we are looking at some ca sh recovery in that scheme also.Going forward , if you look at all these scheme s that we have and where we want to have a standardized OTS, where we want to settle with the borrowers, and, in fact, we intend to go digital on this platform where the borrowe r sitting in his own home ca n use our app for the purpose of doing an OTS with us if his outstanding with us is below a certain level when it comes to agriculture. Looking at all these trends the ca sh recovery may remain around this level.
Analyst 2: Based on the transformation which y ou carried out , if you want to carry out further, catching up with the tier one banks , the larger banks or eq ual tier banks, what's the digital spread likely to be , the budget allocated for the next o

ne or two
years?
Shri Soma Sankara Prasad, MD & CEO : When it comes to digital, surprisingly, though, ours has been a small bank, we have been in the forefront of digital transformation with a number of products which we have been the first to launch, for instance, I spoke about the QRCode and sound box, and we have also launched a system of paying through U PI using the feature phone.Also, we have been the first bank to have r ecently launched it . Our mobile app is also one of the best rated apps .It is rated somewhere around between 4.5 and above in the app store.So digitall y, we have been able to integrate a lot of Fintechs into our loan processing system.And as you're all aware now that the account aggregator model is there and then, of course, the integration of Finte ch will also help you in assessing the veracity of obtai ning the income tax returns.You get all kinds of GST returns , and your Pan verification, and you r Aadhaar verification. Everything happens online which will certainly help in improving and ensuring a better underwriting. This will again ultimately bring down the credit costs .But as far as the spend on digital is concerned, I don't actually have the figures with me.But as a bank, even when the bank was going through a difficult time, we have never compromised on our spending on IT, especially in the area of Cybersecurity. We have ensured that our bank maintains standards which are on par with the best in the banking industry when it comes to spending on IT. So, digital , I don't have the figures with me, but I can only tell you, f or instance, when it comes to Whats App banking for inquiry purposes, we have launched it about one to one and a half years back and we were the first bank to launch it, and I think we might have already gone, for even transactions on Whats App banking. A lot of things are being done on the digital side. In fact, recently, we had a Fintech festival where a lot of Fintechs have participated, and we have shortlisted 15 or 20 Fintechs with whom we are going to have partnerships for the purpose of ensuring that we scale our selves up on the digital side.There are two ways , if you look at some of the bigger banks may be the trend is

that somebody like SBI or BOB may spend more money on digital to develop it on their own right . Whereas , we have adopted a model where we want to partner with Finte ch, which is actually more cost -effective for a bank of our size. And we remain on par with the best, so our approach has always been to have a lot of partnerships with Fintech companies, so that w e take advantage of whatever they've developed.And since we have the customer base with us it becomes a win -win situation for both the Fintech as well as the bank.

Analyst 2: What is Co -Lending Book Outstanding?
Shri Soma Sankara Prasad, MD & CEO : The C o-Lending Boo k outs tanding is about Rs.1000 crores . It is a combination. Actually, it is mostly gold loans. But recently we have also entered into a co -lending partnership with other w ith Aadh aar, which is for housing loans. We are also enter ed a co-lending partnershi p with Paisalo which is again for smaller loans. We have also entered into partnership with one of the other companies for S ME loans. But the major book , right now as we speak , it is go ld loan.
Analyst 2: Thank you sir.
Shri Rajendra Kumar Saboo , ED : I wanted to add one more point on the digital front .Sir has already told you that we have adopted the paths of collaborating with Fintechs which is a cost -effective path. We have recently launched two – three new features in our mobile banking gap. One the lifestyle which h as an eMarketplace. Our customers are able to access all the marketplaces like Amazon, or Flipkart , or whatever . And then, the second is the tr avel market place , where every type of tickets can be booked. Third one is w

ealth management products .For wealth management too we have collaborated with the Fintech, and are providing all the wealth management products through our mobile a pp.We are trying to integrate most of the digital services within our mobile banking app through collaboration with Fintech ,since it is the cost effective and since it is very fast, because we don't have to develop from zero, it is already available. We only have to integrate.
Analyst 2: The learning curve is already availab le. Then the next question that you have answered . What is the spend on human resource to enable this capability?
Shri Rajendra Kumar Saboo , ED: Yeah. So now since we have launched all these features in our mobile apps. We have our marketing team in the place, and we also have our digital officers in the branches and our Zonal offices. We have started to now populariz e these features in our mobile banking to our customers, and this has helped us to get more download s of the mobile banking apps by our customers and our active user customers have also increased. This is an on -going process and in short, you can say that UCO Bank is one of the banks with fast development in the digital banking journey, and we are a tech savvy bank .Just to tell you and to supplement what my E Ds are saying.We are the first bank to introduce discount stock broking, in our mobile banking platform . It is done about 6 or 7 months back, where a customer can through our mobile banking open a stock broking account, which is basically a discount stock broking account where you pay a lump sum amount of say 5000 in a year, and there is no brokerage, and you can do unlimited transactions.
Analyst 2: So how many accounts have you managed to?
Shri Soma Sankara Prasad, MD & CEO : I don't have the figures with me right now. I think I can. I don’t have the figures with me right now, but we will get back with the figures. That is one thing, and regarding your HR part that you have asked . One good thing that has happened with all the public sector banks with the Government being the owner, a common owner is, they have launched an exercise called EASE .I think you'd have heard about it. EASE. So basically, this consists of sharing the best practices with each other and laying down the benchmarks.Say, S BI achieved something , so it becam e a benchmark for other banks to achieve.

Analyst 2: This is more for the senior management abo ve certain level .
Shri Soma Sankara Prasad, MD & CEO : No, it is not just for the development of the senior management. It is for the development of the bank. If you look at the ease measures which are being taken, we have, benchmarks in terms of digital capabilities , in terms of cybersecurity , in terms of HR,in terms of end -to-end digital lending. It is not just for senior management . Senior management is only a part of it.
Analys t2: I guess I have framed my question incorrectly. W hat I was saying is thatt he

human resource, which is required for capabilities of marketing, all new digital initiatives that new talent which is likely to be attracted to the bank , how are you empowering those human resource and what kind of capability you're going for?
Shri Soma Sankara Prasad, MD & CEO : When it comes to public sector Banks, you are aware that we can't hi re from the campus, we cannot do that because of the rule that it has to be done based on a common examination. That way, when we are hiring people, we hire from the market, and later , we'll have to train these people in these areas. One particular project we have launched is in the area of H R, wh ich we have launched in partnership with the BCG,w hich provides for a very transparent measurement of the performance of the individuals. That is one thing we are looking at of course it's a one year project but what happens is all the public sector banks are going towar

ds a system wherein the measur ement of the performance will be more objective, more transparent, and there will be incentives which will be associated with the way a person performs, because you know up to scale f our or scale fi ve level , up to AGM level, public sector banks pay better than the private sector banks . I think you are aware of it that our objective would be to make the promotional exercise as well as ensuring that people are incentivized, based on performance rather than anything else.

Shri Rajendra Kumar Saboo ,ED: Our UCO Banks employees average is less than 38 years. So less than 38 years being the average is, that they are more capable and more adaptable to the digital technologies.
Shri Soma Sankara Prasad, MD & CEO : That is one of the things I think our bank remains.I mean , if you look at it in terms of age profile , our is one of the youngest banks in the country, both public and private sector put together, so that might have happened.It is not designed that it has happened.It might have happened more by accident, because during P CA there was no recruitment of staff and all there might have been large scale retirements, and the subsequent recruitment might have brought down the retirement average age, but the fact remains that the average age is less than 38, as he is sayi ng, and number of branch managers, whenever I go and meet people , my branch managers , most of them are very young, they're below 35 below 30.So that gives us an advantage in the sense that by their age profile itself they are more open to adopting digital m eans compared, to say, an average age of may be 45 or 50 years, where there is resistance to accepting digital .This next year is going to be an H R transformation for the bank for one year that we have enrolled B CG for that year .

Analyst 3: Sir Good evening. This presentation speaks about the NPA part. There is a rosy picture all the NCLT accounts are almost provided and so far as the moment of

NPA is concerned quarter on quarter there is a consistent improvement the quality is improving, and the recovery is f antastic. Now when we talk about this co -lending part, like, we increase our book and almost Rs1000 crore , as it first told.So , it is working on somewhere 0.75% of the credit portfolio is under the co -lending model. Co-lending is typically like we rely on my co -lending party for the collection and create underwriting so what are the safeguards you have taken for ensuring that there is no compromise on underwriting and how we are monitoring the quality of assessment.
Shri Soma Sankara Prasad, MD & CEO : Yeah. So, when it comes to a co -lending partner, what we do is that we look at the rating of a co -lending partner, and as a bank, our exposure to a particular co -lending partner will depend on his credit rating .The exposure limits are based on the credit ratings, so we don't normally go beyond “A-“ when we take a n exposure along with it when you're doing co -ending.The second thing that we do is that, we look at the financials of that company and we satisfy ourselves that the company is performing well, and it has been in existence for some time, maybe for about 5 or 10 years, and the portfolio there is a seasoning of the portfolio that has happened, and apart from that, what we do is that our people visit that N BFC a nd look into their K YC and their lending practices, to satisfy ourselves that the practices followed by them meet our norms to a large extent, but at the same time I think what we should be acutely aware is the fact that there is always this belief that by doing co -lending, whether the bank is letting go of opportunities where it can do the lending itself, the profile of borrowers to whom these N BFCs lend to is different from the profile of the borrowers to whom

we lend so obviously these are borrowers to whom we don't land, an

d of course
NBFCs have got their own more low -cost model of servicing those borrowers wherein their credit costs which w e observed, is very, very low compared to the banks, so the other safeguards that we have put into place as far when it comes to co -lending it is that when we do co -lending, of course K YC is done again, 100% . It is checked by us.And then a certain percentage that we have actually laid down 10 to 15% of the loans , we check it ourselves whether it's a gold loan, or whether it is a home loan and all that we go through the entire process as if we have done the loan ourselves. So, this is something which we do to mitigate any risk of coming out of co -lending.And the third thing that we do is, of course, we have a practice wherein we put up a quarterly review to the board on the co -lending with the various N BFCs, wherein quarterly we make an assessment of the stress in the portfolio. And whether the stress in the portfolio is within limits, whether the N PA levels are within limits, what are the credit costs to the bank, whether we should continue this relationship, or whether we should, take a call on whether we should go slow on the co -lending that is something which we put up to the board. So these are the various measures that we have put in place when it comes to co -lending, and our experience has been that through co -lending we have been able to reach out to borrowers to whom we normally don't lend that is the first part and the second part is since in co -lending the major part of the job is done by the Co -lender, and we are able to book the business on our books and the credit cost in most of the cases is very less , very reasonable , 2 to 3% we find it a very good model for the banks to increase their portfo lio, and to make good money on the co -lending portfolio, and to further mitigate the issues that the regulator was earlier having, on reconciliation, we have onboarded a Fintech called Knight Fintech.They have provided a flat platform,

wherein all these co -lending accounts are opened, and we open only single account in the core, so that the reconciliation happens on a day -to-day basis .So, the reconciliation part is also taken care of by this fintech platform and our experience our bank has been the pioneer i n co -lending because we have been doing it with Mutho ot for maybe the last 3 – 4 years . So, we have been one of the pioneers, and our experience so far has been good.But, as I said that we take all precautions, such as a selection of the company, we also lo ok into their lending practices.We do our due diligence on the company. Then a certain percentage of the loans which are done through the co -lending model are again checked by our officers, and all these things appear in the review to the board which happe ns every quarter .These are all the steps that we have taken to ensure that our co -lending portfolio remains healthy.

Analyst 3: Second question is related to this continuous hardening of interest quarter over quarter in the current financial year and incidentally just b efore the start of the financial year you came out of PCA .Initially, there were some tight ropes on the lending to corporate that you had explained in your deliberations that there is a hard bargain by those corporate so far as the indus try is concerned, the way the rating is up the bargaining also gets hardened .Almost over 90% plus portfolio is A rated and above .And there will always the issue with respect to the interested cost . Also, you having a less CASA of less than 38 or almost 38% and so the passing of this market rate is immediate to you.Any strategy, whether you want to have a business mix where you want to consider even few low -rated but standard decent account , based on some great underwriting structure, like may be a good collat eral or a good cash flow-based business where yo

u can charge a good interest rate and you
can take your NIM margin.

Shri Soma Sankara Prasad, MD & CEO : Yeah. Sure. what I would like to say is tha t the banks are in an advantageous position when it comes to the REPO ra te going up.Because nearly 40% of my credit portfolio is linked to repo. So, the cost is immediately passed on the next day for us, as far as our bank is concerned, and other 40% is linked to the M CLR.The transmission happens a little more slowly, but then now the M CLR is also gone up and t he transmission has happened. So , when it comes to deposits, as you all know, it is only the incremental deposits , I'll have to pay higher interest rate in case I decide to increase the interest rate.So , whatever the base of deposit portfolio that I have that remains more or less stable, except for the incremental deposits.So , my increase in cost of deposits will happen at a much lower pace compared to my increase in the l ending rates. So, when it comes to the corporates, we have to make a trade -off between getting a better interest rate, taking a higher risk, I mean building up a risk er portfolio and selecting a corporate portfolio where the ratings are higher the chances of default are lower, but my NIM is lower on the corpo rate portfolio, so that is a conscious choice that we have to make.But as I said , we came out of P CA only about one and a half years back, and one of the lessons that we have learned from P CA is that the bank had to go into PCA only because of the default in the corporate book where a few large loans made to corporates have gone bad, and my experience has also been that if one corporate becomes bad, whatever interest s that you have made on 100 corporates will go down to range is because of one c orporate going bad so it is in that context,

I feel that it is a better sacrifice to make, wherein we have a better rated portfolio, where I feel confident , about my corporate portfolio, even though my NIMs will be impacted because of that . Till I have a sy stem in place where I know how to manage the risk arising out of aportfolio, which is risky, but still, I'm able to manage that risk better.And I also learn how to price my risk when it comes to the riskier portfolio. So, till that happens, I feel that I am better off with a portfolio, where, at least till the banks fundamental parameters become stronger and stronger, maybe another 3 -4 years down the line I can take a call on taking exposure to corporates which are lower rated. But right now, I don't want to t ake the call.

Analyst 3: Last question about the exposure to NBFC. Last year we have seen a lot of growth has taken place that is then entering NBFC space which is the common for all the bank s. What is your call? And what is your future?

Shri Soma Sankara Prasad, MD & CEO : See, even this year if you look at the 9 months, and if you look at the credit portfolio of all the banks, the lending to NBFC is a substantial chunk of whatever increase in creators has happened. So that is a fact. But at the same time, when it com es to the NBFC portfolio. We had taken a call not to go below double AA also. So, NBFC portfolio typically consists of 3 types of risk. One is that I am directly lending to the NBFCs, which is a direct lending. Then I a m purchasing pool from them and also doing co -lending with them. Both co -lending and pool purchase do not come as a direct exposure on the NBFC, it's an exposure on the individual borrower, though I know it is an exposure on the individual borrower. I have taken care to set my exposure limits for each NBFC, based on the rating first. Second thing is, we have also set limits based on the direct lending plus pool, plus co -lending also. Because I am aware of the fact that tomorrow, if something happens to the NBFC I may not be in a position to recover my pool and my co -lending, because typically the

recovery mechanism in NBFC helps in the

recovery. So, if mechanisms itself is not there, tomorrow it becomes difficult for me.So, I have been conservative, and ensu ring that I set my exposure limits on the portfolio, I go for better rated corporates, and then, of course, based on the rating, we take an exposure on the particular NBFC there is exposure ceilings are there and then I also set ceilings on my total exposu re to an NBFC.So, I have put this, and of course, as an NBFCs as a whole also I have a ceiling when it comes to setting a limit, as a part of my credit book, so I mean, these are all steps that I've taken to ensure that I do not go overboard when it comes to lending to NBFCs.

Shri Rajendra Kumar Saboo , ED: Even at the portfolio level, I want to add that our 97.5% portfolio in NBFC is A and above only 2% around is only BBB and so that also would have slipped subsequently.

Analyst 3: it's very good to know. We ta lked about HR Transformation, and we have a very young team on the dais.

Shri Soma Sankara Prasad, MD & CEO : It's not so young as it looks.

Analyst 3:I have seen many of the leading banks. So, it's comparatively much younger than other banks. So that's really goo d.

Now, coming to you mention about very good performance on net profit, that's good, and also in your opening remarks you talked about the share price that's really wonderful, particularly on YoY bases and Q-o-Q performance, very good

performance so congrats for that. So that now, coming to a few more key issues, one is, you are like, we talked about asset quality, find NIMs fine. Net profit fine. Capital adequacy is also fine. A few important points operating profit growth. We look at YoY just 1%. Now the performance of a bank is actually seen by operating profit and when we benchmark with whether PSU or private, many are growing between 15% to 30 -40% on operating profit . So just 1%. So, one is to understand why we are lagging behind and what type of operating profit growth we can expect in a next year at least. So one is that and second thing is looking deep down at the numbers shared. We found cost to income is very high compared to PSU Banks. Even compared to many private banks, 57% we see in the 9 months in the 0.57.

Shri Soma Sankara Prasad, MD & CEO : Okay.

Analyst 3: And generally, PSU, with a high vintage supposed to be below 0.45. Somehow it went below 0.40, so why, it is high. Any abnormals and what is a strategic, objective, and timeline to bring it to points 4 5 and point 4. Two very critical numbers which are coming from here.Third, we talked about lending advances growth. It is very good strategy to cut, not to encourage corporate lendin g. You talked about the past experience, which was very bad. Point is another thing is good, rated corporates won't give you any margins. That is true. In fact, I know from other larger things the day often they will squeeze you maximum and borrow at below 8% which is a fact. So, but another thing, what we see in terms of advances it's a 22% growth. Right, which is good compared to peers, 22 is fine, and one is, we would like to know what the sustainability of advances growth is , particularly the finance mi nister in the budget, a few days back, talked about kickstarting the capex cycle, and very good boost to infra particularly large project completion. Large - mine projects , and also a big sustainable boost to infra so would like to know overall earlier after presentations used to be much more detailed, lending growth advances 22%, which are the main 4 or 5 sectors it is driven by and particularly infrastructure growth last year is how much and how much can we expect ? Infrastructure growth in the coming year, p articularly FY24 and which are the other sectors we expect demand from particularly in the last couple of last Five days, I think we are seeing some sense in the Capex cycle coming dec

ision making being done for in other sectors also.So, what is your sense ? You are getting on the ground, and if you can get a detailed sector of exposure where we can see the YoY and QoQ numbers also. Another point we talked about co-lending. We talked about us being among the forefront in co-lending now here I have spoken to a lot of people in co-lending now here, I would like to share some concerns. We talked about rating. There are very high -quality rated companies in the home loan space AA+ with positive outlook like IndiaBulls housing. Now, they have a very c lear, co -lending model, where they would lend it around 12 and one over 2%, and they get some margins. They may take from you at 9 or 9 and a half 10, whatever.So, the risk is not very high, because the borrower pays some reasonable cost . So, you also save on the operating cost of reaching the last mile of affordable housing ,the finance minister also says there's a boost .But on the other side I come to know from, there are a lot of fintech players, and Co -Lending. They are going around you know, of bank to b uy and take it. They lend at what rate 18%. And they like to come to you start negotiating 10 -10 and a half. They will be happy to give you 11 -11, and half 12 also, but when they are charging 18% from the Fintech platform, risk is actually dynamite, becaus e ultimately credit quality depends on the affordability to the

borrower so quality always gets affected. A credit cycle is good now everybody, it seems, from the num bers i t is good. The slippages ratios are low, and all. But actually, he is also usin g it for some purpose which may not be viable in the long term. So ultimately, sooner or later it comes, and if the co -lender is charging 18%, basically, we as a bank are losing. So, for us, it even 11 -12, 13% becomes risky . Soon or later, what happened in corporate lending earlier in the first cycle, it hit comes up on us we had them among the largest NCLT . Even today we see technical right -offs are very high. The previous thing. There are reasons for that. So, co -lending here would like to know what the m aximum percentage is we are co -lending. In some cases, there is, you know, 80% maximum, in some cases 70% 51%, is that because that becomes a risk mitigation tool and also is there a clear control on what is the amount paid cost to the borrower . Simple, we are not talking about A grade and all what they are doing, and you mentioned the credit cost of 2 to 3 also, which is Ok. But that actually, it can spiral. Yeah. So, the clear understanding of that a co -lending to Fintech there are many johnny’ s come late . Yeah. 100 crores, 200 crores. They are in a market Private equity which is dried off to Fintech space.Practically, we have seen last 6 months, 9 months total dried off, and now, because it's a New Age business co-lending, one bank is doing so another ban k wants to do. So, would like you to elaborate on because it's a really high -risk area. And once you really answer it, I can take a few more questions .

Shri Soma Sankara Prasad, MD & CEO : See, let me first actually, I mean, spell out that as the top management, we are acutely conscious of the fact that there are 3 areas where we are weak as it a bank where we aspired to do better. One is the NIM, the net interest, margin. If you look at it , our net interest mar gin is below 3%. Okay, it's 2.9 9 . So, as you all know, that some of the public sector banks are having 3.3, 3.4. Some of the private sector banks are having above 4, so NIM is one area which we are very conscious. The second one, we are very conscious is our CASA , which somebody has already pointed out, which is around 38%. And the average should be around 45%. And the third one is the cost to income ratio. So, these are the 3 areas which are of which are actually in our focus where we are working on improving in all these 3 parameters.

So, let us make it very clear upfront.
So, the operating profit actually made a statement. Of course, is impacted to a certain extent by the lack of Treasury income. But you might say that it is a factor with all the other Banks, also that the Treasury profit , if you look at year on year, Treasury profit if you actually look at your hour a non -interest income. There is a slide in that. So, in fact, our fee income has grown by some 18 or 20%, or whatever in that. And then our income from our selling third -party products has gone up by 300% ,of course, on a very, very small base .So, the only area where we have not grown is that a Treasury income, where there's a negative growth because of wh ich our non - interest income has grown only at around 14.5% which is quite good, if you look at it but our operating profit. Last year there was one exceptional item in the operating profit. The interest on Air India loan. We received about Rs200 to Rs250 cr ores as interest on Air India loan, which was an exceptional item for December, 2021. If you take out that item and look at the growth in the operating profit, I think the operating profit growth would be reasonable. I'm not saying it's great, but it would be quite reasonable. Ok, so if 10 to 12% or 14% is the increase.So, 20%, I believe, is the increase in operating profit in the 200 courses taken out, which I think is quite

good. It's a good figure, so that is one -of our items which was there in last year and not this year, and that is why the increase in operating profit is very less apart from being impacted by the treasury income.So, that is the first point I would make regarding cost to income ratio. Yes, you have a point. Our cost to income is high. Most of the public sector banks, it is high. Maybe you might say that ours is much higher than other PSBs. Even State Bank of India, which has come out with its results as a cost to income of more than 50%, I think. So, we are conscious of it. There are several reasons for that there might be an employee cost, and maybe there are certain other costs. And there is this provision relating to pensions as you know, as the life expectancy goes up, then we have to provide for pensions, and there might also be the reason that some of these private sector banks are able to engage people using a model, where th ey are not actually on the rolls , right, a number of employees may not be on the roles, but they're taken on an outsourcing model from some other agency. So, wi th the result that you get a lower cost. I mean, that is what even the public sector banks are now aspiring to do. Bank of Baroda has already done by setting up an agency. So that is something we are looking at for bringing our cost to income ratio low, be cause one of the major costs for all the public sectors Banks is the employee cost, that is accepted. So how do we bring it down in all the non -core operations, let us have people from an outside agency where we pay much less so that your cost to income co mes to down.So, we are working on that. We are not there yet, but we are aware of the fact that the cost to income is high . This is because of historical reasons. Basically, the employee cost and the pension costs are the 2 major components in that which we ca n't do much about. So that is why it is higher, unless I increase my income much more than the cost. That is what I should look at. Regarding sustainability of growth, a credit growth. What we spoke about, of course we spoke about N BFC. Being one of the se ctors where the credit growth has been there in this 9 month . So, there are certain other sector, numbers will share it separately.
First of all, let me tell you that our corporate book has grown by 30% this year,

whereas my RAM as a whole has grown by onl y 14.5. That is because, see, if you look at my home loans, for instance, they have grown by 19%, car loans 19%, personal loans 2

3%. But because I have this co -lending book which has come down. That is one of the reasons why my direct lending has gone up a nd the overall RAM has come down. So, my corporate loan book has grown by 30% this year, which is actually good. I mean, we have taken exposure to highly rated corporates, but if you ask me from, where am I getting my credit growth. It has been in from inf ra. Infra has got 2 components here. When we talk about Intra one is this, we have this HAM model Hybrid Annuity Model , where in the national, highway authority of India gives contracts for laying roads and all that. So that has been one component. And th en we have the National asset monetization pipeline where the NHAI or some other agency gives it on lease for 20 years. They collect certain money upfront and this money is repaid by way of toll, and so that I have seen loans in that we have seen very good growth in the steel sector. Okay, this is again, I have taken exposure to better rated cooperate like Jindal and others. Then I have seen a lot of growth in the cement area. Then, I have also seen a growth in renewables. Okay, renewables, including ethano l-based power plants. So, these are areas broadly on the corporate credit side.

Of course, we have certain PSUs and all that like where, of course, the credit growth is there like, of course, we have exposure to BSNL, and we have exposure to Reliance Reta il. And all these are the other side. But these are the largely sectors where we have seen a good corporate growth in this particular year. So, the sector, wise we will share the figures with you separately, I don't have it with me right now. Regarding th e core lending model, what we spoke about, first of all, what we do is when we do our due diligence, when we go and sit there. Actually, it is practically before we enter into a co -lending with somebody, our people go and sit there for about a week or 10 d ays straight, study everything, so we are conscious. We also take into account the interest rate that they are charging to the end borrower. We have an idea how much are they going to charge the end borrower. I'm not talking about NBFCs , which are charging 25% and 30%. We are only looking at NBFCs , with whom we partner. We charge a reasonable rate of interest.

Of course, again, here I think you said something like a lost opportunity for the banks. I don't think it's a lost opportunity, because the kind of borrowers to whom they lend again are not the borrowers to whom we lend. For instance, they lend to a borrower based on his Kacha book, and all that if he's doing some business, sit with him for 2 -3 days, look at his cash flow, and lend it, which we cannot do without any document. So those are again borrowers to whom we don't lend, so we are only leveraging their network for the purpose of reaching this last mile borrowers. When it comes to these last mile borrowers, based on my banking experience, let me t ell you for them the accessibility to credit is more important than the cost of credit. Because they want access to credit rather than the cost of credit, because they are borrowing from the money lenders and all that at a much higher interest rate, so the NBFCs maybe they lend to them at a rate which looks high if you look at it from the organized sector point of view, but then, which is quite reasonable for them from their point of view, if you look at, what they were borrowing earlier, and what they're borrowing now. The cost comes down considerably for them, and the NBFCs have a collection model which is able to manage this risk.

Suppose a borrowers income comes on a daily basis. For some borrowers there's a shop where he sells at the end of the day the re is cash, and you have to go to him on a daily basis for collecting your instalment of the loan that is not possible in a bank, but it is possible for the NBFCs because they have that sort of a rec

overy

mechanism wherein they go to a borrower based on hi s cash flow, on a daily basis, on a weekly basis on a fortnightly basis, on a monthly basis. So, their ability to manage risk from this last mile borrowers is much better than that of the banks and that is one of the reasons as to why their credit costs ar e lower. So, we are actually not partnering with NBFC s, and we also look, as I said, in the beginning that we look at the pedigree of the NBFC . We look at how long they have been there, we look at a minimum AUM size. It is not that the NBFC which is just b orn yesterday, one year old having an AUM of Rs200-300 crores and we partner with them, are ready.

Analyst : What is the minimum AUM before we lend to an NBFC? For agriculture

NBFCs, Fintechs?
Shri Soma Sankara Prasad, MD & CEO : It is different for different segment. For agriculture it is smaller. We don't lend to Fintech. We only lend to NBFCs , which are

established NBFC s with Rs. 3,000 crores and I think they look at 3 to 5 years' experience before we lend 3 years
Analyst : And for co -lending NBFCs?
Shri Soma San kara Prasad, MD & CEO : Whether it is a loan to an NBFC or whether it is a co -lending with NBFC , the norms are almost the same, except for the fact that for co-lending we also look at their due diligence model their way of assessin g credit, their recovery mechanism, which is in place and the interest rate that they charge and what kind of NPAs they have on their books, of course, that we do when we do for direct lending also. But what I'm saying is that the due diligence part is muc h more deeper. I mean, we go much deeper when it comes to co -lending, trying to understand their model by sitting with them, which may not happen when I do direct lending, because I go more by the figures which are there, and the credit rating which is ass igned to the company .
If you look at P aisalo you will have to look at the time it is established. How long it has been there and then what has been their book? What has been their NPA, what is their mechanism , without doing thatI don't think we would have en tered into a partnership with them, so we look at that case separately, in case you want, we can share the figures with you.
So again, when it comes to lending top 10 sectors, you go to page 37 of this book. So there, actually, it is given. You don't have this book. I'm sorry we'll share it with you separately.
So, regarding this sustainability of credit growth is one question that you have asked. But I think, looking at the Indian growth story, I mean, like today itself I was reading in the papers, a lot of MNCs which are there are very bullish about India. Even Apple has made a statement that overall global revenue is down by 5%. But India is only one country where they've seen a huge growth in their revenues. So, I think, looking at the way the world is looking at India for growth, and then this infrastructure spending which had gone up by 30% last year and again 30% now.
So, this is going to have a lot of downstream impact in terms of both the SMEs as well as on the other companies. So, we are quite conf ident that we will be able to maintain this credit. It might soften a little. Please understand that as far when it comes to credit growth, we are coming on a lower base, because during the Covid time not much of a growth was there. So, 20% may look very h igh, but the base is much lower compared to, because there was no growth in the last 2019, 2020 and 2021 not much of a growth was there. So, we are coming from a lower base, but it looks sustainable. Maybe it will not be 20% - 21%. As the base becomes larg er. But I think 15 to 16 or 14 to 15%, is a reasonable rate, at which I think what all the banks are looking at

Analyst : And target ROA of plus 1%?

Shri Soma Sankara Prasad, MD & CEO : Our target has always been an ROA of 1% and ROE of 10% that is t

he target I had set for myself, but then I think we are almost there, but then my ROE for the quarter is about 12.24 or 12.27 per cent, so I think, with

the end of the year, when we end with th e profit of around 16 to 1700 crores, I think we would have achieved an ROA of 1% and ROE of at least 12%

Analyst : One suggestion based on what you said in the market, take money when it is good. Now there was also a talk about floating stock, you know, government 95 and 5. The best thing based on your own philosophy is to say, forget AT1 bonds, go as per SEBI formula and raise money preferential from the market so the floating stock will increase, and the biggest concern we have is the price to book will become more moderate. Today we are worried about high price to book. Then ROEs need to be much more than 13%. But floating stock, and today you'll get money it's only I think one other PSU has announced fundraising right. I think Union Bank, others will d o it. So, today as per SEBI formula, it won't be difficult to get it. So,

people go by that, and you have had a Rs40 price also you mentioned?
Shri Soma Sankara Prasad, MD & CEO : Yes, 37, 38. So I should be able to raise it at a I mean dilution should happen at th e proper valuation.
Analyst : SEBI driven price is the best valuation for you, and your price of book will become more moderate, it will be lifetime opportunity of being in the right place at the right time for you. I wish you all the best. Thank you so muc h.
Moderator: As we are running short of time, we'll take a couple of more questions.
Shri Soma Sankara Prasad, MD & CEO : Maybe it's Ok. They're all there and we are prepared to answer all the questions I know we are having a good interaction. Let us appear to tha t. It doesn't matter. I'm prepared to answer all the questions so I can.
Analyst: Can you put some color on agriculture loans, book size, and new to credit.
Shri Soma Sankara Prasad, MD & CEO : Yeah, you see, agriculture what has happened is that our agriculture book is not very large. It's about Rs20,000 crores. Actually, what we have observed in agriculture is that the NPA has been very high. That was primarily in case of crop loans. What we g ive by way of crop loans which are basically unsecured, there's no security. As a bank and I think most of the banks have done that. We have shifted from production credit to investment credit, where an asset is created in agriculture and the government's a gricultural infrastructure fund, which is an excellent scheme which they have come about, wherein they want to develop the agricultural infrastructure basically the backend like cold storages warehouses and things like that. In fact, recently, under agricu ltural infrastructure fund, we had even financed a drone which actually does this chemical, and all is sprayed on the crop . So a lot of things which we can finance under AIF. So, and I find right now that when I shift to the production from production credi t to the investment credit, I am able to do a much better job of cutting down my NPA. Having said that, of course I'm aware that as a government bank there is a certain emphasis on giving a certain amount of loans at the KCC, it is a requirement that is th ere. But I always tell my people that even in KCC, the NPA is higher because you don't go and ask them at the right time.
You actually have to go to the villages when these people are available early in the morning, after the harvest, when the money is there for you to recover your loans, a farmer has got, several pressing requirements.So , if you don't go and ask him at the right time, he will divert the money somewhere else, and you r crop Loan, will not be

repaid. That is one problem which is there. But the emphasis has been shifting from production credit to the investment credit.So that is one point I would like to take .
Analyst : And y

ou're new to credit how many clients you've added for new to credit ?
Shri Soma Sankara Prasad, MD & CEO : I don't have the fig ures.You're talking about agriculture right. Just stating myself, agricul ture has been to saturate when it comes to these loans. So, a lot of new people who are eligible for these loans have been given loans, but when it comes to all the other sectors like , if you're talking about retail M SME and all. I don't have the figures with me right now.We can share it with.
Analyst : Thank you.
Analyst : Good evening. Your operating expenses have gone up by 24.5 3 percentage operating expenses . So, can you throw some light? What is the?
Shri Shashi Kant Kumar, CRO :Yes, this time, what we have done it? There is some because there is some bipartite settlement where the family pensions provision has increased. So, RBI has allowed us to Amortize in 5 years. So, we started with amortizing. But since we have generated sufficient profits, so because this, whatever we are amortized, it actually affecting my capital also. So, what we have done since we have generated, some operating profit was there. So, w e have amortized much more than what we were expected to do, so, as a result, in fact, what we have to do is only 28 crores or something quarter on quarter basis. We were supposed to do, but this time we have made more than Rs100 crores, so as a result of that operating cost has also gone up, and that the second question is, somebody is also asking what that why that cost to income ratio has gone up so marginally, that's also has resulted in that cost to income ratio has gone up.
Shri Soma Sankara Prasad, MD & CEO : And one more thing just to supplement. See, last D ecember we have upgraded our Fi nacle version. We have gone fro m Finacle 7 to Finacle 10, which involves a huge expenditure for the bank, and I think all of us are aware that the depreciation on IT, it ha s to be done over 3 years. So effectively , the rate is 33 -34% per year. So that is also one of the reasons why the operating expenses and the cost to income have gone up, because whatever it expenditure is

there, it has to be written off in 3 years. So tha t is also one of the reasons as to why the operating expenses have grown up, and the cost to income is also gone up, and while upgrading the this, IT upgradation. This we have upgraded the bandwidth of the all the branches, so they get faster access to customer conveniences their way, so that expenses also have gone up to you.
Analyst :New Branches Opening.
Shri Soma Sankara Prasad, MD & CEO : Yes, that is also an expense. See, we are opening 200 branches this year, that is, before March. Already about 85 to 90 branches have been actually opened. So that is again, see, what has happened is at this point. I would like to say, that when we were under PCA for about 3 - 3.5 years. One of the restrictions was, we cannot open new branches. So, what happens is in most of the towns, in fact, right from the big cities to the Tier 2 towns. These towns expand during the period of one year, 2 years, and all that, and the town centre would have shifted somewhere else. So, the business potential I think that would h ave happened in Mumbai and any other city where. Earlier. What was

the town centre now is no longer the town centre . It has shifted somewhere else where the business has shifted. So, we actually want to open these branches in areas where the growth has mov ed in these towns and cities where we could not open earlier. So that is the reason why that is also one of the reasons why the expenditure has gone up, because selecting when you were to again the rent will go up. Selecting new promises and all that, so t hat is also one of the reasons location changes.
Shri Soma Sankara Prasad, MD & CEO : We have done, branch shifting we have done, and that face lifting of the branches, and moderation of th

e ATMs that we
have done here. That's the cost has incurred this. We always t alk about saying that our banks should also look on par with any other private sector bank when it comes to that. So that is something which we have been emphasising on saying, you spend money, but then you cannot have a premises which looks second grade r ight. So, we have been spending quite a bit of money on upgrading our premises also, which is also added to the total expenditure.
Analyst : Can you share number of share broking accounts opened through your app, your experience and your partners?
Shri Soma Sankara Prasad, MD & CEO : See our partner, let me let me share with you that our partner in this has been a Fintech company called Fisdom. Okay. So, they provide mutual funds, and they are also into the shares and all that through our mobile banking, you actua lly enter their plat form. Wherein you can open a De mat account, and it's a very, very smooth. You can try it. In fact, you can download our mobile app and say it. It's a very seamless experience. And along with that they have come up with this d iscount stock broking, wherein they say, I think you pay Rs9,999 in a year you can do endless I mean there is no limit, on the number of transactions you do. They won't be any brokerage on those transactions. So, we have a commission sharing model with the m. I mean, wherein we get a large part of the Commission, comes to the bank. So, this is one way where we are providing this wealth management services because they also invest in AIFs and all those mutual funds, apart from stock broking. You can file your income tax return on our mobile banking app. You can get Income tax advisory also for a fee. Income tax filing is free but advisory you want; you will get it for a fee. So, all these services are provided seamlessly on our mobile banking app. And we felt that we should partner with them because we should make these services available to our customers. And, as I said earlier, it's obviously a win -win for both because of our customer base and their technology.
Analyst : So, they get benefits of your customer base or is there a point where , we are benefitting from their customers opening bank accounts at UCO Bank. That is the main thing.
Shri Soma Sankara Prasad, MD & CEO : No! No! See their customers that reverse model right now. Seesom e customers of theirs might open. There is no agreement wherein their customers will open.No, it doesn't happen that way. It is our customers make use of their platform.Ok, and what do I get out of it? One is that, of course getting that income sharing bet ween them and me is there .

Second thing is, see. I do not want my customer to go to some other bank, because this facility is not provided by me.That is more important for me. Forget about as you said. Maybe it's a meagre amount, whatever I get from them.B ut my customer should not go to another bank. There are a number of banks which are offering, which I have, for instance, I come from SBI earlier. They have the SBI Cap securities, which is a subsidiary of SBI, which is there, and which is providing them t heir services. I do not have the capacity to set up a subsidiary and provide those services to my customer.But at the same time, I should meet my customer requirements so that it doesn't leave me and go somewhere else.So, this is where this comes in.
Analyst: Sir, If F isdom has come, Its Non -banks, because banks are also competitors. Tomorrow if IIFL and Angel also comes to us, we'll still be glad to do it?
Shri Soma Sankara Prasad, MD & CEO : Yes, depending on the requirement. Yes, see now, for instance, the same logic applies to insurance. We have life insurance, general insurance, and health insurance. Earlier we were permitted to partner with 3 companies okay in general, 3 in life and 3 in health. I think now we realize permitting 9 companies. I think.

So, I mean there is no harm I'll on board them, but it is for them to sell services to my customers and my customers. The only thing I had to ensure is that they follow proper practices while selling their services to my customers. So, once I ensure that I mean, I mean the choice is there for the customer, whether it is 3 or 4 tomorrow, as you're saying, if Angel comes as somebody else comes, there's a choice available and there may be competition between them where my customer might get more services for a better fee. So, I'm open to that.

Shri Ishraq Ali Khan , ED: Just to update the house that our mobile banking app is rated as one of the best mobile app in the financial sector. All the bandwidth you can see. Review on the inter net.
Shri Rajendra Kumar Saboo , ED: I want to add that Fisdom , or whatever Fintech we are taking, they are also empanelled and selected through an proper RFP Process .
Shri Soma Sankara Prasad, MD & CEO :. As he's saying, being a public sector bank, will have to go through an RFP Process and all that before we run.
Analyst : Sir, our exposure to this much talked account, and how do you see going forw ard, I mean the things are stabilizing. You have first of all any exposure? Number 2, do you intend to take more because they are foreign sources will stop for some time, and they might come to Indian banks now, and also to the public sector banks, so what are your views on that? Because it is much talked about. It has taken Rs. 10 Lakh crores of market cap down, I mean their own wealth down, and the tremendous amount of market Cap down, and I think here we can talk candidly or openly, because even the financ e minister also said that respective people will explain their position to the people.

Shri Soma Sankara Prasad, MD & CEO :Yeah, see, I mean, see, we also like other banks, we also have exposure to them. But then our exposure is much less than 1% of our total advanc es, and it is a very small amount. It's around 0.7 - 0.8% of our total book. That is the first thing, the second thing I would like to say is that our loans have been to companies which are operating right now, I mean, they are not even under construction, and I mean that risk is also they're not there. They are operating, they

are generating cash flows, and we have been getting regular repayment in those loans. And not only are sufficient cash flows available, there are solid assets which are there on the g round. Our loan is adequately secured by those assets. Whether it is power, or whether it is something else. So, these are all operating companies with adequate cash flows and security, to whom we have exposure, and we do not have, as, like any other publi c sector, bank we do not have any exposure against shares we do not do normally public sector banks don't do any loans, any share, so there's no question of margin calls and issues like that when it comes to lending to these companies. So, we do not have. We do not see any risk, I mean at all when it comes to the loans to these companies. That is the first part I would want to say regarding the future. What we have asked. I mean, if it is, I mean good infrastructure projects where there is a good debt -to-equity ratio, and I mean where the necessary approvals are in place, there's no reason why, as a banker I cannot take a reasonable risk in financing those projects as long as both the debt and equity are tied up. So, there's no reason why I cannot take a fu ture exposure to any group, for that matter, when it comes to financing these.

Analyst : Now, the clarification on this, do you have any exposure through our foreign branches on those bonds, overseas bonds. Is it included in that?

Shri Soma Sankara Prasad, MD & CEO : No So we don’t do bonds, that is included in that. We have something, there is an entity based in Singapore which is a subsidiary of Adani, to whom we have a litt

le exposure from our Singapore office, but that is again a company there. We do not have any investment exposure to the group.
Analyst: And does it include Ambuja , ACC etc,

Shri Soma Sanka ra Prasad, MD & CEO : We do not have exposure to those companies.

Analyst : So, about Rs1500 -1600 crores is your total exposure.

Shri Soma Sankara Prasad, MD & CEO : much less than that. It is about Rs1,400 crores.

Analyst : Funded Non - Funded?

Management :Both Put together .

Analyst :And is this all disbursed?

Shri Soma Sankara Prasad, MD & CEO :Yes, this is all disbursed , and these all are operating companies.These are not some projects still under construction, and all that. We have exposure to power, and all that where they are operating companies.

Analyst: Are they all large companies?

Shri Soma Sankara Prasad, MD & CEO : Yeah, that is what I'm saying. That is what I am saying.

Analys t:If you can mention their names?

Shri Soma Sankara Prasad, MD & CEO : Names. I don't want to mention. Yeah. We have exposure to power, not green energy, this is all, thermal power and mainly power. It's mainly power. These are operating companies which are generati ng cash. Everybody is safe. Actually, we only lend against the projects which are, yeah.
Analyst: You mentioned a Singapore company, what is that?
Shri Soma Sankara Prasad, MD & CEO :That is a trading company where the exposure is around Rs.400 crores.

Shri Soma Sankara Prasad, MD & CEO : Its genuine trading. It's not just our bank has got an exposure in Singapore. There are about 20 -25 banks, including Singaporean banks, which have exposure. So, then this big company has been the big venture. Singapore based companies don't h ave a rating, for that matter, because Singapore is one of the countries where all I mean, all the 3 rating agencies have given a AAA rating to that country this is one of the 12 countries in the world, where all the 3 major rating agencies are given a AAA rating, even US doesn't have all the 3 rating agencies giving it a AAA, So companies which are incorporated in Singapore believe that they are themselves AAA, because the country is rated AAA.

Analyst :Credit to Indian companies is Rs 1000 cr only?

Shri Soma Sankara Prasad, MD & CE O: Yes, we are transparent bank.

Analyst : We are of course small bank, but still, we have an expense on all these salaries and everything. And now, since your profits are going up, you’ve started making provision of the PLA the nine -month Performance link Incentives, for this staff, because 5% growth, 5 days or 10 days period. Have you started to do that, or are you planning to do that?

Shri Soma Sankara Prasad, MD & CEO : No, let's say small amount. Actually, we have paid the last 2 financial years, and we are paid highest 10% - 15% view. It is not a material item for us to make a provision for that.

Analyst: No, in fact, it is the most interactive Analyst Meet in the industry. And even though the questions are asked only by 5 -6 people, a lot of clarification, is there for everyone who are present here. Most of the points here are already been covered.

Shri Soma Sankara Prasad, MD & CEO : So, I mean my request to all of you would be to cover the bank much more.

Moderator : Yeah. So, we will request Rajinder Kumar Saboo, to make the vote of thanks.

Shri Rajinder Kumar Saboo , ED: Thank you. Our Respected MD & CEO sir and my colleague ED Sir here and our GM and CFO on dais and other our bank colleagues and most respected our analysts and investors present today. Here in this meeting. So, I'm thankful to all of you. I understand th at whatever the questions you were having in your mind have been explained very well by our MD Sir. And all of the queries you raised , up to most extent have been satisfied and addressed. We have n

oted a few points with regards to our presentation als o. Some of you have mentioned that certain more details are required to be there, so we will take care of those details in the next presentation you will find more clarifications about Sectoral or whatever deployment. Whatever else you want, and I can just assure you that the results which have been shown in our discussion has been held so it will be on more means upfront for sharing the information with you, having more interactions with the investors and analysts. More frequently we will have the interact ions. So, it means not only after just this quarterly results in between also we will try. And my thanks to all of you for coming here, and please join us for tea. Thank you so much.

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Call: Aug 2023

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HO/Finance/Share/ 87/2023-24 Date: 02 .08.2023

National Stock Exchange of India Ltd.
“Exchange Plaza”
Plot no. C/1, G Block
Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 051
NSE Scrip Symbol: UCOBANK

Mad am/Dear Sir

Re: Transcript of Analysts/Investors Meet held on 31.07.2023

Further to our communication dated 25.07.2023 and 31.07.2023 regarding intimation about the schedule of Analysts/Inv estors Meet on 31.07.2023 and submission of audio /video recording of such meet, we enclose the transcript of Analysts/Investors Meet held on 31.07.2023 in pursuance to Regulation 30 of SEBI (LODR) Regulations and NSE guidance note dated 29.07.2022.

The transcript of Analysts/Investors Meet is uploaded on bank’s website and the same can be accessed through below link :

https://www.ucobank.com/pdf/TranscriptofPostEarnings02082023.pdf

Please take the above on your records and disseminate.

Yours faithfully,

(Vikash Gupta)
Company Secretary

Encl : as stated

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Q4 FY24 RESULTS
Post Earnings Analysts/Investors Meet
Held on 31.07.2023 at 2:30 pm

UCO Bank Management is represented by :

1. Mr Ashwani Kumar, Managing Director & CEO

2. Mr Rajendra Kumar Saboo, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

- Moderator:

- Good afternoon, everyone. On behalf of Antique Stockbroking , we welcome you all for the Q 1 FY 23-24 Earnings Webcast of UCO Bank. UCO Bank management team is represented by Mr. Ashwani Kumar, MD and CEO ; Mr. Rajendra Kumar Saboo , Executive Director along with senior management of the team . Thank you sir for giving us the opportunity to host the call. Without any further ado, I hand over the call to MD, sir for his opening remarks , post which we can start the Q&A.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank :

- Thank you. I welcome all the analysts and investors to this conference call. Along with me, I have my Executive Director , Mr. Sab oo. All top management team , corporate general managers. I'll just give you the brief about the performance of the bank during this first quarter of 2023 -24. Investor presentation we have already uploaded and I believe all of you have gone through , just a brief of the performance I will give then we wi ll be open to your question , answers. Well that as you all know, the total business of the bank grew by 16% and of which the deposit contributed 10.8 0% growth and advances 25% growth o f which the domestic advances 21 % growth and the growth in advances was backed by RAM growth by 19% of which retail contributed 25% , agri 14% and MSME 15% .

- Of the retail housing contributed 23% , vehicle 24% and personal loan 26% . Q-o-Q also see our growth in housing loan , vehicle, and personal loan was 4% , 6% and 3% respectively. As regard s deposit , our CASA grew by 6% of which savings bank grew by 6% and current account by 8%. Our CD ratio improved from 58.29% in June ‘22 to 65.79% in June ’2

3. Gross NPA of the bank brought down to
4.48% vis-à-vis was 7.42% in June ‘22 and 4.7 8% in March ‘23. So, the re is Y -o-Y decline and Q-o-Q decline also . Net NPA also improved to 1.18% from 2.09% in June ‘22 and 1.29% in March ’23. PCR of the bank also improved to 94 .88% and the tangible PCR also improved to 74% vis-à-vis 68% in June ’22. Net profit of the bank went up by 80 .80% to Rs. 223 crores in Q1FY24 as against Rs. 124 crores in Q1FY 23.

- Operating profit grew by 173% to Rs. 1,202 crores in Q1FY24 as against for Rs. 439.94 crores Q1FY23 . Last year , quarter one there was MTM loss on investment books. As a result , the top operating profit was low. Now, this year there was no MTM loss es so operating profit moved up . As regard net interest income , net interest income of the bank grew by 21.78% to Rs. 2,009 crores and net interest margin also improved to 2.86% as against 2.74% in June ‘22/ This is global NIM, domestically improved to 3.03% as of June ’23. And CRA R also improved to 16.85% of which T ier 1 is 14.16% and C ET1 is 13.70% , registering an improvement of 240 bps over 30 June ’22.

- As you all can see, that during this year, we have made a provision of normal NPA provision of Rs. 389 crores apart from that standard as set of Rs. 163 crores have been made which is on account of SM A1 and 2 book more than Rs. 1, crores . Our SMA 1 and 2 book more than Rs. 1 crore is around Rs. 2,000 crores . So on that Rs. 163 crores have been provided. In addition to that Rs. 135 crores also have been provided as a forward looking provision to take care of the ECL emerging guidelines in the times to come .

- As we speak , bank holds the provision of Rs.1,267 crores as a mandated provision on standard asset, which includes your 7th June RBI circular on standard restructuring, provisioning, standard asset provisioning. Apart from that, another Rs. 1,000 crores bank is holding over and above the mandate provision in the book to take care of the emerging ECL guidelines as well.

- As far as the credit mix is concerned , bank continues to have 60% RAM portfolio and 39% corporate portfolio and going forward we intend to , our endeavor will be to maintain that mix in RAM and corporate credit . In corporate credit, we'll be rebalancing our portfolio by bringing down our low yielding advances and our endeavor will be to concentrate on mid corporate segment thereby spreading the risk also and al so improving the yield because highly rated and PSU cor porates the NIM, or the margin is very low and the spread -- margin is very low and the risk is also high. So, our endeavor will be to rebalance our corporate credit book as well.

- So, f ar as deposit is concerned, our growth in the deposit continues , was 10% going forward our focus will be to improve our CASA because saving and current is a low cost fund . So our endeavor will be to enforce that, for that bank has taken various initiatives. First initiative bank has been started immediately now is up t o the declaration of the result of tab banking earlier all accounts , savings accounts and current accounts and all these accounts are opened manually at the branch level by filling the application form . Bank has started the tab banking; 10 branches have al ready been provided and testing has already been done now that these accounts are being opened to tab and once these 10 branches may will be in a week time any issue or problem coming then we'll be rolling out to all the branches.

- So, account opening will be totally digital. Apart from that we will be coming out with a digital RFP also , board has already approved digital transformation RFP and then maybe another 10 to 15 days’ time digital transformation knowledge partner will also be on boarded to take care of the emerging needs of the young generation and our customers . Along with that bank -- board has appr

oved Rs.
1,000 crores of IT spend during this year, which bank will be spending on various IT initiatives right from the private cloud digital trans formation and other things . Bank has also undertaken performance management system transformation that is an HR transformation journey for which knowledge partner has already been on boarded. And that has been made live. So by the end of this year, that en tire – the performance management system will be live 100% .

- So these are the few initiatives and thoughts I wanted to share. Now I am open for discussions if you want to add something. So I'm open for question and answers from our colleagues , from our inv estor .

- Moderator:

- So thank you for your opening remarks. We'll just open the floor for question and answer. We'll wait for a minute for the queue to arrange and post that will start it. A nyone wishes to ask the question please raise your hand. So we have the first question from Mr. Sohail. Mr. Sohail, you've been unmuted please ask your question.

- Mr. Sohail - Analyst:

- Hello. Ye s, good afternoon and thanks for the opportunity for l etting me ask the call. So you just on the passing comments you mentioned about ECL provisions. So if you could actually help understand that what in your assessment is the shortfall in terms of ECL that you see and probably where the shortfall is coming from.

- Mr. Ashwani Kumar – MD & CEO , UCO Bank :

- See ECL is emerging concep t already RBI has come out with a framework but the final guidelines are yet to come. So in order to have the cushion in the right time when the bank is earning profits. So, we are started making the provisions, but we have not made any assessment as of no w, that how much provision is required or how much provision is not required, but let me give you some filler about that our SMA 1, 2 book where were the provision can come so that is more than Rs. 1 crores SMA, 1 and 2 book is only Rs. 2,000 crores currently and on that

around Rs. 163 crores we have made a provision . Apart from that there another stage two will be COVID restructuring or the restructuring group. So, the COVID restructuring standard book is around Rs. 2,742 crores , I believe, this is the number and against that apart from the regulatory required provision. So, additional provision is also captured. So, if my SMA 2 book more than Rs. 1 crores SMA book , one book more than Rs. 1 crore and my restructured book also is taken together. So, Rs.2,000 plus Rs.2,700, Rs, 4700 crores are the portfolio which may attract stage one and stage two provisions. A nd against that apart from the regulatory provision Rs. 1,000 crores provision we have -- we are holding in our books currently.

- Mr. Sohail - Analyst:

- Okay. And sir, if you could share what would be the SMA book below Rs. 1 crore ? Any ballpark number?

- Mr. Ashwani Kumar – MD & CEO: UCO Bank :

- Below Rs. 1 crore , I can give you separately . I don’t have exact number right now. I believe that will be around below Rs. 1 crore maybe around Rs. 5,000 crore approximate , below Rs. 1 crore will be Rs. 5,000 crore approximately .

- Mr. Sohail - Analyst:

- Okay. And sir, just a couple more question while I see that in terms of the slippage s trained has lowered , our credit cost still runs at around 1% -- in the range of around 1% this quarter as well, what , first have you have gone through a consolidation period de-risked a book , what should be a sustainable cred it cost be for you for next two or three years. Because we have seen some banks reporting even a 40 -50 basis point credit cost .

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- See, if you look at our P CR, it is around 94 .80% and our tangible PCR is around 75%. So, there is a room available to increase our tangible PCR. So, as we are moving ahead, wherever required we are making reasons because it is always said that the buffers are to be created at the opportune time. So, wherever required we are creating buffers a nd I think my take will be that our credit costs during this year will be around 1% to 1.25%.

- Mr. Sohail - Analyst:

- And sir, simultaneously if you could give some indication in terms of ROA , is that you see FY24 and ’25?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- See, a gain ROA is a function of profitability, right , of y our total assets and our endeavor will be to increase the operational efficiency because the operating profit is our target. So, operating profit, we are target increasing , operating prof it at least by 15%. And once we do that, automatically profit will increase and ROA also will increase. So, that target or the internal target set for the team is to increase the operational efficiency as you all can see that last year our operating profit was down from the previous year. So, we want to asses that situation and come to a growth mode. So, once operating profit is up, the naturally going forward the pro visions will also be lower and profitability will improve and accordingly ROA also will inc rease.

- Mr. Sohail - Analyst:

- Okay, and sir just last question from my side, probably then I'll join back in the queue, our loan to deposit ratio or credit to deposit ratio runs still low at 66% and we are managing a margin of around 3%. So, once you leve r up this balance sheet in terms of improved the loan to deposit ratio, where do you see the margins headed towards to any broader sense when should we see the margins ?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- See, h istorically bank ’s CD ratio was low basic ally on account of the fact that bank was in PCR till September ‘21. So bank came out of PCR and after that bank started lending and the CD Ratio is improving on a quarter -to-quarter basis. And if you look at our NIM , that is around 2.86% and going forward our endeavor will be to take it to 2.90 % to 3%. Having said that, let me also tell you that there is a pressure on the cost of deposits , and the cost of deposit this quarter has also increased . As a strategy , curren tly we are not taking long -term deposit at high cost. So, we are targeting increase in CASA and increase in retail term deposit. So, our entire team's focus is on CASA plus retail term deposit instead of going for the bulk deposit . We, in the last quarter we took CD also this quarter we have shut that CD amount also . So we have not taken the high cost deposit. So, only low cost deposit is our target. And based on that we intend to control our interest expenditure and other expenses.

- Mr. Sohail - Analyst:

- Okay, thanks a lot , sir, for your time I will come back in queue, if anything .

- Moderator:

- Sir, we have our next question from Mr. Sushil Ch oksey. Sushil sir, y ou can unmute yourself .

- Mr. Sushil Choksey – Analyst:

- Good afternoon , Ashwani ji and Mr. Saboo ji. Sir, my first question is the transformation journey which you made a part of your opening remark , both of you have taken over the bank recently. So yourself in this current quarter, which has gone by and Saboo ji maybe three quarters now. Tab banking , digital spend of Rs. 1,000 crores , does this digital spend means Rs. 1,000 crores only to be spent this year for leapfrogging on the digital side or something more than that.

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- See, digital spend is on the digital side and also to the build capabilities, including cybersecurity as well, including replacing infrastructure of our branches, where PCs are old. So including our revamping our mobile app, also revamping our existing sys tems. So, there are even – for private cloud at on our premises. So, many things have been planned and based on that our internal assessment is around Rs. 1,000 crores of spent we

will be -- we have kept the budget . But definitely expenditure will take a l ittle time because now the RFP will be there, then the vendors will be on boarded and once they are on board ed, it is not like that it will be implemented in day one or day two, it will take little time also. So, the journey has just started because it will take digital transformation. So, onboarding , digital trans formation will take some time and once they are on board, so then digital transformations will take little time maybe one year time to complete a project. So, the beginning has been made, but it wi ll take full transformation agenda to , complete will take little time maybe one year or one and a half year to be in totality .

- Mr. Sushil Choksey – Analyst:

- Sir, w hat are the low hanging fruits in your eyes seeing UCO Bank 's performance of couple of years and which is visible sitting in Calcutta today in the eastern sector. Which I would like to understand from your then throw a question

because both of you have had amazing experience at PNB when you all acquired United Bank of India, and yo u also had a brief stint at Indian Bank. So looking at those perspective and specifically in the geography where you are located. You are a pan India bank, but the East has a lot of support. So what are the low hanging fruits would you like to tap?

- Mr. As hwani Kumar – MD&CEO: UCO Bank :

- Hey, you're right , Choksey ji, in one way, because East is, I always tell my team that east is our territory because earlier there were three bank headquarters and only now in East, we have only UCO Bank . So we are in a goo d position to leverage our position here. And accordingly our focus will be to leverage CASA because if you know the data of, I think United Bank, their ca sa was around 55% , if my memory goes right –pardon.

- Mr. Sushil Choksey – Analyst:

- It was always about 50% .

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- Yes, this is what I'm saying. So, but we , now we can position ourselves by extending our digital reach by extending our digital platform to the state government , to the state 's various agencies. So because we need to be digitally sound , infrastructurally sound to capture all those deposits. So our -- we -- what we are doing we are now bringing up a CASA team headed by a GM , earlier our team planning and CASA resources was looked after by one GM . Now we are segregating resources separate and planning separate . So resources team will be aided by GM and there will be a savings in-charge, there will your current account in -charge, there will be a government account in -charge , there will be NII charge. So, all these divisions will be separate and accordingly we will focus on North territory or Eastern territory based on the potential . East has a good potential and as you rightly said, I also believe that it is the low hanging fruit for us in the east. So, we no need to leverage that and our endeavor to that, for that .

- Mr. Rajendra Saboo - Executive Director: UCO Bank :

- One more point to it , sir, that in the Eastern part mostly in our UCO Bank , our casa particularly savings deposit comes mostly from the individual deposits only. So, we have very low percentage of institutional and Government deposits. So, one low hanging point here is that we can enhance the deposit from

individuals through our digita l initiatives which we are planning which already we have started and another that there is an ample scope to increase our CASA from institution and Government deposit also. S o, we have also the asset that we have been creating this casa vertical and it wi ll take us ahead in growth of casa.

- Mr. Sushil Choksey – Analyst:

- Sir, there was -- you answered on the garnering of deposits , what about on low hanging fruit because no public sector banks talk about public sector and private sector

lending. So I understand that last few years, we've focused more on lending to public sector rather than private sector. So, are you seeing how – where is your CD ratio likely to be tilted and as you said, your incom e is likely to rise which means that function either RAM will grow or corporate credit will grow. So how are you factoring and balancing in that with a CD at 65 or 66, I'm quite sure the little aggression and balancing in the current environment where infrastructure spend is high , how are you position ed?

- Mr. Ashwani Kumar – MD & CEO: UCO Bank :

- Hey, Choksey ji, in my opening remarks I also told that time that our focus will remain on RAM because if you look at on our RAM growth in a quarter -to-quarter basis, even housing loan grew by 4% , our vehicle loan in one quarter grew by 6% , personal Loan by 5%. So, our focus will be in this segment where some margin is there and your risk is also spread . In corporate book , our endeavor will be to rebalance it , why? Maybe if my cost o f deposit is high and my yield from that corporate, PSU is low. So, I may be exiting anytime or whenever there is a maturity, I may not be able to offer them the same rate. So, I may have to take a finance review at that particular poi nt of time and my team's endeavor is to grow in mid corporate segment instead of being large cap or the PSU or the large companies. So, what motivates or the intention is that never is to grow in that segment. So, with that, we will be controlling our cost also, we will be improving our margin also and for housing, retail , housing MSME and agr i, in the agri we have gone for the gold also , gold loan. Our gold loan was - is very meag re currently in comparison to Indian Bank or Canara B ank or Union Bank. So, w e are targeting now the gold loan, we have already created a gold loan vertical also here now. And we are targeting that we may double our current portfolio of gold to I think from Rs. 5,000 crores to Rs. 10,000 crores are our target to increase our go ld loan portfolio. So gold loan portfolio will be our target by reaching out to over various branches through and then housing, vehicle, person al loan , all those will be our initial targets.

- Mr. Sushil Choksey – Analyst:

- Sir, in the current round, my las t question, sir, our government holding i s 95.4% with Rs. 11,956 crores of equity . I'm sure that whether government grants you one year two year you will have to bring down your equity holding from the government , looking at a book and such government h olding I had one suggestion to some other bankers whether this idea is suited within you or your floated with other banks I have no knowledge. You can convert your equally capital into Tier 1 bonds and get your holding down to 85 % or 75% depending what government permits because your stock is trading at a reasonable price to convert compared to your book value. And let's assume that 95 % is brought down to 80% or 75% , Rs. 2,200 crores equity converted carrying 8% coupon rate can be feasible , is something like this being discussed at UCO or in the system all at IBA, sir?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- Choksey ji, it is not yet discussed and I am not aware but you are giving me good food for thought. I believe there are two ba nks like our bank who are falling into this category. So, if I have to take your suggestion, I think it will be our endeavor that first we'll discuss among ourselves through IBA channels and then we can approach the government also giving suggesting some m odalities in case it is suitable or workable to us also and to the government. So p resently, there is no thought process at least our level, but collectively we can think of .

- Mr. Sushil Choksey – Analyst:

- Sir, it will be a win -win situation for UCO, Central and IOB, I am sure about because Bank of M aharashtra has already done QIB. Thank

you, sir, for
answering all my questions. And I will rejoin the queue if I have further more questions after other participants.

- Moderator:

- Thank you , sir for your question. We have our next question from Mr. Amit Mishra . Amir sir, y ou've been unmuted, please ask your question.

- Mr. Amit Mishra – Analyst:

- Hi, good afternoon, sir. T hanks for the opportunity. Sir, my question is on RAM mix. So, if I see your RAM mix is stable from as compared to last year and in that also on retail advances , retail mix , retail mix is also stable as compared to June '22. So, are we focusing in on any specific segment in retail advanced is or what is your thought process over there ?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- Amit, thank you for your question, but let me tell you, I think if the retail mix, retail and corporate RAM and corporate segment is stable within the retail stable, I think it is a good indicator of the ov erall performance of various verticals within the bank , we will continue to maintain that ratio and within the retail also we will continue to maintain that combination of housing , vehicle and personal loan . And we'll add gold loan little bit, let's see ho w the gold loan vertical performance going forward.

- Mr. Amit Mishra – Analyst:

- Okay. So, basically my question was on that base , on that line that in retail also are we not more focused on housing loan, because the rates are higher or –

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- Amit, focus is there and you have seen that our retail has grown by 24% within the, sorry housing has grown by 23% , vehicle 24% and personal 26%. So, all three segments on a YoY basis grew more than 20% , quarter -on-quarter also retail , and housing loan continues to grow at 4% , vehicle 6% and personal 3%. So, same trend almost continues in the quarter -on-quarter basis also. A nd same trend will continue .

- Mr. Amit Mishra – Analyst:

- Okay, thank you, sir. My next question is on slippage s, if I see fresh slippage s are Rs. 512 crores which is higher than the last quarter and also the last year . The slippage s coming from SME segments. So, can you talk about that?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- Yes. If you see the general trend in the first quarter slippage is a little elevated always and second quarter onwards, slippage is will come down definitely and within that MSME is a challenge that is basically because of our restructuring in the COVID times. So, if I look at , if I give you the breakup out of Rs. 512 crores , I think MSME restructured Rs. 59 crores out of the total Rs. 260 crores MSME slippage s. So, the slippage from the restructured book is around Rs. 59 crores in MSME segment out of the total slippag e of Rs. 89 crores from MSMEs restructured book. So, the restructure d book slippage was Rs. 89 crores during this quarter and out of Rs. 89 crores , Rs. 59 crores were from the MSME. And to counter that, as I already told that we are holding extra provision also in the standard portfolio by way of forward looking provision.

- Mr. Amit Mishra – Analyst:

- So, what are the provision numbers , can you give me that ?

- Mr. Ashw ani Kumar – MD&CEO: UCO Bank :

- Currently, we are having mandated provision of Rs. 1,267 crores which includes our various mandated li ke standard re structured book, our standard, June 19 circular guidelines and standard provisions. Apart from that approxima tely Rs. 1,000 crores we are holding as a forward looking provision which include around Rs. 300 crores of provision this quarter which we made so, that you can see in our presentation also Rs. 163 crores are on standard restructured sorry SMA 1 and 2 book, SMA 1 and 2 more than Rs. 1 crore is Rs. 2,000 crores , so against Rs. 163 crores we have made and Rs. 135 crores as an additional provision we

have
kept as a coffer.

- Mr. Amit Mishra – Analyst:

- Okay, sir, got it, thank you, sir.

- Moderator:

- We have our next question from Sushi l, sir. Su shil, you've been unmuted , please ask a question.

- Mr. Sushil Choksey – Analyst:

- Sir, you just mentioned that you're carrying Rs. 1,000 crores of additional provision which is beyond mandatory and are you likely to this continued strength or this is one time exception which you created more from the SME book or any specific scheme lending or whatever, you would have thought about ?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- The RBI has given guidelines that, that the sensitive sector and all these provisions are to be reviewed on a quarterly basis. So, we will be reviewing the position on a quarterly basis next quarter based on the scenario if additional provisions still need to be made, we will go otherwise we may continue with this. So, as that this board takes the decision accordingly, view will be taken at that particular point of time.

- Mr. Sushil Choksey – Analyst:

- Okay. Second thing, sir, from UCO has a couple of assets I hear, which can be monetized , any plan that, sir?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- Pardon sorry.

- Mr. Sushil Choksey – Analyst:

- You have some surplus assets, which can be monetized I hear . Any view on that?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- We don't have -- I think we are more searching for the asset to be acquired . We don't have any asset to be monetized currently.

- Mr. Sushil Choksey – Analyst:

- Okay. Second thing, sir, looking at the outlook of the industry. Is it possible that the you become a preferred banker like how you been announced for a nostro account in various countries, what is your outlook on that specifically, pertaining to deposit garnering and business segment ?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- See, our bank has expertise in handling as you all know about the Iran accounts also because our bank was the preferred banker for the Iran settlement. Similarly, for Russia settlements also our banker is preferred banker and we have already received -- we have already o pened four SBRA accounts of our Russian banks. And we have already received permission for opening eight more accounts , our six are from the Russia and t wo are from other countries. So, that will be open as soon as and when they complete the account openin g formalities . Apart from that another four banks have also approached us for opening S BRA account. So, as and when the accounts are opened the transaction will start happening . Currently in four accounts of transactions have started and it is , I think it is very beneficial for our exporters and importers to use that facility because the settlement takes place immediately. So, that is one way we can bring in some amount of deposits also to our bank by way of CASA deposit .

- Mr. Sushil Choksey – Analyst:

- Sir, I used to r ecall that we used to enjoy Rs. 25,000 – Rs. 30,000 crores of Iran deposit two three years back, can you highlight what kind of number deposit because –

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- That situation is not there even at all, because earlier if you remember that time there was no such guidelines that if a customer is joined facilities from one bank, they can open or cannot open current account within Iran, because there were no such guide lines and everybody was opening current account and keeping balances with the UCO Bank . Now the RBI guidelines are very clear and straight and generally current account cannot be opened with a bank with whom they are not joined the credit facility. So, I a m telling you I'm coming to that only. So, that was the scenario when the people were opening current account and keeping balances. So now if at all we are opening account, so w

e will be under obligation
as a collection account only to transmit those funds back to the bank. Why, for the credit of their loan accounts. So we may get float for a day or so but it will not be as huge balances as we have seen during Iran days.

- Mr. Sushil Choksey – Analyst:

- Sir, I understand from the system because I'm a customer in some businesses like Iran business, that you get payments from Iran first , you provide to the customer and then the shipment happens. So, it's like no it's the payment is more or less

pre shipment kind of situation. So, how much of load you get from such accounts which are remitted out of Iran? If not weekly, fortnightly or monthly basis?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- It will be very difficult to quantify because it's a very fluctuating situat ion on an ongoing basis, because that the way the imports were happening or that exports were happening to Iran, now, it is very limited and only I think human intervention or –

- Mr. Rajendra Saboo - Executive Director: UCO Bank :

- Actually humanitarian gr ound trades are only happening now. Because of the sanctions there are limited trade happening .

- Mr. Sushil Choksey – Analyst:

- I understand it is food and pharmaceutical and some other b asic necessity that is happening.

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- Yes, and that is not a big amount .

- Mr. Rajendra Saboo - Executive Director: UCO Bank :

- Yes. So we are running transactions which are not under sanction, thereby the transactions are very limited. And that's why the float is also has reduced substantially.

- Mr. Sushil Choksey – Analyst:

- So, now, I understand you are opening Russian account now, Russian banks are running more than $12 billion - $13 billion worth of depository Indian banking system because of the surplus remaining in India and they're not remitting money out. Do we have any benefit of that , sir?

- Mr. As hwani Kumar – MD&CEO: UCO Bank :

- No, because all the balance sheets are with RBI not with the bank, they are the banking system but with RBI.

- Mr. Sushil Choksey – Analyst:

- So surplus load RBI is enjoying not the banks, that is wonderful to know. Sir, now, I understand that the trade gives you benefit on cross selling to these importers , exporters who are dealing with you . Are we able to garner any customer out of such set of people ?

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- See, for that purpose only we have created a separate international division here and that is now headed by GM. So, they will be reaching out to all those customers for cross selling of our products . As of now, I think not a large extent , large chunk of or large benefit we have been ab le to try. So, it will take little time maybe by next quarter we will be able to convey some good accounts out of that portfolio.

- Mr. Sushil Choksey – Analyst:

- Thank you and will the center be only in Bombay, Delhi or it will be in many other –

- Mr. Ashw ani Kumar – MD&CEO: UCO Bank :

- Bombay, Delhi .

- Mr. Sushil Choksey – Analyst:

- The preferred route for export business obviously .

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- Yes, Bombay, Delhi.

- Mr. Sushil Choksey – Analyst:

- Thank you for answering all my questions. And all the best for the years to come.

- Moderator:

- Thank you for the questions. If anyone wishes to ask a question , please raise your hands. I repeat If anyone wishes to ask a question , please raise your hands. We'll just wait for a couple of minutes for the question to arrange once again. As there are no further questions, I'd like to hand over to MD sir for his closing remarks.

- Mr. Ashwani Kumar – MD&CEO: UCO Bank :

- Thank you . I than k you all the investors and analysts for their time to attend our con call. And at

bank level, at top management level, I again re iterate and reassure to all my investors and analysts that bank is on a growth path , bank is on a transformation path and this transformation exercise we are initiating it will take little time to achieve the numbers on achieve the journey. So, going forward, we look forward for a better result also and hope to see you again next time. Thank you very much.

- Moderator:
- Thank you , sir. This concludes the meeting . Everyone can disconnect the lines .

~END OF TRANSCRIPT ~

Call: Nov 2023

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HO/Finance /Share/ 144/2023-24 Date: 08.11.2023

National Stoc k Exchange of India Ltd.
“Exchange Pla za”
Plot no. C/1, G Block
Bandra -Kurla C omplex, B andra (E)
Mumbai – 400 051
NSE Sc rip Symbol: UCOBAN K

Madam/Dear Sir

Re: Transcript o f Analysts/I nvestors Meet hel d on 03.11.2023

Further to our communication dated 31.10.2023 and 03.11.2023 regarding intimation about the schedule of Analysts/Invest ors Meet on 03.11.2023 and submissi on of audio/video recordi ng of such meet, we enclose the transcript of Analys ts/Inves tors M eet h eld in pursuance to Regulati on 30 of SEBI (LODR) Regulations a nd NSE guidance note dated 29. 07.2022.

The trans cript of Analyst s/Investo rs Meet is uploaded on bank’ s websi te an d the same can be accessed through bel ow link :

https://www.ucobank.com/pdf/Transcript08112023.pdf

Please ta ke the ab ove on you r records and diss eminate .

Yours faithfull y,

(Vikash Gupta)
Company Se cretary

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,Fort,
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BSE Scrip Co de: 532505

UCO BANK

Q2 FY24 RESULTS

Post Earnings Analysts/Investors Meet
Held on 03.11.2023 at 4:00 pm

UCO Bank Management is represented by :

1. Mr Ashwani Kumar, Managing Director & CEO

2. Mr Rajendra Kumar Saboo, Executive Director

3. Mr Vijaykumar Nivrutti Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

- Moderator:
- Ladies and gentlemen, Good afternoon and thank you for joining us for the post results conference call of UCO Bank. It is my pleasure to you to senior management team of UCO Bank who are here today to discuss the results. We have with us Mr. Ashwani Kumar, MD & CEO, Mr. Rajendra Kumar Saboo, Executive Director, Mr. Vijaykumar Nivrutti Kamble, ED.
- We will begin the call with remarks from the management team and post that we'll open the floor for Q&A. So, Ashwani Saab over to you.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- So, very good evening to all the analysts connected to web. I apologize for being late for 5 minutes. First of all, I'd like to share the highlights of quarter 2 to performance of the bank and I have with me our Executive Director, Mr Rajendra Saboo, Mr. Kamble, bo th Executive Director and top management teams, our corporate general managers are also with us and after my initial remarks then I will be open to your question and answers and then me, my EDs, and GM's , they will be answering the questions. So, first o f all, welcome back to this analyst meet. Business of the bank for the quarter ended. 30th September, 2023 increase to Rs. 4, 17,145 crore, the growth of 10.56% on a Y-o-Y basis, which was supported by growth of 6.07% in deposit and around 18% in advances. Within that, saving grew by 5.47% and CASA share was 38.28%.
- Advances, our retail grew by 17% on a Y-o-Y basis and 3.07% on Q -o-Q basis. Agriculture grew by 14.32% on a Y-o-Y basis and 5.97% on quarter -on-quarter basis. MSME grew by 20.83% on a Y-o-Y basis and 5.92% on quarter -on-quarter basis. Within the retail, home loan grew by 21.24% on a Y-o-Y basis and 4.92% of a Q-o-Q basis. Vehicle loan grew by 27.49% on a Y-o-Y basis and 5.42% on a Q-o

-
Q basis. Agriculture; within agriculture, our investment credit grew by 35% on a Y-o-Y basis and 13.41% on Q-o-Q basis. Agri and allied grew by 22% on a Y-o-Y basis and 13.31% on a Q-o-Q basis. Within agriculture, our SHG grew by 39% on a Y-o-Y basis and 17% on a Q-o-Q basis. Gold loan portfolio also grew by 20% and increase which is forming part of agriculture. All our priority sector targets are achieved. Now coming to the asset quality. Gross NPA of the bank has been reducing on declining trend of a quarter -on-quarter basis and it was 4.14% as at 4.48%. Last quarter, improvement of 244 bps on a Y-o-Y basis. Net NPA of the bank also improved to 1.1%, an improvement of 88 bps on a Y-o-Y basis. So, for the last quarter, it was 1.18%, thus on a quarter -on-quarter basis it has been improving. PCR of the bank also improved to 95.07% and that is an

improvement of 217 bps on a Y-o-Y basis and if we exclude TWO, even that PCR stands at 74%.
- Profitability, net interest income gr ew by 8.3% to 1,917cr. NIM of the bank,

domestic NIM was 3.05% with 8 bps increased on a Y-o-Y basis and 2 bps increase on a quarter -on-quarter basis, whereas NIM global was constant at 2.84% on a Y-o-Y basis and quarter -on-quarter basis. Operating profi t for the bank during the quarter was down by 17% on a Y-o-Y basis. Net profit was also 20% down on a Y-o-Y basis, but on the quarter -on-quarter basis our net profit improved from 221 crores to 402 crores. CRAR of the bank improved to 16.83%, it's a 281 bps on a Y-o-Y basis, it is without considering current half years profitability added back, if we add back that, our CRAR will be around 17.39%. Yield of domestic advances improved to 8.80% and yield on global advances improved to 8.38%. This was all ab out the performance highlights. As far as slippages are concerned, let me come to the slippages. Slippages during the quarter was 578 crores. It was around 1.42% on an annualized basis whereas the for the last September 22 quarter it was 1.90%, for the full financial year 22 -23 it was 1.75%. So, slippages in the quarters to come, it is likely to come down and our credit cost is around 0.83% during this quarter with 0.97% during last quarter.

- Our standard portfolio, total advances basis is around 96%, wh ich was 93% a year ago. Our cash recovery and upgradation during this quarter was 656 crores tax recovery upgradation and recovery income of 656 crores vis -a-vis 589 crores during last quarter. Previous year same quarter it was 1,044 crores mainly becaus e of recovery in written off accounts was higher and cash recovery because there were no hanging fruits in Sept quarter .We expected recovery in 2 accounts during this quarter.
- Now, our slippages, if you look at from the retail, Agri, and MSME, from the retail it is only 70 crores. Agri , it is little elevated due to crop loan at 178 crores, and MSME is 130 crores. From corporate segment, there were two accounts, which accounted for the major slippage around 140 crores of those t wo accounts was there, so 180 crores is the corporate slippage. So, that is the total slippage composition. If we look at it segment wise NPA, our retail segment is coming down from 2.24% in September 22, has now come down to 1.37% in September 23, withi n that, our home loan NPA percentage has come down from 1.72% in September 22 to 1.16%. Education also has come down. Vehicle loan has also improved. Agriculture NPA percentage has also improved and similarly MSME percentage has also improved. If we lo ok at SMA position 1 crore and above,

which was 2,631 crores in June quarter, it has now come down to 1721 crores. So, it is 1% of our total gross advances and last quarter it was 1.60%. Covid Restructuring portfolio coming with repayment and now standa rd portfolio stands at 2,554 crores.
- At NCLT, we have 100% almost provided you know in all NCLT acco

unts. Now,
I will share the initiative, which the bank has taken during the last quarter and what are the initiatives which are planned for the coming quar ter and half year. In the last quarter, we implemented performance management solution, a total digital driven performance driven culture and meritocracy, which we started somewhere in June. In three months, on 28 September, 2023, all the 10 tools over performers doing culture system was implemented. We have to ensure quality customer acquisition; we have implemented tab banking successfully. It was implemented on a pilot basis in 10 branches.
- Now, orders for implementing in 500 branches have already be en given and delivery of the tab has started and we have also implemented state -of-art cyber security office to take care of our cyber security issues. We have also issued PO for the new Gen. call center using AI & ML. So, the total revamping of the existing call center is being done. Approvals have been obtained. RFP have been floated and vendor has also been selected and the order has also been issued. We have also implemented some digital initiatives for internal working to start accountability repo rt that also has been implemented on an online basis and E - OTS is also under testing. We will be coming out with the E -OTS shortly. For the compliance - sustainable compliance monitoring, we have started UCO focus where in our compliance department will be monitoring the compliance level within the organization on a continuous basis. To undertake the digital transformation, we have already quoted our RFP for onboarding our digital transformation knowledge partner and maybe onboarded where we will be unde rtaking our entire deposit and lending journey through internet banking on an end -to-end basis from the customers point of view.

- We are also upgrading overseas Finacle for which we are also implementing new integrated treasure solutions for which we have t aken all approvals and order will be shortly placed. We are also going for Forex PC centralized; Forex PC cell. Currently our Forex operations have entered across the branches at various places. There is no central Forex PC as in other banks. So, that is also being floated maybe today or tomorrow or this week anytime that will put it. We are also reconnecting our MSME hub, retail hub, and agriculture hub. So, as we prove that in the retail segment, we have already revamped our mid corporate

units in t he last quarter wherein we have simplified thing with corporate functioning also now there is a direct monitoring for the mid corporate proposals, at our 27 mid -corporate branches.
- In addition to that, certain other things are also being planned to meet ou r cyber security requirements. Here, implementation is going on, even application performance solution is also being secured. Even whitelisting of assets of IT asset management solution is being secured. Now we are also bringing cyber security to stop enha ncement. That is also in the pipeline. API gateway is also planned and AML solution for our overseas operation is also planned. So all these digital transformation or technology upgradation which we have planned in the next 6 months, upto 1 year may be imp lemented over a period of time. Do you really want to add anything which I have left out? Yes, one more thing which I would like to add is, according to our provision, which we started in the last quarter, so SMA 1 and 2, last quarter, more than 1 crore on SMA 1 and 2. We have kept 197 crore of provision. Though SMA 1 and 2 figure has come down from 2000cr. to 1100cr., more than 1cr. but we continue to hold 197 crore of provision against those. Further to our Covid -19 provision of 530cr., we are having and mandatory RBI provisions are also we are keeping. So in all around 2400cr. of standard asset provision we are keeping with of which around 1000cr is beyond RBI mandat

ory
information. So these are the standard assets we are keeping. These are about the prov isions which I wanted to share. Now I am open for question and answer. Thank you.
– Moderator:
– Thank you sir for your opening remarks. We will just open the floor for question and answer. We will wait for a minute for the queue to arrange. Post that, we will start. Anybody who wishes to ask questions, please raise your hand. So we have our first question from Mr. Sohail. Mr. Sohail, you can unmute yourself and go ahead.
– Mr. Sohail:
– Good evening sir and thanks for the opportunity. Sir, there are 3 questions from my side. 2 -3 questions from my side. One is in terms of your ROA trajectory. Now if we look at your margins at 3.05, your credit cost is 0.8 and you are delivering an ROA of 0.5. So what is the ROA that we should expect in a couple of years down the line and which would be the factor that would move the ROA?

– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Sohail, should I start or you have another question?
– Mr. Sohail:
– Yes sir. No sir, I will ask the 2nd question later.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Ok. See, ROA for the current quarter is 0.54 and ROA is a function of profitability and in the last quarter, we had a profit of 221 crore and in this quarter, we have 402 crore. And as we imp rove our profitability, ROA will continue to improve. And your question is that, for 2yrs. down the line – I think, 2yrs. down the line with our provision requirement is already at 95pc and net NPA is already at 1.11pc and our guidance on NPA for the finan cial year is a said below 1pc and gross NPA is also said below 4pc. So, with this guidance, I believe that the requirement of provisions for next year will come down and with that, the profitability will improve next year and as we improve profitability, R OA will continue to improve on quarter -on- quarter basis. But exact number, I will not be able to share but definitely on quarter - on- quarter basis, ROA will improve on an on -going basis.

– Mr. Sohail:
– Sir, related question to this. Probably ECL framework, so in terms of ECL framework, it has to be implemented from the next financial year. What is the kind of impact the bank sees and probably any study you have done, what could be the on -going credit cost post ECL is implemented?
– Mr. Ashwani Kumar – MD & CEO , UCO Bank:
– See, ECL guidelines are yet to be formalized by Reserve Bank of India but as a prudent practice, we have already started making some forward looking provisions like I have shared with you. Like NPA is one part where the provisions are bad, for which we are only getting 95pc. There can be a case, as the guidance given, there may be some reversal from the NPA provision which we are already holding. There can be but till the time it comes, I don't know.
– Mr. Sohail:
– Sir, final question from my side. If I even look at your break -up in terms of the domestic credit, even in terms of sectoral demand I see that probably most of the sector is picking up and NBFC is also growing strong. So could you just highlight

in terms of how are you seeing the corporat e demand and what is your risk appetite in terms of growth?
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– See, in corporate demand, we are very open for corporate credit. Only marking which we talked about while giving corporate credit is profitable growth is mandate. Where we are getting profitable opportunities at reasonable pricing….I think there is some noise coming. See if profitable growth opportunities are available in the corporate credit, we will definitely go for corporate credit growth as well. In last quarter, our corporate credit growth was not there because though we have sanctioned around 12000cr. of corporate credit and there was a disbursement of around 8000 -9000cr. but there were repayments also. Out of th

ose repayments, there were certain repaym ents for which we did not go for the repricing at the old rates. So there were repayments that somebody else might have given to them. So we are only looking at profitable growth vis a vis when we talk about corporate credit. So when the opportunity is the re, we are not savvy of taking credit calls. We have been taking credit calls, that is also there but only where profitable opportunities are there, not at the cost of losing the margin.
– Mr. Sohail:
– Sir, final question from my side. If I look at even in terms of your retail lending growth, which is growing at a healthy pace of 17pc and if I look at the various components, so the pick -up is there in vehicle loan, personal loans as well. So could you ju st articulate it in terms of what is your strategy in terms of retail growth? Are these two internal customers? Is it through Fintech partnerships? And how do you see the retail growth over a period of time? What are the changes you have done in the backen d to see this kind of an accelerated growth? That's all from me Sir.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– See, if we are to look at retail growth, I think retail growth is powered by our growth in home, growth in vehicle and growth in personal. These ar e the 3 segments in retail. As far as the home loan is concerned, there we are targeting big ticket because if you look at current market trend, then high value premium houses or luxury houses market is there. So what we are trying to do is, we are trying to integrate, we are trying to go over project approval for all big players of the specific area. So our target is to go for premium segment wherever there is an opportunity, we will take project approval of the large builders at different

locations like B angalore, Mumbai and Hyderabad, Kolkata, Delhi. That is one strategy. 2nd is, effective use of DSAs, that we are doing for this growth in our vehicles and growth in our home loans. 3rd thing which we are using, Fintech also through co -lending. So that is a lso being done. So these 3 -4 things are being done. In car loan also, we are trying to tie -up with top end car dealers also because again going by the trend, there is corporate and SUV vehicle growth is good.
– So that is another area where we are targeting . So we have a franchise of nearly 500-1000 branches and we are present in all parts of the country. So that is the

way we are trying to drive and that drive will continue in the quarter to come
next year as well.
– Mr. Sohail:
– Thank you sir and all the best . If I have anything more, I will come back in
queue.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Thank you Sohail.
– Moderator:
– We have the next question from Colen. You can unmute yourself and go ahead.
– Mr. Colen:
– Ya, good evening. My 1st question is on overseas deposit of the bank declined
sharply. This is for which reason? What's the reason for such a sharp decline in
overseas deposit? That’s my first question. What is your output on the NIM
going ahead?
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– See, overseas deposit, GM International will talk about it. I will supplement that.
– GM – International:
– Ya, Good afternoon. Overseas fund management, we evaluate many sources of
funding in the overseas sector . Depending on the market liquidity, we reduce
our bank borrowing because internationally the interest rates have tightened in
the quarter. So accordingly, in overseas bank borrowing, this is a part of deposit.

Our customer deposit has increased quarter on quarter, half yearly and yearly
also.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– On a case to case, scenario to scenario basis……Begusarai……please go ahead.
– Analyst:
– Thank you so much for the reply.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Thank you.
– Moderator:
– We have the next question from t

h e line of Mr. Sarvesh Mutha.
– Mr. Sarvesh Mutha – Analyst:
– Sir, I had one question on the expenses line, I saw the operating expenses
increasing 26 -27% on Y -o-Y basis which has led to cost to income ratio increasing
from 54 to 61%. Can you give some colour there?
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Yes. CFO, can you reply.
– Mr. Sujoy Dutta - CFO, UCO Bank:
– Good afternoon.
– Yes, the operating expenses have increased by 25% year -on-year and 26% on
quarter -on-quarter basis. This is mainly due to the salary, t he staff expenses have
increased by quite an amount and also we have made provisions for our salary
revision.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– 100 crores provision was made in this quarter, September 2023 it was not there.
– Mr. Sujoy Dutta - CFO, UCO Bank:
– Yeah, September 23 it was not there. And thereafter also the operating expenses
in terms of rent and taxes have increased, electricity has increased and also IT
expenditure has increased because we are putting resources for development of

IT as we are going on the digital path and for that reason some capital
expenditure is also being made which is again hitting the depreciation because in
any IT expenditure – capital expenditure the depreciation is 30%.
– Mr. Ashwani Kumar – MD & CEO, UCO Ban k:
– So, depreciation and IT expenditure is also one of the major contributor of
operating expenses.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– And apart from that I think one is 33 crores of CGF so there is a credit guarantee
fees which generally used to be deducted in in March now there is a change in
the guidelines of government of India which has been charged in September, so
that 33 crores.
– Mr. Sarvesh Mutha – Analyst:

– Sir, so now the wage head provision is at 15%?
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Not exactly, maybe on a quarter -on-quarter basis but not exactly. We have not worked on a percentage basis, it may be worked out somewhere around this.
– Mr. Sarvesh Mutha – Analyst:
– Okay, and sir, on advances growth we saw other banks reporting 4 to 6% quarter-on-quarter advances growth. But our growth has been much less. Your views on that, sir?
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– See, growth in advances if you look at my RAM, within that retail there is a growth of quarter -on-quarter basis 3%, agri there is quarter -on-quarter growth of 6%, MSME quarter -on-quarter growth of 6%, area base we have not grown in the corporate credit. Corporate credit we have already shared where we have not gone for an opportunity here there is no progress. So, only in qu arter credit we are going for profitable growth. Whereas quarter -on-quarter I have already told that we have sanctioned around 12000 crores and disbursed 9000 crores for the Corporate Credit. But there are certain repayments and there are certain repayment s for the re -pricing which we are not adding, certainly repayments were out of the surplus cashflow of the corporates, they have paid back many

times due to surplus tax. So, only quarter credit, except quarter credit all RAMs have grown, reasonable growth in the quarter is there.
– Mr. Sarvesh Mutha – Analyst:
– Okay, sir, thank you, I will join back in the queue.
– Moderator:
– We have the next question from Sushil Choksey, you can unmute yourself and go ahead.
– Mr. Sushil Choksey – Analyst:
– Sir, congratulations o n a stable numbers and best wishes to the team.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Thank you Sushil Ji.
– Mr. Sushil Choksey – Analyst:
– First question, sir, based on the current management team which has come together in the current quarter the new team and Mr. Saboo has been stable and you have joined now less than 6 months. What is the strategy which UCO Bank is making for future growth with a 3 year/5 year outlook.
– Mr. Ashwani Kumar

– MD & CEO, UCO Bank:
– Thank you, Sushilji. See, let me tell you one thing that with our current team I think our Sabooji has got a good tenure and Kambleji has got a good tenure available and myself also only 4 months here from June onwards. So, we all have a stable and long tenure to go in this bank. And as far as the str ategy is concerned one part of initiatives which I have already covered in my opening remarks where we have talked about, if you look in a holistic way, it was a difficult strategy for the entire operations like deposit and advances. So, the strategy will be to go digital in a big way, drive digital adoption, drive digital acquisition of the customer that through TAB banking which we have already implemented, in a slow way we are going forward and increasing the month -to-month basis, maybe by March we will cover 2000 branches major branches through TAB banking, and as far as this is one part. Second is our cyber security as I have told we are enhancing our cyber security tools and we are implementing latest technologies for cyber security as well. Technolog y infrastructure I also shared with you, wherever technology gaps are there, IT

infrastructure we are improving by bringing in latest available technology. We are modernizing our treasury operations also for which RFP has already been floated and we are lo oking into the matter and we will be onboarding that shortly. We are working to strengthen our satellite operations on forex and trade finance, we will be bringing the latest trade finance technology also. So, that is from digital and IT infrastructure pro duct basis. So far as growth of credit is concerned, our focus will continue to remain on retail, agri and MSME because we are a retail bank, we don't want to lose our focus so our RAM segment will continue to be around 61 to 62%. And for that as I told we will be entering into tie-ups or the project approval of big builders by offering lucrative and also competitive rates and continue to be competitive in the market so we will be entering into a tie up with the big named developers and even car dealers, hi gh end car dealers also. In the corporate credit we will be margin conscious, we will continue to remain margin conscious. Based on opportunity we will go for corporate credit also. During this quarter also if I have to share the number I think 4000 crores infrastructure credit we have sanctioned that is around 4000 rupees, sorry 3200. So this also will get disbursed over a period of time in 2 -3 years. So these are all the numbers which will increase our corporate book on an immediate basis. So, next quarte r also this quarter also we focus on sanctioning loans, project loans and working capital loans. There the margins are not AAA rated and we being a mid -sized bank we try to focus on mid segments so there we will get some good margins. So whereas strategy o r the slippage control, our monitoring will continue in the same way. We have already given, placed PO for setting up state of the art call centres using AI and ML so that will help us in bringing focus and more control over our slippages in the quarter t o come. We are also bringing, one more thing was there was there EDW. That project is also on and the ED has just reviewed 3 -4 days back progress, so data analytics will be once that will be stabilized we will be setting up centre of excellence, analytics centre of excellence also for automatic data generation so that we can cross sell the product. So, all these things are being put in place to strive for a sustainable growth, sustainable asset quality in the times to come.

– Mr. Sushil Choksey – Analyst:

– Sir, if I intervene your reply and ask you a questions, which experience of yourself from OBC/PNB and Indian Bank and a great success visible in Indian Bank. Mr. Sabooji has rich experience from PNB and Mr. Kamble comes with rich turnaround experience of

Ban k of Maharashtra. Now, UCO Bank team has decided in taking a lot of initiatives to strengthen the bank from digital perspective and credit perspective where quality is the priority. Quality and

credit both are priority. I am sure the demand where housing l oans or home loans or auto loans or personal loans is huge because you are sitting with a huge CASA base. You are in East you have a monopoly to a great extent compared to other banks. Most of the northern and western banks don't penetrate in your area. Ho w are we increasing the growth where retail and RAM is concerned on each customer acquisition specifically on experience with TAT which can become the biggest positive impact where each customer is concerned. And where credit to corporate is concerned our focus is on quality, pricing I accept and to be in the marketplace, however we are strengthening our hands within the financial centres and UCO Bank’s headquarters for strengthening the process that you have a good marketshare compared to the first half.

– Mr. Ashwani Kumar – MD & CEO, UCO Bank:

– See, Chokseyji, I will answer in 3 -4 parts because there are a number of things you have talked about. First is the customer acquisition in the east and the TAT, see for customer acquisition our earlier approach was w alk-in customer only we never had any infrastructure to reach out to the customer’s place and we were totally dependent on the walk -in customers and customer acquisition would take time and quality of the customer was also not upto the middle level or uppe r level customers. So, that was the reason we decided to bring TAB banking and once it is now being made available to the branches so, now the outreach will be there and TAT for account opening we have introduced maybe in 10 minutes or maybe 5 minutes, or we need to open digitally at customers place, maybe at workplace, so customer acquisition part will be taken care. So far as credit customer part is there. Again, now we have already implemented loan processing system, loan origination system, which take s care of TAT at least from the branch table once it reaches, but where we are lacking in TAT from the customer level. So, now with this digital onboarding of our FinTech partners and knowledge partners will be working on customer facing journey. So, the TAT will be monitored from the customer point of view and every effort then once the monitoring is there then I think the TAT will automatically get reduced over a period of time, but even that currently around 63 journeys are through LPS where the TAT is being monitored very closely, but to penetrate the market, our focus will be repeating to tighten up the top bidder which are into the luxury apartment in the premium segment either in home loan or in the car loan engaged reputed DSAs in markets and origi nate loans from that. Along with that, we will be catering into a co -lending arrangement also with the reputed NBFCs, we have already entered into co -lending arrangement and on retail segment or agri, we will continue to enter where ever the opportunity i s there.

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Third is corporate credit growth. No doubt corporate credit profitable growth is the motto and quality corporate credit with the profitable, profitable does not mean that we wanted super abnormal profits. We want at least reasonable pricing abo ve my cost. So, that is the only Mantra where we will target that at least we are able to achieve our cost. If I'm raising my deposit, let us say around 7% or 7.2%, there is no point in lending at less than 7.2%. If I get even 5 -10 bips or 15 bips more than that, I think that all those types of opportunities we can explore, but anything less than one pricing I think it will be eating out my margins, so our focus will be to retain the marker and go for a profitable - reasonable profitable growth, not

– Mr. Sushil Choksey – Analyst:

– Sir, sorry, I'm

interrupting in your reply. I accept that you will be doing well on housing loan and auto loan, can you differentiate over the previous year the current housing loan ticket size and average auto loan ticket si ze? Is it the premium segment when you mean it is 1 -crore average ticket for housing loan which you are targeting or a 5 -crore housing loan ticket? Where auto loans are concerned, you're looking at 20 -30 lakh bracket or you're looking at lower segment?

– Mr. Ashwani Kumar – MD & CEO, UCO Bank:

– See, as GM retail, can you share that during this current quarter what was ticket size of the new onboarding and previous quarter was the ticket size, if you have, if you have the data can you share separately?

– GM Retail, UCO Bank:

– Sir, on and average ticket size as of today, it is somewhere around 60 lakhs. We are targeting all the customers maybe one crore and above or less than one crore because in small zones, in small towns we are getting small tickets and metro zones we are getting ticket size of 1 crore and above and in previous quarter it was somewhere around 40 lakhs. In car loan segment, average ticket size, which was 6 -7 lakhs, now it has crossed somewhere around 10 lakhs.

– Mr. Sushil Choks ey – Analyst:

– Thank you for answering that question.

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– GM Retail, UCO Bank:

– Thank you, Sir.

– Mr. Sushil Choksey – Analyst:

– Now, Yeah, your digital initiatives, all the other initiatives in back office, strengthening credit process, touch points, tab banking, I appreciate it will take three months, six months for the entire bank to roll out and adoptions. Sir, the key to you can buy all technologies because you have the strength to buy all technology because money is available within your bank, you are profit able Sir, but how are you going to overcome or you already have in -house talent to manage this process whether 200 or 500 offices on retail are concerned, 200 people on corporate is concerned, I was talking on a PAN India, how are we strengthening our huma n resource team with all the technology enablers compared to a normal bank which is functioning and who's likely to compete with you?

– Mr. Ashwani Kumar – MD & CEO, UCO Bank:

– Sushil ji, I appreciate that you have a valid point. See so far as talent is requ ired last to last board, our board has already approved to on -board required talent having skill set for the matches like for Analytics Center of Excellence or the EDW, we need Data Scientists, we need Data Analyst, so that policy has already been approved by our board for onboarding that type of skill level people with a competitive market salary. So, if I want to onboard anybody in our bank let us say scale 2, scale 3 probably with that type of skill people will not come. So that is the reason, our boar d has already approved that policy and last board, we have got approval for inducting how many GM -HRM sir?

– Management:

– 127.

– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– No, no, only skilled development, 127 means you are including the AFO?
– Management:
– No exclud ing it.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:

– Digital?
– Management:
– Digital? 127 Specialist which comprises of digital, IT, software developers and economists, and data analyst, and MIS.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– MIS, so around 127 people requirement has already been approved and we will be onboarding them on a contractual basis, where we can offer them a competitive salary.
– Mr. Sushil Choksey – Analyst:
– Sir, now my next question before I jump into the queue for ot her participant. Sir, everybody has spoken about retail and corporate credit looking at what has happened in this week between US Fed, global turmoil led in Middle East, the yields have come up at least in the West. How are you positioned to reap the harvest in treasury from the current status in

next quarters to come have you built a HTM book? Have you built the AFS book? because rules and regulation for next quarter are going to - next year are going to change. So, how dynamic is our situation? If we do well in corporate, we do well in retail, and if we do well in treasury, I think you will take off on a better stage from Calcutta than some other city in India.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Sir, I would request the ED, Saboo ji, who is lookin g after treasury, I think it will be nice if he replies to your question.
– Mr. Rajendra Kumar Saboo -- Executive Director, UCO Bank:
– So, yes Sushil ji, you are raising a valid question that we also have a treasury which is means having a sizable investment book and as you can see from our presentation also, so our total gross investments are around 97,000 crore and year -on-year it has come down, but quarter -on-quarter it has shown an increase, little bit increase. So, we are already, you can see that our CD ratio is around 67%, but our investment ratio is very high, already we are holding 27% SLR security as against required 18% SLR. So, we are having surplus SLR, but it's still as the yields have risen in the market due to various reasons so we have also started building up our investments in selective matter wherever we are seeing

good yields coming. So, we have little bit increased our investment book that you can see, but as on 30th September also and it is being continued, wherever we are getting good yields, we are trying to increase in selective basis and we will be taking benefit, advantage of this increase to both ways either through yield increase, our yield on investment will increase, so our acquisition of security is better and another is like if we see some correction in the yields since we see some downfall and we can book some profit also, some trading profit also, so that also opportunity we are looking for in times to co me, but overall long -term is already we have discussed that we are putting more focus on our credit book, so we will be trying to increase our CD ratio and reduce our investment ratio because as we also see that cost of deposit is also a factor and overall yield on investment is lesser than the yield on advances. So, if we can shift a certain part of lower yielding investment into the advances, it will also help us in increasing our needs. So, we are maintaining the book and selectively enquiring new inve stments also, but simultaneously we will be looking for the opportunities to book profits as well and the maturities will also happen as and when it is due. So, that is the overall strategy in the investment book. You can see our duration has also increa sed to 2.93 from 2.7.
– Mr. Sushil Choksey – Analyst:
– Saboo ji, my next question to you is based on the current yield, will you target some CPs or NCD, which is rewarding you for the next three - or six -months short -term paper because interest rates are peeki ng out is what the market is speculating. I have no judgment, but hearing at Business Standard event the governor, what Fed has indicated growth is there and corporate AAA, AA

maybe give you a reasonable rate of return based on your CD ratio. My one ques tion will be to invest on that and say last question is where do you see your CD ratio at FY24?
– Mr. Rajendra Kumar Saboo -- Executive Director, UCO Bank:
– So, yes, investment also includes the non -SLR investment as well as. As we are taking up SLR investme nts, simultaneously we are also looking for good yield in non-SLR investments particularly in the NCD space where we can have around two-year, three -year papers and attract good yield. On top corporates so that also selectively we are going fo r. So, we are process of that aspect also to increase our overall investment book. As far as the CD ratio is concerned, I think MD Sir can guide as to where we

want to reach in the CD ratio work.

– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– See, Sushil ji, first I think you talked about AFS. If you look at our AFS from last quarter, we have increased net around 1700 crore. So, there is certain maturities after even having maturities that has also been redeployed and we have increased by 1,700 crores and sec ond thing is about CD ratio. See, if you look at quarter -on-quarter basis our CD ratio is improving. So, we will continue to see improvement in CD ratio and it will be our endeavor that we touch at least 70% CD ratio in March which will be endeavor, but again it really depends upon the opportunities available in the market and how the deposit side pans out, but our endeavor will be to reach to 70% at least during this financial year.
– Mr. Sushil Choksey – Analyst:
– And rightly said by Governor Shaktikanta D as that good times are there for public sector and private sector banks. I wish a good luck to UCO Bank team with a good TAT to be visible in years to come.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Thank you.
– Mr. Rajendra Kumar Saboo -- Executive Director, UCO Bank:
– Thank you.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Thank you, Sushil ji.
– Moderator:
– Thank you, Sir. We have a next question from Mr. Sarvesh Mutha. Sarvesh, you can unmute yourself.
– Mr. Sarvesh Mutha – Analyst:
– Sir, if you can just give out your margin guidance once again and also your advances book break up, MCLR repo and fixed and how much of the repricing is still left on the MCLR book, just give out that number?
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:

– Yeah, I 'll. Give me a second. Yes. See our MCLR book is around 40% and our repo rate book is around 45.54% and this is the combination almost in the last quarter and current quarter and repo rate book is little high also because there are certain corporates PS U which have been sanctioned line of credit and they have given short term or WCTL maybe three months or six months linked to repo. So, that is the reason that our repo rate portfolio is around 45% and overall repricing of our MCLR book, I think how much is left out? Shashi, can you tell?
– Mr. Shashi – UCO Bank:
– 25%-30%.
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– 25%-30% only and similarly retail asset also maybe 15% to 20% like retail liability, so matching around 15% to 20% and 15% to 20% size. So, that is the repricing from both sides available.
– Mr. Sarvesh Mutha – Analyst:
– So overall not much scope for margin improvement going ahead if asset enlargement .
– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– No margin improvement, it may not be there, but prot ection of margin if we are able to achieve, that will also be a big achievement because of that rising interest cost on deposit that is creating pressure margin. So, as in this quarter we have

been able to maintain the margin. So, going forward also if w e are able to maintain the margin, I think that will be big achievement.
– Mr. Sarvesh Mutha – Analyst:
– Thank you, Sir. Thank you for your detailed answer. That will be from my side.
– Moderator:
– As there are no further questions, I would like to thank the m anagement team of UCO Bank for giving Antique Stockbroking the opportunity to organize this call.
I will hand over the call to MD Sir for his closing remarks.

– Mr. Ashwani Kumar – MD & CEO, UCO Bank:
– Thank you, all the analysts and thank you Antique team for conducting this con call and to all the analyst for attending to the call and we look forward for your support. Thank you all for joining. Thank you.
– Mr. Rajendra Kumar Saboo -- Executive Director, UCO Bank:
– Thank you.
– Moderator:
– Thank you, Sir. Everyone can disconnect the lines.

~End of Transcript ~

Call: Feb 2024

UCO BANK
Honours Your Trust

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HO/Finance /Share/ 222/2023-24 Date: 02.02.2024

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Bandra-Kurla C omplex, B andra (E)
Mumba i – 400 051
NSE Sc rip Sym bol: U COBANK

Madam/Dear Sir

Re: Transcript o f Analysts/ Investors Meet hel d on 25.01.2024

Furth er to ou r commu nicat ion dated 22.01.2024 and 2 5.01.2024 rega rding intimation a bout the schedul e of Analysts/Inves tors Meet on 25.01.2024 and submissi on of a udio/v ideo recordi ng of such meet, we enclose the transcript of Analys ts/Inves tors Meet held in pursuance to Regula tion 30 of SEBI (LODR) Regulations a nd NSE gu idance note dated 29.07.2022.

The transcript of Anal ysts/Investo rs Meet is uploaded on bank’ s website and the same can be ac cessed through bel ow link :

https://www.ucobank.com/uploadfile/Transcript_of_Post_Earnings_Meet_Q3FY24.pdf

Please ta ke the above on you r reco rds a nd disseminate .

Yours sincerely,
For UCO Bank

(Vikash Gupta)
Company Secretary

BSE Limited
Phiroze Jeejeebhoy T owers
Dalal Street ,Fort,
Mumbai – 400 001
BSE Scrip C ode: 532505

Q3 FY24 RESULTS
Post Earnings Analysts/Investors Meet
Held on 25.01.2024 at 03.30 pm

UCO Bank Management is represented by :

1. Mr Ashwani Kumar, Managing Director & CEO

2. Mr Rajendra Kumar Saboo, Executive Director

3. Mr Vijaykumar Nivrutti Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

Moderator – Antique Stock Broking Limited:
- Ladies and gentlemen, Good Afternoon and thank you for joining us for the post result conference of UCO Bank. It is my pleasure to host the senior management of UCO Bank. We have with us Mr. Ashwani Kumar - MD and CEO, Mr. Rajendra Kumar Saboo - Executive Di rector and Mr. Vijaykumar Kamble - Executive Director. We will begin the call with remarks from the management post which we'll open the floor for Q&A. Over to you MD sir.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- A very good afternoon. I welcome all the an alysts to UCO Bank's third quarter performance results. I have along with me Executive Director Mr. Saboo, Mr. Kamble, CFO and all vertical heads in this room. I'll just give you a brief about the bank's performance in the third quarter. We have already up loaded the presentation. I hope everybody has gone through it. I'll just give you a brief then we'll go for the question and answer.
- Total business of the bank grew by 10.46% on a Y -o-Y basis and 4.39% on a quarter -on-quarter basis of which, the deposit g rew by 5.38% on a Y -o-Y and 2.7% on a quarter -on-quarter basis. Gross advances grew by 18.63% on Y -o-Y and 6.83% on quarter -on-quarter basis. Out of gross advances, our RAM portfolio grew by 17.70% on a Y -o-Y basis and 4.8% on a quarter -on-quarter basis. O f RAM, retail advances grew by 18% on Y -o-Y basis and 5.7% on a quarter -on-quarter basis. Out of retail, our home loan vertical grew by 20.67% on a Y -o-Y basis and 4.4% on a quarter -on-quarter basis. And, vehicle loan portfolio grew by 28.92% on a Y -o-Y ba sis and 8.37% on a qu

arter -on-quarter basis. Our agriculture advances grew by 13.22% on a Y -o-Y basis and 1.60% on a quarter -on-quarter basis. MSME grew by 20.79% on a Y -o-Y basis and 4.76% on a quarter -on-quarter basis. Business per employee of the bank w hich was hovering around Rs. 18 - Rs. 19 crore, it has now crossed Rs. 20 crore.
- Operating profit for the quarter ended stood at Rs. 1,119 crore as against Rs. 982 crore previous quarter. So quarter -on-quarter there was a growth of 14%, and, net profit al so for the quarter was Rs. 503 crore as against Rs. 402 crore for the previous quarter. So there was a growth of 25% on a quarter -on-quarter basis, but on Y -o-Y basis there was a decline in net profit.
- I will talk about the asset quality. Gross NPA, there is a trajectory of reduction on a quarter -on-quarter basis. Now the GNPA has improved to 3.85% as against 5.63% and 4.14% on a quarter above thereby registering an improvement of 178

bps on a Y -o-Y basis and 29 bps on a quarter -on-quarter basis. Similarly , net NPA has also come down to 0.98% as on 31st December 23 as against 1.66% as on December 22, thereby registering an improvement of 68 bps on a Y -o-Y basis and

13 bps on a quarter -on-quarter basis.
- Our PCR continues to improve. Now it stands 95.21 basi s as of December 23 and our tangible PCR has crossed 75%. CRAR of the bank continue to be good. It is at 16.01% as of December 2023 and this is without considering nine months profit. If we add nine months profit our CRAR will be around 16.94%. Our NIM continues to be around 3%. The domestic NIM was 3.02% and overall global NIM was maintained at 2.84%. Our slippages are under control. Our slippages ratio have come down now. The slippage ratio for the current quarter is 1.09% only and there is a declining tr end in the slippages on an overall basis.
- This was all about a brief performance about the bank. I'll just talk two minutes about the initiatives which the bank is taking now. Our bank has already floated RFP for the digital transformation. It is for on b oarding the digital knowledge partner and that maybe another seven to ten days will be on boarding the knowledge partner and bank will start the digital transformation journey. Performance Management System bank has already completed. And HR transformation , now the bank is focusing on the learning and development transformation for the remaining part of this quarter and the next quarter. With regard to announcement in cyber security, we are going for an additional cyber security tools and we are also going for the API gateway. We are planning for enhancement in our infrastructure by virtualization of servers in the next quarter and we have also placed order for the integrated treasury solution and last quarter we started our state of the art call centre. The ir IVR facility is also available.
- For MSME empower, we have started under CSR activity a journey for online training to MSME entrepreneurs in regional language and that will be CSR from our bank. These are the few initial thoughts. I think if ED want to add anything, we can. So now I think we can go ahead with the question and answer.
- Moderator – Antique Stock Broking Limited:
- Thank you MD sir for your opening remarks. We will open the floor for Q&A in a couple of minutes. Whoever wishes to ask a question , please raise your hand. We'll wait for a minute for the question queue to assemble.

- We have the first question from the line of Mr. Deo. Sir, you've been unmuted. Please ask the question.
- Mr. Deo – Participant:
- Thank you very much sir for your very exc ellent presentation slides and your introduction. I just have two questions. First is, as a bank how much funding are you providing to renewable energy sector particularly in solar, wind and water? Can you give some estimates? And second question is, why n o dividend? That's all.
- Mr. Ashwani Kumar –

MD & CEO, UCO Bank:
- Renewable solar, wind and water, give me some time. I will have to get the data regarding how much is given for renewable power. As on date we have given Rs. 702 crore for renewable sector and now we are launching for rooftop as the scheme has been announc ed by our honourable Prime Minister Modi ji. So, we are launching new product for rooftop solar also. Maybe today or tomorrow that product will be launched. And for dividend, last year we could not get the permission from Reserve Bank of India. We'll wait for the approval from Reserve bank of India then only we'll be able to comment on the dividend.
- Mr. Deo – Participant:
- Sir I'm sorry to interrupt you. But RBI, I read in some newspaper gave some instructions regarding that.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- RBI has given some draft guidelines for that. But we are yet to get the final guidelines. Based on that only w e will provide for dividend and we will give you the guidance on the dividend then.
- Mr. Deo – Participant:
- Thank you very much sir.
- Moderator – Antique Stock Broking Limited:
- Thank you sir. Anyone who wishes to ask a question, please raise your hand. We have the next question from the line of Sushil Choksey. Sir, your line has been unmuted.

- Mr. Sushil Choksey – Participant:
- Congratulations team UCO for a very stable result and progress on credit, whether it was RAM or corporate. Sir, looking at current CD ratio and the market condition where money market is short, you're aware what is the system wide shortage today, how are we placed to take the benefit in the current quarter specifically where the money market may remain elevated despite bond market being below 7%?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Sir, if you look at our CD ratio which was hovering around 63 to 64, now it is touching 70 and that was our target also at the beginning of the year that we intend to reach 71 and then to cross 72 and 73. And then if you look at our LCR, it is around 140% now and we have surplus securities available which we are using to borrow in the TREPS market. As far as deposit is concerned, yes of course there is an increase in the deposit rate but we are going very s elective in the deposit. We are using TREPS market for our short -term requirements and going forward to take more resources, we have already revamped our Suvidha - salary saving bank scheme which is bundled with the insurance product. Similarly, current ac count for the business is also bundled with the insurance product. So, these are the two initiatives and we have already increased rate of interest on the short -term deposit of 300 days to attract fresh deposits also. So these are the few things we have do ne for augmenting resources in this quarter.
- Mr. Sushil Choksey – Participant:
- Sir, how do you see your cost of deposit in next one or two quarters by the time market will peak out?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Sir, if you look at our cost of deposit, it is increasing but not so elevated. We'll try to contain our cost of deposit going forward also but there will be some increase in the cost of deposit.
- Mr. Sushil Choksey – Participant:
- But any measure whether it will increase by 5 bps, 10 bps? Because our loan pricing link to MCLR can easily absorb it. So based on that I see your NII improving. So how much, rough estimate I don't need an exact number.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- If you look at our trajectory of cost of deposit in Sep tember it was 4.77, now it is 4.91 and a year ago it was 4.12. So in one year around 80 bps only it has increased. So I think maybe ten to twelve weeks more there can be increase in cost of deposit because now the repricing is also happening. The deposit w hich we took last year that all are getting repriced. So definitely maybe 5 to 10 bps increase in t

he cost of deposit.
- Mr. Sushil Choksey – Participant:
- Do you see the pricing power is in your hand compared to a customer at least in the current quarter?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- If you look at pricing power in respect of advances, yes pricing power has come back to the lender. Now in many of the cases we have increased prices also and wherever they are not agreeing we have asked them to repa y. So that is there in the market.
- Mr. Sushil Choksey – Participant:
- Sir, traditionally UCO and eastern banks have a very good CASA rate specifically coming out from the eastern states that is Assam and adjoining area. How do you see that we re -energize o urselves to increase our CASA from the region which can be a big win -win situation for a bank like UCO?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Sir, I already explained earlier. Our CASA ratio hovers around 37% to 38% traditionally, if you look at our prev ious quarters' performance and we continue to maintain that. There is not much deterioration in the overall CASA ratio. But to answer your specific question, what we are doing, I have already spoken that on our foundation day, 6th of January, we have alrea dy revamped our salary scheme where we were offering insurance for a very smaller amount of insurance whereas in the industry other banks were offering higher amount of insurance and other ancillary incentives or benefits along with the savings account. To enhance the saving accounts, we have revamped the entire salary scheme and we have revamped the current account product also. So both these

products have been launched in the market and I expect good amount of CASA to generate not only from the east from the other parts of the country also.

- Mr. Sushil Choksey – Participant:
- My last question in this round. Sir, you have done reasonably well on your RAM, reasonably much better than market expectation. There is position because property prices are rising, auto sales are increasing, maybe salary account linkage to loans is possible. Do you see your market share and your business momentum on that segment showing a similar or a better trajectory in the current quarter or 2024 as a calendar?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Sir, if you look at auto market, currently the data suggests that the SUVs are selling more than the other car and similarly, if you look at our bank's vehicle loan portfolio, you will find that during this quarter there was ar ound 8 to 9% increase on a quarter -on-quarter basis and on Y -o-Y basis also, our increase in the vehicle loan portfolio is around 28%. So a good amount of traction is there for the increased ticket advances or higher ticket advances in vehicle loan portfol io. Similarly in the housing loan also, the growth percentage indicates quite well. In a quarter 4.44 means very clearly that we are focusing on high ticket advantages and we are also trying to partner or approve projects of a renowned or big builder where the ticket size is also high. And we are approving DSAs also on a regular basis and approving projects tying up with the reputed builders and big builders of the area because there are certain renowned builders across the country but area specific builder s are also there. So we are trying to approve those projects on an ongoing basis to enhance our reach to those areas and increase our ticket size.
- Mr. Sushil Choksey – Participant:
- Sir, my last question to Saboo ji. What is his outlook on treasury market specifically pertaining to our book? And maybe current year 10 -year GSEC is stable and looks like world market is going to be indicating that there's a rate cut in second half. So how are we placing ourselves despite money market being tied at CD ratio of 17 to take the benefit of it?
- Mr. Rajendra Kumar Saboo - ED, UCO Bank:
- Yes. So thank you Choksey ji. But let me tell you that o

ur position in the treasury remains more or less the same as it was in the last quarter as is reflected in our numbers also. So our total investments are more or less at the same level, around Rs. 95,000 crore and whatever th e maturities have been there, we have invested

in newer securities and maintaining the same ratio. Still our SLR is very high in comparison to what is required. So we are holding surplus SLR. That's why we are selectively going for the deposits and we are using these SLRs to borrow against them. As far as the view is concerned, you can see that after this declaration of inclusion of India bonds in the JP Morgan index and also the news about that Bloomberg index, there has been some activity in the market an d there is selective buying also emerging in the market. We have seen some yield improvement also in the last quarter, in January also. I think, inflation now under control maybe still it is out of the target range of 4%, but still it is within 6%. If goin g forward, we are able to contain this inflation, which seems like that, the treasure outlook remains positive and we are there, means on wherever opportunity arises, we will be booking profits as well, wherever we have the positions and/or more or less, w e will be maintaining the treasury book.
- Mr. Sushil Choksey – Participant:
- Thank you for answering all my questions and best wishes to UCO team for 2024
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Thank you.
- Moderator – Antique Stock Broking Limited:
- Thank you , Sushil ji. We have the next question from the line of Amit Mishra
- Mr. Amit Mishra – Participant:
- Hello. Can you hear me?
- Moderator – Antique Stock Broking Limited:
- Sir, your voice is muffled.
- Mr. Amit Mishra – Participant:
- Now, can you hear me?

- Mr. Rajen dra Kumar Saboo - ED, UCO Bank:
- Yes, Mr. Mishra

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- Mr. Amit Mishra – Participant:
- Good evening. Sir, my first question is in continuation of previous question. Your RAM book, what is our target, for 5 years target to maintain the RAM ratio, like right now we are at 60% RAM and rest is corporate. So, do we want to continue with this percentage or do we want to increase the corporate book.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Our percentage is 60% and we will continue to be 60 to 62. So, our RAM percentage w ill continue to hover there. It is to continue at 60%.
- Mr. Amit Mishra – Participant:
- Okay, within RAM, our retail is at 25% and MSME is 20%. So, do you want to maintain the same ratio or so we want to decrease the MSME and increase the retail?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- No, no, because there is a lot of opportunities at MSME as well and these MSMEs will transform into mid corporates and large corporates going forward, so we will continue to maintain a similar proportion going forward as well.
- Mr. Amit Mishra – Participant:
- Sir, at what rate have we done the wages provisions?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- We have done it as per the agreement entered at 17%. This quarter, we have made additional provision of around 277 crores. Pr evious December ’22 quarter, provision was only 20 crores. So, now 257 crores of additional provision are there and last quarter, we did 100 crores. Even last to last quarter, we did 80 crores. So, December and March, we provided slightly on a lower side, last year, 20 crores each and whatever shortfall was there, now we have fully converted in this quarter.
- Mr. Amit Mishra – Participant:
- Okay, sir. Sir, what are the NIM in overseas business, like NIM domestic is 3.02 but NIM global is at 2.84.

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- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Yes, yes, overseas is slightly on lower side, around 1…
- Mr. Rajendra Kumar Saboo - ED, UCO Bank:
- Yes, around 1.6.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- 1.5 or 1.6.
- Mr. Amit M

ishra – Participant:
- Any reasons for this or do we want to increase our overseas book in the future.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- No, overseas book is like this on an average. If you look at any bank, overseas NIM is in this range only because that is all over linked market, so their NIM is hove ring in this range only
- Mr. Amit Mishra – Participant:
- Okay, got it sir. Sir, I might have missed it in your opening remarks, I joined late. Can you give me the guidance for FY24 NIM and loan both, for 2 layers.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- See, our guidance for loan growth is 12 to 13 percent and we continue to maintain that guidance. Approximately we are already there, around 10%, we have already achieved on a YoY basis, YTD basis, so 12 to 13 percent, we gave guidance in the beginning and we w ill continue to maintain that. Slippage guidance ratio, we had given 1.25%. Now, currently we are already below 1.25. This quarter, we are at 1.20 and we expect the same trend to continue and the brokerage, these are the 2 things. Third thing, what was it?
- Mr. Rajendra Kumar Saboo - ED, UCO Bank:
- NIM.

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- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- NIM, we continue to maintain NIM on ad hoc 3%, even though despite these conditions, the endeavor will be to maintain 3%.
- Mr. Amit Mishra – Participant:
- Okay, thank you sir. Thank you for answering my questions. Thank you.
- Moderator – Antique Stock Broking Limited:
- Thank you. we have our next question from the line of Sarvesh Mutha.
- Mr. Sarvesh Mutha – Participant:
Good afternoon, sir. Are you able to hear me?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Yeah, yes Sarvesh.
- Mr. Sarvesh Mutha – Participant:
- Sir, my first question is, our 14% advances are going towards NBFCs and in light of the recent RBI regulations, do you see any impact from those.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Sorry, come again?
- Mr. Rajendra Kumar Saboo - ED, UCO Bank:
- He said NBFCs.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- NBFCs, okay, okay. See, recent RBI guidelines, they have given increase in risk weight, we have already factored in this quarter and there was an increase in risk weight portfolio of around 4500 crores and that translates to around 65 bps of CRAR which we have already taken in this quarter.
- Mr. Sarvesh Mutha – Participant:
- Okay and any AIF related provisions that you have taken.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- AIF, we don’t have any exposure. We have only, hardly two and a half crores but that AIF has not lent to the corporate loan. So, there is no requirement of any provision on that. That is hardly two and a half crores.
- Mr. Sarvesh Mutha – Participant:
- Okay, thanks for the clarification and sir, on cost to income ratio, for the last couple of quarters, we are above 60%. If we look at FY23, we were at 55,56 percent. So, do you think in the coming 2, 3 quarters, we will be back in the early 50s kind of range?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Yeah, and next year, we expect the cost to come down because bank has already taken a lot of initiative for reduction in the cost like, we are looking at the premises because currently we are looking at the outgo. Teams are looking at the electricity cost also along with the premises. Wherever we have surplus, said audit is going on. We will try to surrender surplus premises. As far as the staff cost is concern ed, that will continue, so we are there and this quarter, we have already provided for an extra 257 crores, otherwise costing would have been a little lower but the wage provision was required, that we have made and next quarter onwards I think 100 to 120 crores on a quarterly basis, which will increase the load here, so this quarter 150 crores extra from load is there, next quarter, maybe it will be

120 crores only.
- Mr. Sarvesh Mutha – Participant:
- Okay and on our advance growth, they have grown quite well this quarter and when we compare it to other PSU banks, growth has been better, so what exactly are we doing in terms of processes that we are outgrowing other PSU banks?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- See, if you look at our retail growth overal l, that is well supported by the improved TAT. We have done the LOS of all our retail journey, so the TAT is monitored right from the time when the application is made in the system, it is being monitored. As a result, there is a growth in our home loan, r etail, Agri, MSME, everywhere. In so far as the corporate, in the corporate, there is growth also and in the corporate we look at, we have grown around 15% in PSUs and 15% in corporate. So, there is a mix and the only mantra that the team is trying to

achieve is through is TAT. As we are in a position to reduce the TAT, I think we are in a better position to bargain a little higher interest also and the fees also
- Mr. Sarvesh Mutha – Participant:

- Okay and sir, within retail loans, our growth has been broad -based, likewise home loans, so home loans being a majority part of our retail loans, how have the yields been in the home loans. Specially if you look at the last 4 to 6 quarters.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- See, our rate of interest or pricing on the home loan is based on the CIBIL score. So, based on the CIBIL score and generally our onboarding is more than 700 on our CIBIL score and where ours ranges from 8.45% to 8.9%
- Employee - UCO Bank:
- 8.45 to 8.9.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- 8.9%, so in this range, we are onboarding our housing loan customers. Similarly, in vehicle loan also, it is ranging depending on the CIBIL score. Again, it ranges from 8.45% for the customers who have already availed a housing loan from us, it's a lower ra ting for them and to others, starting from 8.55 goes up to 9.30 based on the rating. So, this is the broad range based on which onboarding is happening in the retail portfolio.
- Mr. Sarvesh Mutha – Participant:
- And sir, on the corporate side, we grow 14% th is quarter. Where exactly is the growth coming from? Small corporates or mid corporates and what industries are we lending to?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- I think, see, there are, give me a second, I have the details. In this 9 months, in total we have sanctioned around 18 thousand crores in the last quarter, 18 thousand crores to various customers of which the NBFCs are also there, around 20 to 25 percent to NBFC and the bank is also there. In fact, infrastructure is also there, around 2000 cro res. It is a well spread strategy, civil supply is also around 200 crores, iron and steel are also there, 1800, so it is all spread across the various segments.

- Mr. Sarvesh Mutha – Participant:
- And has the size of the company, like what kind of turnovers a re these companies, broadly?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- These are all 100 to 200 crores turnover companies, AAA, AA, A, our onboarding is mostly more than BBB and above.
- Mr. Sarvesh Mutha – Participant:
- Okay and sir, on the return on assets, we have given a big 0.67% this quarter and last year, we were at 0.85, so what is your exit FY24 ROA guidance as well as your medium to long term guidance on ROA? Do you see going towards 1% ROA as what other PSU bank s are achieving.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- Let me tell you, first, our endeavor is to improve our operational efficiency to control our cost to income ratio and improving our operating profits going forward on a quarter -on-quarter basis and p rofitability. So, as we improve on operational efficiency and operating costs, I think, on a quarter -on-quarter basis, our ROA will continue to

improve. So far as 1% ROA is concerned, I think for our bank size, given the current situation we have, it will take maybe a year or soto reach to that level. Maybe next year, we plan that, next quarter, we will plan for the next quarter also, particularly related to reaching 1%.
- Mr. Sarvesh Mutha – Participant:
- And sir, on slippages, MSME slippages have again increased this quarter. What exactly is happening over there?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- No, if we look at our slippages, total slippages have come down., June it was 546, December 578 and now 482. Of that MSME segment slippages are hovering around 150 to 200 crores on a quarter. Last quarter, all our slippages in the MSME segment was 260 crores and last quarter September, it was 156 crores. This quarter, 180 crores. So, it is range bound, 150 to 200 crores and we expect the MSME slippages to c ome down because our restructured book is also coming down on a quarter -on-quarter basis.

- Mr. Sarvesh Mutha – Participant:
- Okay and sir, just your thoughts on the capital raising plan. You know that the

government shareholding is at 95%. You intend to rais e equity capital of 2000 crores. So, what's the plan behind that.
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- If you look at our CRAR and adding that, the profitability of 9 months, our CRAR is very comfortable, 16.94%, even after considering the growth that w e have achieved in the 9 months and so far as capital requirement for the growth, there is no requirement for capital for the growth but yes, government holding is very high, that is the reason we have taken approval also. During this quarter, we don't hav e any plans. Next year, when we go to the board again, with the approval of the capital raising plan and we will approach government also, maybe for growth plus or maybe for QIP, whatever we plan in the next year.
- Mr. Sarvesh Mutha – Participant:
- Okay sir, thank you, thanks for answering all my questions. Thank you, sir.
- Moderator – Antique Stock Broking Limited:
- Thank you. We have our next question from Mr Barnawal
- Mr Barnawal, Participant:
- Yes sir, the question again on the NBFC exposure. So, are we able to pass on the rate increase to the customer due to change in the RBI RWA guideline because from what of our PSU banks are commenting, we have heard that there was pricing pressure. They have not been able to pass on the rate increase. So, are we able to p ass on the rate increase to the customer or are we on the exposure side?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- See, as far as NBFC exposures, we have already taken up the matter with many of the NBFCs and some of the NBFCs have agreed and few were not ag reeing, so we have got it repaid also from them and again, now they have agreed again and we have agreed to increase that pricing to make that loan available, so it was, just to give you a flavor of how it played out, we also said January but now they have agreed to the pricing, so we have also lend to them. So, on a case -to-case basis,

we are taking call for all NBFCs, one by one. We can increase and where they are not able to absorb, we are exploring the option of coming out also.
- Participant:
- Okay, okay, thank you sir. And the next question is on recovery from written off accounts. If we look at the number in this quarter, it was quite strong at 600 crores plus as against the 297 in the previous quarter. So, what is your view on how one should look at th is number going ahead. What is the write off pool you have. So, what kind of recovery from this written off do we expect going ahead?
- Mr. Ashwani Kumar – MD & CEO, UCO Bank:
- See, if we look at recovery from right of account going in this quarter, I think l ast quarter also I explained that in one account, we were expecting recovery in the last quarter, it did not happen. This quart

er, we got recovery from a few
accounts, around 390 odd crores, one account, 390 crores from one account only and that is the rea son recovery from written off account is quite elevated this quarter but on a sustainable basis, I think it should be around 250 to 300 crores on a sustainable basis quarter on quarter going forward.
- Participant:
- Okay sir. Thank you.
- Moderator – Antique Stock Broking Limited:
- Now, if anyone wishes to ask question, please raise your hand. We have our next question from the line of My Sushil Choksey. Sir, you will be unmuted.
- Mr. Sushil Choksey – Participant:
- Sir, before I get to our business, I wan t to take something from your history, your experience, Ashwini ji yourself, Saboo ji and Bank of Maharashtra Mr Kamble. Sir, you all have rich experience starting from obviously OBC, PNB, Indian bank, Saboo ji is from PNB and Bank of Maharashtra, looking at the curve between the three of you today, if UCO Bank has to achieve something in the next 12 months, what are the main initiatives which you will do to intent of the bank because you are the only bank from the public sector which is the eastern region and lot of activity starting from mining, railway, manufacturing, bamboo, it is all there, the initiatives but what are the 3, 4 steps which you take, as a bank, it would be a much higher elevated in 2025 from today?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Choksey Ji, one important initiative, I think which probably which I will not hesitate in accepting that we are little behind in that digitization. So, first and foremost step in this next financial year, we are focusing on the digitization. Thus, a s we look at the way to increase CASA the way to increase the stickiness of the customer, I think our digital adoption by our customers is a must and to ensure the digital adoption, I think the first and foremost thing is availability of all the products o n the digital platform. So that I onboard the customer and then they are there permanently with me because I am able to process all my products or to service their all their requirements which a customer has. So the first and foremost will be the digital t ransformation for which we have already quoted RFP for the audit partners. And hopefully, by the next 10 days, we'll be onboarding and next financial year, we'll be starting our digital transformation journey in a big way. That is there, then we can focus on the digital business. Because currently we are not able to count or focus on the digital business for want of our digital adoption. Then the stage will be the digital business, will be our focus in the next financial year, we'll be monitoring how much b usiness we are generating through digital business that will help me in reducing my operating cost also and cost to income ratios will also be improved ...improving with this initiative. Second, another initiative from the product size, which you talked ab out for various, our MSME team is already working on different, different products. And now we will be focusing on the cluster wise approach in this financial year. So based on the cluster, cluster specific schemes for each area will be our focus area. So they're based on the cluster, we make a scheme and we launch a scheme there and we start generating business out of that cluster. Third thing for anything, we need to have a skilled team, skilled people. For that we have already gone to the market for hiri ng, skilled level in IT, in risk management, in credit, in data analytics, and we'll be onboarding our new people or the staff with all those skills. For improving the skill of our own people who are already there or upskilling them we'll be we'll be now r evamping our entire learning and development module and the journey so that we are able to upskill our or reskill our own people as well, to face the new challenges or the journeys or digital adop

tion or cluster specific, or CASA whatever. So, the change m anagement program will be the key focus to our learning and development and transformation. And I think these are the three or four things which we think we should do apart from focusing on business parameters which we have already spoken.

- Mr. Sushil Cho ksey - Participant:

- Business parameter is a follow up of technology and human resource which you will empower if they are in place, I suppose the profitability is just a time, matter of time. So what kind of spend have we budgeted for technology, what kin d of budget have we taken up for human resource development whereas skilling of your staff existing and new , new obviously will come at market salary but existing staff is concerned?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, for... I'll just give you a brief idea about the IT budget. 2 -3 days I've been sitting with the IT team. So, for this quarter, we have initiated or we have planned two things which we need to incorporate or on board and the total spend, including IT infrastructure, even cyber secu rity and Digital transformation one more there was, API gateway, Treasury solution, AML solution, we are centralized Forex, and domestic trade finance, centralization of that. All these things if I have a look at during this quarter which we have planned, if all the plans are going in according in the right direction, around 200 crores of additional spend, we are planning in this quarter itself. And for the next quarter we'll be budgeting now, based on the strategy we are planning maybe in a month's time, b ut for the next this quarter, we have planned around 200 crores of additional spend on IT.

- Mr. Sushil Choksey - Participant:

- Sir, 200 crores maybe only for the quarter, but for the initiative which you take will you drop for next one year or two years so me sizable budget or these 200 is just a precursor to actual budget which you decide?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- 200 crores is only planned for this quarter. And for next year, the budget will be higher, because whatever initiatives we have planned all, like data warehouse, we have already planned, their phase one we have already placed order for around 20 crores, but the overall cost is around 70 crores, so 50 crores will go in the next quarter. And then our overseas Finacle upgradation also we have planned. Likewise, ALM and transfer price mechanism solution, we are also planning. So, all these things will come.

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- Mr. Sushil Choksey - Participant:

- Sir and human resources, you said that you are hiring many people from market and you will be skilling some existing setup. So, how many positions are you creating for IT, how many for credit, some kind of idea if you can throw?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See for credit we have already advertised around 50 positions and for IT I believe it is...

- GM, HR – UCO Bank:

- 100.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- 100. 20 or 120. IT. IT, we have already advertised for 20 positions. We have already hired IT consultant we are now given advertisement for CTO also , we have given advertisement for HR advisor also, learning and development advisor also. Even we are going for a gold vertical advisor also and risk management around 15 positions we have already advertised and security officers also we have advertised an d what else agriculture officers also.

- Management – UCO Bank:

- Collection Officer.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Collection officer also we have advertised. So, these are the product specific advisors and the positions we are creating, and we will be hiring people.

- Mr. Sushil Choksey - Participant:

- So, you see 2024 taking lot of time for initiatives and showing you results at the same time, but the actual results

may follow in some time to come I suppose.

- Mr. Ashwani Kumar – MD & CEO, UCO Ban k:

- Yes. Yes. Yes, actual result, that will be in the next year only.

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- Mr. Sushil Choksey - Participant:

- Okay. Sir, you mentioned to one of the participant asking a question on corporate and RAM book of 60:40. It's comfortable, whether you do 60, 62 or 65 and 35 whatever suits you based on the NIM which you get. But if I have to ask you a question UCO bank is attracting what kind of customer base today in th e corporate world which is giving you a reasonable return at the same time comfort and quality? I mean sector wise where are you seeing growth coming to your bank?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See one sector is I think infrastructure, Iron and Steel metals, these are the two sectors where we are getting, even textile also we are getting, even this ethanol that is also one area we are getting some good proposals and apart from that I will just share with you, even NBFCs we could get some good pr oposal, PSU's we were able to get good proposal or Food processing also and Iron and Steel , food processing, cement, infrastructure. Yes, these are the areas where we are getting proposals.

- Mr. Sushil Choksey - Participant:

- Sir, secondly, have you tied up with PFC, REC and IREDA for any kind of....

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- With IREDA we are in the process. Our internal approvals are there I think we will be now entering into a MoU with them for the co -lending arrangement.

- Mr. Sushil Choksey - Participant:

- So, co -lending and they would process, or you would process the business?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- They are the term lending institution. They will be processing and we will look at from our policy angles and then wherever we are in a position to participate we'll participate and second option will be room will be, because they are the

term lending, all the projects will require working capital so we'll be participating in the working requirement as well.

- Mr. Sushil Choksey - Participant:

- Sir, my one question you answered that you will look at QIP, looking at the market condition for PSU stocks marketed by our honorable Prime Minister, this is the biggest gain of the year. You people are made handsome gains, it is not in private sector but public sector stocks, whether it is PSU banks, Defense stocks, railway stocks multiple. Looking at your current condition with government holding, why would you dilute your holding by doing a QIP and not an OFS.. I am not expecting an answer from you. But I'm just saying you should debate to take the advantage whereby government also has a benefit at the same time you get benefit because your CD ratio doesn't need a higher equity base because your retained profit and that trajectory itself will give you gro wth next year. So, I'm just putting up and I'm sure you have Tier I bonds appetite too whenever the yields are in your favor, not today's market conditions.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, I've already spoken that we'll be taking up with the government for OFS as well, because this is the call that Government has to take. We can only address them, or we can only request them to go for that way. But, if at all we have to look at from the growth requirements particularly we don't require capita l per se because our existing TRAR, Tier 1, CET 1, even after considering the growth of this quarter and nine months, it is at 16.01% and if we add back our profitability, it will be around 16.9%. So, next quarter profitability will also be added. So, I believe by next quarter it should cross 17%. I think.

- Mr. Sushil Choksey - Participant:

- One question to Saboo ji, based on the current money market and the bond market if corporate bonds are available at 9, 9 ½ % and

you are lending to double
A and triple A and maybe A rated customers at MCLR plus quarter, MCLR plus half, if it is NBFC it will be higher and if you estimate that the inflation rate as what RBI is guiding and what you spoke. Will we take some advantage.... I'm not asking for your position wil l we take some advantage differentiating like SBI in the market or we will stay with the entire pack and stay away from it?

- Mr. Rajendra Kumar Saboo – ED, UCO Bank:

- No, we are not staying away and we are very much in the market. And there are 2-3 points which we consider while we go for investment in corporate bonds. Number one point is the duration as you can see from our duration, it has already means increase a little bit that is consciously increased. So, that is around 3.21. So, we are consciously k eeping our book duration at around 3 to 3.5 only. So, we are not going in very long duration bonds that is number one. Number two is that we are also exploring for better rated bonds only. So that may be AA and AAA only. Number three is that we should get sufficient means return also the coupon also has to be considered. Keeping in view all these three points, we are consciously increasing our book as you can see, quarter on quarter there has been an increase in the bond portfolio, non -SLR bond portfolio of our bank. So collectively we are going for that corporate bond also that is very much open for us.

- Mr. Sushil Choksey - Participant:

- Sir, today HSBC in the leading journal, which is published from Calcutta mainly business standard, is carrying article t hat we should get 100 billion flow into corporate bond market in India, in one year or the timeframe, whatever it may be two years. 100 billion bonds, I don't think so India has ever witnessed this flow even in equity on a cumulative number of years not th at the holding is much larger, but if you take a one - or two -years span. So, looking at your CD ratio, this is just a suggestion, no compulsion from my side. I think we are well placed because our CD ratio being at 70, we may be a better place than some of the other larger banks whose CD ratio are at 75 - 80% and are jumping around for largest bank is looking at support from banks like you to take over some assets on a short -term funding. I think we are well placed, and I feel the team which is managing UCO bank today at top level has potential to dramatically surprise the market. So, I'm asking this question, nothing beyond that.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you, Sushil. Thank you. I think it's a very relevant point you have made. The tea m is well, cognizant of this fact. They're looking for opportunities as well as come the way. Maybe next quarter, we'll give you some news.

- Mr. Sushil Choksey - Participant:

- Sir, thank you for answering all my questions. And best of luck for 2024 again.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- We will give one more thing I would like to share that we are holding provisions out on the standard book and that is around 3000 crores in the standard book of which around 1500 crores in our mandated posit ion in terms of RBI guidelines of 7th June 2019 circular or RF1 or RF2, or MPLL to credit standard asset. But apart from that, in SMA one and two June quarter we provided 189 crores without ...

that time SMA one and two, more than one crore was around 2041 crores. So, 189 crores we have provided but our SMA one and two more than one crore has come down to around 1200 crore, 1141 But we are not worrying, worse that for any reason we are continuing to hold 189 crore in SMA one, two, more than 1 crore, provisi on of 189 crores. Forward provisioning of 530 crores we are continuing, and we have already provided for IMPS provision, if any case we have already provided for the 100 -crore provision, and we are also maintaining contingency prov

isions in addition to tha t. So, total put together we are having around 1335 crores of provision on a standard asset which is beyond RBI mandated. Some 2800 crore ...2900 crore is the total provision.

- Mr. Sushil Choksey - Participant:

- Sir, you are prudent to carry almost 1% of a sset as cushion for future when the environment is very good. Then I may ask one more question as time permits, if somebody is wondering, what is the undisbursed credit line which you have sanctioned today?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- It's ar ound 5000 crores.

- Mr. Sushil Choksey - Participant:

- 5000. And what kind of pipeline do you see in infrastructure and corporate banks in the current quarter?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Then same, it is a mix infrastructure also, corporate s also, PSU’s also NBFC’s also, everybody reaching out for additional line.

- Mr. Sushil Choksey - Participant:

- But are you seeing a higher amount than the last quarter or the market is tied, the bond market maybe not conducive, so people will line up at banks to take more borrowing?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- It’s slightly higher side, corporates or the NBFC’s which were not earlier approaching they have also started approaching the bank.

- Mr. Sushil Choksey - Participant:

- Sir, thank you and best wishes to all your aspirations and thoughts which you've shared with us.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you.

- Mr. Rajendra Kumar Saboo – ED, UCO Bank:

- Thank you.

- Moderator - Antique Stock Broking Limited:

- Thank you, Sir. Th is was a last question. We thank UCO bank for giving opportunity to Antique stock broking for hosting the call. I would hand it over to MD sir for his closing remarks.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you, all the analysts and thank you Antique stock broking for arranging this Con -call. Before we conclude, I just want to reiterate and clear that bank has been doing consistently well on a quarter -on-quarter basis showing sustainable

growth, improve ment in the asset quality by reduction in gross NPA, net NPA. slippages are under control and whatever guidance we have given; we believe that will be within the guidance in the next quarter. Thank you. Thank you, all the analysts.

- Moderator - Antique Sto ck Broking Limited:

- Thank you, Sir. Thank you everyone for joining in. This concludes the call. Everyone can disconnect the line .

~End of Transcript ~

Call: May 2024

[redacted]
UCO BANK
[redacted] Honours Your Trust

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HO/Finance/Share/ 38/2024 -25 Date: 03.05 .2024

National Stock Exchange of India Ltd.
“Excha nge Pl aza”
Plot no. C/1, G Blo ck
Bandra -Kurla Comple x, Bandra (E)
Mumbai – 400 0 51
NSE Scrip Symbol: UCO BANK

Madam/ Dear Sir

Re: Transc ript o f Analys ts/Investors Meet h eld on 30.04.2024

Furth er to our commu nication dated 25.04.2024 , 26.04.2024 and 30.04.2024 regarding intimation about the schedul e of Analysts/Inves tors Meet on 30.04.2024 and submis sion of a udio/v ideo record ing of such meet, we enclo se the transcr ipt of Analys ts/Inv estors Meet held in pursuance to Regula tion 30 of SEBI (LODR) Regu lations a nd NSE guidance note dated 29.07.2022.

The transcript of Anal ysts/Investors Meet i s uploade d on bank’ s website and the same can be accessed through below link :

https://ucobank.com/documents/d/guest/transcript -of-post-earnings -meet -q4fy24

Please take the above on you r records and disseminate .

Your s sincer ely,
For UCO Bank

(Vikash Gupta)
Company Secretary

BSE Limit ed
Phiroz e Jeejeebhoy Towers
Dalal Street,Fort,
Mumba i – 400 001
BSE Scrip Code: 5 32505

Q4 FY24 RESULTS
Post Earnings Analysts/Investors Meet
Held on 30.04 .2024 at 02.00 pm
through Webex

UCO Bank Senior Management is represented by :

1. Mr Ashwani Kumar, Managing Director & CEO

2. Mr Rajendra Kumar Saboo, Executive Director

3. Mr Vijaykumar Nivrutti Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

– Moderator:

– Ladies and gentlemen, Good afternoon and thank you for joining us for the Post Result Confer ence call of UCO Bank. It is my pleasure to introduce to you the Senior Management of UCO Bank. With us, we have Mr. Ashwani Kumar, MD and CEO, Mr. Rajendra Kumar Saboo, Executive Director a nd Mr. Vijaykumar Nivrutti Kamble, Executive Director. We'll start the concall by opening remarks from the MD sir. So, over to you. Thank you.

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– Very good afternoon and welcome to all the analysts for this Analyst Cal l based on bank's financial results for FY 2023 -24. Well, total business of the bank grew by 9.5% to 4,50,000 crore and deposits grew by 5.53%. Advances grew by 15.62%. Within the advances, retail advances grew by around 14.62%. And within the retail, home loan grew by 21%, vehicle loan grew by 31%. Agricultural advances grew by 13%, MSME grew by 13.53%. Bank's business per employee also increased from Rs.18.90 crore to Rs.20.93 crore. So, around 2 crores increase in the business per employee.

– And as far a s operating profit is concerned, operating profit for the full 12 months stood at Rs.4,576 crores, registering a growth of 5.43% on a YoY basis. Last year it was a decline of 10% in operating profit. Net profit for the full year ended 31st March 2024 stood at Rs.1,654 crores, as against 1,862 crores during the same period in the previous financial year. Net interest income for 12 months increased by 10.3% on a YoY basis. Similarly, on Q -o-Q basis and on financial year basis also.

– Asset quality of the bank improved. Gross NPA improved from 4.78% as on

31st March 2023 to 3.46%, thereby a decline of 132 basis point. Net NPA also improved to 0.89% from 1.29%, so decline of 0.40% in that. PCR of the bank improved to 95%, and our tangible PCR is at 75%. Capital adequacy of the bank is 16.98%, wherein that Tier 1 capital stood at 14.54% and CET 1 stood at 14.14%.

– Bank's restructured portfolio has declined from Rs.4,111 crore to Rs.3,500 crore, and restructured provision bank is keeping around R s.308 crores in the restructured book, in addition to the COVID restructuring provision which we kept earlier, Rs.530 crores, is still kept intact. As far as slippage is concerned, slippage for the quarter ended was Rs.474 crores, which was in line with th e previous quarters. And if we look at overall annual slippage ratio of the bank that we had given a guidance of 1.25%, it is at 1.27%, whereas in the previous year it was 1.75%. And if you look at the slippage during the quarter, from Retail

was around Rs .90 crores, from Agri it was Rs.104 crores and for MSME Rs.179 crores and corporate it was Rs.101 crores.

– If you look at our expenditure, the operating expenditure of the bank grew in

this quarter mainly because of pension and gratuity provisions in view of this wage increase settlement, which was entered and approved by IBA and the Government of India. Because of that, the wage AS -15 provision has increased substantially. For wage revision we had already kept a provision of Rs.507 crores till December 202 3, which we used for the payment, and we are carrying only around Rs.70 crores of further provisions in this quarter.
– Cost of deposit ratio of the bank improved in this quarter over the previous quarter from 4.91% to 4.82%. On a year -on-year basis it was 4.78% as against 4.06%. Bank's cost -to-income ratio increased to 62%, and overall was 60% for the year, basically, on account of increase in the employee expense, largely on account of wage increase and AS -15 provision. Yield on advances is also improved t o 9.06% in this quarter. Overall yield on advance is improved to 8.83% on a financial year basis.
– Net interest margin, we have kept a guidance of 2.90%. For domestic, the net interest margin for the quarter was 3.25%, and on a global basis it was 3.03%, a nd on a yearly basis net interest margin for domestic was 3.12% and on a global basis it was 2.92%. And if I look at our CRAR, it is around 16.98% now, which improved from 16.41% in the previous year.
– The bank has taken approval for raising capital during the year from the board, which will go to the AGM for further approvals. That is around issue of 400 crore equity shares for the face value of Rs.10 each. And bank has also declared dividend for the first time after nine years; 2.8% dividend because of th e consistent profit for the last three years bank has been making.
– As far as provisions, we are holding provisions, forward -looking provisions around Rs.1,100 crores, in addition to the mandated provision of Rs.1,400 crores. So overall, on a standard book , we are keeping Rs.2,500 crores of provisions.
– This is all about the financial performance of the bank. And just to give you an idea about the initiatives the bank has taken over the period with regard to CASA acquisition, because we started with the Reso urces vertical, and now we are strengthening this Resources vertical by making the Resources team at the field level. We are now going for a digital transformation process, for which the vendor has been selected and financial approvals are being taken, so that the digital transformation journey will start.

– In the previous year, we completed our HR transformation wherein all HR related matters have been digitized and performance management solution has also been put in place. Now, bank is also working for b ringing new integrated treasury solutions, for which the contract has been awarded and maybe

in this
quarter, the work will also start. And the bank has also implemented a state -of-art call centre, revamped the entire call centre, and state -of-art call cen tre has been implemented. Bank also introduced tap banking previously in the previous financial year, and as of date around 1,600 branches have been provided with the tap, and they have started opening accounts with the TAB banking, which gives us an edge now to reach out to the people, to the customers to open their accounts at their workplace or home place or at their factories. wherever they are. The bank now is also going to implement opening of current account through the TAB banking in the times to co me.
– The bank has also started various IT initiatives other than these, wherein we are going to implement Vendor Management . We are going to upgrade our overseas Finacle network, we are going to bring new technologies for cyber security, and many other in itiatives have also been planned in the times to come.
– For the skill capacity building bank has already started the learning and development project, wherein we are revamping the entire learning and development concept in the bank. Centre of Excellence at the training centre level for a particular field are being implemented now. This year we will be totally revamping the entire learning and development project, which the bank has started.
– This is about the bank's performance and the initiatives the bank has started now. So, now, I am open for the questions and answers. With me our team Mr. Saboo, our ED, Mr. Kamble, another ED and our corporate GMs are also there to answer your observations and the queries. Thank you very much.
– Moderator:
– Thank you MD sir, for your opening remarks. Anyone wishes to ask a question, please raise your hand. We will wait for a couple of minutes for the questions to

assemble.
– We have our first question from the line on Mr. Sohail. Sohail you've been unmuted. Please go ahead .
– Mr. Sohail – Participant:

– Good afternoon, sir and thanks for the opportunity. Sir, three four questions from my side. First related to employee revision. So, this entire 17% increase in the wage hike has been provided for, and that is the result of the 720 crores employee expenses coming this quarter. Anything residual left?
– Sir, the second is with respect to the investment book reclassification, which was supposed to happen on April 1st. So, if you could highlight in terms of what could be the impact o n the balance sheet CET -1, as well as, how are you looking at the treasury income going forward because of this change?
– Third, in terms of ROA, we are generating an ROA closer to 0.7%. Just wanted to understand whether any more levers in terms of margins O PEX or credit cost is left, and what would be your guidance towards that 1% kind of an ROA? Then probably I'll come back for follow -ups.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you, Sohail. And first, let me clarify that employee cost increase has b een totally taken, including the retirement benefits, AS -15 provision on gratuity and pension; everything has been taken care of. So, that is the reason that this quarter there was a substantial increase in the AS -15 provision from this quarter.
– And with regard to the investment book, I will request our ED to just give a brief about the investment book reclassification which you have done.
– Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
– Yes sir. So, the investment book reclassification as per the latest RBI guidelines, takes place on 1st April 2024. So, that we have already taken up. And as per the guidelines of RBI, we have reclassified our books in HTM, AFS and that third category that has been brought FVTPL and Profit & Loss. And within that, H FT also. So, all three categories we have done it. So, the impact on balance sheet will not be much because our investment boo

ks are mostly in HTM and AFS; HFT is
very small part. And out of that, the SPPL formula has been applied, and most of the book whi ch is interest -generating book, means basically the bonds and securities where the interest repayment is happening on quarterly or half yearly basis, so, that is already classified in AFS and HTM; very small part is there in the FVTPL or HFT book. Other in vestments have also been classified. So, balance sheet impact will not be much on this reclassification.
– Only one impact will be, that is, that our recap bonds which are zero coupon bond, basically issued in the next trend. The treatment of that recapital ization bond will slightly change, because as of now we were taking the investment

value in the asset side and we were reducing the zero -coupon impact to our capital. So, now that the net amount only will be taken up as per the carrying value. So, that wil l be slightly changed, but it will not have any impact on our CET -1 ratio because that is calculated already as per the net amount, which is available after the zero coupon discount we have removed out of that 2,600 crore.
– On new carrying value the plus/m inus whatever is there in on 1st April 2024, that has been taken up into the AFS reserve or general reserve, particularly, in the starting. That was as per the guidelines of RBI. So, net impact of that also will not be much. It is very slight impact on the CET -1 ratio, whether it is positive on the CET -1 ratio because it slightly will be increasing. So, I do not think there’s a very significant impact there. Hardly it will be around 4 -5 basis points on the CET -1 ratio. So, that is there.
– Now, the third poi nt which was raised was about the profitability going forward. So, again the profitability going forward as per the new directions, whatever the securities are there in AFS reserve, the plus/minus M2M of those securities will be taken into the AFS reserve. So, that will not impact the profitability. So, whatever the volatility we have been looking into the profit and loss account on every quarter due to the mark -to-market changes in the valuation of the securities on quarterly basis in AFS book, that will n ot be there. So, AFS book, whatever M2M will be there, that will be taken into AFS reserve directly. And whatever residual amount is there in the HFT book, that will only affect our P&L account. So, that is very small amount. And going forward, we are tryi ng to keep

our AFS book within this limit. And HTM because there is no limit in HTM now, so, we can keep our securities up to unlimited level in HTM. So, we will be selectively putting our securities where we have a due to all the securities till maturity in the HTM also. And AFS will be very selectively keeping the securities. Already there are certain securities, we have certain securities also shifted into AFS also; that exercise we have already done. So, I think, the profitability going forward, will be direct into the profit. Which we were booking earlier through AFS sale, that will also not be available. So, that will also go to the AFS reserve only. When we exit totally from any security, then only it will go through the P&L accounts. So, more or less , the P&L will be, I think, insulated from the up downs of the market for M2M… on the AFS book. I think that will be positive for the day. That's my view.

– Mr. Sohail – Participant:

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– Just a follow -up on this treasury only. So, in this case probably if supp ose the interest rate cycle is on the downward. So, earlier we had an opportunity to book treasury gains. Will those also be limited, because once you have shifted the book into HTM, you may not be able to classify it again into AFS, and probably those are something that you would lose out on in terms of P&L?
– Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
– Yeah, to that extent, because HTM whate

ver we have on 1st April decided on
HTM and AFS, that are now frozen. So, we cannot now shift the securit y from HTM to AFS or vice versa. So, at the time of adding new security only we have to decide whether we have to keep it into HTM or AFS. That is one part. Then whatever book we have in AFS that is there available for the profitability. If we are selling from AFS, it will go to AFS reserve first, and if the security has been fully exited, we have exited from that security fully or that security has been matured, so then that part of profit pertaining to that security will be taken into the Profit & Loss ac count. So, if we are selling from the… you have asked if there is a means moderation in the interest rates in the market and we see gain in the security portfolio in AFS, we will be selling. And if we are booking the profit, that profit will of course go t hrough the AFS reserve into P&L. So, I do not see much impact of that issue. Because HTM already we have our HTM portfolio decided and that is basically the core portfolio which we are not going to sell anyway. So, that is not going to impact. Only AFS wil l be selling whenever there is an opportunity in the market as we are looking for rate cuts or moderation in the interest rates and going forward. So, I think that will be available.
– Mr. Sohail – Participant:
– Understood. Sir, on ROAs and the levers for the same.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, if you look at ROA, it is around 0.56% for the full year. And the bank is working towards operational efficiency. Because last year when we closed, 2022 - 23, there was a decline of operating profit by 10%. Now, this year, even after absorbing the increase of employee expense, maybe 1,000 odd crores, bank has registered operating profit of more than 5%. So, the bank's focus will continue to be on ROA or operational efficiency. And through that, we will be wo rking for improvement in our CASA also because Resource centres has been established. So, CASA will give us a low -cost deposit. And, as you have seen, we have improved our yield on advance this quarter and the NIM also in this quarter.

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And we will continue to monitor our pricing very closely so that we protect our NIM, whatever guidance we are giving.
– Another lever which I think for ROA, is your credit cost. You can very well see that our credit cost during this year is less than 0.75, and maybe going forw ard, our credit cost may come down also, because our gross net NPA is hardly 0.89%. We are holding around 1,100 crores of additional provisions also, forward looking provisions in our book, in addition to 1,400 crores of our mandated provision by RBI. So, in all, 2,500 crore provisions are there on the standard book as well. So, I believe we will continue to work on operational efficiency, which will increase our ROA going forward.
– Mr. Sohail – Participant:
– Sir, so closer to… because of these some of these one-offs and probably credit

cost still being slightly higher and you also having a reasonable amount of room and loan to deposit ratio, can we expect that probably in FY25 you can reach closer to 1%?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Maybe. It will be challenging. It may not be easy going. It may be challenging. But yes, definitely the effort will be to improve on ROA on a quarter -to-quarter basis.
– Mr. Sohail – Participant:
– Sure, sir. And, the final question from my side. I know that probably th e guidelines for the final thing are not out. But anything on the impact of the ECL if implemented? And probably, any update on that? You hear anything from RBI?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– No, till now no update. Nothing has come. But, as I t old you, the bank has already started making some forward -looking provisions to take care of the guidelines when they come. Because restructured book is one portfolio where

the
guidelines will be impacting much more than anything else. There our outstandin g is 3,500 crores. We are holding 300 odd crores provision on the restructuring book, plus COVID forward -looking provision of 530 crores also on the restructuring book. So, that book is already protected to a great extent.

– In addition to that on SMA -1 and 2, which was in June, we kept a provision of 189 crores. At that time that book was around 2,000 crores or 2,200 crores. Now that book has also come down, SMA -1 and 2 book. We are continuing. We are currently still holding 189 crores which we kept in June 2023. So that way, we are trying to build, as a matter of prudence, making the bank ready for anything which comes out of the ECL guidelines and if RBI comes up.
– Mr. Sohail – Participant:
– In this ECL framework, last five years data is used, right?
– Mr. As hwani Kumar - MD & CEO, UCO Bank:
– Yes.
– Mr. Sohail – Participant:
– So, the later it gets implemented, post COVID asset quality has been very strong. So, these numbers could be dynamic and change materially if it is implemented one or two years later.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes, you are right. It will have a positive impact.
– Mr. Sohail – Participant:
– Sure, sir. Thanks a lot and all the best.
– Moderator:
– Thank you, sir. So, we have a next question from Mahrukh Adajania. Mahrukh, you've been unmuted. Please go ahead.
– Ms. Mahrukh Adajania – Participant:
– Hi. Good afternoon, sir. So, I have two questions. So, what would be the proportion of bad loan recovery income that would be part of your net interest income? Would you have any rough estimat e, or would it be there at all?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– For current year or next year?

– Ms. Mahrukh Adajania – Participant:
– No, current year. As in, in the 4th Quarter and fully FY.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– It's 110 crores.
– Ms. Mahrukh Adajania – Participant:
– Okay. So, 110 crores of NPL recovery income?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Interest income. Interest income on NPA. Booked interest income. It is part of NII.
– Ms. Mahrukh Adajania – Participa nt:
– So, how do you decide how much of NPA recovery to take through NII? Basically, anything above your book liability, is it? How is it decided?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– Yes. Yes, exactly.
– Ms. Mahrukh Adajania – Participant:
– That's a bit u nclear, across banks, not only for your bank.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See here, whatever amount… suppose I'm giving a small example. Let us say 10 crores is outstanding. If we receive 11 crores, 10 crores will go towards the principal and 1 crore will go towards the interest.
– Ms. Mahrukh Adajania – Participant:
– Okay. 1 crore will go to interest. Got it. Makes perfect sense, sir. Sir, and the other question I have is that basically, do you see recoveries remaining this strong and you being able to book 100 crores income every quarter on recoveries next year also?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, recovery, I must say that low hanging fruits through NCLT and other actions have already been recovered. There are still many accounts which are

under resolution and we expect through NARCL also and through NCLT also, there are certain accounts under liquidations. But definitely, the amount of NI interest which will be forming part of our interest, may come down a little bit.
– Ms. Mahrukh Adajania – Participant:
– But in general, every quarter, currently the proportion would be around 100 -110 crore, or it was higher in the 4th Quarter?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– No. Generally, it is in the range of 40 -50 crores. But this quarter in one account, we got extra amount also. So, that is the reason this quarter am

ount is high. It is
around 40 to 50 crores.
– Ms. Mahrukh Adajania – Participant:
– Got it, sir. So, and the other question I have, the earlier participant already asked that bas ically, when we move to the new investment guidelines, then what do you think would be a normalized proportion of HTM? I know it is kept currently. Now, the limits go away. But what do you think eventually you will like to hold as a percentage of your tota l investments in HTM? Any rough -cut guidance? Y
– Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
– So, madam, actually, earlier there was a provision that we could sell from HTM. Even more than 5% also we could sell with just our disclosures in the a nnual report. But now, in the new guidance, we cannot sell more than 5%. If we sell more than 5%, we need prior approval of RBI. So, with that provision in place… And second provision is that we cannot shift from HTM to AFS now. Earlier, we were able to sh ift every year. So, now that provision is also… Now the HTM is actually HTM. That is, once it is in HTM, it is HTM always, right? So, that way, we are very conscious to keep the securities in HTM. Where actually we want to hold till maturity, we will keep it only in HTM.
– And the HTM proportion, as of now, I think on 1st April, what we had on the 31st March, we have reduced a little bit because we have shifted certain security on 1st April, because this was a one -time chance given by the RBI that we can hav e our portfolio recalibrated according to the guidelines. So, we have certain securities shifted from HTM to AFS. Now, going forward, the HTM book will be maintained at around that level only. That will be, I can say, as of now, whatever investments we hav e around 90,000 crores. And if we see the SLR investment

only, that is around 66,000 crores. So, out of 66,000 crores, I think around 75 -80% is in HTM. So, I think going forward also, that same ratio will be maintained, because we have to have 18% security , of course, in any way to have SLR investment of our term liability and demand liabilities. So, the 18% SLR maintenance will be required, so that we can keep into the HTM, because that is already the factored in thing. We have to keep that. Over and above that, we can keep in the AFS, so as to have an opportunity to book profit as and when it arises in the market.
– Ms. Mahrukh Adajania – Participant:
– Got it. So, the proportion is unlikely to change much?
– Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
– No, it will not change much. Only thing is, in a non -SLR, it can certainly in

limited way, because in non -SLR, as of now, we were not keeping i nto the HTM. It was only part of HFT or sometimes AFS mostly. But now, because non -SLR, if we take into HTM, we can keep that in HTM also. So, non -SLR portion may increase little bit.
– Ms. Mahrukh Adajania – Participant:
– Okay, non -SLR in HTM. But even with all that, the HTM proportion remains more or less stable, a bit here and there?
– Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
– Yes.
– Ms. Mahrukh Adajania – Participant:
– Okay, got it. Okay, sir. This is very helpful. Thank you so much.
– Moderator :
– Thank you, ma'am. We have our next question from the line of Shweta. Ma'am, please go ahead, you've been unmuted.
– Ms. Shweta – Participant:
– Good afternoon, sir. I have a couple of question. So, we observe an almost 50 basis point of lowering of exposure towards NBFC. So, how much has the bank increased the interest rate for NBFC after the RBI guidelines for risk weightage increasing?

– Mr. Ashw ani Kumar - MD & CEO, UCO Bank:
– See, there is no standard way that in one NBFC, we have increased by 100 bps or 25 bps. It is based on mutual discussions. And if the pricing, which we quoted, if it is not acceptable to them, and which they quote, that is n ot acceptable to us, if we are not ma

king any money out of that, there we have decided to call back. So, there were certain exposures. We increased the rate, which they did not agree to. So, they paid us, and we happily accepted that because we had the opp ortunity to relend in other productive factors as well. So, it can't be quantified that 25 bps across, but 50 bps across it was increased on a case -to-case basis. Somewhere, tough we intended, but they did not agree. We have also agreed not to increase, because we were able to at least recover the minimum benchmark which we have set for ourselves. So, there was no standardised… across the NBFCs.
– Ms. Shweta – Participant:
– Okay, got it, sir. My second question is, what amount of gains your bank makes selling excess PSL certificates to other banks annually, since UCO Bank achieved a 54% of PSL target?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, PSL we have sold only… only 400 crores excess PSL we were having in small and marginal farmers because though we hav e 54pc but the PSL which we sell and get good return is through small and marginal farmers, where we sold only 400cr. So we had an excess of 400cr. and that was only 2cr. of PSL commission that we got.

- Ms. Shweta:

- Ok. And my last question is – the NPA le vels have come down significantly. While the ROA is yet to reflect that, what are the main things that are dragging the returns for the bank as fresh slippage are similar to the previous year's levels.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, this year, the operating expenditure was high because of the employee cost. Otherwise our operating profits would have been much higher than what it is actually this time which we have shown and it would have finally got into our net profit also. In a ddition to that, we made certain provisions, forward looking provisions also this financial year to take care of future ECL guidelines, if any

there are coming and when they are coming. So bank is in a position to sustain whatever number comes, so that is a forward looking provision also kept last financial year.

- Ms. Shweta - Participant:

- So any guideline for the upcoming years for returns or bottom -line?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, if you ask me, bank is working very closely on increas ing or improving its operational efficiency and you can see that inspite of high interest rate scenario, this quarter we could decrease our cost of deposit also, cost of funds also marginally increased. And our net interest margin which was around 3.03pc l ast quarter for the domestic book, improved to 3.25. So we are working, both on funds' side and also our deployment side, raising of funds and deployment. So to improve our margins on an on -going basis. I believe that our ROA on quarter on quarter basis wi ll improve going forward.

- Ms. Shweta - Participant:

- Ok. Thank you so much Sir and all the best for the future.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you.

- Moderator:

- Thank you mam. We have our next question from the line of Mr. Amit Mishra. Please go ahead.

- Mr. Amit Mishra - Participant:

- Hi Sir! thanks for the opportunity. good afternoon everyone. Sir, just wanted to know, the geographical break -up of your retail advances like in which area or state we are more concentrated right now becaus e 60pc of Advances is RAM right now. So concentration wise if you can give some break -up?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, exact break -up is not with me. My CRO is there. in case, you have exposure then please share otherwise we will give you offline exposure.

- UCO Bank Management:

- We will provide you.

- Mr. Amit Mishra - Participant:

- Ok Sir. 2nd question, if you can give some guidance on next year's recoveries like what are the recoveries you are expecting for next year?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, recovery during the year, we see a recovery of 3000. We have a recovery of aroun d 3000cr. this year. So write -off recovery was 1729, operations 658 and cash recovery 740. So around 3000. So similar level of recoveries we are expecting in the next year as well as we did last year.

- Mr. Amit Mishra - Participant:

- Ok. Thank you Sir. I will get back if I have other questions.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you.

- Moderator:

- If anyone has any questions, please raise your hand. Meanwhile the question queue assembles, we have a question in the chat box Sir. We have a question from Mr. Kartik Solanki. What is the overall return of pool, NCLT and non - NCLT and what can be recovery run rate in FY 25?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- I think total return of pool is around 28,000cr. and out of that, NCLT is Rs.18400 crore and run rate if you ask me, now in the NCLT pool, large counts which were

there, they have already been settled and now many of the accounts are under liquidation in NCLT and we expect resolution of few accounts this year and if you ask me exactly t he number, I think NCLT last year, we recovered around

- UCO Bank Management Team:

- NCLT last year, we recovered around 142cr.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- No, no, that was only in quarter. I can give you this number separately.

- Moderator:

- Ok Sir. We have the next question from the line of Jai Mundhra. Jai Mundhra, please go ahead.

- Mr. Jai Mundhra - Participant:

- Hi, good afternoon Sir. Thanks for the opportunity.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Good afternoon!

- Mr. Jai Mundhra - Participant:

- Sir, hi! So Sir, first question is, we have seen that the cost of deposit in this quarter, that has declined QOQ by 10 odd basis points. Is that something to read into this? is this because of bulk or you think, now the cost of dep osit is likely to remain here, unlikely to go back up. How are you reading this?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, I tell you, cost of deposit has come down because we had excess SLR securities. So if you look at our growth in deposit, we grew by only 5.5pc whereas our advances grew by around 15.62pc. So we had excess SLR securities, certain SLR securities, non SL R securities maybe around, I think if the number is correct, more than 3000cr. were liquidated which were utilized in operations and we raised this security from the market at a cheaper rate than the deposit, at

what rate the deposit was available. Further , if you look at our deposit, we raised deposit at the overseas location also with us. Their deposit, , total cost was less than the rate which was available in the local market. So the number of instruments we used to make sure that our cost of deposit is curtailed as far as possible. Going forward also, we have reduced our bulk deposit from March 23 to March 24. Our target is to improve on the retail term deposit at CASA and also to use excess SLR securities available whenever there is an opportunity to raise the funds. I hope the requirement of the fund is there and once we achieve our CD ratio nearing to 74 -75, that time we will take a fresh call for raising rates in the future.

- Mr. Jai Mundhra - Participant:

- Understood Sir. Sir, if I see the recover y in write -off, so that number last year for the full year was 1624cr. That has come down 1487cr. Do you think this number can remain here only or it can decline? I mean from last year to this year, we have seen a bit of a decline and as the recovery pipe line is drying up, would this number be going down only by 5 -10pc only or there is an upside growth to this number?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, I expect the number to remain

in this range only, maybe 5 -10pc plus/minus from the write -off recovery going forward because in the previous year, we got money in some big accounts. Here large number of accounts are lined up through NARCL also. SO we expect some amount through NARCL, some OTS proposals also coming forward and through resolution als o. Few accounts are lined up for resolution. So I expect that maybe plus minus 10pc, we may be able to maintain this number.

- Mr. Jai Mundhra - Participant:

- Sir, in that commentary……I mean in NARCL, if you get the security receipt, do you account that as a notional value or you account as if this is cash because there is a sovereign guarantee there?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- No, that is treated as a recovery only and against SR, we have to make the provision also.

- Mr. Jai Mundhra - Partic ipant:

- This is only…..this is not treated as cash. Right? Even if they have sovereign guarantee?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Yes. See, ultimately, our NPA comes down. So then the account is adjusted and then investment book is…..it is shifted to the investment book. Then the provision also shifts to the investment book.

- Mr. Jai Mundhra - Participant:

- Yes, ok. Understood. The last question is to Saboo Sir. Sir, you mentioned that there is a few bps of….under the new investment norm, t here is few bps of capital accretion. Right? If I see our RWA, this is around 1,28,000cr. and our investment book is around 90,000cr. So it looks like few basis point of CET accretion similar to few basis point of investment accretion. In a way, what I am trying to say is, the gain as a percentage of investment book is very very low. If there is a 10 -15 basis point capital accretion, like 10 -15 basis point accretion to the investment book which looks 42.21 voice breaking because you know this MTM would als o include AFS only or you are saying that MTM is also applicable to HTM also because HTM ideally should be much in the money, right? Is the understanding right or not right?

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- Jai, your question was not very clear because you were not audible in between. But what I understand is that the impact of this reclassification on the CET one, as you are asking. Correct?

- Mr. Jai Mundhra - Participant:

- Right! Yes.

- Mr. Rajendra Kumar Saboo – Executive Direct or, UCO Bank:

- So the impact is, basically the reclassification has happened across the sectors, means HTM to AFS and AFS to HTM, heavy security. Right? And where there is a formula given by the RBI that SPPI criteria is fitted and we have kept certain

security in HTM and certain security in AFS and on 1st April, we have taken the revised carrying value of those securities. On taking the revised carried value, basically the gain is only from some listed/unlisted equity only basically. So that has only accreted into the AFS reserve or the general reserve. So on 1st of April, that was the provision that we have to take all these things into general reserve. Through general reserve, it will be appropriated. Right? So that impact is not much. that is not reflected on 31st March capital also because that is the e xercise that is done on 1st April end onwards, it will be reflected in June, if it is there if any. So 31st March it is only purely based on the previous arrangement that was there in the place of 31st March.

- Mr. Jai Mundhra - Participant:

- Right! That is clear. What I wanted to know Sir, let us say, the accretion, the MTM is only let's say 100cr. Right? That is around 8 -9 basis point of CET1. Now considering our investment book is 75,80pc of total RWA, the investment appreciation of the entire investmen t book is also very low. So I wanted to check, why there is so much, so less appreciation in the investment book when we must

be holding deep in the money HTM bonds also?

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- So I think, if you are linking this to RWA, then it is a different thing. So if we see the RWA, only the market RWA comes into the picture and that is a very small amount. The credit RWA doesn't take into account the investment related RWA, that is the marke t RWA basically because most of the exposure in investment is in the government sovereign. So SLR securities and other recapitalization bonds. So there is no RWA credit, RWA involved into it. Right? So there is only market RWA and going forward, we will be doing the AFS portfolio, M2M on a quarterly basis, that will be taken into the AFS result, not into the P/L. Through AFS result, it will impact the CET1 because it will be taken into the capital, plus or minus. So the AFS of MTM will impact the CET1 going forward on a quarterly basis. Keeping in view, our AFS portfolio and the changes in the market on a quarterly basis, if there is any M2M, that will only impact our CET1 ratio and that will not be much.

- Mr. Jai Mundhra - Participant:

- And what happens to HTM accretion Sir?

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- As of now, there are no changes in HTM

- Mr. Jai Mundhra - Participant:

- Ok. Sir, maybe I will take it offline. Thank you so much Sir.

- Mr. Rajendra Kumar Saboo – Executive Dire ctor, UCO Bank:

- Ya. Sure, thank you.

- Moderator:

- Thank you Sir. We have the next question in the line of Mahrukh. Mahrukh, please go ahead.

- Ms. Mahrukh Adajania - Participant:

- Hello Sir, hello!

- Moderator:

- You are audible.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Yes please Mahrukh.

- Ms. Mahrukh Adajania - Participant:

- Hello, can you hear me Sir?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Yes, yes Mahrukh. We can hear you.

- Ms. Mahrukh Adajania - Participant:

- So Sir, just in terms of, firstly in terms of RBI inspection, I mean whether be digital or any other aspect, would you have received any feedback for improvement on any of this?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, RBI does inspection and gives various data points, they have observations. Their high key examination is also held there. Normal inspection, supervisory review, they also do. So in that process, they do give their suggestions for improving the systems or improving the gaps, here and there, they observe the gaps, the gaps are there. So that is a normal process. The suggestions from their side keep on coming through various reports.

- Ms. Mahrukh Adajania - Participant:

- But there is nothing which will r equire your immediate attention or a lot of investment from your side? Right?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- No, not as such because various expenditure, high key initiatives have already been planned which they go through also when they come and look at our IT budgets, they look at our planned expenditure also. They look at our infrastructure. If they feel that certain gaps are there, they suggest certain improvements. So for that, we plan and go for further enhancements. So as such, per se nothing exceptionally high budget kind of thing they have advised. They have given us various suggestions which we have impl emented in the past, we are in the process of implementing and going forward also, we will get some feedback from them.

- Ms. Mahrukh Adajania - Participant:

- Got it Sir! Got it! Makes sense Sir. Thank you. Thanks a lot.

- Moderator:

- Thank you Mam. We have our next question from the line of Mr. Sushil Choksey. Sir, please go ahead.

- Mr. Mr. Sushil Choksey - Participant:

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- Sir, congratulations for stable numbers and the dividend declaration. First question is based on your media interact

ion and whatever Q&A, we have done here. Can you elaborate more on transformation journey led by the current management for our next phase of growth, be it CD ratio, digital banking, CASA initiative because larger CASA is bread and butter for the bank. We have seen what has ha ppened in the last 6 months. Now UCO is going to increase their share where CASA is concerned and stabilize the bank for better profitability in the days to come.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you Choksey ji. Just to give you some flavor about the initiatives which bank has taken and further improvement and new initiatives we are planning. First, we started with the TAB banking in the previous year for mobilizing good quality CASA customers for on boarding digitally at their workplaces.

- Now happy to share that more than 1600 branches have been provided with that TAB and one more statistics I share with you is that, the average balance in the accounts which are open through app is higher than the balance which are open through branches. Th en we started with resource vertical. Earlier we were not having any resource vertical. There we identified one saving in -charge and another was current account in -charge, government business in -charge. Now we are going to strengthen at a ground level mean s at the zone level and various centres where we have an important deposit centre. We have also analysed the top 200 deposit centres, data published by RBI and wherever we don't have a presence, we have plans to open our branches in those areas also to gar ner good quality CASA and deposit from those centres. This was about CASA acquisition which bank is working on and in the current year, our CASA ratio is around 39pc which we have achieved. Generally, it is 37 -38pc. Now we have achieved 39pc. Now going for ward, our endeavour will be, we should improve hereon and we should not come down. So that is the plan we have. Then to support our customers, we have revamped the call centre also. it is state of art call centre, AI enabled call centre, we have started in March quarter itself and we have started yielding the….seeing the results also because the number of calls have gone up and number of calls through IVR have also gone up and that is the way we can serve our customers better.

- Then to have digital transfo rmation, last year we started with the HR transformation. We have completed the HR transformation. All HR matters have

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been digitized. Now no paper movement is for the HR issue of the employees. HR transformation through PMS – Performance Management Soluti ons has also been implemented in the previous year wherein all employees can see their performance score card on a month to month basis as against yearly in the previous regime. So that will give them insight into their targets and achievements on a month to month basis and in areas they can improve.

- Now to improve on the credit underwriting standards, the digital transformation journey has been started. We have already shortlisted the vendor. We are taking approvals. Shortly, within a month or so, we will be onboarding the vendor also wherein then, our transformation, digital transformation journey for the various liability and asset products will start. So all those will be available on our app also and through internet banking also and through branch ass isted journey also. So in that way, it is an ambitious project, which may take off somewhere around June and within a year and a half, the project will be on, where we will do that. we are now also implementing hub structure across the bank. Now currently the underwriting of certain branches is done through retail hub, MSME hub and Agri hub but some branches are doing the sanctions on their own. So that also we are implementing. All branches will be implemented through the hub only in 3 months' time. So tha t our underwriting standard re

mains robust and improves
further in the times to come.

- Then, we have also started the treasury solution, a new treasury solution we are taking, very state of art, new integrated world class treasury solution, we are bringing and which will help our treasury also to grow in a much faster pace.

- Then on capacit y building, bank has started revamping its learning and development facilities and course curriculum and also identifying centre of excellence at various centres for a particular subject, maybe for retail credit or MSME, so that we bring the capacity build ing within the bank as well.

- So these are the few things which will……on the digital…another thing which we are doing on the digital front is, that we are bringing the Vendor Management solution also wherein our server problems will be resolved and we will have an in -house huge server capacity so that our…..we are in a position to implement our projects in a faster pace. Currently, we have to every time go for a……if we have to implement any project, we have to go for the servers also. Once we have Vendor M anagement solution, then the servers will be readily available. At any given time, we can implement any of the projects which we think of. Then we are going to upgrade our various infrastructure like our

overseas finacle also. Then we are going to implemen t new solutions in our cyber security also. So all these are planned, approximately 1000cr. of spend we have planned for this year and that trend will continue as and when we go ahead…..whitelisting also we are doing. So various things have been completed and now other things are in pipeline.

- Mr. Mr. Sushil Choksey - Participant:

- Sir, thank you for answering all my questions. Best wishes for the current year and for the years to come to the team.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you Sir.

- Moderator:

- Thank you Sir. We have our next question from the line of Mr. Ashok Ajmera. Sir, please go ahead.

- Mr. Mr. Ashok Ajmera - Participant:

- Good evening Sir! This is Ashok Ajmera here. Most of the questions have been answered by you Sir in the ela borate question answer session and the bank is also doing extremely well now under your leadership and both the EDs sitting here. Sir, I have got small one or two data points, as a point of information on treasury on investment. Sir, our corporate and othe r bonds and debentures in non-SLR investment category is increasing from 1614cr. in March 23 to 2438cr. in December 23 to 2649cr. in March 24. So what is this increase……I mean this non SLR, corporate bonds, can you give us some color on that, what kind of investment this is and what is the yield we are getting on this?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Ajmeraji, as you know that this was a time when the interest rate was high through block yield for future. I think along with the G -sec security, th ere was an option or opportunity also in the corporate bond market. So whenever there was an opportunity for a better yield in the corporate bond market, we went for purchasing corporate bonds, 25cr, 50cr, 75cr. on a case to case basis and that was mainly the intent and to protect the yield for the future because as we all know,

with the expected rate cut maybe 6 months down the line or whenever, the yields will come down. So to take the benefit of the yield and block the yields right now, so last year, we did increase our exposure in the corporate bond market and these bonds are generally double A and triple A rated companies and in some banks also, in some PSUs also. So all sorts of bonds are there in the bucket.

- Mr. Ashok Ajmera - Participant:

- What is the average yield or average interest, IRR we are getting on this non -SLR corporate bonds? I mean in this category.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- This number, I think Saboo

ji, you have the number? It may be around 8pc or something.

- Mr. Raje ndra Kumar Saboo – Executive Director, UCO Bank:

- Exact number we don't have but I think it is around 8pc or slightly less than that, maybe, 7.8 -8, in that range. Ajmeraji, what I want to say is that, in corporate bonds, we have 2 -3 things in place which m eans we apply for the selection of the corporate bonds for the investment. No.1 is the tenure. So we are not going for very high modified duration, so our duration we are keeping around 3yrs. No.2, we are going as our MD Sir has told, for AA and AAA rated bonds in the market. So that is the credit quality we are ensuring. One, we are ensuring the duration and 2nd the credit quality and 3rd one is the yield. So yield, depending upon the quality means AAA maybe, it is less than 8, AA maybe it is more than 8 and sometimes we get opportunity in the market above 8 also. So as our MD Sir has already explained to maintain our yield on the corporate bonds and the overa ll investment portfolio. We have invested in this bond portfolio and this has been increased by around 1000cr. as you have rightly noted in non SLR bonds. So that is the basic of that.

- Mr. Ashok Ajmera - Participant:

- Sir, you have given the combined mod ified duration of AFS and HFT book. What is the AFS book modified duration?

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- No, we have given AFS and HFT, not HTM.

- Mr. Ashok Ajmera - Participant:

- AFS and HFT, you have given.

- Mr. Rajendra K umar Saboo – Executive Director, UCO Bank:

- Yes, HFT is a very small part. HFT is a very small part, that is only 50cr. So that doesn't matter much. So AFS is also the same.

- Mr. Ashok Ajmera - Participant:

- About 3.1….

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- Around 3.1.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- 3.1 is AFS and HFT.

- Mr. Ashok Ajmera - Participant:

- So you expect this modified duration little bit higher, you expect the interest rate to come down and then you get b enefitted from the AFS book. Isn't it?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Yes.

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- Ya.

- Mr. Ashok Ajmera - Participant:

- Alright Sir. Thank you very much and all the best. First time, we have seen some lot of improvement in various small small parameters of bank and you are doing extremely well Sir, with the kind of experience you have in the banking. Thank you.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you Ajmeraji. Thank you Sir.

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- Thank you.

- Moderator:

- We will take that as the last question. Over to MD Sir for his closing remarks.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you to all our analysts and investors for showing interest and I am happy to see large number of analysts coming this time and praising the bank's performance. We will continue to work to strengthen our bank further to make it a futur e ready bank by improving on all parameters on a quarter on quarter basis. Thank you very much. Thank you.

- Moderator:

- Thank you MD Sir. This concludes the call. Thank you everyone for joining the call.

~End of Transcript ~

Call: Jul 2024

■■■■ ■■■■
UCO BANK
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HO/Finance/Share/ 137/2024-25 Date: 26.07.2024

National Stock Exchange of India Ltd.
“Exchange Pl aza”
Plot no. C/1, G Blo ck
Bandra -Kurla Comple x, Bandra (E)
Mumbai – 400 0 51
NSE Scrip Symbol: UCOBANK

Madam/ De ar Sir

Re: Transc ript of Post Earnings Conference Call held on 22.07.2024

We enclo se the transcript of Post Earning Conference Call held, in pursuance to Regula tion 30 of SEBI (LODR) Regu lations and NSE guidance note dated 29.07.2022.

The transcript of Anal ysts/Investors Meet i s uploaded on bank’s website and the same can be accessed through below link :

https://ucobank.com/documents/d/guest/transcript -q1-fy-2024 -25

Please take the above on your records and disseminate .

Yours sincer ely,
For UCO Ba nk

(Vikash Gupta)
Company Sec retary

BSE Limit ed
Phiroze Jeejeebhoy Towe rs
Dalal Street,Fort,
Mumba i – 400 001
BSE Scrip Code: 5 32505

Q1 FY25 RESULTS
Post Earnings Conference Call wit h Analysts/Investors

Date 22.07.2024
Time 03:30 pm
Mode Virtual (Webex)

Bank's Senior Management is represented by :

1. Mr Ashwani Kumar, Managing Director & CEO

2. Mr Rajendra Kumar Saboo, Executive Director

3. Mr Vijay N Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

- Moderator :

- Good afternoon, ladies and gentlemen , and thank you for joining us for the Post Result Conference C all of UCO Bank for Q 1FY25. It is my pleasure to introduce to you the senior management of UCO Bank . With us , we have –

Mr. Ashwani Kumar , MD & CEO
Mr. Rajendra Kumar Saboo , Executive Director and
Mr. Vijay N . Kamble , Executive Director.

- We'll start the Concall by opening remarks from MD Sir and post which we'll open the floor for any Q&A. S o, over to you MD Sir, a nd thank you.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you. I welcome all our analysts and investors to this Post Result Conference Call for the Q1 FY24-25. Along with me , to my right , is Mr. Saboo , our Executive Director, and Mr. Kamble, our Executive Dire ctor, our all-top management team including our verticals and corporate GM s are there to interact with you.

- Let me just give you a brief background of our results and how we perform ed and what are the initiative bank is taking and then we'll be taking up the question and answer also from you. I believe that our presentation is available with you all and I'll give you the major highlig hts of our performance during this quarter.

• Our total business grew by 11.46% . Total business comprising of deposit . Deposit s grew by 7.39% , Advances grew by 17.64% . Out of Deposit s, Saving Deposit grew by 5.47% , Current Account grew by 22.79%. Our CASA share improved by 52 b ps to 38.62% .
• Advances. Retail Advances grew by 21.84% on a YoY basis. That was supported by Home Loan growth of 20.37% on a YoY basis . Vehicle L oan growth of 33.33% on a YoY basis. Agriculture grew by 19.64% on a YoY basis. MSME grew by 14.04% on a YoY basis.
• Our overall CD ratio improved by 628 b ps to 72.07% on a YoY basis.

- Let me talk to you about

asset quality.

➢ Our Gross NP A has come down to 3.32% i.e., deg rown by 1 16 bps on a YoY basis.
➢ Net NPA has come down to 0.78% , i.e., 40 bps improvement over last year.
➢ PCR of the bank has also improved by 88 bps to 95.76%.
➢ Our Tangible PCR also improved to 77.05% , i.e., up by 257 b ps on a YoY basis.
➢ * Our SMA portfolio more than 1 crore , that is now 700 crore in one and two category . It is 0.36% of the total standard advances.

- Restructured book is coming down. Total Restructured Book is 3288 crore , of which Rs.2191 crore is COVID restructuring and general restructuring is 1097 crore.

- And when I talk about profitability,

➢ Our Net Interest Income grew by 12.2% on a YoY basis and 3.05% on a quarter -on-quarter basis. However, Net Interest Inco me, our NIM improved . Domestic NIM improved by 26 b ps to 3. 29% on a YoY basis. Our Global NIM improved by 23 b ps to 3.09% on a YoY basis.
➢ Our Yield on Advances - domestic improved by 13 bps to 8.76%. Our Yield on Advances on global basis improved by 22 bps to 8.46%.
➢ Our Operating Profi t increased by 9.81% on a YoY basis to 1321 crores in this quarter.
➢ Our Net Profit improved by 147% on a YoY basis to 551 crores .
➢ Our CRAR improved by 24 b ps to 17.09% on a YoY basis.

- Our Cost of Deposit has come down over the last six months . In December ’23 it was 4.91 , now it is 4.79. It's a 12 b ps reduction in cost of deposit .

- Cost of Funds over six months has remained the same at 4.79.

- Yield on Funds has improved from 7.94 to 8.36. Our Yield on Advances has also improved from 8.46 % to 8.72% on a six months basis.

- This is about the total business performance of the bank and now I'll just highlight about the initiatives w hich the bank has been taking over a period of time . Bank, as you all know, we had in the previous yearly results we have spoken about the IT initiative budget of Rs.1000 crore and various projects have already been started . Around Rs.280 crores of orders have been placed and certain other project s like Integrated Treasury , establishment of NOC Center , VM

setup and IT Asset Management and whitel isting , TBML Software at overseas center. All these have already been started. Now, we are in the process of floating RFP for SD WAN, APM, FXPC , Omni Channel , Network Refresh , Overseas Finacle Upgradation and Security Upgradation . So, all these initiatives will be taken up in this quarter and next quarter and we believe that by the end of this year all these projects will be up and running in various stages.

- Bank started Tab Banking previously and now we have around 1700 branches which are already having T ab and we propose to take to 2000 this quarter and by the year end we intend to reach to all 3000 plus branches.

- Bank has also introduced Green Deposit product wherein we are offering additional incentive to the Retail Term Deposi ts by 20 bps over the normal rate .

- Bank to improve our CASA.

- We have also introduced ‘UCO Pink Basket’ for our female customers wherein UCO Aprajita is a saving scheme , UCO Jai Lakshmi for women entrepreneurs through current account and UCO Sanchayika has RD scheme has also been launched to support our women customers.

- Then , we have also started various initiatives to improve our customer service. A state - of-art Call Cent er has already been implemented. Now, we have started Customer Experience C ell also wherein we are talking to the customers whose grievances w ere redress ed whether they are satisfied or not. That is in the process to enhance our customer journey .

- To support MSME s, we have launched various new products like MSME for purchase of their office for rice sellers . Co-lending tie up has also been started with three new tie ups with MAS Financial and certain other NBFC s.

- In ord

er to strengthen our underwriting standards , we have now started the hub structure across the bank. Earlier, we had only around 20%-25% branches connected through the hub structure , now all our branches are connected with the hubs from 1st July onwards. We have 43 Retail Loa n hubs , we have 43 MSME and A gri hubs and we have 12 integrated hubs at certain state centers where MSME and Retail both are taken care. So , all these hubs have been put in place in order to enhance standardized underwriting standard across the bank.

- Further , to ease customer convenience , we have started new products also on digital initiative . STP journeys have been started . For Pension Loan, STP journey is there , for Top-up Gold Loa n, it is there , pledge of Gold Loan is there . So, various initiatives have been started. We have also introduced e -vehicle product for our customers . For our Education L oan, we have revamped our Education Loan schemes to strengthen the Education Loan portfolio .

- As regards staff is concerned , the average age of our staff is around 38.5 years and around 29 %-30% is our female staff. And in order to strengthen, we are recruiting this year staff in…How many staff we are taking this year?

- Management :

- We have taken so far 305.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- In the clerical category. Customer Relationship.

- Management :

- Clerical and it is…

- Management :

- AFO.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- AFO. AFO.

- Management :

- Another 125 to be…

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Another 125 will be planned in this. So , we are also participating in all digital initiatives of RBI and knowledge hub also to strengthen our position there.

- So, these are the few initiatives I thought let me speak in my opening address. Whatever is your queries, your observations, we'll be more than happy to address those. Thank you very much.

- Moderator :

- Thank you, Sir. So, we'll start the Q&A round. I'll call out the person name and he can unmute. So , our first question is from the line of Mr. Ashok Ajmera . I will request you to unmute yourself and go ahead with the question.

- Mr. Ashok Ajmera – Participant :

- Compliment s to you, Sir, for that number.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you. Thank you, Ajmera ji.

- Mr. Ashok Ajmera – Participant :

- And o n the profitability front also . The Net Profit also is improved. Even the Operating Profit is good. Provisions has been kept as usual, I mean normal this thing . Only thing , little bit I think provision for NPA is there . If you compare from the last quarter to now 39 6 crores and even this fresh addition in the slippages of the N PA is also little …W e thought it is t apering down but still it is 479 crores. T hough your recovery from written off Account is good.

- So, Sir, I mean, are we feeling still that we need to keep providing for the NPA because for the last 2 -3 years book is very good actually ? Yes, the asset quality has increased and our underwriting norms have also become solid and more better one. So, d o you feel still that there is a need, I mean, the slippage s will continue and there's need for more provisions for the NPA qua rter after quarter ? This is number one.

- Number two, the recovery from the written off Account is good. . What is the total written off Account book of the bank ? And whether you expect the same trend of recovery in the coming quarters of the year ?

- My third question is on this change in the policy of RBI for classification of our investments. And because of that we have taken a hit of 751 crore decrease in the General Reserves. So , if our Treasury can explain that why such a big amount had to be …? Otherwise , it would have been mark -to-market had prac

tice would
not have been changed. So , are we expecting a loss on that account if it would not have been reduced from the General Reserve or is there any other reason?

- So, these are just my few questions now .

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Okay. Thank you, Ajmera ji. See, Ajmera ji, first question was about slippage. See, if you look at slippage from our '2023 , our overall slippage ratio was 1.75% and in next year '24 our slippage ratio was 1.3. So , we have been working to control our slippages on a quarter -on-quarter basis . On a yearly basis we have come down . And if you look at slippages in this quarter, that is 1.02%. So , our target is to keep it around 1% in this year also so that the dec reasing trend continues . And when we are in a lending business , when the book is also growing then slippages cannot be ruled out. Number one.

Number two, provisions . We as a precautionary measure , as a forward looking into new guidelines which may come in the times to come ECL, so what we have taken that we have provided extra provision on certain class of assets, right . And in Doubtful 2 category , where our asset is more than 1 crores , we have provided 100% in all those assets ; Doubtful 2 which are likely to go to the Doubtful 3. So, we have provided for fully in those assets . We have provided for around 50% in D 1 category also. So , that is on account of increased provisioning on a prudence basis which we have done in this quarter to incr ease our Provision C overage Ratio also an d to increase over Tangible Provision C overage Ratio particularly. As a result, our net NPA has also come down and gross NPA is also now coming down with the controlled slippages and the recovery.

- Third thing was, Sir, recovery in written off account , we have around 27,000 crores, return of book available and now the trend is, the low hanging fruit from the written off book has already been recovered. Going forward, the run rate for recovery of return of accoun ts may not be at the same level but now we have to more depend upon the field ground level because small accounts are also part of the written off account . Out of 27,000 odd crores, 19000 crores is in the NCLT book. So NCLT hard core NPAs, out of that some are under liquidation also, they are under various stages. So going forward, it may not be the same trend but yes, if we have strengthened our field, we have brought out special OTS Scheme also from 1st July which will give boost to the return of recovery from the field from the next quarter onwards. 3rd thing Sir, that is you talked about the investment portfolio. Because of that, there is a decrease in the general reserve by 751. Actually it is not the decrease in the overall networth of the bank because it is on account of recap bonds and recap bonds which we were earlier taking on face value, now we have to take them on fair price value. As a result, which we were earlier deducting for calculating CRA R, this 751 crores, which now we are taking to the general reserve. So when we talk about CRAR, it will not have any overall

impact. So that we were already taking care at the time of calculation of CRAR, now it has come in the books. It’s as simple as tha t.

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- Ajmera ji, good afternoon. Actually we can explain to you like this. Earlier we were taking this zero -coupon recap bonds of around 2600 crores at face value in our investments. But as per the RB I guidelines, because these are zero coupon bonds, we have to discount it to the NPV and accordingly the difference was taken into account for calculation of capital. So it was being reduced, the difference amount from the capital. Now as per the new guide lines, we have to basically fair value all the items in our investment, so we have done this fair valuation and due to this fair

valuation, the same discount which was being
applied on the capital is now taken into the general reserve directly. So now the investment value has also reduced to that extent, that is on fair value only now, not on gross value and the difference has been taken into the general reserve. So in totality if we see, the 750 crores is due to that majorly, even after taking that also, t he net accretion is there which is being added into the capital due to this new valuation method. So overall, these new guidelines are capital accretive for the bank.

- Mr. Ashok Ajmera – Participant:

- So net net, no effect….

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- No impact, no impact.

- Mr. Ashok Ajmera – Participant:

- Sir, my 2nd question is on, every bank is facing this, deposit growth problem and we are also equally facing the same . But it’s better than some of the other banks. I think it is 2.67pc even in this quarter also. So how going forward in future, you continue to keep growing at the same pace. I think you are targeting around 13 - 14pc of the credit growth. So then how do you maintain that? If the deposit mobilization is not th ere to that extent or rather it is decelerating, it is reducing rather. So one on that. And secondly, our NBFC portfolio is very good, I mean the size of the NBFC portfolio is I think around, almost around 14 odd percent. So going forward, do we continue t o do the same trend of increasing that portfolio and what kind of yield overall we are generating from that portfolio?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- You are right Sir. I think credit deposit gap is a question mark on everybody's mind. Let me just take you back to our CD ratio. Our CD ratio in March 23 was 64pc and now we have reached in the last 5 quarters to 72pc. So we are having around 26pc of our SLR securities. Exc ess SLR securities are there. So whatever is maturing, we are using those securities also. We are using our….what you call that? Refinance facility also because this quarter I think we have taken around 900 odd crores of refinance also and whatever avenues are there to raise through the TREPS market because cost of deposit is higher, so the cost of raising funds through the TREPS market is lower. So we are using TREPS market because we have excess SLR securities. Right? And we are planning to reach to 75pc by keeping our deposit growth of 8 -10pc and advances rate of 12 -14pc. We don't foresee any challenge in reaching those levels. If you look at our deposit growth in this quarter, in this quarter our growth is around….total global deposit is around 2pc and o verall domestic deposit growth is around, again same 1.89pc and on YoY , it is, 5.87pc. Our focus is on CASA this quarter and in the next quarter and retail term deposit, for that we have launched certain schemes also and we will continue to strive for low -cost deposit and retail term deposit and intend to reduce our dependence on bulk deposit. As a matter of policy, whatever bulk deposit was as on March 2023, now even today, we are below that level and as a percentage, we are bringing it down on a quarter to quarter basis so that we widen our base and we accordingly take stable deposits over a period of time. The 2nd thing Sir, the NBFC exposure is around 14pc of our domestic advances. If you look at our figure, percentage of NBFC advances to total domestic advances is coming down on a quarter on quarter basis. So we inten d to keep that percentage in that trend only. We don't want to increase our percentage because NBFC exposure of 14 % is reasonable. We don't want to go beyond this also. So within this range , we will keep our exposure, overall exposure.

- Mr. Ashok Ajmera – Participant:

- Just one call, the overseas book, I mean which grew faster in this quarter. So where are we putting this money in the overseas…..we are an Indian company

.
What kind of yield are we getting on that? I mean, must be a very small meag re amount or we are getting some good handsome income from that?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, in overseas, our book grew, both in deposit also and in advances also. In advance s, we are going for the primary syndication and secondary syndication also and wherever the, we have a reasonable NIM, so we are going for those

advances. And the corporates maybe from India also or overseas also, both type of corporates are there while en tering into. For deposit, if you look at Y -o-Y basis, our deposit grew by around 4000 crores because while there was opportunity in overseas, while taking into that, I think the overall cost was lower than the cost of deposit which we were able to raise do mestically. So we rose deposit from the overseas market, earlier also and the current quarter also because the overall cost was coming down. As a result , you will see, in this quarter, our cost of deposit has come down from the previous quarter and cost of funds has also come down slightly in this quarter. So , this is a calculated strategy that we monitor our rates, domestic and overseas on a daily basis through our Fund's Committee and we take a call to raise deposits from which source it is convenient and cheaper mode of deposits.

- Mr. Ashok Ajmera – Participant:

- Ok Sir, thank you Sir. Thank you for this opportunity and if time permits, I will come again.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you.

- Moderator:

- Thank you. Our next question is from the line of M.B Mahesh. You can unmute yourself and go ahead.

- Mr. M.B Mahesh – Participant:

- Hi! Just one question – in slide 33, the SM A zero on the corporate and others has gone up from 366 crores to 1892 crores. If you can tell us wha t's happened here?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Just give me a second. Actually SME zero in one corporate account because that account was opened just before the fag end of the year….quarter and there was a one day interest charged in that acc ount and that was serviced on 1st. So immediately thereafter it was serviced on 1st. Because of that it came around 1000 crores, account was there. So because of that only. As on date, it is fully recovered and SMA 1 and 2 is less than 700 crores, more tha n 1 crore. We are monitoring more than 1 crore, each SMA.

- Mr. M.B Mahesh – Participant:

- Sorry, I didn't understand Sir. You are saying that the account was opened this quarter and there was an interest rate outstanding. Is it?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Ya, it was only 1 day interest because it got opened the day before the close and immediately on 1st, it was serviced. It's because of that.

- Mr. M.B Mahesh – Participant:

- Ok. The 2nd question is on slide no.18. The securities receipt is down from Rs.1061 to Rs.54 crores.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, the security receipts have been now marked to market and in the new guidelines and since it was already 100pc provided for, so there is no impact otherwise. So now only the present market value has been taken. Fair value, so the fair value has been taken. It is because of this but since it was already provided for fully, so there is no impact on our P/L and reserves.

- Mr. M.B Mahesh – Participant:

- Ok, fine. Done, thank you.

- Moderator:

- Thank you. Participants, who wish to ask questions, can raise their hands. The next question….so we have one question from the chat box from Mr. Raju. He asks, "Yield on advances during the quarter declined sharply on Q -o-Q basis. Can you ple ase specify the reason for the same? Also, given the cost of funds have almost peaked, what is your outlook on them?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Yes. See, yield on advan

ces has come down because in the previous quarter, we had recovered from the TW O where the…..around 100 crores was part of interest income which was ….previous quarter we recovered. So that was the reason that this quarter, the yield on advances has come down by 109cr……28…..so there is a 81 crores gap in the ….so 26 bps is the gap. Because 81 crores is the net gap in total. So that is the impact, because of this reason.

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- Moderator:

- Ok. So the next question is from the line of Mr. Sushil Choksey. Please unmute yourself and ask your question. Mr. Choksey, you can unmute yourself and ask the question. Ok, since we are not getting a response, our next question will be from the line of Jai Mund hra. Please unmute yourself and ask your question.

- Mr. Jai Mundhra – Participant:

- Hi! Good afternoon!

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Good afternoon!

- Mr. Jai Mundhra – Participant:

- Thanks for the opportunity. Sir, my question is on the yiel d of investment. After these new investment norms, yield on investments have gone up quite sharply. Is this because now AFS are being amortized or there is some other reason in the new framework as to why the yields have gone up?

- Mr. Rajendra Kumar Sabo o – Executive Director, UCO Bank:

- Jai, basically there are both the reasons. One is that, our portfolio structure also we are changing. In the last 1 year or so, you have seen that yield have been increasing. Whatever face….incremental investments are hap pening, that is on little bit higher yield, so that is also helping us. And then this amortization, now the amortization is both ways. Earlier it was only 1 way, only the premium had to be amortized, now the discount is also being amortized. So now that is also helping, means both are the reasons which have helped us improve our yield on investment.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- And denominator fact is also there.

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

– Ya. Because now it has been fair value, now the investment is on a fair value and it has risen, instead of gross value. I think it is clear to you.

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– Mr. Jai Mundhra – Participant:
– Yes sir, clear, thank you sir.
– Moderator:
– Okay, so the next question we have fr om the line of Mr. Sushil Choks ey, please unmute yourself and go ahead.
– Mr. Sushil Choksey – Participant:
– Good evening. Congratulations for stable result. Sir, I am looking for based on the current deposit mobilization issues, what would be our guidance in mopping up resources and advances?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Choksi ji, currently our deposit growth, as you have seen is around 7.39% on a YoY basis, and our guidance at the start of the year was 8% to 10%, and advances growth was 12% to 1 4%. Why we have given a guidance of lower deposit growth, basically because our CD ratio is still less than 75. We are working towards achieving 75% CD ratio. We want to raise funds at the time when we can deploy them profitably. So currently, we have enou gh resources available, we have excess SLR securities, which we are using to raise resources, which is cheaper in the current scenario. So, we will go for deposit once we achieve around 75% of CD ratio in a larger way only. So, till that time our focus wil l

continue to be on CASA growth and retail term deposit growth. And as you see, that our total CASA share in this quarter on a YoY basis has improved by 52 bps to 38.62%, though it is below the industry benchmark. But we are able to maintain this ratio in spite of tough conditions in the deposit market.
– To raise deposits and to raise CASA, we have taken various initiatives. First, is to onboard the quality customers for which we have launched ta b banking, which is now available with around 1,700 branches, which we will be launching to the 2,000 branches and

then to 3,000 branches in a phased manner. That is number one. Number two, we have launched a campaign to onboard our customers on the digital channel. And in one year, our onboarding, active onboarding to the digital channel for the retail saving bank customer is almost double. So, what was the level in June ‘23, now the active retail customers on mobile is double.
– We are targeting our current account holders also, where we are giving them… You can see in our presentation our digital adoption in current account is also improving through sound bo x, QR code, and we have a corporate mobile

banking app also, where also transaction flow is increasing and improving. So, all these steps we are taking to tap res ources.
– Further, to tap women customers, we have launched three innovative products as a Pink Basket for women customers also, wherein we are targeting their savings account, and through recurring deposit, and also for the entrepreneurs, we have launched a current account scheme specifically for women entrepreneurs, wherein special benefits have been passed on.
– So, we expect that these things, in addition to the initiatives which we have taken in the previous quarters and previous year by launching our re source vertical… now this quarter we have launched Zonal Resource Head also at the field level. We expect these efforts or these steps will enable us to enhance our CASA and improve our CASA growth in the remaining next quarters.
– Mr. Sushil Choksey – Participant:
– Sir, I have no doubt in your credit growth number reaching 75 or exceeding 75 where your CD ratio is concerned. Am I to assume that based on the current treasury yields which are likely to play between 6 .85 and 6 .95, or it may go to 6.75 in the cu rrent quarter, are you balancing a treasury profit along with your credit growth rather than taking high -cost deposit in the first half? Is that assumption, right?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes, you are right. We are not going for the high -cost deposit currently. If you look at our total bulk deposits, we are still below or around our March ‘23 level. So we are not going for the bulk deposit. The bulk deposit is very costly currently also though the other rates, our call rates and our traps, our G -Sec rates have come down, but the bulk deposit rates still are in a very higher side. So, we are not taking deposits at those rates currently. Once the rates come down, then we will start taking deposits also.
– Mr. Sushil Choksey – Participant:
– Sir, i s it possible for us to reach a CASA of 40 -42% range in the current year?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– It will be tough given the current environment. Because, as you also know, there is a report also and our RBI Governors have also talked about , that customers are going from a savings habit to an investment habit. So, it is tough. But with the

initiatives which we are planning, we believe that we should be able to reach maybe year's time, if we continue our efforts in that direction very serious ly. And our field is also activated. Maybe next year we will be able to reach, not in current year.
– Mr. Sushil Choksey – Participant:
– Sir, noting SEBI Chairperson as well as RBI Governor's statement on fund getting diverted to markets, stock market by reta il, how are we in cross -selling or any initiative, earning any profit out of eastern India specifically where our CASA ratios are high, e specially the eastern state where we have larger presence compared to our competition?
– Mr. Ashwani Kumar - MD & CEO, U CO Bank:
– See, to take the benefit of all those things, on our app we have a technology integration with a service provider wherein our customers can onboard for their

Demat accounts, their trading account and also for mutual fund subscription on a SIP basi s. So that facility we have already integrated with our ap

p. And all our customers have been made available so that they need not go to any other bank for using their services. Within the bank, we have given that facility to our customers so that in turn b ank also earns something as a cross -selling of the product.
– Mr. Sushil Choksey – Participant:
– Is cross -selling fetching us 25 -50 crores or it is at a nascent stage?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– It's a nascent stage. From the mutual fund and the broking business , it's a nascent stage because it is yet to take off in a big way.
– Mr. Sushil Choksey – Participant:
– Sir, my next question is to Mr. Saboo. How does he see treasury profit and the yield pattern behavior for the current year?
– Mr. Rajen dra Kumar Saboo - Executive Director, UCO Bank:
– So, Choksey ji, you have already told how the yields are going to behave in the near future, as we all understand the current market situation. So, what I can say is that, because of the new guidelines by RBI about the valuation of investments, the actual profit booking plus only M2M about the FVTPL book will help us

through the profit and loss account. Any gains in the AFS book will only go to AFS Reserve. It will not help us in the profitability part. We hav e surplus SLR still around 7.5%; surplus SLR we are holding. Gradually it is reducing as we are getting the redemption and maturities or some part through market opportunity, if there is any, to book profit. So, gradually it will move in that way only goin g forward. And if we see some better yields coming forward, if we get some more opportunity for booking a profit, that trading call obviously will be there. So, it will depend upon the market fluctuation, volatility and various factors. So, profitability o f treasury through trading will only be helping us in going forward, basically. So, in the current position whatever we have shown, that also includes the fair value gain in FVTPL book. And I do not expect that to continue because once it is booked… becaus e this is the first time valuation method we have applied in the June Quarter. Going forward only the incremental gains will be there. So, it will be not up to that level.
– Mr. Sushil Choksey – Participant:
– Sir, I appreciate that you take a clue of what yi elds I am recommending, but what is your bank's view that is more important. I may speculate and ask any yield. That does not mean the bank will speculate on that basis.
– Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
– So, no we have our own treasu ry setup. Our dealers and our Chief Dealer and the treasury people take a call on the market depending upon the market situation. But we do not speculate. You know, we are maintaining SLR book and other investments also. But the treasury dealers take a cal l. So, we do not speculate and we do not even give any forward guidance also because this is a market based phenomena which we cannot comment upon. So, I think that it’s better leave to people like you who are operating in the market.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See Choksey ji, there are two ways of looking at it. One has to take a call whether they want to protect their interest earning for the future or they want to book profits. Right? So, if I have to protect my interest earning for the fut ure and probably the bank can go… any bank. I am not talking about my bank or any bank. They can go for high yielding securities to continue in the book and keep interest earnings safe, so that they will add to the profitability and operating profit in the short term. If I have a short -term vision, I can book profits also. So, both ways, every bank will have a different strategy.

– Mr. Sushil Choksey – Participant:
– Where co -lending and digital initiatives are concerned, you may have tied up MAS and few more names as you specifically said. Is this only specific to MSME or a

re we looking at co -lending? So, your peer banks in your size of assets and advances, have started focusing on multiple partnerships. So, is our technology

stabilized for co -lending on a larger pie to take our book to 8,000 -10,000 crores in MSME or various housing loans or affordable housing or any other segments?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, our co -lending is not only to MSME, co -lending arrangements are MSME also, retail also and Agri also. All three segments. And now our technology partner is well stabilized. And I think now it is more than six months it is stabilized. Earlier, we had taken them on board, there were certain initial hiccups. Now, technology is fully stabilized and we are able to onboard our co -lending customers also on a regular basis.
– Mr. Sushil Choksey – Participant:
– How are you seeing the shaping of co -lending platform, because sourcing is a big issue which the partner may be bringing on tab le? And those customers can add a lot of value, because once the customer is at your end, they establishing further benefits is possible. Are you seeing any traction on a bigger way a month on month or…?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– This is a v alue proposition which this co -lending model brings to the bank. And since the bank has started various partnerships, I think from the next quarter onwards, we will start reaping the benefits of this relationship with our co -lending customers who are onboa rded on an individual basis. So, maybe next quarter onwards, we will start reaping benefits of those relationships which we are building now.
– Mr. Sushil Choksey – Participant:
– Sir, how are you preparing for the government holding or SEBI clause on the 75% ownership? Because I hear in the street that government is reluctant to sell, whereas we need to dilute. So, how is that balance going to be achieved?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– See sir, we have already taken Board approval and our AGM has a lso approved for issuing 400 crore equity shares for the face value of 4,000 crores. And if entire thing is done, then we will be able to reduce our government holding to less than 75%. To begin with, we have already sought approval. We have written to the government for giving approval to raise 2,000 crore in the first tranche, because raising that much of money in one tranche is not possible. So, we will go in a tranche wise. We have already taken Board approval also for publishing RFP also and for onboar ding merchant bankers. And once that approval comes, we will come to the market at the opportune time for raising capital.
– Mr. Sushil Choksey – Participant:
– So, you are looking at fresh issue of shares, not OFS?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes, currently option with us is issuance of fresh shares only. But the option continues to be with the government for coming out with an FPO.
– Mr. Sushil Choksey – Participant:
– Sir, how are you… I see one large bank taking a lot of advantage between international and domestic and quarter -on-quarter showing some profit in treasury. Are we getting any benefit of that kind in treasury of arbitrage income?
– Mr. Ashwani Kumar - MD & C EO, UCO Bank:
– Not too much. Not too much. We are not seeing too much of arbitrage.
– Mr. Sushil Choksey – Participant:
– And how is the international book shaping up, sir?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- International book is growing, sir. And if you see, our international deposit also, we have grown on a YoY basis by 48%. What we do on a daily basis, our Funds Committee meets and deposit opportunities, we see whether domestically it is cheaper or overseas centres it is cheaper, including our hedging cost. If it is cheaper there, then we go for the overseas deposit. You'll see that we have our overseas deposit has increased around 4,000 crore s in a

one -year period. That is
the opportunity we see always. And on the credit front also, we go for the prima ry and secondary syndication and also the LC bill discounting. But major

focus is on the primary and secondary syndication where we get a reasonable return.
- Mr. Sushil Choksey – Participant:

- Is there any word or any outlook on the associate Bank where I s ee that there is a little turnaround for us?

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Sorry, I couldn't understand.

- Management – UCO Bank:

- It is the Paschim Banga Bank.

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Paschim Banga Gramin Bank?

- Mr. Sushil Cho ksey – Participant:
- Yeah, yeah. That's right.

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Ah, so that is already turned around because earlier that was into losses. Previous year they made a profit, good profit and current year, since their results were not audited, so we could not place those results in our... but in the consolidated numbers, we have taken around 4 crores....

- Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
- 4 crores, yes, our share.

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Our s hare, our share. But now things have changed from the previous year things will improve on a quarter -on-quarter basis at that level also.

- Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
- And now they are complied with capital also.

- Mr. Ashwani Ku mar - MD & CEO, UCO Bank:
- Now they are complied with the capital also. That is also there, yes.

- Mr. Sushil Choksey – Participant:
- Yeah, I noted that. Sir, congratulations and good wishes for the current year.

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Than k you.

- Mr. Sushil Choksey – Participant:
- And if there are any further questions, I'll join back the queue.

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Thank you.

- Moderator:

- Thank you, sir. We have one question from the chat box from Mr. Ashlesh. He asks please share a breakup of your NPA provision of ■396 crores. Net NPA has declined quarter -on-quarter by only ■150 crores. Hence, increase in provision for D1, D2 and write off does not fully explain the ■396 crores?

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, I have breakup. Yeah. Give me a second. Give me a second. I'm just taking it from my team. I know additional provision which we made na. Additional provision in which s egment. His question is on which segment how much additional provision, aging provision is how much, and the substandard provision is how much, fresh provision. Breakup of 396.

- (Background conversation – trying to get the required information from the co ncerned team)
- Moderator:

- Sir, in the meantime, we can take another question?

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Yes. Please go ahead I'll just give you he's bringing the paper because breakup is not readily available. Just working on that.

- Modera tor:

- Okay, the next question is from the line of Ashok Ajmera. Please unmute yourself and go ahead.

- Mr. Ashok Ajmera – Participant:

- Yes, sir. Thanks for giving the opportunity again for the second time. Sir, again one question is on, which we have not touched upon is on NARCL, I mean, the recovery. Though we have talked about overall in general, the recovery. I mean, NARCL we identify good number of accounts and a good amount also, but only one account has been resolved according to you, and only 4 crore worth of account has been resolved so far. And you are saying that 3 accounts, the bids are given, received, and there are certain sorry, bids are for two and six are kept pending or maybe because of some stay or something. Can you little bit elabora te on this entire NARCL portfolio? And how do we, I mean, in our planning for the next three quart

ers, how do we expect the recovery from it?

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, Ajmera ji, one account is already settled through NARCL during this quarter wherein we recovered 4 crore rupees. Right. There are six accounts under discussion, various stages, currently which are identified by NARCL, out of that six accounts pertains to our bank where we have exposure. Right. So, in two accounts they are in a very advanced stage where bids have been submitted and that is under examination and our exposure in those two accounts is Rs. 121 crores. There are three accounts where it has been kept on hold temporarily because of some issues which are going on, j ust give me, I'll give you that also, because one account has already been admitted in NCLT. So, NARCL has kept on hold that account. One account there are certain discussion of OTS are also going on with the promoters. So, that is on hold and another acco unt is also under C IRP. So, these three accounts have been put on hold currently and once those things don't materialize, probably it will be again taken up at the NARCL stage. And there is one account which is under discussion, in which our bank exposure is around Rs. 76 crores in that account. That is due diligence is going

on. Once the due diligence is over, then they will be advanced stage of giving offer and bids will be submitted. So, these are the six accounts where we have exposure of 850 crores which are under various stages.

- Mr. Ashok Ajmera – Participant:

- So, sir I mean, approximately how much, at what valuation we think anything around 25 30% of the overall this thing or 35, 40%, if you take a bid?

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Currently, no idea, because we don't have any idea about the offering which will be available because it is difficult to predict anything.

- Mr. Ashok Ajmera – Participant:

- Yes, sir. Anyway, we'll come to know as the time goes by. Sir this Saboo ji had explained about this you know Sanjeev’s question Treasury income. Now you see the Treasury, the income, which otherwise would have been in Treasury now has become a part of the interest income, the majority of it, because now we are not showing as a other inco me or this thing we are showing straight away as an interest because of the change in the policy. So, from 472 crore in the last quarter, it has come down to 90 crores. So, what is the exact calculation, had the system not have changed, had we got a simila r kind of profits, the Treasury income in the other income?

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- For this, Ajmera ji we will give you separately because exact calculation I don't have currently.

- Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank :
- Yeah. The breakup of 472, we have to see. But that is, means there are certain valuation gains there, which is not this time because, as I already told, the valuation gains are now going into the AFS reserve only, the AFS valuation gain.

- Mr. Ashwani Ku mar - MD & CEO, UCO Bank:
- So that is what he is asking? So how much is it for me?

- Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
- So, that was there in the previous quarter. Exactly breakup is not available. What was the actual profit booking and what was the valuation gain. But majority was the valuation gain only, that we can say, majority amount was that only, which is not availab le this time. So, that's why the fall in the income is there.

- Mr. Ashok Ajmera – Participant:

- Yeah. But it has increased the net worth there, it has added to the.....

- Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
- Yeah, naturally the AFS rese rve will help us in the capital. Yeah. Capital calculation, be part of that.

- Mr. Ashok Ajmera – Participant:

- In the capital calculation. Yes, yes.

- Mr. Rajendra Kumar Saboo - Execu

tive Director, UCO Bank:
- Yes.

- Mr. Ashok Ajmera – Participant:

- Sir, again , since the time is there, you know, this Agri portfolio is facing some issues with some states coming for waiver and are we in any way impacted by that or do we think that other states also might come out with similar kind of an announcement and how the b anks interests are protected from, because ultimately somebody has to foot the bill. So, how do we see ourselves?

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See Ajmera ji, if you look at the states, which we are talking about like ....

- Mr. Ashok Ajmera – Participant:

- Telangana.

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Telangana, we don't have much presence in Telangana because our presence in that state is not much and our exposure to the KCC segment is very small. It's not a number which is goin g to impact us so broadly. If you talk about Maharashtra, we are also again not having much presence because in the West our presence is

only 10% of the business outlets. So, 10% branches in the West, which include your Maharashtra also, Gujarat also. So, that much presence is not there and their portfolio, if I look at, that number is also not so significant. And these are the two states I think, which are majorly under discussion currently.

- Mr. Ashok Ajmera – Participant:

- Okay, sir. So, coming on this credit advance portfolio only I think I feel that little aggressive on this solar, alternative energy. And we have come out with some very good schemes also under that, so that the automatic sanctions can take place maybe up to 10 crore or something. So, how do you see that portfolio growing, I mean, what is our experience and performance and are we looking some amount, to generate from this kind of renewable energy credits?

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, we have launched a scheme also a nd we are promoting, and we are encouraging our teams also to fund those projects under these schemes and a lot of traction is there in the field because generally these sanctions are at field level, and we expect that maybe in 6 to 9 months we will build up a good portfolio under this scheme. So, we believe that this scheme is going to benefit not only credit growth, but also the economy as well.

- Mr. Ashok Ajmera – Participant:

- Thank you, sir.

- Moderator:

- Due to time constraints, this would be our las t question. I would request MD sir, for his closing remarks.

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Thank you, all our analysts and investors, for sparing your valuable time to join our conference call for the Quarter 1 results for the year 24 - 25. And as a bank, we have been consistently showing our performance for the last 5 quarters. Gross NPA has been coming down, Net NPA has been improving. NIM is improving. Our asset quality is also improving. As our restructured book is coming down, our S MA levels are also under control and the Bank is taking various initiatives

to strengthen its IT infrastructure, Cyber security infrastructure and also improving its digital initiatives. We are in the process of launching our digital transformation and next 12 mont hs we intend to go in a big way in our digital transformation by digitizing all our products, making them available on our app, internet banking to facilitate our customers who apply to subscribe to those products at their sweet will, at their choice of lo cation where they will want to. So, we'll continue to improve further in the times to come and hope to make performance stable in the times to come. Thank you very much.

- Moderator:

- Thank you, sir. Thank you to the management of UCO Bank for giving Antique Stock Broking this opportunity to host the call. I would ask the participants to end their meeting. Thank you.

END OF TRANSCRIPT

Call: Oct 2024

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Madam/ De ar Sir

Re: Transcript of Post Earn ings Co nference Call held on 21.10.2024

We enclo se the transcript of Post Earning Conferen ce Call held, in pursuance to
Regula tion 30 of SEBI (LODR) Regu lations and NSE guidance note dated 29.07.2022.

The transcript of A nalysts/Investors Meet i s uploaded on bank’s website and the
same ca n be accessed throug h below link :

https://ucobank.com/documents/d/guest/transcript -of-post-earnings -meet -q2fy25

Please take the above on your records and disseminate .

Yours sincer ely,
For UCO Ba nk

(Vikash Gupta)
Company Sec retary

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Q2 FY25 RESULTS
Post Earnings Conference Call with Analysts/Investors
Date 21.10.2024

Time 03:00 pm
Mode Virtual (Webex)

Bank's Senior Management is represented by :

1. Mr Ashwani Kumar, Managing Director & CEO

2. Mr Rajendra Kumar Saboo, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

– Moderator:
– Good afternoon, ladies and gentlemen. Welcome to UCO Bank, Quarter 2 FY25 Earnings Call. It is my pleasure to introduce to you the senior management of UCO Bank with us. We have Mr. Ashwani Kumar - MD & CEO, sir. Mr. Rajendra Kumar, Saboo - Executive Director. Mr. Vijay N. Kamble - Executive Director. We'll have opening remarks from the MD, sir, pos t which we'll open the floor for questions and answers. Over to you Sir.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you. I welcome all investors and analysts to this Post Quarter 2 results. Well, global business of the bank grew by 13.56% on a YoY basis , to Rs. 4,33,704 crores, of which deposits grew by 10.57% to Rs. 2,75,777 crores. Advances grew by 18% to Rs. 1,97,927 crores. Our total RAM stood at Rs. 1,08,200 crores with a growth of 20% on a YoY basis. Under RAM, retail advances stood at Rs. 47,039 crores, registering a growth of 29.36%, which was fuelled by home loan and vehicle loan growth - home loan growth of 19% and vehicle loan growth of 38.66% respectively. Agriculture advances stood at Rs. 26,987 crores, with a growth of 17.41%, of which the c ontribution to the SHG portfolio grew by 33.63% on a YoY basis. MSME sectors stood at Rs. 34,174 crores, registering a growth of 11.32% on a YoY basis.
– Now coming to operating profit. Operating profit of the bank for the quarter ended 30th September stood at Rs. 1,432 crores, registering a growth of 45.82% on a YoY basis, as against Rs. 982 crores for the same period in the preceding year. For the half year ended, operating profit stood at Rs. 2,573 crores, registering a growth of 26% over the previous year .
– Net profit as on 30th September stood at Rs. 603 crores as against Rs. 402 crores for the same period in the preceding year, registering 50% growth on a YoY basis. For the half yearly basis, net profit stood at Rs. 1,154 crores agains

t Rs. 625
crores, re gistering a growth of 84% on a YoY basis.
– Net interest income for the quarter ended 30th September, 2024 grew by 20% on a YoY basis. For the half year ended September 2024 net interest income grew by 16% on a YoY basis. Net interest margin for the quarter ended 30th September, 2024 on a global basis, was 3.10% as against 2.84% for the same period in the preceding year. For the half year ended, the NIM stood at 3.09% as against 2.92% during the preceding year. The NIM was supported by increase in cost of fun ds which grew by 32 bps, whereas the yield on funds grew by 52 bps. So, that added to our NIM margin.

– Coming back to asset quality. Gross NPA has improved to 3.18% as on 30th September, 2024, as raised 4.14% as on 30th September, 2023, thereby registering an improvement of 96 bps on a YoY basis. Net NPA improved to 0.73% as on 30th September, 2024, registering an improvement of 38 bps on a YoY basis. Provisional coverage ratio stood at 95.92% as on 30th September, 2024. CRAR of

the bank stood at 16.84%, whe rein tier 1 was 14.59%. Then cost to income ratio has also improved to 56%. Fee -based income grew by 15% on a YoY basis and quarter -on-quarter basis by 10%. Non -interest income grew by 53% on a YoY basis and on quarter -on-quarter basis by 19%. In our SMA, more than 1 crore Portfolio is around 1,500 -1,600 crores, which is 0.38% of our total advances.
– This was the overall performance of the bank. Now coming back to the guidance. We have given a guidance of deposit growth of 8 -10%, where now the growth for this September Quarter was 10.57%. Our CASA growth, again we have given a guidance of 8 -10%. CASA grew by 8.09% in this quarter. Credit growth, our guidance was 12 -14%. Overall credit growth is 18%. Within the credit growth, prime advances, I have already sh ared. Housing, retail, everything I have already covered. CASA percentage - bank continued to maintain 38% CASA over last 5 -6 quarters. CASA has been hovering around 37 -38%, and we continue to maintain this ratio. CD ratio of the bank has improved from 67. 25% a year before, to 71.77%. Our target is to reach to 75%. Slippage ratio - during the quarter we had little higher slippage of 800 plus crores. That was mainly on account of one corporate account slipping in this quarter, of approximately around 245 cro res, against which we have already made 50% provision for that. So, this was all about guidance.
– Now coming to certain initiatives which the bank has taken. In the previous year, the bank started with a performance management solution - PMS project for HR transformation, which was completed. Now the bank has started Project Parivartan, which is the digital transformation project, where we will be digitising our retail assets and liabilities' journeys over a period of time. At the time of launch, we have alr eady made new launches. UCO GST Smart Finance, this is STP journey, Pre -Qualified Personal Loan, STP journey, KCC STP journey to JanSamarth portal. We have revamped Shishu Mudra STP journey. We have revamped our KCC renewal up to 1.60 lakh STP journey. So, all these five new journeys have already been implemented. And as of date now, total nine STP journeys are available at our in our digital platform. Looking forward, we plan to launch 25 journeys by March 2025. And then, remaining initiatives will be cont inued in the next year also.

– The bank has also participated in the global fintech initiatives like UPI Circle; the bank has already implemented that. UPI Lite auto pay top -up facility has been made live. The bank has also introduced loan repayment facilit y through BBPS. We have tied -up with Swiggy, Zomato,pluto one for improving our visibility and debit card in the market.
– In order to strengthen our compliance and monitoring, we have started a new transaction monitoring vertical, wherein all transaction m onitoring from vario

us
verticals has been combined into one vertical. We have launched a Pulse program i.e. an alert monitoring system, which is again an integrated alert monitoring system, wherein alerts from different channels are coming and our teams ar e sitting there to monitor those alerts. We have also launched a new chatbot UDAY i.e. a Generative AI -based chatbot solution. We have also launched IVR in UCO Sampark 2.0, where our call centre is now enriched with 31 different self -service options throug h IVR. And through IVR, we are able to service 89% of our customers. The bank has also started to revamp WhatsApp banking. We are providing 35 services in 5 languages on WhatsApp banking. Tab banking was introduced last year. Currently, we have tabbed 1,69 8 branches, and we intend to cover remaining branches by March 2025.
– To garner more CASA and to give focus to female customers, new initiatives were taken. We launched a pink basket, where three unique deposit products, exclusively for women, UCO Aparajit a, a saving account, UCO Jaya Lakshmi, a current account, and UCO Sanchayika, a flexi -RD account, was launched with special features. UCO Udaan scheme aims at providing financial support to meritorious female students for taking admission in premier educat ional institutions of the country with 1.10% concession in rate of interest. We have also introduced woman -centric policy in the recently concluded board meeting. We are providing a special concession to home loan female borrowers, a concession of 0.05%. I n MSME schemes also, 0.25% concession is given.
– There are various other initiatives in IT and digital being undertaken. Bank has earmarked around 1,000 crore budget for IT, of which 36% has already been incurred, and remaining we plan to incur in this hal f year. Many new projects are

under RFP stage or under approval stage. So, all those things will be coming in this remaining part of the year.
– Thank you. This is what I have to share with you. Anything thereafter, we'll be open to questions and answers. Th ank you.

– Moderator:
– Thank you, MD sir, for your opening remarks. We now move to Q&A session. We will wait a minute for the question queue to assemble. If you wish to ask a question, raise your hand, you shall be unmuted. Question from the line of Mr. Ashok Ajmera.
– Mr. Ashok Ajmera – Participant:
– Good evening, sir. Saboo saab, Kamble saab, good evening. Our compliments to you for the good set of numbers in this quarter also. Even the last quarter was also good, the 1st Quarter as compared to some of the other banks. So, good set of numbers, whether you talk about the operating profit or the net profit. And even your asset quality is also improving quarter after quarter. Having said that, sir, I have got just a couple of observations and some questions, sir.
– On the credit growth side, though every bank is facing some issue on the credit side and as well as deposit side, in our case, if we take our target of 14%... because I will take the credit growth target of 14% being UCO bank, and I know that you can perform. So, our total credit should be around 26,000 crores in the whole year. What we have done is, only 11,000 crores so far. So, we are looking for about 14,500 to 15,000 crores of credit in the coming six months. So, number one is, how sure we are about that, looking at our sanction pipeline and some of the projects which are in pipeline, the sanctions, and some of the amount which is under pipeline for disbursements. So, how prepared we are? And are we sure that yes, we will achieve this kind of credit target? Deposit more or less… I think, out of 15,000… I mean, 26,000, we have already got it and we need to get only 13,666 crores. So, mainly on the credit side, can you throw some light on this, sir, on this question, that how do we plan to grow our credit to the target of almost about 26,000 crores this year? 26,162 as pe

r the target of 14%, should be.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, Ajmera ji, if you look at our growth, in both the quarters we have grow n around 6,000 crores in each quarter, around 6,000 crores.
– Mr. Ashok Ajmera – Participant:
– Yes, sir, 5.91% only in six months, two quarters.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– Yes, 5.9. So, our target is to reach to 14%, right? And you all know tha t the 2nd half is always a busy season where the credit growth picks up. Now, the festival season is also there. And a lot of action in our home loan and retail loan product is already there, in vehicle loan. If you see our housing loan portfolio, around 1 9-20% growth is there. And in our car loan, around 38% growth is there. So, these are the two major drivers for the RAM segment.
– Coming to corporate, a lot of proposals we are getting in the corporate segment also. But wherever we are getting good margins , operating margins, only there we are going for additional facilities. And currently, the way the projects and sanctions are, around 8,000 crores sanctions are already there, which if we are able to meet our margin requirements, we'll be giving a signal t o release. So, we don't feel any problem, any issue in achieving our 14% growth target. Given an opportunity… like currently we are growing around 18%. If you look at our credit growth in the last four or five quarters, it's around 14% to 18%. So, given an opportunity, we may achieve even a little larger number than the 14% also. We are quite confident in it, the way the pipeline is already built up with us.
– Mr. Ashok Ajmera – Participant:
– Thanks, sir. Point well taken, sir. Sir, a little bit on the advanc es side, the quality. We have got very good recovery in this quarter from the return of account of 520 crores. And even otherwise also, the things are under control as far as the slippages are also concerned. So, I would just like to throw some lights on t he coming six months, that are we going to maintain the same trend from the written off accounts? And what is the pool of written off accounts which we have, the total pool? And what do you expect in the remaining two quarters of

the current year?
– Similar ly, on the treasury side also, we are doing reasonably well. So, are we expecting some kind of a windfall in the treasury…? I mean, treasury also nowadays, is a part of the basic P&L. The income comes there because of the revised norms. So, on the treasury side as well as from the recovery side, how optimistic we are, sir?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– So, on the recovery, this quarter we had a good recovery. And I expect that in the coming quarter also we will have a good recovery from TWO bec ause there is already one account, one big account where we are expecting some recovery in this quarter. So, this quarter recovery will be more or less in the similar lines. Next quarter, pipeline is there, but we are yet to rationalize that and look at th e

pipeline properly. But if I look at the total recovery in this half year i.e. 1,729 from the write off of… and total of recovery and upgradation is 3,000 crore… Sorry, it was 1,100 crore in this half year, and full year is 1,700 crore. So, our endeavour will be that full year we continue to maintain that last year's recovery at least, 1,700 crore.
– Mr. Ashok Ajmera – Participant:
– Okay, that is good, sir. Just a last question in this round, sir. Some light on the restructured book, and what kind of provisi on on the standard restructured book which we are having? Or, are we having any buffer provision apart from the IRAC norms? Because in the restructured standard book there is some part of the COVID provisions also as well as non -COVID also. So, some inform ation on the overall provision on the restructured book, standard restructured, and as well as beyond the IRAC norms, if w

e are having any buffer of the provisions?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Sir, the restructured book, if you see, the restruc tured book has been coming down on a quarter -on-quarter basis. Now, the total restructured book stands at 2,786 crores as against 3,709 crore a year ago. So, around 1,000 crore reduction in the restructured book is there. And COVID restructured book has al so… Overall, COVID restructured book has also come down by 800 crores, from 2,500 crore to 1,700 crore. We are maintaining normal required margin on the restructured book as per Reserve Bank of India guidelines. In addition to that, we had maintained a pro vision of 530 crores towards COVID restructuring provision which we still continue to hold. We have not released that provision; that provision still continues to be in the books. Overall buffer which you were asking, overall buffer available to the bank, including this COVID restructuring provision, which is over and above, that includes approximately 1,000 crores. So, 1,000 crores is over and above the mandatory required provision which bank is holding.
– Mr. Ashok Ajmera – Participant:
– Okay, sir. Thank yo u very much and all the best to you, sir. I will try to come back again for some other minor information and questions, in case I get it.
– Moderator:
– Thank you, Ajmera ji. We have our next question from the line of Mr. Sushil Choksey. Sir, you'll be unmute d.

– Mr. Sushil Choksey – Participant:
– Sir, Good Afternoon. Congratulations on great stable result.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you, sir.
– Mr. Sushil Choksey – Participant:
– Sir, my question pertains to… from your media interaction, I understand there was a single account which led to the impact on Gross NPA and Net NPA. Is the recovery number target of 6,000 crore Gross NPA… can't it get better or you want to be conservative?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, 6,000 crore is our number which we have kept for ourselves. At that time, we had not expected this account to slip. Right? Having this account getting slipped, even then, we are continuing to maintain our numb er that we will be targeting less than 6,000 crores of Gross NPA.
– Mr. Sushil Choksey – Participant:

– Sir, is it a telecom account of the government entity?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes.
– Mr. Sushil Choksey – Participant:
– Okay. Sir, my next q uestion is on your CD ratio and margin sustainability. And if you can throw some colour on CASA, how are we shaping up? Because East India, I remember from earlier days, is a great source for CASA accounts. How are we working towards increasing CASA, keepi ng our margin stable between domestic and international book? With your sustainable growth and credit, which is likely to outsmart the number what you said, can I get some colour on the growth path as well as on CASA?
– Mr. Ashwani Kumar - MD & CEO, UCO Ban k:
– See, if you look at our CASA, our CASA has been hovering around 37 to 38% over the last, I think, around one and a half years. So, in spite of having huge pressure on CASA, we are able to maintain CASA. To garner CASA, we have

taken a number of initiati ves in the last year and in the current year also. Last year, we introduced Tab Banking to reach out to the customers for opening their accounts. We revamped our salary saving account with a tierized insurance product and other inbuilt incentives to deal w ith our bank or maintain savings account with our bank. Then, we also introduced resource vertical at our head office level. And in this year, we have introduced resource vertical at the zonal office level also. We have made a zonal resource team where the y are meeting customers, and around 300 odd staff members are engaged in reaching out to the customers at different zones and to open new accounts, to open new deposit ac

counts. We have also introduced special deposit scheme of 333 days with an interest ra te of 7.30%. We have also signed MOUs with some of the PSUs for their salary accounts. So, the focus on CASA is very clear. As a result, we are able to maintain our CASA ratio of 38%, number one.
– Your other question was or margins. See, if you look at my m argin, a year before, our margin was 2.84 %. Right? Now, we have improved to 3.10%. And from where the improvement has come? Just look at our cost of funds and yield on funds. My cost of fund has increased from 4.47 to 4.79. So, that is a 32 bps increase. W hereas my yield on funds, that has improved by 52 bps. And how we have improved our yield on funds? With the rebalancing of our loan products and portfolios, we have shed certain low yielding advances, and we have concentrated on RAMP segment, which is giv ing good yield as compared to the corporates. If you look at our ratings also, we have reduced our AAA rated advances and AA and A has increased and BBB. So, that way we have tried to improve our yield on advances and yield on funds also. So, all these ini tiatives will continue in this quarter and coming quarters also. And our endeavour will be that we maintain our margin guidance, which we have given earlier.
– Mr. Sushil Choksey – Participant:
– Sir, do you think interest rates, globally and in India, have p eaked? And treasury were rewarded handsomely, but where interest margins are concerned, specifically at MCLR, have we reached a peak or do you think it is still a pass - through system?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, if you look at the current economic scenario, I think there is a downtrend in the rate -cut scenario in the different parts of the world. But the given current situation of our country, the economic situation, inflation, our RBI has not yet taken any call. I think, once the economic scenario stabilizes in the country by

way of inflation control, because inflation is the main target which RBI is looking at, so that time once RBI is comfortable, they may come out with a reduction in the Repo rate also. That trend is likely to come. It is a matter of time. As soon as RBI is comfortable with the macroeconomic indicators, then they may come out.
– So, far as the peaking of rate of interest, I think MCLR is now almost peaked. Maybe basis cost of funds in one month or two months, there may be somewhat an upward reason by some of the banks. But, more or less, it is now peaked.
– Mr. Sushil Choksey – Participant:
– Sir, how are we benefiting in such scenario on the treasury profits in the 2nd half? As your CD ratio is likely to get to 75, that is w hat you are targeting, are we

monetizing adequate instead of just increasing our resources and redeploying towards corporate credit or retail credit? If you could answer that question.
– Mr Rajendra Kumar Saboo - UCO Bank:
– So, Choksey saab, yes, always we a re there in the market through our treasury and we look for opportunities in the market. And I think the CD ratio target of around 75% is there and we have surplus liquidity as our SLR is more than the required level of SLR. Wherever we get opportunity or we get the maturities, redemptions, we get those funds back. And then, we try to redeploy into the credit to increase our NIM. Our NIM as you have seen has improved, and yield on advances has also improved. So, overall NIM will be improving if we can deplo y our funds into better yielding advances.
– Having said that, again, the investment portfolio will also continue and we will not see any drastic changes also there, because we have to maintain the SLR and surplus HQLA as well for the LCR guidelines. Profita bility, where there is the opportunity, the bank is looking for the opportunity in the market. And not in a big way, but yes, as to the market trend, we are looking at the opportunities to book profit also wherever

it is, as per our positioning in the mark et and our targets.
– So, I think overall, the scenario as you have asked, the rate of interest scenario is still unfolding. In India, we are yet to see the rate cut cycle start because the inflationary pressures are still there and RBI is waiting for the n ew data set to come into the picture. Maybe the other parts of the world have already started cutting rates, but in India, we may have to wait for some more days. And, if that rate cuts come, we all know that the investment portfolio will yield more profit s if the rate is cut. So, that we will see.

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– That will go to the… that will not come to...
– Mr Rajendra Kumar Saboo - UCO Bank:
– Of course, as per the new guidelines, AFS reserve is there. So P&L is only the HFT part. Whatever is the pure HFT part under the FVTPL, that will only come into the profitability. So, that is limited depending on the activity in the HFT portfolio.
– Mr. Sus hil Choksey – Participant:
– Sir, can I ask one last question? How much is unavailed credit which you have sanctioned today between corporate? And what is the target on retail in the current portfolio?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Mr. Choksey, ar ound 8,000 crores is unavailed in the corporate segment.
– Mr. Sushil Choksey – Participant:
– Okay, sir. Thank you for answering all my questions. Good luck for the year.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– As we are settling for better rate of interest. If we are able to succeed, then we will discuss.
– Mr. Sushil Choksey – Participant:
– Thank you, sir.
– Moderator:
– Thank you, Sushil ji. If anyone wishes to ask a question, please raise your hand. We have the ne xt question from the line of Mr. Amit Mishra. Please go ahead, sir.
– Mr. Amit Mishra – Participant:
– Hi, sir. Thanks for the opportunity. Sir, you mentioned CD ratio of 75% you are targeting. So, by when we will achieve this 75%?

– Mr. Ashwani Kumar - MD & CE O, UCO Bank:
– See, our intention is to achieve it by March 2025. That is the reason we have kept a lower guidance for deposit growth and higher guidance for the credit growth.
– Mr. Amit Mishra – Participant:
– Okay. Sir, I was looking at your overseas loan bo ok, which is around 24,000 crores. There are no NPAs in that book. So, do you want to build this book or reduce this book? Do you have any target in your mind? What are the margins on overseas books?

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, again, ove rseas book, if you look at last two quarters, we have not grown our overseas book, basically, because we are not getting good margins. Once some good margin is available, definitely we will try to grow our overseas book also.
– Mr. Amit Mishra – Participan t:
– So, what are the current margins on overseas books?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Current margin is around 1.4 -1.5.
– Mr. Amit Mishra – Participant:
– Okay. And sir, your asset quality for the quarter was pretty stable. But I wanted to just ask, these agri slippages were higher as compared to last quarter or last year also. It was around 206 crores as compared to last quarter of 48 crores. So, anything s pecific happened there? Because other…
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Agriculture, actually, there is a phenomenon that it happens on a half yearly basis, because its classification is on half yearly basis. So, generally, if you look at September '23 number, that time also agriculture slippage was quite high, around 150 crores; last year, same quarter. September also? So, it is in line with the previous year, same quarter.
– Mr. Amit Mishra – Participant:
– Okay, sir. Sir, one last question. How much i s your loan gold book right now?

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Loan gold book

has touched around 8,000 crores.
– Mr. Amit Mishra – Participant:
– 8,000 crores. Gold loan book.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Gold loan book.
– Mr. Amit Mishra – Participant:
– Okay, sir. Thank you.
– Moderator:
– Thank you, Amit. Any other questions? Please raise your hand. We have our next question from the line of Mr. Sarvesh Mutha. Sir, please go ahead.
– Mr. Sarvesh Mutha – Participant:
– Yeah, good afternoon. Sir, I wanted to ask about the corporate slippages. This time, they were around 324 crores. So, what exactly is driving that?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, there was one corporate account having an exposure of around 245 crores. That slipped in t his quarter. So, that has added to this corporate slippage.
– Mr. Sarvesh Mutha – Participant:
– And how is the overall asset quality environment that you are forcing for the coming half year?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, if you look at our S MA book, more than 1 crore. Every quarter it is coming down. Around 1,600 crores, more than 1 crore. I am talking about 1,600 crores, more than 1 crore, includes my SMA -0, SMA -1 and SMA -2. And that works out to around 0.5% of my book. So, no big challenge in the current scenario when my SMA of more than 1 crore is very minimal.

– Mr. Sarvesh Mutha – Participant:
– Okay, and sir, on margins, we are probably on the rate cut horizon in India. And say if RBI does a 50 basis point rate cut in the next 6 months, how are we positioned for that?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, with regard to margins, in case the rate cut is there, definitely it will have some impact on the margins. But our strategy is to improve our CASA deposit and retail term deposit. To reduce our dependence on the bulk deposit. So, in that direction, th e entire team is working. You will see that in spite of such a challenging environment, we are able to maintain our CASA at 38%. And, as I already explained, we have launched various new initiatives for the CASA and

for the retail term deposits to attract retail term deposits. So, I believe that in case we are able to improve our CASA position and retail term deposits, I will be able to counter or will be able to reduce the impact of rate cut on our NIM.
– Mr. Sarvesh Mutha – Participant:
– Okay, thank you.
– Moderator:
– We have a next question from the line of Mr. Sushil Choksey.
– Mr. Sushil Choksey – Participant:
– Sir, on the retail mix, I see our home loan, vehicle loan, personal loan and others are growing. But looking at the growth pattern where UCO's presenc e is, what are we enabling that this growth number which can be beneficial on CASA, cross -segment and various parameters, will be more sustainable with the higher trajectory?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Sushil ji, if you look at our retail gro wth, particularly housing and vehicle, we have been growing in housing in the last, I think, 5 -6 quarters, from 17% to 20%. And in vehicle, we have been growing from 23% to 38% in the last 5 quarters. Definitely, it gives us a unique positioning wherein we are able to cross -sell or garner their CASA accounts also and third -party products also. So, the bank is leveraging all these opportunities.

– Further, another initiative bank has taken is that, the bank has introduced a retail hub structure - retail hub a nd MSME hub. Previously, only select few branches, only one -third of our branches, not even one -third of our branches were attached to the hub. Now, all branches are attached to the hub. We have retail hub, we have MSME hub. So, all branches are now in the development role, the business development. So, they are garnering leads and the leads are being sanctioned by the hubs. So, definitely, when they have ample time available at their disposal, when they have don't have to sa

nction, they have to only simply generate leads.
So, lot of cross -sell and up -sell opportunities are available with the branches. And I believe, our branches will encash that opportunity and leverage our growth in retail and MSME and housing, and particularly car.
– Mr. Sushil Choksey – Participant:
– Sir, my next question is, the transformation journey started by the current management team, of both the EDs and yourself, what is the digital spend you have already achieved? How much is left? And when do you see that entire initiative and the transformation journey starting to benefit the bank? Whether this year or next year?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, the transformation journey will help the bank in the next year in a big way. Current year we have started… just now around a month back only we have started our transformation journey, Project Parivartan, wherein we have taken an ambitious target of digitizing 25 journeys. So, all those journeys, first we have to develop, deploy. We have to go to the branches for the mindset cha nge by reaching out to the customers to subscribe to our digital products. We have already identified Digi Champs at the branch level who are equipped with the latest updates on the journeys which we are working on. And they will be reaching out to the cus tomers for creating awareness about the digital journeys. I think next year will be our big year when we will see our digital balance sheet also on our map. So, once the awareness… Once the journey and then awareness, both the things are available, then di gital balance sheet will be starting from the next year.
– Mr. Sushil Choksey – Participant:
– Sir, I am going back to my earlier question which I asked in the first round. My assumption is that 10 -year yield will trade between 650 and 670 in the last quarter of the current year i.e. between January and March. The RBI interest rate cut cycle will start in January to March, but not suddenly. MCLR, I assume,

would be at a similar rate of 8.9 to 9 %. How much of arbitrage possibility are you sensing between your t reasury book and your corporate book, where your yield on corporates may be somewhere around in the vicinity of 9 %, subject to not lending to NABARD, NaBFID and government companies, but more on private sector, MSME portfolio which is trending? And retail loan you might be doing at

8.4 to 8.7. So, how much of arbitrage possibility is there to balance between both?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, if you look at our investment book, we have a good amount of investment which is beyond our required limit also. As and when the opportunity is coming, we are liquidating the investment also. Even recently, we have taken a call to liquidate our investment prematurely and we have booked profit a little bit as well. And then, we have utilized that money in lending to the mid -corporate and retail segment. So, definitely, there is a good arbitrage opportunity available when the treasury bill, G -Sec rates are coming down, and we can lend profitably all those funds to our customers. So, we will continue to look at those opportunities in the remaining part of the year also to take the benefit of lower yield, when we can liquidate our investments and deploy them in the credit market.
– Mr. Sushil Choksey – Participant:
– So, any thinking process on buying corporate b onds which are yielding 9% kind of rates?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– That process is always going on. We have been buying corporate bonds at regular intervals wherever we feel that good yield is there and less risk is there.
– Mr. Sushil Choks ey – Participant:
– Okay. And sir, I had asked you a question on how much is our digital spend left in terms of value?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Digital total IT spend was 1,000 crores out of which I think 360 odd crores we

have already completed, orders have been placed. Remaining 600 crore projects are already in pipeline. They are in RFP stage or some are in evaluation stage, some are in approva l stage. So, I believe, by the end of this year, we will be through with this 1,000 crore of budget.

– Mr. Sushil Choksey – Participant:
– Sir, thank you for answering all my questions and best wishes to team UCO for the big positivity.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you.
– Moderator:
– Thank you, sir. We would be taking that as the last call for today. I would like to thank UCO B ank for giving this opportunity. MD sir, any closing remarks?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– So, Bank has been positioning itself in the digital area now. Earlier we worked on the HR transformation. Now Project Parivartan has been initiated, and we expect that Project Parivartan will give the results in the next year when we will be launching. We will be through with our journey by the end of this year. The bank will continue to maintain its guidance in the quarters to come. And we will make sure that whatever guidance we have given, we’ll achieve that guidance in the quarters to come.
– Thank you, all the analysts and investors for joining our Quarter 2 Results Conference. Thank you very much.
– Moderator:
– Thank you, sir. Thank you to the management of UCO Bank for giving Antique Stock Broking this opportunity to host the call. We now conclude the Earnings Call. Thank you, everyone.

– END OF TRANSCRIPT

Call: Nov 2024

■■■■ ■■■■
UCO BANK
■■■■■■ ■■■ ■ ■■■■■■■ ■■ Honours Your Trust

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HO/Finance/Share /235 /2024 -25 Date: 14.11.2024

National Stock Exchange of India Ltd.
“Exchange Plaza”
Plot no. C/1, G Block
Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 051
NSE Scrip Symbol: UCOBANK

Madam/ Dear Sir

Re: Transcript of Analysts/Investors Meet on 07.11.2024

We enclose the transcript of Analysts/Investors Meet held , in pursuance to Regulation 30 of SEBI (LODR) Regulations and NSE guidance note dated 29.07.2022.

The transcript of Analysts/Investors Meet (Physical Group meet at Mumbai) is uploaded on bank’s website and the same can be accessed through below link :

https://ucobank.com/documents/d/guest/uco -bank -investors -meet -7-nov-2024_transcript

Please take the above on your records and disseminate.

Yours since rely,
For UCO Bank

(Vikash Gupta)
Company Secretary

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,Fort,
Mumbai – 400 001
BSE Scrip Code: 532505
Vikash
GuptaDigitally signed by
Vikash Gupta
Date: 2024.11.14
16:49:45 +05'30'

Q2 FY25 RESULTS
Conference Meet with Analysts /Investors

Date 07.11.2024
Time 4:00 PM
Location Mumbai

Bank's Senior Management is represented by:

1. Mr. Ashwani Kumar, Managing Director & CEO
2. Mr. Rajendra Kumar Saboo, Executive Director
3. Mr. Vijay N. Kamble, Executive Director

TRANSCRIPT

Page | 2 – Moderator:
– Namaste and good evening, ladies and gentlemen. I trust you all had a great Diwali. My name is Mamta Samat and I will be the moderator for today's meeting.
– On behalf of UCO Bank and Dentsu Creative PR I extend warm greetings to everyone and thank you for joining us for UCO Bank's Quarter 2 FY25 Analysts and Brokers Meet. Today we are honored to have with us esteemed senior management of UCO Bank – Shri Ashwani Kumar – Managing D irector & Chief Executive Officer, Shri Rajendra Kumar Saboo - Executive Direct or, and Shri Vijay N. Kamble - Executive Director. We will begin with the opening remarks from the management followed by an interactive Q&A session. Before we proceed, please note that certain statements made in today's discussion may be forward looking in nature and are not guarantees of future performance. These statements inherently involve known and unknown risks and uncertainties that could cause actual performance and results to defer materially from those implied or projected. We encourage investors and participants to independently verify all information before making any investment decisions. Additionally, we request that questions be focused on financial performance and strategic matters.
– Thank you. I would now request Managing Director and Chief Executive Officer, Shri Ashwani Kumar to share his opening remarks. Over to you Sir.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– A very good evening. I welcome all analysts and investors to this call financial results for the half year ended 30th September.
– Virtually we have already done once so we thought let us meet in person also because for long, we have been doing all conferences virtually, so we thought let us have a one -to-one interaction, when we meet each other, we understand each other. Probably it g

ives us better opportunity to ask questions also; to make observations and it also gives us a feeling or the sentiment what is required or what else better we can do in the future also.
– As you all know I have with me our ED, Shri Saboo ji and Shri Kamble ji and CFO - Mr. Sujoy, our CRO - Mr. Shashi, our GM Treasury - Mr. Ashutosh, our local GM here stationed here Business Development GM - Mr. Rajeev and our Company Secretary also. Well, we have already shared the presentation that is available and if you wish we can run through in 10 minutes, and it is better to have the question/answer session for a longer time than I speak. What I would like to speak is about the initiatives, the growth momentum, how we are

Page | 3 – planning to sustain in the future. Numbers are already with you. I will just give you a brief you about the numbers before I go to the other part of the initiatives taken and how we are going to take the momentum going.
– So, total business of the bank grew around 13.56% on a YoY basis in September '24. And when I talk about total business out of that total deposit that grew by 10.57% and a dvances grew by 18%.
– When I talk about deposit, deposit has two components, one is CASA and the another is term deposit. And our CASA grew by 8% in September. And overall deposit growth was 10.57%. There was a lot of talk about the deposit growth in the industry and of late we have seen that RBI data shows that the deposit growth is now outpa cing the credit growth also. But at UCO Bank we have not been pursuing deposit growth to a larger extent for the very simple reason that our CD ratio at one point of time was around 63 -64% about a year back in March '23. And we have been working to improve our CD ratio which we have now reached up to

72% level. Still, we have large number of G-Sec securities available to leverage. We have been using that opportunity to leverage instead of going for the bulk deposit at a higher cost. We have been raising fun ds by taking leverage from the TREPS market.
– In this year, in this quarter also we have liquidated certain investments at a very attractive rate that time. Our target is to reach to 75% CD ratio. In the meantime, we continue the momentum on CASA and retai l term deposit instead of bulk deposit. Whatever bulk deposit was there since March '23 we have tried to make sure that absolute amount of bulk deposit remains within that range so that bulk deposit percentage ratio comes down on a month -to-month basis on a quarter -to-quarter basis. That is our internal target we have fixed for ourselves.
– If you look at our CASA ratio, CASA ratio has been consistently in the range of 38%, we have not lost on CASA percentage in the last one year or 6 quarters. Whereas you have seen that many of the banks are I think losing on CASA ratio maybe 1% to 2% but our effort has been to maintain the CASA ratio and also to see that the growth momentum continues.
– Then comes our advances growth. In advances our retail Agri /MSME put to gether grew by 20% in this quarter September '24. But when we look at historical trend for last 5 -6 quarters it has been trending in the range of 18 to 20%.
– Our RAM – within RAM our retail has been growing more than 18% for last 6 quarters. And this quarte r also our growth was more than 18%. Within retail our

 – home loan growth is also high double digit sometimes more than 20 also in the last 5 quarters and our vehicle loan growth is more than 39% in this quarter, previous quarter it was 33%, prior to that it was 30%, 27 and 23. So, like that every quarter the vehicle loan growth or car loan growth is doing well within retail. Agri also the growth is more than 18% on a quarter -on-quarter basis. And Agri growth is backed by our gold loan/jewel loan growth and also SHG growth. These are the two components where we are growing in the Agri segment. MSME growth is also 14%

on a quarter -on-quarter basis on a regular every quarter.
– These are the numbers on the business front which we wanted to share.
– And if I look at the operating profit and profitability. In '22 -23 our operating profit was negative over the previous year. And we are the only bank where we had a negative operative profit in '22 -23. That time the team the entire UCOites took a pledge that this year we will reverse the position and happy to share that in '23 -24 also we registered more than 5% growth and in June and September we registered around 9 to 10% growth in operating profit. And that has come because of improvement in various parameters. One is we have been able to contain our cost of deposit. Our cost of deposit peaked in December '23 it was 4.91 now it is 4.86. Our cost of deposit has started coming down because we h ave reduced our reliance on the bulk deposit. Our yield on advances has also gone up from the '23 level or June '23 level.
– Overall NIM which used to hover around 2.84 to 2.86 has now touched 3.10. and what we have done to achieve this level is we have reb alanced our credit portfolio. We have focused more on the retail and MSME segment and we have re -visit our corporate credit also wherever the yields were lower we have shut that portfolio, and we have taken a better portfolio in our corporate book also. An d as such you look at the overall growth or the mix of our advances book that continues to be in the 61% -62% in RAM segment and around 38 -39% in the corporate segment. And within all the segments, all segments are growing in proportion to each other, so there is no such segment which is growing beyond the proportion of other segments.
– Net profit I remember June '23 we posted net profit of 225 crores thereafter quarter on quarter there has been a growth in net profit we reached 400 then 425 and 450, 500, t his quarter we have posted around 600 crores.
– Our gross NPA which used to be around more than 4% a year before is now 3.38% and net NPA is 0.73. We have already achieved 95% more than 95% PCR

 ratio.
– To strengthen our position and to strengthen our fin ancial position we have already started making buffers by way of additional provisions forward -looking provisions. So, as we speak in addition to the mandated provision by the Reserve Bank of India on Standard Asset Book may be on account of market mechani sm, may be on account of Covid or restructuring book, in addition to all those provisions we are holding around 1000 crores of provisions over and above the

required provision. Like our restructured book has come down but we have not reversed the additiona l provision which we kept earlier that was around 535 crores of additional provision of restructured book, that was over and above the mandated provision.
– We started making provisions on the SMA book SMA 1 and 2, that time our SMA 1 and 2 book was around 2000 crores that time we made a provision of 189 crores or 190 crores. Though SMA 1 and 2 book more than 1000 crore has come down to 800 crores, but we have not reversed the provision. On 800 crores book also we are keeping 189 crores provision additional ly. So, all those provisions put together more than 1000 crores is in the standard book which we are still keeping in addition to the mandated RBI required provisions.
– If I look at NI, NI of the bank grew by 20% in this quarter and again that is aided by consistent CASA, reduced reliance on our bulk deposit, using better market opportunities by raising resources through TREPS market and overseas market by raising deposit at the overseas center . So that was the strategy for NI.
– Our fee -based income has also grown by 15% on Y -o-Y basis and on Q -o-Q basis also 10%. Our cost to income ratio has improved because historically our cost to income ratio used to be around 60% and above and now it is 56%. And we are making all our efforts to reduce

our cost on one way and to increase our income.
For reduction of cost, we are already taken certain steps like surrendering extra spaces wherever we have around 40,000 sq.ft. of space we have already identified and surrendered this year. I think we will be saving more than 2 crores of rent and plus electricity because as you use space you need to use electricity also plus your cleaning and all those expenses. So, that process will continue in the remaining half of this year and may be next year also wherever we get opportunit y we will try to improve.
– NIM also I told you that 2.84 now it is 3.10. And asset policy I shared with you. CRAR of the Bank is already 16.84% and if I include this half year profit it will be somewhere 17.5% for this year. And tier 1 is already 14.59%.

 – We have planned to open around 130 branches in this financial year. About 100 locations have been approved by our HOPC Committee - HO Premises Committee, of which 27 branches have been made operational as on 4th November, last we opened 10 branches on 4th November and now some branches are now lined up for November end then December and then 6th January we have Foundation Day and by March we plan that all 130 branches should be up and running so that we get the benefit of additional business in the next full financial year. That is about the branches and network.
– And let me now just share with yo u all what the Bank is doing to strengthen or to make sure that the momentum which we are seeing for the last 5 -6 quarters is continuing and what are our plans for the growth, for the modernization, for digitization, for technology front and for customer c onvenience.
– We did some restructuring in our organization. We started with… earlier we all had DGMs in our zones, there were no GMs in the field. We started with Business Development GM, we posted Business Development GM in Mumbai, in Delhi, in Chennai and in Odisha. These Business Development GMs they take care of, like Mumbai takes care of Maharashtra and Gujarat and Chennai takes care of Tamil Nadu and Kerala, these are the two states and Bangalore, so 3 states he takes care of. Our Odisha one takes care of Odisha, Raipur and Hyderabad, 3 states. Delhi takes care of Delhi plus Rajasthan plus Uttarakhand. This way we have stationed Business Development - their role is to go in the field, talk to customers, meet the customers, meet the branch heads, monitor their perf ormance and business development is the main role. Sanctioning powers rest with the head office. This is one thing we did.
– Second thing we did we created a resource vertical. Our Bank we were not having any resource vertical and there was a lot of talk abo ut the resources and resource vertical was not there with us, we created resource vertical headed by GM. Subsequently, we created resource teams, resource team heads in the zones and 1st July onwards we created resource teams also at the zone level. So, no w more than 200 people are there in the field working for resources.
– Then third thing which we started …. earlier out of 3200 plus branches only 800 odd branches were attached to the hubs. So, retail hub was there, MSME, Agri only 800 plus branches were a ttached. Now we have brought all branches under the hub structure there is underwriting standards now which will be observed across the bank. Earlier 800 branches through hubs but 2400 branches themselves were

sanctioning loans. So different underwriting s tandards at different branches and then you have a different set of monitoring, and all required. So, all those

Page | 7 – branches have now been brought under the hub structure. To improve the credit rating standards, we have standardized the credit rating vetti ng also with head office. Earlier the credit rating was decentralized at zone level so there were many instances when the credit rating what was done by the zone when the vetting was

done by the head office there was a migration - downwards migration from let us say UCO 1 to UCO 3 or UCO 3 to UCO 5. In order to avoid all such risks in future we have centralized the rating also more than 1 crore – how much – more than 5 crores rating is done at the central office level so that the risks are properly taken care while underwriting any such proposal which is more than 5 crores. This is on account of the organization level we have done.

– Then we started with HR transformation where we started PMS, we completed PMS. Now every employee is given target scientifical ly basis their location, basis the opportunities available and basis what other banks are able to achieve and what we are able to achieve. So, all those parameters are taken and scientifically targets are given to them and then every month the score is pus hed to them so that they know what they have done, how much they have done, who is doing better cluster level and every level. So, they are much more aware of their performance on a month -to-month basis against earlier system that yearly only they used to come to know. Now every month they know their score. So, they are more focused, more targeted to improve their business and improve their score also. That has been completed and it is now for last 6 months we have been monitoring the improvement in those a reas.

– Another initiative which we have launched this year is Project Parivartan under which we will be transforming our digital channels, our digital products will be launched. We have planned to launch around 25 products by March .

– We have already launched at the time of launching of this project and others are in pipeline. So , by March, I can say , that most of our asset and liability products will be available on our Mobile Banking , on our Internet Banking channels for ease of our customer.

– For CASA custom er acquisition, we launched Tab Banking. Earlier, we were dependent on the walk -in customer s in the branch. They will come to the branch; they will open the account and that type of customer you can all well imagine that a high salary earner or a business owner they will not come to the branch, or their employees will not come to the branch. So , every bank has a facility to reach out to them to open the account which we were not having. That i s also now available with around 1700 branches. Our plan is by March we'll be giving it to all the branches that every branch can go out to the customer's place and open quality CASA customer.

Page | 8 – The focus is on quality CASA customer instead of ornamentally o pening the account, I will say this way , because when we look at the overall account, if I have 4 crore customers, maybe 30% are inoperative because of this reason, right . So, when we open quality CASA customer account s, then the average balance in those accounts which are opened through Tab Banking is double the balance of accounts which are opened manually at the branch. That is what improvement we have seen over the last 6 -8 months. So , average balance has also gone up.

– Similarly , Current Account also no w we are bringing through Tab Banking so that the branches can go to the customer's business place and open Current Account and give all digital channels. We were the only bank having Mobile Banking app for the corporate customers. Generally , all banks are having Mobile app for the individual customers, but we are the only bank we are having Mobile Banking app for our corporate customers also. And that is as convenient as the mobile app for the individual customers.

– Our mobile adoption used to be very minim al earlier. We had doubled the mobile adoption in one year . During June 23 quarter , when we were analyzing having 3000 plus branches, our daily mobile active customers , I'm talking about active customer and not registered customer s. Registered is , I think , that can be termed as a

misnomer because everybody can register for a Mobile Banking but how many are actually active customers that is what we monitor . On an average , active mobile customer addition in June quarter was 500 -600. Now , it is in the range of 7000 -8000 on a daily basis. That is what . Our daily login used to be less

– than a lakhs about a year back , now it is more than 3 lakhs e very day on an average. So, how it has come ? We have revamped our entire Mobile app. I don't know any of you is using our Mobile Banking app but one of the best Mobile Banking app having a Google Play Store rating of 4.6 and 4.7. And I don't think any of the public sector banks you will find with this type of rating. Our Corporate Mobile Banking usage has grown a round 200% over one year .

– We have started WhatsApp Banking in five languages and more than 30 services are now available in on WhatsApp B anking also. W e have ramped our contact center and now AI enabled contact center is there and that we have reduced the response time , we have improved the solution to the problem through IVR. Now, more than 80% calls are getting served through IVR. So , that is the level which we are now working. We have created a Customer Experience Cell because there are many customers who were complaining, and their complaints are getting resolved. But actually , whether it is resolved or not resolved nobody knows . On paper it is resolved. We have created a Customer Experience Cell that is Page | 9 independent of the complaint cell. So , Customers Experience C ell is handled by a separate vertical. So , they call the customers on a daily basis from the report they are getting that customer complaint has been resolved. So , they talk to the customers about the satisfaction level to understand whether they have been. So , that is the level of service we're trying to improve and wherever we are finding deficiencies we are going back to the field and making them aware that ‘This is the requirement of this , you have not done well, please do this ’. So, that is on account of that.

– We have revamped our Chatbot also. Now , our Chatbot is AI enabled. We have revamped UDAY and that is also now AI enabled. You use that , you will find that our Chatbot response is much better than the Chatbot of many other ba nks, which is just like a private sector banks Chatbot.

– So, these are the technology improvement which we have done in last one year. And apart from that , at IT we have kept a target of around ■1000 crore s to spend . Out of that , around ■360 crores plus we have already spent and there are many projects in pipeline currently which we are working and by , I think , March we plan to consume the entire budget also. So , we now have IT cybersecurity , digital.

– Yes, one we have created is the Alert Monitoring System in the bank. We call that as ‘Pulse’ wherein we monitor all alerts from the various channels under one roof. Earlier, every channel transactions were being monitored independently by inspection , by Operation s department, by Digital department and by FRMD . So, now we have brought all under one roof and now the screens are displayed in

– the room . It is like a LIVE Pulse of the person that whenever all of a sudden there is an increase or decrease , immediately the alert is generated not even at channel level but at account level also to monitor th e Mule account . Because a large number of Mule accounts are getting observed. So , whenever there is a , let us say in 10 minutes there are 50 transactions, credit coming in one account or 200 transactions , credit coming in 10 minutes or 15 minutes and same amount is getting deb ited also, so immediately alert is generated . Either account is blocked, or it is marked for enhanced due dilige nce.

– So, for the customer protection a lot of initiatives have been taken from the Consumer Experiences Cell, from this Transaction M

onitoring vertical , through Pulse Monitoring System. So , this has also been done.

– We are working in many new projects. Inte grated Treasury Project is on wealth where the design and scope is getting finalized. So , one of the best solutions in the world , we will be implementing in maybe another year's time . It will take a year's time to get it implemented. We are implementing Ne twork Operation Center also Page | 10 now and we are implementing VM set up . Then AP I gateway is also on the cards that we plan by March because now most of the corporates want API gateway and seamless integration . Only then we can keep the core intact and without burdening the core then we can shift many of the things on the AP I gateway. CBDC is also on the anvil, and we have already got approvals. We have already floated tender, and vendor has been selected . Maybe 2-3 months’ time CBDC also will be availab le. We are also working for Omni Channel experience where we will be bringing all channels at similar experience , user experience on all channels. And 300 new ATM s also we are planning in this financial year to take care of our customers requirement. Cash management and supply chain is also under RFP stage now . Plus, centralized Forex PC and domestic trade finance solution , that is also under RFP. So , maybe by next June that will be up and running . Then Data Analytics is

another project which we have undert aken . And under Data Analytics , under Phase -1 already customer profiling stage we have reached . Now, the Phase -2 we will be launching where the predictive analysis will be taken which will enable us to target campaigns or target customer offerings bas is their spending habits, bas is their saving habits. We can also use that bas is their transaction analysis as a probability of default also in the times to come. So , this Data Analytics will be , again, I think maybe 6 -9 months full -fledge d project will be over . Phase -1 is already over , Phase -2 is own way.
Page | 11 – So, these are the IT initiatives which bank is already working on that. We have brought many services under Mobile Banking also which were not available. And now our Mobile Banking is one of , again just to repeat that , it's one of the best . And on UPI front all international, wherever the government or RBI or NPCI has permitted , in 7 countries we have already integrated . Recently , in GFF also NPCI has launched two products. W e are one of the banks who have been partnering with them. There are many banks who ar e yet to launch those products. But UPI Circle or Auto Pay or everything , we have been there.

– So, these are the few things which I thought let me share with you. And one important thing which I would like to share with you is that our motto and target is inclusive growth. We are involving every branch unit because if I have 3 ,200 plus branches , franchisees, so until and un less every franchisees contribute , the growth moment um which we have started cannot continue. So , growth is coming from all those branches, involvement of all the branches and which we would like to continue . And our intention is to go for the organic growth in the future also.

– With this, I am quite hopeful that the guidance which we have given at the start of the year for our business growth , for our deposit growth , we will definitely achieve . Because in September , for the quarter and half year, we are well above t he guidance even now. Thank you. Thank you very much. Now, we are open for all the discussions.

– Q&A Session

– Moderator:
– Thank you, Sir. We'll start with the Q&A s ession now . Before asking a question, I will request participant to just introduce yourself and your organization. Thank you.

Page | 12 – Mr. Ashok Ajmera – Participant:
– Yeah, I am Ashok Ajmera, the Chairman of Ajcon Global. Compliments to you. Sir, Ashwani Sir, for t

he all -round performance and also very, very elaborate discussions and the entire journey you've gone through in last over, I think, five quarters you are in this bank and the way the bank has totally bee n transformed. You know, like you look at all the fronts whether the business front or profitability front or asset quality front or even digitization front. So, my compliments to you and your entire team for that. Having said, Sir, I would just like to ad d a few observations and suggestions and some data points.
– One is that, Sir, now with all this initiatives which you've taken, I mean, on many things you are at par with even bigger banks also. I will not call exactly the same size bank but some of the eve n bigger bank of 8 lakhs crores, 10 lakhs crores business size, you are capable of that. So, after having achieved all this, we are standing today at around 2 lakhs crores of credit portfolio, maybe 1,97,000 crores. Out of that also 24,000 -25,000 crores is overseas portfolio. So, there is a tremendous scope for you to grow without comparing with what is happening in the industry of a growth of 12%, 13%, 11%. And, generally, I don't compare but if you look at the journey of Bank of Maharashtra over three yea rs and the way because they were also once upon a time in the same position. They went up to 26%-27% growth on an annualized basis, they went into CASA 55% -56%, they improved their asset quality tremendously bringing down the net NPA to 0.25%, even 0.24% 2 -3 quarters back. So, you have also got great opportunity to grow.
– So, on that, don't you think there is a scope for revising your guidance for FY25 because you have done well in the first six months already, both on the credit front as well as on the depo sit front? I can understand the challenges in deposit,

and you don't want to disturb your yield by taking the high -cost deposits but on the credit side you have got a lot of scope, you have got extra SLR, also you can borrow cheaply and lend the money. So, on that front, whether any rethinking can be done, or can we think of again? Because on annualized basis you've grown, I think, 18%.

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– 18%, yeah.

– Mr. Ashok Ajmera – Participant:

– So, for the whole FY25 you can go for 17 -18-20, it will do wonders. So , this is just one on which you can.

Page | 13 – Secondly, Sir, a very good component of our income , our profits, especially if you look at this quarter and even in the last quarter also , is recovery from the Return of Accounts and little bit on additional profit on Treasury Operations, which we got. I think this two only have given us 900 crores . This two only, which is a major part of our overall profit. So , on that , recovery from the Return of Account, what is the total pool of our Return of Account s? And how much do we expect to realize in the remaining six months or maybe say on annually basis ? Certain guidance of the percentage of the total recovery return of pool ? So, from that, how much we can expect more?

– And on the Treasury front also with the rates now expect ed to be softened. And I think of course, our book is not that big of the size but still doing well on the trading side also and on making the profit from the portfolio side.

– So, these are couple of some . And one on the , I think , Sushil will ask on the capital dilution . 95% is with the government . So, Sir, little bit on overall this thing. And really you have done well and if time permits, I'll come back again. Thank you.

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– Yes. Thank you, Ajmera ji. See, just to give you some flavor about the credit growth of the bank in the last 4 -5 quarters, in September we grew by 18%, December 18% plus, March around 16%, June around 17% and now 18%. Our guidance is 12% -14%, right. And if you look at within the credit growth, our RAM growth is always around more

than 18%; almost 18%. And corporate is one sector which we take very selectively, let me be very honest with you. Wherever we have reasonable margin, only then we go for the corporates. In one quarter we have reduced our corporate also. Yes.

– So, in case the opportunity is there, this 12% -14% growth pattern we have given on a very conservative basis keeping that we may not have the o pportunity to grow in the corporate segment. But, yes, when there's an opportunity, we grew also in the corporate and this quarter, I think, corporate was again around 20% growth was there because we got some good margin advances. So, the conservative basi s 12% -14% but we are not looking at the number which we have given. So, we are booking whatever is better or good for the bank. So, whenever we are getting the margin, we are booking that business. Though, growth guidance is 12% -14% but we are still 18%. S o, given a choice, given a momentum continue, we will continue with that momentum but on conservative we have given this guidance.

Page | 14 - Number two, recovery from the TWO, last quarter we had a good recovery from the TWO and I expect that thi s quarter also we will have a similar amount of recovery or maybe 10% -20% here and there. But let me tell you honestly, though we have a total TWO book of maybe around 20,000 plus crores…No, but there are many accounts which are already settled through NCL T but because of the PIRP the amount is lying outstanding. If I exclude that, it may be less than 20,000 crores total. And out of that, there are, I think, 18,000 crores is already in the NCLT book is there and out of which many accounts are under liquidat ion. So, the low hanging fruits have already been taken care, enchased. Still, because now the market has revived, Real Estate has revived, there's lot of interest in few of the accounts again and because of that also we got good recovery in last quarter i n one account. And this quarter also we are expecting that recovery to continue. So, overall, I expect that this quarter and next quarter for the half year, we will be probably in line with this half year - total half year recovery from the two front . So, capital, Sushil ji's question you stole. Okay, treasury. Treasury, see treasury now AFS is gone, and there is nothing in HFT, so in P&L nothing much is going to come. It will go up in reserves. So, it will not impact our operating profit or prof itability much as in the previous year. Capital raising, we have already taken approval, and we have already today we had the kickoff meeting also

with our BRLM and statutory auditors and legal counsels and now we are planning for the launch. We will be doing our preparations and at the opportune time basis market conditions, maybe this quarter - by the end of this quarter or maybe early next quarter. Size, currently, we have taken approval for 2000 crore. We have already taken. Yeah, that final we wil l decide whether to go for 1500 crore, but it again depends upon the appetite and the market conditions. So, it will be very difficult for me to give the exact number and timing. But yes, the process is on, right.
- Participant :
- Sir, you have made an all -encompassing presentation. You have highlighted all the salient features, salient aspects, initiatives on technology front, on digitalization as well as business management revamping by having developmental managers zone wide, which is reflecting in the ov erall parameters of the numbers. On slide 35, that was one thing which was coming to my mind. I thought I will see the further clarification. You have in IBC 238 accounts and the value is 10,196 or 10,163 crores. You have made a full provision for the same? So, would like to have a more transparent and a clarified status on this because it is a big amount, 10,163 or 10,193 crores.
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- 18,000.
 - Participant:
- Okay and you have made a full provision for tha t. So, if even 10% of this is coming in this year, because so far, the year doesn't seem that economy and industry will go bad or will deteriorate, or will weaken? So, it will add not only to our PAT bottom line, but also to the other parameters of financ e, would like to have your comments on the same?
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- See, if you look at recovery in return of account during this half year was 667 crore, half year and similar amount we are expecting in this remaining half year also and out of that again I will like to mention you that though the amount is around 18,000 c rore, this also includes certain accounts which have already been settled through NCLT, but the entire amount is shown as outstanding because of the PIRP proceedings going on.
- Participant:
- So, how much amount is settled out of this 18,000 crores?
- Mr. Ashwa ni Kumar -- Managing Director & CEO, UCO Bank:
- I think, I can give you number. I think it will be more than 4000 to 5000, I think the Bhushan was there, Deewan Housing was one and more than 5000 crores maybe from that pool only, which is because of this l itigation is still, we are not still completely made out of our books. Though the resolution has happened, and everything is settled, but the PIRP is there, or some dispute is there because of that, this amount is higher. Otherwise, actual Kitty through PIRP, but I don't think we can realize too much of that number, maybe out of 5000 crore, maybe 200 crore will come or 100 crore will come. You never know that, but that number is there. So, target is and see and many accounts are already under liquidatio n, what we can do is from next time onwards we can tell the under liquidation also so that we have a better idea about the prospects of recovery also.
- Participant:
- Yes. That will be very helpful, Sir.
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank :
 - Yeah, no, definitely. But we have been giving that what is the amount of recovery through NCLT, through liquidation, and through NCLT resolution both we are giving in our presentation.
- Participant :
- Thank you and all the best. Thank you.
- Mr. Ashwani Kum ar -- Managing Director & CEO, UCO Bank:
- Thank you.
- Participant:
- Congratulation to team UCO for a stable quarter -on-quarter number since the top management has come together and transforming the bank. So, you highlighted lot of initiative. Now, what is t he digital spend you so far incurred and what is budgeted till the transformation journey is not over, its ongoing process, but in the first target which you would have set for your tenure or the teams' tenure, what would be that spend?
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- See, Sir, we have already got board approval for 1000 plus crore for this year, which

include digitization of our products, bringing new technologies also, even replacing our old hardware also because at our branches o ld hardware is there. So, we need to replace that old hardware also, bringing cybersecurity tools also. So, put together, we have already budgeted around 1000 crore and which I told you earlier also that around 360 crore we have already spent and there a re certain projects which are already now under implementation like Treasury Solution, we are bringing, then our what do you call that, Omnichannel we will be bringing, then under Project Parivartan entire digital transformation will be happening and to st rengthen all those things, we are building our data analytics also because by adopting digitization, we will not simply help until and unless we use data and going forward the data will be the main source of our lead generation and business conversion and also the probability of default - knowing the probability of default. So, phase

one of data genetics is already over. Phase 2 will be
implemented in next six months. So, once that is implemented, so that time I think bank will start driving the benefits of all the drives or the digitization or for transformation or IT and infrastructure enhancement, capacity enhancement, bringing cloud atmosphere within the bank. So, all those things will start giving the benefits in the next year onwards. Next year, w e will have different plans basis new inventions coming in. Then, we will have a detailed again plan that what we will plan to do in the next year, but that spend on digital, and IT will continue in a long way.
 - Participant:
- It is too heartening to note that you're spending 1000 crores to transform the bank on par with the best banks in the public sector or private sector because technology is available to all and you would be reaching those milestones, but the greater milestone to succeed on that is the human resource at the bank which has to enable not only to adopt the technology, but also put in place with the customers are consent, whether it's CASA, cross selling, consumer retail loans. So, where are we and what kind of spend are we going to do on human resource where the banks visibility from a laggard to a forefront is visible, so today that visibility is oh the bank is from East India, it is not of East India Company, it is of India. So, how will that change?
- Mr. Ashwani Kumar -- Managing Di rector & CEO, UCO Bank:
- So, in East India, we have India. So, India East is part of India and East India, so it is good and sunrises from the East. So, it has started to rise and maybe three years down the line, you will not say laggard because yes, I ag ree that our bank was laggard in many fronts, but now the team has come up well and we have involved external experts also in our IT, in our risk management practices, in our HR practices, and maybe going forward we will have external experts on treasury f ront also. So, all those within the bank and outside bank experts, we will be bringing in. Now, coming to the HR transformation. One part we have already completed, that is the HR transformation process. Now, is the learning and development. For that also, recently our board has approved the policy of learning and development. We are now engaging with the eminent institutions for training of our employees. Recently, our top management at senior levels, second in command and third in command like CRO level, all three in line. So, we have sent them in training to the eminent institute, the Deputy CRO and the third line, similarly CTO, and his line. Similarly, HR. So, all those initiatives are being taken and now to strengthen our - because we starte d this hub structure now across the bank to strengthen or to skill our employees working in those hubs, to make them aware about the underwriting skills or improve their underwriting skills, locational training programs with the help of outside experts we are conducting. So, like we had one program for MSME hubs in Jaipur where staff from the hub came and outside faculty from a with very well experienced in the credit matters, he was engaged in designing the program, delivery of the content, and the overal l impact we will be now seeing once they are back. Similarly, we have for the retail hubs also. So, this process we will cover entire MSME staff, which is working in the hub. Retail staff, which is working in the retail hub, and similarly, the training program for the soft skills for our frontline staff. So, this training will continue to be at the center of all the initiatives which we are training because as you rightly said that whatever we do, do ultimately delivery is what matters, and who is to de liver is a
 human being and human being, until and unless given proper acknowledgement trainings, upskilling, reskilling because now gone are the day

s the debit credit is not a
banking now. Banking is altogether different and everybody in the branch needs to be skilled properly, they should know about the cyber issues also, they should know how to educate our customers, they should know how to protect the customers. So, all those steps are being taken on a regular basis along with the compliance function.

Compliance is also at most necessary at the end of the day, whatever business we do.
– Participant :
– Global interest rates were high in the 1st half of 24 and again with the election, it is showing a good trend. How are we functioning on the international t reasury, international book which can aid much higher profit than where we stand today?
– Management Team:
– Ya, so internationally we had 2 branches overseas, one in Singapore and another in Hongkong. So, we have little presence there. So, investment yes, global yields are moving off late and we have seen Fed Rate Cut and there are more expectations also. So, Trea sury of these 2 overseas are participating but our book is not very big sized there because mainly we do there, basically the lending functions and deposit raising but still yes, we are participating in the market but that is not that much significant I can say.
– Participant:
– A bank like Union Bank claims to have, I mean reality is they make 3 -4 thousand crores in arbitrage between FX and India, and I think I have highlighted in our previous call also. Are we taking any such advantages to make higher prof it?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– So again, the differential between rate of interest in local centre, domestic centre and overseas centre, that is what you call, and others call arbitrage. So that again depends on bank to bank and the size of th e book also. Maybe the other banks have bigger size of balance sheet also. Within our balance sheet, we are doing our activities wherever the opportunities are there, and we are managing the treasury on a very active basis. Wherever we are finding opportun ities, we are taking that, and we are trying to bring down our cost of deposit also with the help of this available opportunity. And of course, where there is possibility, because you can see in our balance sheet also that we are lending to the overseas ce ntre for their advance book. That is the composition of the balance sheet. I think, going forward we will further augment our efforts in this direction. Right now, there is a very limited opportunity.
 – Participant:
– Thank you for answering all my questions.
– Participant:
– Hello! Hi Sir! Commendations on the good result. Sir, just a couple of questions from my side. So firstly, we have seen this trend emerge because of what's happening in the equity markets. The advent of the retail investors is well documented, and SIPs have grown manifold times. So, I guess, there is a sort of migration because sentiment is high, that what you would earlier consider retail investors putting in tax saving in FDs, safe investments is going more towards SIPs. So, in order to augme nt that, lot of peer banks particularly on the private side may explore strategic partnerships with brokers or say mutual funds and the likes to help them with a savings account wherein these investors might come in and automatically your base grows. So, are we exploring something like that? because one would think that when sentiment turns, these SIP guys would probably migrate back to FDs but in the current climate, how would you view that?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, currently what we a re doing is, we are strengthening our mobile banking app. That is one thing, and we are trying to onboard our customers on the mobile banking app and integrate our mutual fund partners on the mobile banking app and the stock broking also. We have already d one. So far as tying up with the mutual fund for saving accounts in su

ch a way as you are explaining, we have not explored. It is unexplored area for us. Probably, we will definitely explore this and if it helps us and the customer both, we will definitely go by that way.
– Participant:
– Sir, the only reason I had asked that is because, I am 30yrs. old, so the point is, if I would speak to most of my peers, they are going to be putting in SIPs rather than putting in FDs.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Agreed, agreed.
– Participant:
– Naturally that capital will migrate to you.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, one way it is available because we have mutual fund corner available within
 our app and directly SIPs are going from …. like I myself doing, so every time it is going. But integrating with some mutual fund, for that purpose we have not done.

– Participant:
– Sir, one question, you alluded this to your remarks that, you have seen a reshuffle within your corporate book, and I look at your rating mix. So, on a quarter -on-quarter basis, I think around close to 2000 odd crores triple A exposure has reduced and commensurately your double A exposure has grown to around 4000 crores. So of course, you will be getting better value in yield an d spread terms. So how long do you see this trend continuing and what would be our plan on that front, on the corporate book side, when we look at it from rating lens?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, you know that triple A rated customers yie ld is very low.
– Participant:
– Absolutely!
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– And in addition to yield, cross – sell opportunities are also not huge. And in triple A, generally, sometimes the PSUs are also part of the triple A, PSUs and VFCs and all the se things. So, the cross -sell opportunities are also not there. So given an opportunity, we would love to go for A and double A to maximize not only on yield front but also on the cross -selling of the products. So as soon as we get the opportunity, we will continue to grow in these 2 segments.
– Participant:
– Thank you, Sir .
– Participant :
– Sir, thank you for the opportunity. Sir, your slippage on a quarter -on-quarter basis was slightly higher this quarter. Any lumpy corporate over there or what led to that higher slippage ? One. 2 nd is, do you have any exposure to MTNL or RILL and if yes, basically have you made any provisions over there? 3 rd, what's our effective tax rate that you are…..basically it the P/L, what's the effective tax rate that you have? Any scope over there basically to improve? 4 th, you were replying to one of the questions related to treasury gains. We note that basically lot of AFS, notional gains are actually going to the capital, but I think you already have a decent capital with you, I mean your CD is almost mor e than 14pc. Then you can always try and book gains basically if you are expecting that the G -Sec just comes down because that is one lever that you have apart from margins, which is roughly about 3.1pc for you to bump up your ROE which is somewhere around .75pc to close to about 1pc, because most banks now have 1pc of ROA or at least they have an aspiration to get there by this year end. So, if you could just talk about these 3 - 4 aspects, that would be helpful?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– See, your 1st two questions are one and the same. We had one account MTNL. Let me tell you honestly and around 245 crores was the exposure. Because of that, for this quarter, our slippages are little elevated but overall we have given a guidance of 1.25pc, 1 -1.25pc. I believe, in the remaining half, we will be able to maintain because out of June 24 quarter, slippages of around 400 crores, 144 crores has already been recovered and upgraded. So, the net slippages when I look at for the half year and it is in th e range of 1.34pc on an ann

ualized basis. And I believe that
by the end of this year, we will be in our range which we have kept for ourself. One is the MTNL. RIL, we do not have any exposure and MTNL, we have already made around 50pc provision in this qua rter itself and given the buffer available. Maybe in the next quarter, we will do little more also, that is the call we will take at that particular time.
– For the treasury AFS book, you are right. Whenever there is an opportunity, we are already looking in to that. Whenever there will be an opportunity, we will …. because we are already sitting on excess SLR securities, and I told you we have already disposed off around 3500 crores of securities in this quarter and we have booked some gain also. That was a sm all gain because they were very low yielding securities maturing in the next year. So, we have booked those securities and by that, leveraging those amounts or the liquidity, that we have used for towards loan and advances. Whenever there is an opportunity , we will definitely bring down or we will reach our investment portfolio to some extent in the next quarter or whenever there is a downtown.
– And 4th one was, tax rate is 35pc? We have still around …. how much is our DT? We still have 6000 crores of DT ava ilable with us. Effectively, we are not currently in a position, we are not to pay anything, and this DT is again going back in our, adding to our capital only. So, whatever we are reversal we are doing, it is adding

to our capital. So, 6000 crores plus DT is still available with us.
– Participant:
– Any plans to basically move to new tax regime maybe next year or thereafter?
 – Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Not required. We will first try to exhaust this and only then we will……we will take as much advantage we can take in 2 -3yrs. Yes, yes, yes …. see , profitability also ROA you asked. If you look at ROA from June 23, we have been improving ROA every quarter and the way the provisioning requirement is coming down, with net NPA of .73pc and operating p rofit of around 1400 crores, I think it is achievable. Now it is a matter of time, when we achieve. It is achievable. But may not be by the end of this year, maybe anytime in the next year.
– Participant:
– Sure Sir, thanks a lot.
– Mr. Ashwani Kumar - MD & CE O, UCO Bank:
– Yes, yes, please.
– Participant:
– Some color on the agriculture, I think we have about 23 -24 thousand crores. Majority of it is farm credit. I think 3 -3.5 thousand crore is only allied agro but about 20 -21 thousand is the farm credit. So, any col or on that and are we facing anywhere any problem in recovery because of the government policies or anything in any of the states? Is there any particular part of the portfolio which is under pressure? So, some color on the total overall farm credit?
– Mr. A shwani Kumar - MD & CEO, UCO Bank:
– See, if you look at our agricultural credit, where we are growing? We are growing in two segments currently. One is our SHG. SHG growth is around 33pc in this quarter and similar growth is there in the last 3 -4 quarters i n the SHG segment. And in SHG segment, our total outstanding is more than 3500 crores now. Similarly , we are growing in jewel loan. So, these are the two segments and 3rd is our agriculture allied, where we are targeting. So, these are the 3 segments that we are targeting. Yes, in KCC, there is always a challenge and without any doubt, every bank is facing that challenge because of ….in September, always there are elevated slippages on account of KCC. In agriculture, we also had those elevated slippages. Fo r that, challenge is there. What we have brought in now is, in the KCC, digitized journey we are bringing. Then basis our business rural engine, automatically with the use of our fintech, there are a lot of checks and balances are happening. For new onboar dings, we are trying to make sure that only

the eligible
customers with a good track record are onboarded and with the legacy portfolio, I think we have to continue for some more time, but our main focus is on agro
 allied, SHG, jewel. That will continue th e focus.
– Participant:
– Similar thing, we don't expect in October, December…
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, December quarter we will not expect. Again, in the March quarter, it will be little elevated in the agriculture segment.
– Participant:
– Because comparatively….
– Mr. Ashlesh – Participant:
– Sir, Ashlesh here from Kotak Securities. Sir, couple of questions. Firstly, what is the status of the discussion on ECL transaction with RBI? That is one. And secondly, we recently read in the news that the government is pushing for, pushing banks to improve credit gr owth. So, what is the conversation on that.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, if you ask me, ECL growth, there are no discussions with the RBI. RBI has its own style of working and whenever they feel comfortable, it is to be implemented. We are required to submit data to RBI on a quarterly basis, which we are submitting on time as per the format given by the Reserve Bank of India but whatever is getting transpired within RBI, we are not aware of that. No.2, the credit growth, I don't know, from where this message is there that the government is pushing for credit growth, but government is definitely asking that, we should continue to lend. So, lending should continue. They are not pushing that wherever bankable proposals are there, banks are alre ady doing and that is visible through all the results from our scheduled commercial banks including public sector and private sector. Every bank is pursuing the growth agenda and when country is growing and looking at Viksit Bharat, the bank growth has to be there. So automatically when the economy grows, the bank growth will automatically be

there. Yes, in those times, we need to be very watchful. We have to have our best risk management practices in place and within our risk appetite, we have to take expo sure Sir. I think that every bank now understands after having learnt their lessons from earlier crisis. Every bank has their underwriting standards, business rule engines, now fintechs are helping banks in different ways in collating data from different b ureaus. So better underwriting standards and further improvement will be there, basis the data analytics in the times to come.

Page | 24 – Mr. Ashlesh – Participant:

– Thank you, Sir . One last question – we have seen a few other PSU banks report about some state govern ment or PSU accounts which have either turned into NPA or SMA, couple of accounts which you highlighted. Do you see this as being a trend? Do you see a few other accounts as well which are in the SMA book now?

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– See, i f you look at our SMA book for the last 3 -4-5 quarters , our corporate SMA book is not even 300 -400 crores. Right? So, our corporate SMA book, we are declaring more than 1 crore in every quarter, more than 1 crore. Generally, other banks are declaring more than 5 crores, but we are declaring more than 1 crore and more than 1 crore SMA book, 1 and 2 is .34pc of the entire book. And within that, the corporate is, if I have to, if my memory serves me right, the SMA 1 and 2 from the entire book is around 800 cro res and out of 800 crores, maybe 200 or 300 crores will be the corporate book. So as of now, there is no stress in the corporate book except for one account which we have already seen. Yes, there are certain accounts which are in our watchlist, but they ar e not from the PSU segment. They are general segment which we already, we always keep a close watch, monitoring all those accounts, it is around 700 -800 crores, which every quarter we keep, yes, these accounts need to be because sometimes they g

et into zer o, then get back, then 1,
then get back, so those accounts are still there but nevertheless, no PSU account is appearing in that book now.

– Mr. Ashlesh – Participant:

– Perfect Sir. Thank you and congratulations!

– Participant:

– Sir, have you basically worked on what's the kind of ECL impact that you might have to take and if yes, how much of that would erode your capital?

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– See, currently, we have not done any assessment because final guidelines are yet to come. But to take care of eventuality, I have already shared that, forward looking provision of more than 1000 crores, we have already been kept in our books. And if at all, the ECL provisions are brought in, I think as per the guidelines, it is 5yrs. window they are giving to make those provisions. Roughly I take, let us say for our bank size, maybe 2000 or 3000 crores is the hit. Let us say 3000. So, 1000 crores, we have already provided for, I think that is taken care, 1/3rd is already taken care. Remaining 2/3rd, over a period of 5yrs., maybe 400 crores in a year.

Page | 25 And when we say 400 crores in a year, it is 100 crores in a quarter. So hardly anything. and these 100 crores , we are already making provision, additional provision on a quarter -on-quarter basis. Maybe if this time, 1000 crores, if opportunity comes, next year we will make it 1100, then next time 1200. So long as RBI does not declare, we will keep on building som e provision and when final guidelines come, we may get some reversal also. We don’t know. Because we are already sitting on a 95pc of PCR. So, if we go by probability of default laws, maybe we are providing 100pc against the loss asset. If we go by that, it’s not that every loss asset we are losing 100pc. Maybe if we cover, just think of 10pc recovery out of the loss asset. We may get around 2000 crores reversal also, that is also possible. But we as a conservative side, we have started bui lding some provisio ns and we will continue to build as and when we have the spin on.

– Participant:

– But right now, you are taking the hit on the P/L. But right now, you are taking the hit on the P&L. if the new norms come in do, you expect that you will have to take the hit d irectly on to the capital directly to the net worth? The way basically the EFS adjustment, the reserve adjustment is happening?

– Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:

– No idea. Until the final guidelines come.

– Participant:

- But I think some discussions must be going around, right like?

- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:

- No idea. I have no

- Participant:

- And any update on what's happening on the project financing provisions which RBI has like
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- See RBI has come out with the draft guidelines through IBA. All banks have given their suggestions to them, but let me tell you, if the ECL guideline kick in, I think project finance is already taken care of because ultimately it will be taken care of. There is not going to be much hype into that because that is what is they are trying to project is that the p robability of default loss, loss given to 5%, 2½% because of the inherent risk when ECL will come, so that will subsume that I believe that. I don't know what is the final outcome of that, but that will not have much impact if we look at corporate book of our bank or any other bank, corporate book is around 38% -39% and this infrastructure book maybe around and 10%. Project finance is around 11,000 to 12,000 crores for our bank and out of which there are many projects which are already implemented, and cas h flow is there because HAM projects are there, cash flow is coming, there are certain projects where the bank currently working capital are there, cash. So, if at all it is to be implemented as it is

, I don't think we'll have impact of more than 300 cror e. If, as it is implemented, I think.
- Participant:
- Thanks. Thanks a lot.
- Participant:
- Sir, any of our accounts in this quarter have gone to NARCL or going in the next remaining two quarters, any of our only the quantum of that and the
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- NARCL, there are, I think 6 accounts are already in discussion in this quarter.
- Participant:
- Nothing has gone actually in this
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- Till, as of now, nothing has gon e there, but they have made certain offers, and due diligence is already on. We exp ect that one or two accounts may go.
- Participant:
- Quantum.
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- Quantum, let me just. See, there are already 4 accounts are there where bids are submitted by NARCL and now it is the Swiss challenge, and everything has to happen and 4 accounts where bids are submitted are is 610 crores.
- Participant:
- Consortium or stand alone?
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- No, no, consortium, consortium. Standalone, generally, we are part of consortium and leaders or other bank. So, Swiss challenge has to take place and in case everything goes well, some accoun t may come in this quarter some account
- Participant:
 - So, that will be additional then what we have assumed already in the return of recovery from return of account everything included only?
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- No, no, everything included.
- Participant:
- So, nothing like any bounty, any major thing
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- No, no, part of that.
- Participant:
- Thank you, Sir. Thank you.
- Mr. Manjeet – Systemati x:
- Excuse me. Yeah. This is Manjeet from Systematics. Just one question I wanted to ask is that if I were to look at the quarterly trend of advances growth, almost 55% of the incremental growth in the current quarter have come from retail segment and out of which almost 2/3 has come from this others. So, could you elaborate a bit as to what constitutes this other segment and what is the reason why we are seeing a bump up in that?
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- See in others, we ha ve purchased the pool. See, housing loan reflects our organic housing loan. So, that housing loan growth is our organic and others include our pool, which we have purchased.
- Mr. Manjeet – Systemati x:
- So, this pool will be auto
- Mr. Ashwani Kumar -- Mana ging Director & CEO, UCO Bank:
- Housing loan, this is housing loan pool, okay. housing loan pool only which you have purchase.

- Mr. Manjeet – Systematics:
- And we can expect similar kind of a number going ahead also?
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
 - Not, not every quarter because again, it depends upon the quality of the pool and the pricing. So, pricing is very tight and if they meet my pricing and meet my quality standards, my bureau score and salaried, non -salaried, geography, if t hey are able to meet our standards, which we have kept for ourselves, then we definitely, otherwise we may not go.
- Mr. Manjeet – Systemati x:
- Got it. Thank you.
- Moderator:
- So, ladies and gentlemen, that was the last question from your side. I request a management, MD & CEO Sir, for the closing remarks now. Thank you.
- Mr. Ashwani Kumar -- Managing Director & CEO, UCO Bank:
- I thank you all for coming here and sparing your time with us and showing interest in our bank. I look forward for your continued support in the quarters to come. Bye. Thank you very much. Thank you all. Please I request you all to join for high tea also.

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Call: Jan 2025

[redacted]
UCO BANK
[redacted] Honours Your Trust

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HO/F inance /Share /306/2024-25 Date: 28.01.2025

National Stock Exchange of India Ltd.
“Exchange Plaza”
Plot no. C/1, G Blo ck
Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 0 51
NSE Scrip Symbol: UCOBANK

Madam/ De ar Sir

Re: Transcript of Post Earn ings Conference C all held on 21.01.2025

We enclose the transcript of Post Earnin g Conference Call held, in pursuance to Regulation 30 of SEBI (LODR) Regulations and NSE guidance note dated 29.07.2022.

The transcript of Anal ysts/Investors Meet is uploaded on bank’s website and the same can be accessed through below link :

https://ucobank.com/documents/d/guest/transcript -q3fy25

Please take the above on your records and disseminate.

Yours sincer ely,
For UCO Ba nk

(Vikash Gupta)
Company Secretary

BSE Limited
Phiroze Jeejeebhoy Towe rs
Dalal Street,Fort ,
Mumbai – 400 001
BSE Scrip Code: 532505
Vikash
GuptaDigitally signed
by Vikash Gupta Date: 2025.01.28 15:48:50 +05'30'

Q3 FY25 RESULTS

Post Earnings Conference Call with Analysts/Investors
Date 21.01.2025
Time 03:30 pm
Mode Virtual (Webex)

Bank's Senior Management is represented by :

1. Mr Ashwani Kumar, Managing Director & CEO

2. Mr Rajendra Kumar Saboo, Executive Director

3. Mr Vijay N Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

- Moderator :
- Good afternoon, everyone. Welcome to UCO Bank, Q3FY25 Earnings Conference Call. It is my pleasure to introduce to you the senior management of UCO Bank with us. We have Mr. Ashwani Kumar - MD & CEO, Mr. Rajendra Kumar, Saboo - Executive Director. Mr. Vijay N. Kamble - Executive Director.
- We'll have opening remarks from the MD, sir, post which we'll open the floor for questions and answers. Thank you and Over to you MD Sir.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Thank you. I welcomed. First of all, I would like to share the business performance of the Bank in Q3, our guidance, initiatives taken and plans then we will have your observations and our comment on your observations.
- See, Bank's business has grown by 12.28% in Q3 for the year 2024 -25 of which depo sit 9.36%, Advances grew by 16.44%. In the deposit, saving grew by 6.23% and current grew by 25.74%. Our CASA ratio maintained at around 37.97% as against 37.61% a year ago. Our CASA growth was around 8.24% on a YoY basis. In advances, our retail grew by 31.01%. Within retail, home loan grew by 19.36% and vehicle loan grew by 51.93%. Agriculture grew by 20.04%. Within agriculture, our focus was on SHG and gold loan, Agri allied activities. So, these are the three components which growth was there. In MSME, the growth was around 12.75%. If I come to asset quality banks NPA, gross NPA has come down to 2.91%. There is a 94 bps improvement over last year. Net NPA improved by 35 bps to 0.63%. Our PCR improved by 95 bps to 96.16% and our tangible PCR excluding TW also improved to 78.90% that is 351 bps improvements over last year.
- Profitability Parameters - Our net interest income grew by 19.62% on a YoY basis. Our noninterest income grew by 37.75%. NIM domestic improved by 36 bps on a YoY ba

sis to 3.3 8%. NIM global also improved by 33 bps on a YoY basis to 3.17%. Our yield on advances domestic also improved by 25 bps to 9.06%. Our yield on advance is global also improved by 22 bps to 8.70%. Our operating profit for the quarter improved by 41.73% on a YoY basis to 1586 crore and net profit improved by 27.04% on a YoY basis to 639 crore.
- I'll now go to the guidance which we have shared at the start of the year. Our guidance was domestic, our deposit growth 8% to 10%, we have achieved 9.36% in this qu arter. CASA growth guidance was 8% to 10%, our achievement is

8.24%. Credit growth was 12% to 14%, achievement is 16.44%. CASA 37% to 38%, we are at 37.97%. RAM mix was 60% -62%, we are at 62.36%. CD ratio we had planned for year 74% to 75%, we have ac hieved 74.45%. Credit cost was less than 1%, now for this quarter, credit cost is 0.49%. NIM Global was 3% to 3.10%, we have achieved 3.17%. GNPA less than 3%, we have achieved 2.90% and net NPA less than 0.65%, our achievement is 0.63% in this quarter itself. Slippage ratio was 1% to 1.25%, in this quarter it is 0.92%. So, all guidance parameters have been achieved in this quarter performance.

- Our CD ratio, which was around 69.93% a year ago, has improved to 74.45% in this year. Business growth I hav e already spoken. Priority sector all targets have been achieved for the priority sector lending. If you look at our rating mix, 81% of our portfolio is - 78% of our portfolio is Triple B and above. Now coming to fee-based income, noninterest income. I t improved from 861 crore to 1186 crore. That was more than around 100 crore improvement in the recovery in return of accounts and in our fee charges and Commission for advances around from 106 to 130 crore, charging Commission from others 145 to 180 cror e and treasury income also improved from -25 to 145 crore. So, that was the reasons for our improvement in our noninterest income.
- If you look at our cost of deposit, our cost of deposit in December 23 was 4.91%. Now, it has improved to 4.90 %. Cost of funds was 4.78%, has improved to 4.75. Cost to income ratio, it was 60.72% a year ago, now it is 55.50% sequentially quarter -on-quarter it is coming down. Our business per employee, which was around 20 crore a year ago, it has touched now 23 crore. Simi larly, business branch has also improved from 135 crore to 150 crore. So, operational efficiency parameters there is a good improvement in the bank. We had slippage of around 418 crore in this quarter vis -à-vis 864 in the previous quarter and 483 crore i n December 23 quarter. Last quarter, we had one big account that slipped, we discussed that account last quarter, but this quarter the slippages are across segments, it is not that in one segment, it is lopsided. Slippages are there in retail, agri, MSME , and corporate also, but our overall recovery and upgradation in this quarter was 1064 crore and against cash recovery and upgradation 309, return of 1064 crore in this quarter and total slippage was 418 crore only and at quarter -on-quarter basis, we are seeing that our slippages are lower than our overall cash recovery upgradation in our advances NP accounts.
- If we look at our segment NPA, our segment NPA retail credit NPA ratio is 0.74 only and, in our agriculture, NPA ratio is coming down on quarter -on-quarter basis from 14.44% in December 23 to 11.70% in December 24. Similarly, in

MSME it was 7.46%. it has improved to 5.78% in December 24. Now, the SMA stress account more than 1 crore, we declare every quarter SMA accounts more than 1 crore. The amo unt of SMA is 0, 1, 2 in all three categories more than 1 crore has come down to 1468 crore. This is 0.70% of the total advances. Previous quarter it was 0.79 and prior to that a year ago, it was 1.04. So, the asset quality has been improving on a quart er-on-quarter basis. Our restructured portfoli

o is

also coming down with repayment on a quarter -on-quarter basis. Our total restructured advances as on December 23 was 3663 crore has come down to 2706 crore. So, that is a good improvement, but let me al so share that on restructured advances whatever RBI mandated provision is required that is already there. In addition to that, we have already made additional COVID looking provision of 530 crore though the portfolio is coming down on a quarter -on-quarter basis, but we are holding on to that additional provision in our books.
- Capital adequacy of the bank is 16.25%, but if we look at nine months profitability and we add nine months profitability into our network, then our CRAR will be 17.5%. We have 3298 b ranches as of today. As on December, it was 3263, but as of today 3298 branches are there. Our average age of our employees is 38 years and 74% of our employees are less than 40 years of age. Bank and our team has been working in digital parameters. Ou r active mobile banking users have doubled in a years' time with the growth of 97%. Active mobile banking users have also increased by 82% in a year's time and our digital business that is opening of RD and FD digitally has also increased by 81% in one year. UPI transaction volume has also improved by 36% in one year and 10% in one quarter.
- WhatsApp banking users have also improved by 304%. We introduced WhatsApp banking a year ago, now around 5 lakh customers are using our WhatsApp banking and one quart er improvement is 71%, but in one year it is 304%. Now, the initiative taken by the Bank, Bank has launched the last quarter, last to last quarter, bank has launched digital transformation Project Parivartan where we have planned digitization of at least 25 journeys across various liability and asset segments of which 9 journeys have been made live till now and many more journeys are under plan. Every month will be coming out with a digital journey. We had planned for a 6000 crore of digital business in this financial year and I am happy to share that on asset side, we have crossed around 1300

crore of digital business and in liability side we have crossed around 7000 crores of digital business that is opening FD, RD, and other deposit products and curren t outstanding is around 5000 crore in all those digital business parameters.

- We have also introduced various enhancements in our mobile app and Internet banking, which as a result our corporate mobile banking app which is one of the unique mobile banking a pp for our current account holders that rating is also raised to 4.7 and for retail customers Mobile banking app rating is also 4.7.
- We have also launched various partnership in our digital marketing space, that is our discounts with Pluto's using UCO debi t card, Zomato discounts using UCO debit cards, Book My Show buy one, get one offer, positive pay features on WhatsApp. On Swiggy, debit card offers are there and we have also exclusive banking partner with Bali Yatra Utsav, Asia’s largest open trade fair in Odisha.
On ESG initiatives, Bank has been taking various initiatives. We have launched a special concessional rate of interest on EV schemes. We have launched PM Suryodaya Scheme and as announced by honorable Prime Minister. We have also launched G reen Deposit Scheme where we offer high rate of interest to our customers than the normal rate of interest. We have also obtained green certificate from CESC for purchasing 25% of renewable energy. We have planted over 22000 trees across India and our re newable energy portfolio is also increased to around 3700 crore in this quarter.
- So, these were the few initiatives which we have taken in this quarter. One more thing. We have given a guidance around 3000 crore of recovery in this financial year out of which around 2700 crore has already been recovered in nine months and further initiatives have been taken for enhan

cing the customer service,
digital queue management system has been introduced in high traffic branches for quick and secure and seamless customer experience. WhatsApp banking has been launched wherein we are providing 35 services in five languages; Hindi, English, Bengali, Asami and Oriya. Multichannel feedback system has been introduced in branches, website, mobile banking, IVR, QR code, queue management system to enhance customer satisfaction. For our retail customers, we have launched UCO Utkarsh, a preferential financial support to students admitted to premier institutes. ASPIRE 2.0, this is enhanced education loan scheme for financi ng meritorious students studying abroad. For female customers, UCO Udaan Scheme, special concession rate of interest has been given. Women centric policy has been introduced in the bank.
- Policy on learning and development, policy on local bank officer al so been introduced. Bank has advertised around 250 local bank officer post and which has just gone live last week. Bank is also planning to bring talent by inducting specialist officers in IT, CAs, law in risk, security Officer, HR, Fire Officer, and economist. For women customers, special incentives have been given in home

loan scheme of 0.05 rate of interest. In MSME, 0.25% concession for woman's under MSME. Education loan 0.5% concession in IBA model scheme. Special scheme has been launched for MSM E and women entrepreneurs. UCO MSME Nari Samman special scheme for women entrepreneurs. Similarly for women customers, UCO Aparajita debit card has been launched. That is exclusively for women with enhanced benefits. Exclusive product for saving, curre nt, and flexi RD for women under the umbrella bar, a Pink Basket has been introduced which is loaded with accidental insurance plus attractive discounts on our lockers and other services.
- In IT and cyber security, number of things has been implemented. We have established Gen Next Network Operation Center. We have net operated bandwidth of our branches. We have introduced re -KYC through phone banking. Tab Banking has been introduced and more than around 50% branches are opening account through tab banki ng. Other branches have also been provided with the tab and hopefully by this next month end, all branches will be equipped with the tab banking and opening accounts with the tab banking. We are also planning to launch CBDC and Eterna card for HNI custom ers that are a RuPay debit card with premium privileges for HNI customers. We are also planning to launch slot booking through mobile banking, so that the customer need not to wait. We are also launching now MSME Yuva Shakti for young entrepreneurs, supp ly chain finance, Forex PC. So, many things are in pipeline. Hopefully in this quarter things will be getting launched and next year we will see the operation of all these things going live.

- We have embarked on a branch expansion plan of 130 branches at the time of start of the year. Happy to share that in our 82nd year of Foundation Day from 82nd year to 83rd year that is on 6th of January 2025, we have already opened around 82 branches and the remaining branches are under process and hopefully by March , we should be completing those another 20 -30 or maybe 40 branches by March. So, that was on expansion plan. So, these are the highlights which I wanted to share with you. I will now pause here and will be available for your questions and answers and qu eries. Thank you.
- Moderator:
- Thank you, Sir. We'll start with Q&A. participants who have any question, please raise your hand. We will take the first question from Divya Pandey. Please unmute yourself and go ahead with your question.
- Ms. Divya Pandey – Participant:

- Yeah, Sir. Thank you for taking my question. What is your total gold loan portfolio including Agri and non -Agri gold loan, and how is the growth

in that
segment?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See gold loan, yeah. Please g o ahead. Go ahead please.
- Ms. Divya Pandey – Participant:
- Yeah. Sir, you can answer this and I I'll ask the next one.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Okay, okay. So, gold loan portfolio is around 8900 crore currently.
- Ms. Divya Pandey – Particip ant:
- Okay.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Sorry, 9600 core. So, we have a very small gold loan portfolio of 9600 crore and our growth in Golden portfolio is how much, 25%?
- Ms. Divya Pandey – Participant:
- And also Sir, could you tell the agri and non-agri split?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Yes, yes, I can give you. Out of 9600 crores, Agri is around 5581 and retail is around 2000 and MSME is around 2000. So, agri is around 50%.
- Ms. Divya Pandey – Participant:
- Okay, okay. and Sir my ne xt question would be, so the personal loan segment has grown very sharply this quarter, though the total portfolio is very small at 2000 crore, but growth looks much higher. Could you just throw some light on that?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:

- See, we have started it digitization program called Parivartan under which PQPL was one product which we launched and this product is backed by our transactions in the account, customers having salary accounts, customer having regular flow of income into t heir accounts for last nine months. This is those BRE eligible customers were given offer and they availed that offer. Here I would like to specifically mention that these are the customers who are maintaining salary account with us or pension loan accou nt with us or are having regular transaction for last nine months. So, basis that, this offer is given. It is hardly 1% of our total portfolio.
- Ms. Divya Pandey – Participant:
- Okay, Sir. Thank you.
- Moderator:
- Thank you. we will take the next question from Mr. Sushil Choksey. Please unmute yourself and go ahead with your question.
- Mr. Sushil Choksey – Participant:
- Sir, congratulation on stable numbers.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Thank you. Thank you, Sushil ji.
- Mr. Sushil Choksey – Participant:
- Sir, I have a couple of questions on both part of the bank. Do you think you are off the guidance or you maintain the guidance?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Sorry, Sushil ji I was not able to hear.
- Mr. Sushil Choksey – Participa nt:
- Your guidance through credit growth this year, looking at the numbers, will you

exceed the target or you would maintain the target?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:

- See our guidance was 12% to 14% and in last nine months, we have already achieved around 11½% growth on YTD basis. On quarter -on-quarter basis if we look, this quarter our growth was around 5.42%, last quarter 2.42, previous June quarter 3.41. So, our guidance is 14%. Guidance now looks to be on a conservative basis. We wil l definitely surpass the guidance going by the current trend.
- Mr. Sushil Choksey – Participant:
- Sir, my next question is on your NIM is concern and your guidance on ROE, ROA, NIM, can you elaborate what is likely to involve in the Q4 or there is any change s likely to happen there?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See our NIM guidance was around 3 to 3.10 and happy to see that we have achieved our guidance in this quarter and previous quarter and our NIM has been improving on quarter -on-quarter basis. On 31st March, we had 3.03, then 3.09, 3.10, and now 3.17, that is global NIM. Domestic also, we have improved from 3.02 in December 23 to 3.38. So, 36 bps improvement in our NIM in last one year on domestic basis and 33 bps improvement in our global. So, our guidance continues to be 3 to 3.10, but we will continue to work in improvement of o

ur
NIM on a quarter -on-quarter basis as we have been doing last five, six quarters and ROA, ROE, if you see our ROA has been improving. If you look at from June 2 3, it was 0.28, then 0.54, 0.67, 0.69, 0.7, 0.73, now 0.79. So, quarter -on-quarter basis, we will see ROA and ROE continues to improve in every quarter.
- Mr. Sushil Choksey – Participant:
- Where do you see your gross NPA and net NPA number at the year end?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Our guidance was less than 3%. We have already achieved 2.90%.
- Mr. Sushil Choksey - Participant:
- I am happy with 2.9, I am asking whether you will go to 2.5 or 2.4 by the year end, and 0.63 at 0.5?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:

- Choksey ji, dil maage more . So if everything goes right then we will further reduce it from 2.90, maybe 2.80 or something like that.
- Mr. Sushil Choksey - Participant:
- So my intent of question was, if your profitability is rising, will you provide more and bring the NPA numbers down, or there is… ? Like it seems that you had a smart recovery in this quarter also. So the recovery path is going to help, or is the telecom a ccount having some resolution which I am sure some other analysts will ask you later in elaborate. But where is the recovery coming from? Technically written of assets or some other recovery, some elaboration, because I see the number of recovery is better than previous quarters.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Sir, recovery has come from recovery in written off accounts in this quarter also, previous quarter also. We expect the trend to continue. But magnitude may be here and there, but the trend of recovery will come because many customers are coming forward for resolution also, for OTS also. So, on case -to-case basis we are taking a call to accept the resolution or to accept the OTS amount. Where we get a value for money, there we will accept. S o that is one on recovery front.
- On our MTNL telecom, we are yet to get any final offer or final… There were certain discussions which JLM has not yet agreed and final resolution plan is yet to be put in place. So once that is in place, that time we will have some good amount of recovery. But to share with you, we are 100% provided for in that account itself in this quarter.
- Mr. Sushil Choksey - Participant:
- Sir, how are your efforts working towards digitization and CASA growth?
- Mr. Ashwani Kumar - MD & C EO, UCO Bank:
- See, if you look at my CASA, we have taken a lot of initiatives, I explained in earlier quarters also. What we have done in this quarter, we have strengthened our Zonal Resource team. Earlier our focus was on Central Office and Corporate Office Resource team. We have strengthened. Now we have given tab to all branches; earlier it was around 1,700 branches. Now the configuration of the tab with biometric is going on. I think by next month end, all tabs will be up and

running. So that will help me in getting quality CASA customers' acquisition when our people go in the market. But with these little efforts, whatever we have taken in last one year, if you see, our CASA ratio has been maintained in 37 to

38% range. We have not seen major decline in our CASA ratio. CASA ratio continues to be around 37 to 38%. And that was our guidance also, that it will be our endeavour. Going forward also, our focus will be on quality CASA customer acquisition through tab banking, through various salary saving accou nt tie -ups. We have already done few tie -ups in last quarter. Our teams are giving… Zonal Resource team and Head Office Resource team are giving presentation to various PSUs, MNCs to open salary account of their customers; some are clicking, some are not c licking. So efforts are on and efforts will continue in this financial year also to see that we are able to maintain our CASA ratio.

- Mr. Sushil Choksey -

Participant:

- Sir, every bank is aspiring that I will become a consumer bank among PSU banks. Numbers a re looking good on many fronts. What are the new products which you have launched as a consumer finance in our bank, other than home loans which everybody talks about? What are the other products? I understand you have done something on autos. I am specifi cally asking what product have you launched which is yielding good results?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, recently, looking at the interest of our customers, we have revamped the entire education loan scheme for our students studying in Ind ia, studying abroad, studying in premier institutes, and also for women customers who want to study abroad. So the entire product portfolio has been revamped. In MSME basis, the request received from various zones, we have launched cluster specific schemes for the women customers. MSME has launched a MSME Nari Samman scheme for women entrepreneurs with attractive features. For young generation, MSME Yuva Shakti scheme has been launched. That is also to attract young entrepreneurs to our scheme of things. As announced by Hon'ble FM, towards digital push to MSME, basis their digital footprint, MSME Smart Finance scheme has already been launched with digital MSME loans up to 25 lakhs. Then GST Smart Finance scheme has also been launched. So that is also attract ing a good traction amongst the customers.
- And apart from that, we are working on bringing pre -approved vehicle loan to our existing customers basis their transaction history. Bank has implemented EDW project where 36 0■° view of the customer is available. And basis our AI -ML, we are able to generate leads and push those leads to our branches. Branches are connecting to those customers and giving special offer to those segmental customers either for education loan, housing loan, vehicle loan. So that effort is

also started yielding some result in this quarter. For our HNI customers. We are launching a special metal card, Eterna metal card for our HNI customers with various inbuilt benefits to our HNI customers. For women, we are launching a special card, Apr ajita debit card, UCO Aprajita debit card to attract our women customers with a special benefits to those customers.
- We are also planning to launch UCO Wealth Corner at our branches, specific branches, maybe 40 to 50 branches across India, because what we analyse that many of our customers are using our account and they are making some investments in various mutual funds, various share brokings. So we want to offer those services to our customers, specialized services. We are planning but we are yet to fin alize what will be the modus operandi , how it will operate, which branches, which customers. So that is also in the pipeline. Yes, please go ahead.
- Mr. Sushil Choksey - Participant:
- So this will be all done digitally, right?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Yes, yes, digitally.
- Mr. Sushil Choksey - Participant:
- So our app expenditure and what is the outlook on the app which we are trying to enhance the visibility of the app?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Our mobile app?
- Mr. Sushil Choksey - Participant:
- Yes.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:

- Mobile app, if you look at our numbers we have given in our presentation also, our mobile active users we have started tracking in last one year. Earlier we used to track registered users. Now we have started tracking active users. In last one year our acti ve users have improved by around 80 to 90%. Our daily logins have also improved by almost double.
- Mr. Sushil Choksey - Participant:

- Can you say the number what was there last year and what is the number today?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See today our active mobile users are around 38 lakhs. A year before it was a

round 17 to 18 lakhs only.
- Mr. Sushil Choksey - Participant :
- Sir, second thing I understand, you are doing specific product on second -hand car finance on the luxury segment. This is what I hear from a customer who has done some transaction. What average ticket are we doing and what rate is this finance? Because yo u are trying to differentiate yourself from other banks who are not doing these products. That's the reason I am asking that question.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, we have a product where we finance these vehicles, may be luxury or not luxury. And we get a… How much rate are you taking on that? 11%? What are we taking on car finance? No, on car, on the second -hand luxury. So, that is giving us a good yield in the range of 10 to 11%. In the range of 11%.
- Mr. Sushil Choksey - Participant:
- What LTV (Loan to Value) will be this?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Loan to Value will be around 75, 30:70 or 25:75?
- Mr. Sushil Choksey - Participant:
- Second thing sir, my last question in this round. Provision and contingency, quarter -on-quart er we have grown up. I think last quarter we had income tax write back. This quarter we have made some additional provision. Can you highlight what is that for?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Which was additional provision?
- Mr. Sushil Choksey - Participant:
- Sir, provision for NPA has reduced and others is increased from -156 to 320. Sir, I assume there was income tax write back.

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Okay. See, provisions, on some of the other assets we have kept a provision of around 300 crore.
- Mr. Sushil Choksey - Participant:
- Are we doing some accelerated provision for ECL loan or what is this? Floating loan?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, this is a forward -looking provision. I will not say that ECL is an accele rated program. This is a forward -looking provision we are building in within the system.
- Mr. Sushil Choksey - Participant:
- Sir, my last question to Saboo ji. Sir, what is the outlook on your treasury?
- Mr. Rajendra Kumar Saboo - Executive Director, UCO Ba nk:
- Good afternoon. Treasury outlook, we all know that the yields are moving in a range. Earlier we saw the yields falling and then again picking up due to various geopolitical and other issues. So, I think the yields will continue in this. Our estimate an d our anticipation is, that the yield will continue to fall, remain in this range. Maybe if we see some good news going ahead in Indian economy and financial market and liquidity position, we can see a 660 type of level. Maybe, we don't know. But broadly t he range 660 to 680 will continue, that is our view as of now.
- Mr. Sushil Choksey - Participant:
- Sir, in last quarter, the quarter which we are reporting, 710 is the recovery of written off assets. Can we sustain this number in this current quarter? It will be higher or lower?
- Mr. Rajendra Kumar Saboo - Executive Director, UCO Bank:
- Recovery in TWO…
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:

- See, recovery… we have given a guidance of around 3,000 crore of recovery in this financial year. And there were certain accounts which we are pre -empting

that will come in 4th Quarter, but the recovery came in 3rd Quarter also. So, recovery will be in this range, but little bit of here and there in this quarter also, because certain accounts which were expected in Q4, that recovery came in Q3. So, that is the reason that our recovery in Q3 is on a higher side.
- Mr. Sushil Choksey - Participant:
- Thank you. Congratulations and best wishes for the year.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Thank you Sushil ji,.
- Moderator:
- Thank you. We will take the next question from Ashish. Please unmute yourself and go ahead with the question.
- Mr. Ashish – Pa

rticipant:
- Thank you for the opportunity. Sir, my question is regarding the loan growth. Sir, the loan growth in corporate segment was quite healthy at 5% quarter -on-quarter. So, which segment is driving this and how is the de mand outlook on this segment? And what are the total sanctions you have as on date? And which sector contributes to it most? So, I want to know on this.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, if you look at our corporate growth, there were certain s egments like road and infrastructure, where there was a growth in this quarter around. I think 1,000 odd crore growth in road and infrastructure. That was a completed road project. That also I can tell you. And then in metals, there was a growth in this qu arter. Certain ethanol projects, iron and steel projects, cement, renewables. So, these are the projects where we saw some interest coming in.
- There are many sanctions which are in pipeline and under disbursement also. Maybe around 10,000 crores of sancti ons are there which are under disbursement. That will take little longer because gestation period or moratorium period for implementation of the project is there.
- Second, demand is also coming from the data centre. We have already done one. Another data ce ntre project is also under process. This is not from one sector, from various sectors we are getting interest across the sectors.

- Mr. Ashish – Participant:
- My second line is on, so company is marching towards sustainability and having a lot of sustainabil ity initiatives as of now. What is the company's way forward towards having a green portfolio or investing in companies with green projects?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, if you look at our initiatives which we have started, first we have s tarted from the liability side. We have started raising green deposit by offering additional interest over normal deposit rate of interest, number one. Number two, we have introduced asset product which encourage customers to buy EVs or solar products, and we are offering them an attractive rate of interest. Third, our focus is on renewable projects also, and our portfolio has improved and increased in this quarter. This quarter we had around… outstanding is around 3,700 crores of renewable energy portfolio . Our focus in the coming quarters will continue to enhance our green financing portfolio by bringing one or the other initiatives, whatever is there. We have also introduced this in our credit rating product also, the initiatives which customers are takin g for building their companies as a green company. We have also obtained certification from Calcutta Electricity Supply Corporation for 25% of our Renewable Energy Certificate. And then, we have also tied up with PCAF for assessment of our portfolio. So th at will also give us some indication where we are moving, where we need to go and how we need to go.
- Mr. Ashish – Participant:
- Thank you so much. That’s it from me.
- Moderator:
- Thank you. Participants who have any questions, please raise your hand. We will take the next question from Anmol Das. Please unmute yourself and go ahead.
- Mr. Anmol Das – Participant:
- Good afternoon, sir. So my question was related to the corporate segment because we have been seeing the banking sector not lending out very easily towards the corporate segment like they used to. So are we seeing that it has

already been overplayed? And now especially the PSU banks are going to lend more heavily towards the corporate segment in the coming medium term, this next fiscal year?

- Mr. Sushi l Choksey - Participant:
- See, if you look at corporate, our growth in corporate on a quarter -on-quarter basis is sustainable. Our corporate book continues to be in the range of 31 to 32% of our… sorry, 37 to 38% of our total advances. Our RAM segment continues to be in the 61 to 6 2%. And if you

look at this quarter also, our corporate book growth is around 14%, wherever our RAM portfolio growth is around 20%. So it's not like that the banks were not giving credit to the corporates. Banks have been giving credit to the corporates on a quarter -on-quarter basis and a year -on-year basis also. And we'll continue to keep lending to all bankable projects which come to us in corporate segment. And as I already told in the question before you asked, that we have… in the last quarter we have funded to basic metal also, we have funded to road project also, that is a completed road project. We have funded to ethanol projects also, we have funded to textile also, we have funded to iron and steel also, data centre also. So wherever bankable projec t where cash flow feasibility is there, promoter standing is there, our bank has been funding those projects and we'll continue to fund those projects.
- Mr. Anmol Das – Participant:
- Understood, sir. And on the retail mix, if I say, so retail loan growth ha s been faster than the corporate. So will you be going ahead with your guidance regarding RAM mixture and go beyond 62 or 65% of your portfolio in the RAM side?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, our guidance is around 61 to 62 RAM portfolio. Tha t will continue with 61 to 62%. And if it improves, it is so far and so good. What we have done is, we have activated our branch network from where we are getting leads generated. We have introduced hub structure where they are sending leads. And as a resu lt, TAT has improved a lot for housing loan, car loan, MSME loans. As a result, we see a good amount of growth in our retail segment. And we will continue to grow in retail and in corporate also. And, healthy mix of 62% will… I think it's a healthy mix we need to continue to maintain. Okay, sir. Understood.
- Mr. Anmol Das – Participant:
- Thank you. And good set of numbers. Congratulations.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Thank you, Anmol.

- Moderator:
- Thank you. We'll take the next question from Ashish. Please go ahead with your question.
- Mr. Ashish – Participant:
- Hi, sir. Good afternoon and congratulations. Yes, sir. Firstly on the recovery from written off accounts, that number has increased Q -Q quit e sharply. Was there any lumpy recovery here? And if you can give more details about this?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Yeah, I already shared that there was a recovery in one big account in this quarter, which we were expecting in Q4. And fortu nately, that came in Q3 itself. So that is the reason that recovery in Q3 is substantially high than the earlier quarters. And that was a good recovery, I think. I can't tell you the name. But that has come. That is true.
- Mr. Ashish – Participant:
- Which s ector has this come from?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- That is from infrastructure sector. That was from infrastructure sector. There are 2-3 accounts. And one we were expecting in this Q4, but it came in Q3.
- Mr. Ashish – Participant:
- Okay, go t it. Under the Retail Loans category, you have a sub -segment called Other Retail Loans. What is classified under that line?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, under Other Retail Loans, we classify our staff loans, loans against FDR, gold loans, co-lending, and any LAP, plus any portfolio which we purchase from some other, under DA purchase. So that also comes under Other Retail Loans.
- Mr. Ashish – Participant:

- Major portfolios here would be which one?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:

- Major portfolio is staff loans and pool, which we have purchased loan against FDR. So these are the three. And education loan. So the other 3 -4 loans. Gold loan. So gold, staff loan, against FDR, pool and education. These are the five components of this Othe r Loans.
- Mr. Ashish – Par

ticipant:
- Thank you, sir.
- Moderator:
- Thank you. Participants, if you have any questions, please raise your hand. We'll take the next question from Sushil Choksey. Please go ahead, sir.
- Mr. Sushil Choksey – Participant:
- Sir, what is the update on the equity front? We have hired merchant bankers, which is visible in public domain. There is a rumour that there is OFS slightly also for 4 -5 banks, which are in the category; the government has to dilute equity as per SEBI norms. An d there is a rumour that you may have to be forced to do a QIP also. So what is the update between two?
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- See, as far as OFS is concerned, we are not aware of any such development. What we have approached to the govern ment is for approval of QIP, which we have got the approval in previous quarter. And we have already gone ahead with the selection of VRLMs, legal counsel, everything. We have started meeting investors also. Last quarter also, this quarter also we have met in the first week of January, and we'll continue this journey after these results also. And hopefully, any time after these results, we'll come for QIP.
- Mr. Suhshil Choksey – Participant:
- Okay, sir. Thank you and good luck on the same.
- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Thank you.
- Moderator:
- Thank you. As there are no further questions, I hand over the call to MD sir for his closing remarks.

- Mr. Ashwani Kumar - MD & CEO, UCO Bank:
- Thank you, all the analysts and investors for taking interest and spa ring time to attend the Post Results Con call with the investors. We have given a guidance on various parameters, and we will try to make sure that we achieve our guidance, whatever we have given. And as we have been improving our performance in various pa rameters on a quarter -on-quarter basis, our team will continue to improve on all those parameters regularly. And we'll try our level best to give the best of the results on a quarterly basis. Thank you very much.
- Moderator:
- Thank you for joining UCO Bank’ s Earnings Call.

- END OF TRANSCRIPT

Call: May 2025

[redacted]
UCO BANK
[redacted] Honours Your Trust

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HO/F inance /Share /41/2024-25 Date: 03.05.2025

National Stock Exchange of India Ltd.
“Exchange Plaza”
Plot no. C/1, G Block
Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 0 51
NSE Scrip Symbol: UCOBANK

Madam/ De ar Sir

Re: Transcript of Post Earn ings Call with Analysts/Investors held on 28.04.2025

We enclose the transcript of Post Earnings Call with Analysts/Investors held on 28.04.2025 , in pursuance to Regulation 3 0 of SEBI (LODR) Regulat ions 2015. The transcript of call is uploaded on bank’s website and th e same can be accessed through below link :

https://ucobank.com/documents/d/guest/transcript -q4fy25

Please take the above on your records and disseminate.

Yours sincer ely,
For UCO Bank

(Vikash Gupta)
Com pany Secretary

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,Fort ,
Mumbai – 400 001
BSE Scrip Code: 532505

Q4 FY25 RESULTS
Post Earnings Call with Analysts/Investors
Date 28.04.2025
Time 05:15 pm
Mode Virtual (Webex)

Bank’s Senior Management is represented by :

1. Mr Ashwani Kumar, Managing Director & CEO

2. Mr Rajendra Kumar Saboo, Executive Director

3. Mr Vijay N Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

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- Moderator:

- Good evening, everyone. Welcome to UCO Bank Q4 FY25 earnings conference call. It is my pleasure to introduce to you the senior management team of UCO Bank. With us, we have today Mr. Ashwani Kumar, MD and CEO, Mr. Rajendra Kumar Saboo, Executive Director a nd Mr. Vijay N. Kamble, Executive Director. We will have the opening remarks from the MD Sir, post which we will open the floor for question and answer. Over to you MD Sir.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you. I welcome all analysts to this post results press conference. Sorry, analysts meet through Webex. Let me first share with you the highlights of our performance for the quarter ended March 25 and the financial year ended March 25. Overall business growth of the bank, bank's busines s grew by 14.12% on a YonY basis and bank crossed 5 lakh crore business. So the total business of the bank was 530,527 crore. Deposit grew by 11.56% and saving deposits grew by 5.06%. Current deposit grew by 18.47%. We were able to maintain our CASA at 37. 99%. Our advances grew by 17.72% of which retail grew by 35%. Operating home loan growth was around 18.13% and vehicle loan growth was 58.99%. Agriculture grew by 20%. Agriculture growth was well supported by improvement increase in our infra -fund, SHG and gold loan portfolio. MSME growth was 18.55%.

- Now coming to the asset quality, gross NPA of the bank has been reducing consistently on a quarter on quarter basis. This quarter, the gross NPA came down to 2.69%, that is a reduction of 77 bps on a YonY b asis. Net NPA, again, coming down on a quarter on quarter basis came down to 0.50%, that is a reduction of 39 bps on a Y -on-Y basis. PCR of the bank has been improving on a quarter on quarter basis, 96.69%, that is up by 131 bps on a Y -on-Y basis. PCR excl uding TWO portfolio also improved by 704 bps on a Y -on-Y basis to 81.95%. Profitabili

ty, our net interest income for the year
improved by 18.88%. Non -interest income also improved by 34.91% on a Y -on-Y basis. NIM domestic improved by 17 bps to 3.29 bps on a Y-on-Y basis. Global NIM improved by 16 bps to 3.08 bps. Yield on advances improved by 6 bps to 8.89%. Yield on advances global improved by 9 bps to 8.55%. Our yield on funds improved from 7.89% in March 24 to 8.25% in March 25. That is an improvement of 36 bps on a Y -on-Y basis. Overall operating profit for the quarter ended, we ejected operating profit of 1699 crores, that is a 33.48% growth on a Y -on-Y basis. For the full financial year, operating profit was 6037 crores, that is a growth of 32% on a Y -on-Y basis. Similarly, net profit for the quarter ended March 25 was 653 crores with a Y -on-Y growth of 24%. For the full financial year,

the net profit was 2445 crores with a growth of 47.80%.

- Now coming to the guidance which we have given at the start of the financial year and what is our achievement and what is our future growth outlook. Deposit growth, we have given a guidance of 8 to 10% at the start of the year. We ended the year with 11.56% deposit growth. CASA, our growth target was 8 to 10%. Our actual growth is 6.71%. That is tad below the guidance which we have given. Credit growth was 12 to 14%. Our growth is 17.72%. CASA, we have given a guidance of 37 to 38%. We were able to maintain 37.91%, that is within the guidance. RAM percentage, we ha ve given a guidance of 60 to 62% and actually 62.73%. CD ratio, 74 to 75% was the guidance, actually 74.94%. Credit cost was less than 1% guidance, now actually 0.87%. NIM global was 3 to 3.10, actually 3.17%. GNPA is less than 3%, actual is 2.69%. Net NPA guidance was 0.65%, actually 0.50%. Slippage ratio, our guidance was 1 to 1.25%, actually 0.92%. Total recovery and upgradation of our guidance was 3,000 crore. Actual recovery and upgradation is 4,427 crore. Recovery was surpassed by a bigger margin beca use there were certain NPAs which we were expecting as a resolution in this current financial year, but we got the good recovery in the last financial year in March quarter itself.

- Now coming to the growth outlook for the coming this year. Deposit grow th, our outlook is 10 to 12% deposit growth. CASA growth is 8 to 10%. Credit growth 12 to 14%. CASA we would like to maintain in the range of 37 to 38%. RAM 61 to 63%. CD ratio, we'd like to maintain in the range of 77%. Credit cost, again less than 1%. NI M global 3 to 3.10. GNPA are less than 2.5. Net NPA less than 0.35 and slippage ratio between 1 to 1.25%. And recovery and up gradation 2200 to 2,700 because we have already got some large recovery, which was expected in this financial year. We have alread y recovered in the last financial year. As you all know, we have already successfully completed our QIP of Rs. 2,000 crore. And with that, plus with the plough back of profits of this current financial year, our CRAR has also improved to 18.49%, as it is 1 6.25% last quarter. CET has improved to 16.03%. Tier 1, 16.37%. So the bank is well capitalized and there is a growth capital is sufficient available with the bank.

- Now coming to the approvals by the board. Board of the bank has approved a recommended d ividend of 3.90%, as it is 2.80% last year. Board of the bank has also recommended for raising equity or the capital raising plan by issuing 270 crore shares of Rs. 10 each face value in this current financial year. With this, if it happens at the opportun e time, the government holding will come down to less than 75%. So these are the financial performance and approvals by the board. And now coming to the various segments of growth where we have achieved our parameters.

- In home loan, our growth was 18%, vehicle loan 59%, personal loan around 46%. These personal loans are again salary -backed and PQPL based on our transaction analysis for the last

one year, which we give. And in the pool, there was a, we have taken a pool. Now the pool amount is 6,797 crore.

- Now coming to the priority sector, bank has achieved all priority sector segments and there is no breach on any of the parameters of priority sector segment. In financial inclusion also, bank has been registering ren ewable growth and achieving all targets set by the government. PMSBY, our enrollment has reached to 63 lakhs. PMJJBY, the enrollment has reached to 28 lakhs, APY 12.89 lakhs. PMJDY will count 1 crore 49 lakhs and balances in PMJDY count is 6,061 crores and number of BCs engaged by the bank has also increased by 9% to 10,653. If you come to the NBFC advances, then more than 96% are AA and above rated and if we look at A and above, it is 99% A and above rated. Similarly, rating mix also, our out of total rate d, 80% are rated, of which 77% are above benchmark at triple B and above rated. Total underrated is 19.75% only, of which again, PSE with the government guaranteed is around 7.29% and without government guarantee is 3.64% and others are 8.82% only.

- Comi ng to the profitability, detailed analysis, the operating profit of the bank improved to 7,699 crores and which was supported by net interest income of 2,698 crores, non -interest income of 1,392 crores. Operating expenses 2,391 crore of which staff expense s was 1,618 crores. In this staff expenses, in this quarter, we have made a provision of 180 crores towards PLI for the current year also. In operating expenses also, we have made a provision of 100 crores for our IT -related expenditure for the projects wh ich we have already taken but the payments have not been made coming in the next financial year.

- In the provisions also, we have made doubtful -three assets are already 100%, doubtful -two assets we have already made now to 90% provision. And in unsecured substandard also, we have reached 50% provision and in substandard secured advances, it is 23%.

- Now coming to the financial indicators of ratios, cost of deposit, cost of deposit of the bank, which was 4.87 last quarter, now for this quart er is 4.90 but year as a whole, cost of deposit increased by 7 bps and cost of funds increased by 15 bps for the year as a whole. Cost to income ratio for the financial year 23 -24 was 59.74%. Now for this current financial year, it is 56.99%. Yield on adva nces also has improved by 6 bps in this financial year and yield on global advances has improved by 9 bps. Yield on funds has improved by 36 bps in this financial year. Our earning per share, that is also crossed 2 rupees, now it is 2.04 in this financial year. Book value has improved to 17.53. Business

per employee, which was around 20.93 crore in last financial year has improved to 24.35 crore and business per branch has also improved from 139 to 155 crore in this financial year. These were the business f inancial parameters of the bank.

- Now coming to the stress asset portfolio, our SMA portfolio and restructured portfolio has been coming down on a quarter -on- quarter basis. If you look at our SMA portfolio, which we declared more than 1 crore. Our SMA, total SMA more than 1 crore, book is 1583 crore, of which only 799 crore is in SMA 1 and 2. 784 crore is SMA 1. So if we look at SMA 1 and 2, more than 1 crore, the overall percentage is 0.36% only. If you look at our restructured book, which was at 33,500 crore at the start of the year has come down to 1,687 and that works out to 0.77% of the total standard of advances. So it is, the restructured book is also coming down substantially and it is reached, it's almost 50% from the last financial year. In NCLT 100% provision has been made and around 254 cases are in NCLT with exposure of 17,585 crore. Capital adequacy I have already told, shareholding I have shared.

- So now I, and yes, few of the initiatives which started in last financial year, I woul

d like to highlight few of the initiatives and the progress made by the bank on those initiatives. Last year in September, bank started a new project called Project Parivartan. The purpose was to create a fully digital first approach across all bank offerings an d target was kept that we will be digitizing over 25 journeys in one year time. I am happy to share that in six months' time, we have already done 14 digital journeys on our mobile platform and we have kept a target of 6,000 crore of business for the digit al channels. We have already crossed 6,100 crore in March itself. So 14 journeys have already been launched of which the important was the announcement made by Honorable FM in the last to last budget where the cash flow -based lending to MSMEs. Bank launche d various MSME digital journeys, GST smart, MSME smart, that is up to 25 lakh and Shishu, Mudra, Kishore, Tarun, digital renewal of CC accounts up to 10 lakh. So all those MSME journeys were launched and I am happy to share that ever since launch of these journeys, bank has already clocked 200 crore of business through digital channels from MSME journeys. Another 15 journeys are in pipeline. So we will be around 30 journeys in next three to four months' time. 30 journeys will be completed. Bank has also enh anced its WhatsApp banking offerings. As on date, 43 services are available on WhatsApp banking. In the last quarter, six new services have been offered, making it to 43. If you look at our digital adoption, our digital active mobile banking users have bee n improving in a quarter -on-quarter basis in the last one year. We have almost doubled our mobile active users. Plus, we have revamped our mobile app also and I am happy to share that our bank's mobile app rating has improved to 4.8 and it is one of the be st in the industry across public sector banks. To combat the problem of mule account, bank initiated, launched a new initiative that was Pulse Alert Monitoring

System. We also integrated in I -4C for real -time data on the fraud, digital frauds. Then we have developed various rules to identify some mule accounts before they trigger any loss to anybody. Enhanced due diligence process has been initiated by the bank. As a result, before they are reported as a fraud by any fraud registry, bank has been able to suspect and block those accounts before they are reported by any agency. To enhance the services to our customers, we have revamped our chatbot also, that is UDAY, called UDAY, where account -related 16 services and 14 general services are already made avail able and three are in pipeline. So we will keep on improving our offerings on the chatbot channel also for the convenience of our customers. In retail segment, we improved all our products, maybe education loan products for our customers, pension loan, veh icle loan, housing loan or gold loan. Every product was totally revamped in the last financial year. We will continue to work on these products in this current financial year so that we come to the expectations of our customers in this financial year as we ll.

- To help or to expand our reach to the MSME, 11 new MSME schemes were launched in last financial year and this financial year, now the cluster -based financing schemes will be launched by the bank. In HR, bank has already implemented HR initiative, H RMS and project Samsiddhi, we call that, that is HR transformation project.

- Now that reward and recognition program, learning and development, everything has been completed and we continue to build on the learning and development policy, which we have i mplemented in this financial year in true spirit so that our people, our employees are skilled in that direction. For female customers, bank has launched specific schemes like Pink Basket is one scheme where we offer them specific specialized saving accoun t, current account, Flexi RDA account, special debit card that is called

Aparajita debit card has been launched. MSME, under MSME, we have launched UCO MSME, Nari Samman scheme for females. We have given a special scheme for study abroad and special discou nt of 0.10%. On MSME loans, special discount on MSME entrepreneurs is 0.25%. On home loan also it is 0.05%. In IT, we launched, initiated various projects and we completed. So in IT, we have already done a NOC, that is Network Operations Center has been im plemented. We have upgraded network bandwidth that was from 2 Mbps to 4 Mbps. And in Zendos, it was 4 Mbps, now it has been to 8 Mbps. Tab banking has been introduced across the branches now. Earlier, it was being done. So last quarter, it has been impleme nted in all the 300 branches. So digital balance certificate also has been launched through mobile banking. Application white listing solution has also been implemented. EBG facility has also been implemented. We have also integrated with the NSE for E -FDR . New virtual machine setup has been implemented. Now IT asset management solution has been implemented. Application performance management solution has been implemented.

Resilience operations center, ROC, has also been implemented. API banking solution has been implemented. Now we will be taking benefit of API integration with the various corporates. Overseas Finacle migration/up gradation has also been completed. So all these projects have been completed in the last financial year. In this current financi al year, we have taken a budget of around 1000 crores. And last year, another 1000 crores was taken, of which around 64% was used. There are a few projects which have spilled over to the next year. So this year also, we have taken a 1000 plus crore budget. And we intend to bring FXPC application, IDAM, data center consolidation, document enterprise, document management system. We want to upgrade storage capacity of UPI, cyber recovery vault. Testing setup, we intend to bring near to your site also at Kolkat a. Apart from the CMS supply chain, all these projects are in pipeline. And the CBDC is also in pipeline. Now we will be testing now. Once the accounts are opened, we will be going for the pilot stage also. So there are certain ATMs which need to be replac ed. So all these things are already in pipeline, which we will work in this financial year to bring new and newer technology. Apart from that, we are also working on robotic process automation and we are figuring out here, which are the areas where we can use those process automations. And also, the used cases of AI are being identified. So that in current financial year, we bring AI into use also.

- This was all I wanted to share with you all. If anything, you want to share the ED sir. So, thank you all. And now, we are open for discussions. Thank you.

- Moderator:

- Thank you, sir. We will start the Q&A session. Participants who wish to ask a question, please raise your hand. We have a first question from the line of Mr. Amit Mishra. Amit, you can go a head.

- Mr. Amit Mishra - Participant:

- Good evening, sir. Good evening, everybody and thanks for the opportunity. Sir, my first question is on your RAM share. So now our RAM share is almost 73%. So what is our ideal ratio? Are we going to 60 -40 or 35 -65?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See our RAM share is around 62 -73% and ideal is, I think we should be somewhere 65%.

- Mr. Amit Mishra - Participant:

- Ok, 65 -35.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Yes.

- Mr. Amit Mishra - Participant:

- Sir, out of your total advances, how much is linked to external bench rate?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, out of total advances, our link to, give me a second, around 50%, 55% is linked to external benchmark.

- Mr. Amit Mishra - Participant:

- Ok sir, 55%. Okay. Sir, we have witnessed a really good growt

h in vehicle loan segment, almost 59%. So specifically in vehicle loan, which sector are we seeing, two -wheeler, four -wheeler is growing or which specific v ehicle sector is growing?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- The growth is in four -wheeler only. Maximum growth is in four -wheeler and actually, we have revamped our vehicle loan scheme last year. And that has given a result and our base was ve ry low. So on a base of, with a branch network of 3,300, March 24, our vehicle loan per branch was even less than 1 crore. So now we have reached to a level of around 1.5 crore per branch. And we have also revamped our incentive scheme for the DSS also. So that has all contributed to the growth in vehicle loan business.

- Mr. Amit Mishra - Participant:

- Ok. Thank you Sir. And Sir, next on, I may have missed in past quarters, have we changed any provisioning norms for employee benefits in past?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- No, no, no. There is no change in employee norms, provisioning nor ms for employee benefits that is governed by S15. So would they continue to apply, a s it is.

- Mr. Amit Mishra - Participant:

- Ok Sir. Sir, you mentioned you have already spent like 440 crores on IT this year. And what was it?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- 600 crores.

- Mr. Amit Mishra - Participant:

- 600 crores.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- 642, 642.

- Mr. Amit Mishra - Participant:

- And for next year, we are targeting 1000.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- 1000 plus, yes.

- Mr. Amit Mishra - Participant:

- 1000 plus. Ok. Thank you, Sir. These are my questions.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you.

- Moderator:

- Thank you. We have our next question from the line on Mr. Rohan. Mr. Rohan, you can unmute.

- Mr. Rohan – Participant:

- Hello! Good afternoon. So my question is, what is your outlook on NIM as it has declined sharply from 3.38% to 3.22% quarter in quarter? And also the yields also dropped from 9.02% to 8 .9%. What's explaining this? And is this because of your deposit is largely stable?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- No, no. See, last quarter, we had an interest component of around 42 crore from one of the segments that is NRLM. So that was over and above our normal interest income. And that gave us a slightly higher NIM and higher yield in the last quarter and which was not available in this quarter. So that is one. Because of that only, otherwise it is not. If you look at our yield on fund , that has improved on a Y -on-Y basis substantially.

- Mr. Rohan – Participant:

- Ok. Thank you Sir. So the next question is around personal loan. Loan book growth has been quite steep this quarter, about 10% to 11%, quarter on quarter and 46% year on ye ar, though it is very small portion of total loan. Can you throw some color on it? Because at industry level, we are seeing degrowth. Is it, is this to ETB customers or NTB customers?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- This personal loan is totally to ETB customers, number 1. And number 2, there are two components. One, over the salary account holders. 2nd is our pension account holders. We are giving personal loans to them. 3rd is our regular customers who are accounts are being operated for the last 9 to 12 months regularly and we have a criteria of average balance and minimum balance, basis that we offer them PQL facility. So because of this, this has slightly increased. But on a smaller base, the percentage looks large. But if you look at total overall growth in a year is only 800 crore but on a percentage terms, it looks very large. But per branch, if you look, it is not even one crore per branch. But we are mindful of the fact we are not going to NTB customers currently. So our focus is only on our internal data usage. Data analytics team is there. We have a data enterprise, data warehouse from where we pick basis our BRE, customers are identified and then they are given offer to avail these services.

- Mr. Rohan – Participant:

- Thank you, sir. That's answer my question. And one last question from my side is what is your total gold loan portfolio and how is that book shaping up in terms of growth, sir?

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- 10,500....

- Mr. A shwani Kumar – MD & CEO, UCO Bank:

- See total gold line portfolio of our bank is 10,500 crore and we are all in compliance with the RBI guidelines of our gold loan portfolio also. And if you look at gold loan portfolio, the behaviour of the gold loan por tfolio in last financial has been reasonably okay. There is no delinquency. We are observing that that the ticket size or anything or the NPA or the delinquencies are increasing not like that. Our gold loan portfolio's behaviour is satisfactory and growth is also reasonable.

- Mr. Rohan – Participant:

- Thank you very much. So that's all from my side.

- Moderator:

- Thank you, sir. We have our next question from the line of Mr. Ashok Ajmera.

- Mr. Ashok Ajmera - Participant:

- Thank you for giving me this opportunity and compliments to you Ashwani sir, Saboo ji and Kamble sir.....

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you. Thank you Ajmera ji.

- Mr. Ashok Ajmera - Participant:

- For achieving one of the, I think the best profi t you have come to 2,445 crores of profit as against 2,437 crores of loss in 2020.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Yes.

- Mr. Ashok Ajmera - Participant:

- What a fantastic journey from a loss making to a profitable and now consecutive I think for last 4 years you are in profit, but this is probably one of the highest profit I think in last 10 -12 years.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Highest profit. Yes.

- Mr. Ashok Ajmera - Participant:

- Highest profit sir. So compliments to you sir for that.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you.

- Mr. Ashok Ajmera - Participant:

- And the entire team of UCO Bank and sir, even your growth is phenomenal even in this year also like credit people are struggling. I think probably you and Bank of Maharashtra, I think these two are the only probably the banks which have gone beyond 17% or even 16%. So compliments for that also.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you.

- Mr. Ashok Ajmera - Participant:

- For deposit front also you are doing well about almost 11.5 -12% which others is credit actually, deposit is 7 -8%. So having said that sir, how do you see like you have given a good target for the next year also but you have a little bit ta pered down your targeted number of credits to just 12 -14% as against 17.7% which you have already

achieved in this quarter itself. So and similarly on the deposit front also little bit down though it is better than others. So sir, I mean do you see that th e demand may little bit come down or because of the geopolitical turmoil and the so many changes, so many things happening around and recently what happened in India also. So is there any impact you see going to be or it's a general assumption that little bit of credit growth will be lower than what you achieved this year?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, Ajmera ji, if you look at our previous year's guidance also our guidance was 12-14% in advances and deposit was 8 -10% and our achievemen t was in deposit 11.56% and basis this achievement of 11.56%, we have given a guidance of 10 -12% in deposit, right. In advances, see advances are again an opportunity based. Sometimes you get a better opportun

ity, better pricing, yield, then you go for it. So like this and ours is a retail orientated, we have already done around 62% of our RAM segment is there. So in RAM segment when we are talking about RAM and India particularly where the economy is also good, there are no fears, we are doing better than the world and domestic consumption and market is very sound. So we expect that the RAM segment to continue to grow in the same range and in corporate, our growth was.... if you look at our growth in the corporate was only 12%.So again corporate it again de pends upon a case-to-case basis whether the pricing matches our expectation. If we get good banking proposal, bankable proposal with a pricing as per our requirement, we will definitely go for that. So it will be a balanced approach towards credit growth i n RAM segment and in corporate credit depending upon the margin available, depending upon the pricing which we are getting and accordingly we have kept a guidance of 12 to 14% given an opportunity, if we see the guidance as we have done in the last year al so.

- Mr. Ashok Ajmera - Participant:

- Yes, sir. The point well taken sir. Now the second one is sir about you know, very good control you are having on the SMA like SMA 1 which was 280 has little bit come up but SMA 2 which was 420 crore has come down to 66 crores. So it's a like a good control but what is the basically... are you feeling any pinch in the individual accounts or with this little bit of slowdown is there any impact, little bit of delinquency in our recovery this thing though the final num ber looks good, but on day -to-day basis, what is the experience on the recovery front, sir? And coupled with this our recovery from the return of account is also good. I think it was 964 crores in this quarter. So going forward, what is our total return of book and how much do we expect in percentage terms out of that?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See Ajmera ji, first is SMA book, if you look at our SMA book for the last 3, 4 quarters in the financial year, last financial year, this year, w e are declaring more than 1 crore. Generally other banks are declaring more than 5 crore. We declare more than 1 crore on for the last maybe around 2 years now. And if you look at our book, our total SMA still continues to be in the range of 1500 crore onl y.

- Mr. Ashok Ajmera - Participant:

- Yes.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- SMA more than 1 crore, 0 1 2 0 1 2. Sometimes some counts get back to 0, some count get back to 1 and some count get slip to 2 and then they go back to 1. So if you look at total 0.7 around 0.7% of my total SMA is more than one crore only of the book. My total out of total advance is only 0.7% and that is a continuous constant. It is not that there is a surprise in one quarter that somewhere it has gone up and som ewhere it has come down consistently. And if you look at my segment wise we are also declaring. So in retail our SMA is in the range of 250 crore to 270 crore for the last March, December and March again. In agriculture also it is in the range of 150 crore , 180 crore, MSME it is a range of 500 to 600 crore and in corporate it is in the range of 500 crore. So it is well spread across segment and is consistently it is there. There are few accounts in the corporate segment around 700 crore which are in our wat ch list which we continue to monitor. Sometimes they come into SMA, sometimes they come out of SMA, but they are continuously paying and playing there are certain challenges with them, cash flow issues are there but these accounts we have seen over a perio d of last 1.5 years, they have not slipped. But at times they come into SMA and then they come out of SMA as well. So on an overall basis if you ask me from the behaviour of our book, I don't see any stress building up in any of the segments either in reta il, MSME, Agri or

corporate
for the bank.

- And second recovery this last quarter.....

- Mr. Ashok Ajmera - Participant:

- Recovery....

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Yeah, recovery last quarter as I told in my opening remarks that last q uarter we had a very good recovery in one of the accounts which we were expecting we have targeted for this financial year, that was around 841 crore of recovery in one account around that was we were expecting in this financial year. But that resolution h appened and the money came in the last financial year itself, in the March quarter. So that has given a boost to the recovery of the last year. Last year our total recovery was 4429 crores as against 3127 crores previous year and that has given us a lot o f confidence. We have a book of TWO account currently also where around 23000 crore of TWO book is still there and there are certain NCLT, 18000 crore under NCLT only. It again depends upon the resolution when it happens and how it happens and how much we get. If you look at my on -book also that is also now I think 5900 crores of on -book NPA. So there also we target some recovery. So overall recovery we are expecting that because 900 crore, around 850 crore we have already taken this year. Otherwise, our initial estimate was that we will recover around 3500 crores of recovery in this financial year, but since 840 crore is already come. So we expect around 2500 to 2700 crore in the next financial year overall recovery to come.

- Mr. Ashok Ajmera - Participan t:

- Okay, sir. The last question in this round sir is on the treasury. Now with this rate softening and even 20 basis point is just in this year itself the reduction is there and with next 2 -3 rate cuts, we might go to 6, you know, like 6.1 or 6. So do w e expect a good bumper profit coming in the FY 26 from the overall treasury operations, sir?
Saboo sir.

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- Yes sir, Ajmera ji, yes, we all are looking at that.

- Mr. Ashok Ajmera - Participant:

- You are a man of treasury, sir.

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- Yes. Yes. Thank you, sir. So RBI has already cut the repo rate twice 25 basis point each and now we expect as you have already said further cuts. If that happ ens, definitely the yields will be going down but because profitability will depend upon....because the RBI has changed the guidelines on investment last year only. So the

FATPL part only will come into the profits directly and AFS part will go to there on ly. So that is one thing. So but again, we are active in the market as you can see in our presentation also we have plus 2000 plus portfolio in FATPL also and the trading is also means, taken up by the treasury. So we see a reasonable profit from there. We can't quantify because it is a function of the market movement. So we can't quantify but yes, we are hopeful of.... because if yields are supporting, market is supporting, definitely opportunity is there. So we are there in the market to catch the opportu nity as and when it arises. So we are hopeful to have a reasonable profit from that also. Already we have declared the reverse for the treasury.

- Mr. Ashok Ajmera - Participant:

- Good, good, sir. If you permit, sir, one more last question, sir.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Yes, please.

- Mr. Ashok Ajmera - Participant:

- Sir, on the NBFC front and co -lending space, now the RBI has also little bit has become liberal saying that the non -priority sector NBFC also the banks can go for. So what are your views on that? What is our existing NBFC exposure including the co - lending? Would you like to throw some light on that, sir? What are your plans in future? Do you want to grow that portfolio? How do you plan to do it?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See

, our existing NBFC portfolio is around 12, I think 12.5% of our total domestic advances, right. And if you look at our co -lending partnerships, we have already done around 7 co -lending partnerships and our total co -lending port folio under this partnership is 2,200 crores. So given an opportunity in the current financial year also, we'll continue to evaluate the proposals coming to us. If we match our loan policy guidelines or we are able to modify product and base our loan polic y guidelines, we can offer those products through the co -lending partnership. We'll continue to do that. So we'll continue to evaluate the opportunities and then take a call basis the credentials, basis the product, basis the segment. So many things are to be seen, but we are open to look at the future partnerships in co -lending space with Fintech, with private, non - priority, whatever.

- Mr. Ashok Ajmera - Participant:

- Thank you, sir. Thank you very much for answering all our questions.

- Mr. Ashwani K umar – MD & CEO, UCO Bank:

- Thank you.

- Mr. Ashok Ajmera - Participant:

- Thanks a lot, and all the best to you. You continue to perform better than what you have been doing.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you, sir.

- Moderator:

- Thank you, sir. We have our next question from the line on Mr. Sushil Choksey.

- Mr. Sushil Choksey - Participant:

- Congratulations to management and team of UCO Bank on excellent stable numbers and the QIP, which you concluded in the last quarter. Based on current quarter CASA which we have ended, with now falling interest regime, Saboo ji already answered on the treasury outlook that the yield, the RBI may drop 2 more times, maybe more also. And second thing, most of the banks have starte d dropping rates where deposit are concerned. What will we do differently to strengthen our CASA, which leads to a sustainable growth path and compete with larger banks?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Sushilji, if you look at our CASA, in th e last financial year, if you compare CASA of other banks and CASA of our bank on a quarter -on-quarter basis, we have already given a guidance of 37 to 38, and we are well within the guidance in the current financial year, 37.91% we maintained CASA. We hav e done a lot of initiatives in the last financial year to garner CASA, to improve our offerings to the various walks of life, like for students, for females, for salaried customer, for non -salaried customers, for current

account holders, so for everybody w e have done a different type of product and we have bundled those products with various freebies or offerings by way of free insurance or by way of some concessions or waivers like that. We have already bundled all those things. So that has resulted in ope ning of new account.

- Then another thing which we started last year, if you remember, was a Tab banking. So initially we started Tab banking with 500 branches, reached to 700,1000, 600 and then now in last March quarter we have given Tab to the entire 3 000 plus branches. So now our onboarding is through digital Tab banking by reaching out to the customer. Earlier, a year back, we were 100% dependent on the walk -in customer. Then few of our branches were able to reach out to the customers. Now by this Mar ch end all our branches are equipped to reach out to the customer for opening and saving accounts. Not only saving accounts, we have already enabled current account for proprietorship and individuals through Tab banking also. That has also been enabled. No w what else we are doing is we are trying to build a functionality in the Tab so that whenever our staff or employee reaches out to customer for opening or for anything, he can undertake transaction also sitting at his office through Tab banking. So that f unctionality also we are bringing so that customer need

not to visit. Apart from that, through mobile app also we are onboarding on various journeys which will enhance our customer experience and customer offerings and customer engagement will improve. The purpose is to improve customer engagement. Since many of our customers are already into investment space also instead of saving, they are investing in mutual funds, they are investing in shares, they are investing in various securities. So we have already a platform which gives these services. In addition to that, we are also trying to have a partnership with NSE or BSE so that we partner with them also so that we offer our mutual fund opportunities to our customers through those platforms. So that engagem ent is.... similarly insurance partners also we will be onboarding. So anybody wants insurance that also can onboard through our mobile banking app or internet banking. We are also bringing now total omnichannel experience also. So that other project is al so in pipeline. So bank will continue to do, enhance customer experience, whatever improve offerings, though we have already done once but will continue to reinvent those offerings basis the customer expectations in a ongoing basis so that we engage more a nd more with our customers that will enhance and that will enable us to maintain our CASA ratio also. This is my feeling is.

- Mr. Sushil Choksey - Participant:

- Sir, when you're doing a good job and you're implementing so many digital technologies, seg ment to segment and product to product wise, whether it's a doctor, lawyer, student, MSME customer, all that, when interest rates are falling, I am quite

sure that your CASA can exceed 40 percent. Your guidance may be conservative. I'm fine. But looking at strength because we are showing positivity on credit, a sustainable CASA, when the interest rates are falling, may take the bank to a higher height. And that's the reason I was suggesting.

- Secondly, on treasury, the yield will fall we'll make good money on bonds, which we are holding on AFS, HTM, whatever we encash based on our CD ratio, which you would like to maintain. What are we likely to different because we also have international presence and domestic presence that today, majority of the corp orates are in a position to borrow through Gift city. Will we enhance our margins by taking some exposure on corporates, which enables for bank to perform better, Could we do something better which mismatch can be maintained?

- Mr. Ashwani Kumar – MD & CE O, UCO Bank:

- Sorry, Sushilji, we missed you in between. We do not get the entire question. Please, last part can you repeat.

- Mr. Sushil Choksey - Participant:

- Sir, I'll repeat. Basically, what will we do separately in the next quarter or in the coming days, so that our yield remains beneficial in treasury other than GSEC? That is what my question is?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Other than GSEC.

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- So, you are talking abou t non -SLR book, right?

- Mr. Sushil Choksey - Participant:

- That's right.

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- So, yes, we are active in corporate bonds category also and we have improved our non -SLR book also, you can see. The re have been several certain maturities during

the year from earlier DISCOM bonds. So now we have already front -loaded our deployments in corporate bond category also because we know the yields were quite attractive earlier, before 3, 4 months back. So we have done that investment also and we will continue to see the corporate bond segment as well in our investment book other than the GSEC and SLR book. Though we have reduced our SLR book, if you see year - on-year, we have reduced our SLR book from around 25 % to 23% to augment our CD ratio. But I think we will continue to maintain around thes

e levels and we will further enhance or augment our non -SLR book as well through the corporate bonds and whatever opportunities comes into that segment. I think that will support our yield overall, yield on investments. That is correct.

- Mr. Sushil Choksey - Participant:

- How are you shaping up on the international book, similar growth opportunities or with the falling yield there is pressure there?

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- So in international book also, we have two branches, Singapore and Hong Kong. They are also quite active. Both in lending and as well as investment also. So we have a little book of investment oversea s as well. And yields, yes, of course, the yields, falling yields, they are getting more opportunities to raise the cheaper funds also and to deploy it. Yes, the pressure is there on the margins but still we are able to get good deals into the overseas mar ket also, both on lending side also and in investment book also. So we are quite active in overseas book also. So that will also continue and that will support our overall profitability.

- Mr. Sushil Choksey - Participant:

- Sir, you answered the previou s questioner's question on co -lending with RBI very elaborately saying now that a bank of our size or any bank can get into partnership which enables bank's growth, whether it's MSME loans or any other category of loans which you know better. What will we do differently or like every other big bank, we'll only try up with AAA and AA and continue the process or we'll identify a partner who is good on process but doesn't have the credibility because he may have the network, but his rating may be not AAA and A A?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See, there is no limitation on our part that we'll go only with AAA or AA. We'll go with any NBFC or partner or bank, whatever, with good standards processes and their NPA percentage. So there are certain pa rameters which is defined in our loan policy document that what type of partnership we can onboard in co -lending. So whichever partnership fits into our criteria, so we'll be open to look at all those partnerships and onboard with them for the co -lending p urposes. So rating is not the only criteria. If the rating is AAA or AA but the NPA percentage of the NPA or the par of the NBFC is high, that does not mean that I'll go with that NBFC itself merely looking at the AAA rating. There are many other factors w hich are stipulated in the board approved policy for the co -lending, which we look in and then we arrive at a score where we take meeting where we need to enter into a relationship. So we'll continue to evaluate all relationships which come in our way and naturally their processes, their recovery mechanism, their underwriting standards, we will evaluate and then we'll go ahead with the partnership.

- Mr. Sushil Choksey - Participant:

- Okay, sir. Sir, last question on the credit side growth. How are we se eing what is the book position in terms of sanctions which are available, which are not disbursed? How is the pipeline looking, because with whatever happening led by US direction on the trade, India may attract a lot of trading manufacturers and opportuni ties because a lot of goods may not get shipped from China. So I understand we may not get into any kind of a trade situation which impacts our bank but manufacturing as well as global demand supply chain, India may attract a larger trade finance situation , including manufacturing opportunities. How are we locating or citing those opportunities in our bank or we are creating some opportunities by already talking to customers?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- See Sushilji, our sanctions which ar e already in pipeline, which are likely to be disbursed over the period of next one year is in the range of around 10,000 crore, where we have al

ready given sanctions and which will be availed. Again, it again depends upon a scenario, that time when the op portunity comes to lend or to borrow whatever, but we have already pipeline of around 10,000 crore in various segments which is available. So far as opportunities which we are exploring we have already looking at various lending opportunities in various ac tions in manufacturing also. Our teams are talking to various customers. They're also trying to figure out if any particular product is required, which is need to be.... like for MSME we have developed around 11 products in the last financial year. For any product for any industry is required we are also working on a cluster -based product for like, for example, simple example, I will give you like tiles. So there are certain tile clusters. We are working out for a product that will cater to the tile cluster requirement. Similarly, our team is working on various requirements and trying to figure out the possibilities where our customers are in the process of entering into some ventures for taking the benefit of this trade situation which is emerging now. Look on those opportunities we are open to bringing new products also to tap those opportunities. Whatever extra mile we need to go, we will definitely go.

- Mr. Sushil Choksey - Participant:

- Sir, I understood that you're taking a lot of initiatives to cap ture the segments which are going to be emerging with us and the bank would fructify on a benefit. Sir. Thank you for answering all my questions and good luck for the year to come.

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- Thank you.

- Moderator:

- Thank you, sir. That will be the last question. MD sir any closing remarks?

- Mr. Ashwani Kumar – MD & CEO, UCO Bank:

- So, thank you to all the analysts for post results concall and I thank you all the analysts for showing interest in UCO Bank and we will continue to perform as we have been doing in the last financial year on a quarter -on-quarter basis. Bank will continue to put in best efforts to improve its performance and we expect that same support from the analyst for our bank to conti nue in the times to come also. Thank you very much. All I missed. Thank you. Thank you for showing interest. Thank you.

- Moderator:

- Thank you everyone for joining the UCO Bank earning call. You may disconnect the lines.

- END OF TRANSCRIPT

Call: Jul 2025

■■■■ ■■■■
UCO BANK
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HO/F inance /Share /114/2025-26 Date: 28.07.2025

National Stock Exchange of India Ltd.
“Exchange Plaza”
Plot no. C/1, G Block
Bandra -Kurla Complex, Bandra (E)
Mumbai – 400 051
NSE Scrip Symbol: UCOBANK

Madam/ Dear Sir

Re: Transcript of Post Earn ings Call

We enclos e the transcript o f Post Ear nings Call with Analysts held on 21.07.2025 , in pu rsuance to Regulation 3 0 of SEBI (LODR) Regu lations 2015. The trans cript of call is uploaded o n bank’s website and the same can be ac cessed thr ough below link :

https://www.ucobank.com/documents/d/guest/ transcript -q1fy26

Please take the above on your records and disseminate.

Yours sincer ely,
For UCO Bank

(Vikash Gupta)
Com pany Secretary

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,Fort,
Mumbai – 400 001
BSE Scrip Code: 532505

FINANCIAL RESULTS - Q1 FY26
Post Earnings Call with Analysts
Date 21.07.2025
Time 03:30 pm
Mode Virtual (Webex)

Bank's Senior Management is represented by :

1. Mr . Ashwani Kumar, Managing Director & CEO

2. Mr . Rajendra Kumar Saboo, Executive Director

3. Mr . Vijay N Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

– Moderator:
– Good evening, everyone. Welcome to UCO Bank Q1FY26 Earnings Conference Call. It is my pleasure to introduce to you the Senior Management of UCO Bank. We have with us today:
Mr. Ashwani Kumar, MD and CEO,
Mr. Rajendra Kumar Saboo, Executive Director,
Mr. Vijay N. Kamble, Executive Director,
– and other management team from UCO Bank. We will have the opening remarks from the MD sir, post which we will open the floor for question and answer. Over to you, MD, sir.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Thank you. Thank you, all analysts for sparing time to join the Q1 Post Result Conference Call. Along with me, I have our ED, Mr. Saboo, Mr. Kamble, and also our entire top management team, various vertical heads are with me. So first, I'll share a few important salient points of our performance during this quarter, and then we will be open for your question and answers.
– I believe that our presentation is already uploaded and all of you have gone through the presentation. I'll give you the brief about the number s first.
– Our bank's total business as of 30th of June, 2025: We crossed Rs.5,23,736 crores with a growth of 13.51% on a YoY basis, which includes deposit of Rs. 2,98,635 crores with a growth of 11.37%. Advances of Rs. 2,25,101 crores with a growth of 16.4 8%. Within deposits, the Savings grew by 4.8%, Current grew by 8.79%, and our CASA was maintained at 36.91%. In advances, our RAM advances grew by 23.47%. Within RAM, Retail grew by 30.73%. Housing within the Retail, Housing grew by 17.92%. Car loan, vehic le loan grew by 66.94%. Agri grew by 15.46%, and MSME grew by 20.33%. Our RAM percentage to total advances was 62.97% as against 61.22%, same period last year.
– Asset Quality: The Gross NPA of the bank has been declining on a quarter -on-quarter basis, and now it stands at 2.63%, a decline of 69 bps on a YoY basis. Net NPA declined to 0.45%, with a decline of 33 b

ps on a YoY basis. PCR improved to 96.88%. The
improvement is 112% on a YoY basis. PCR excluding TWO i.e. tangible PCR, also improved by 607 bps to 83.12%.
– Profitability: The operating profit of the bank grew by 18% to Rs. 1,562 crores in this quarter. Net profit grew by 10% to Rs. 607 crores in this quarter. Our net interest income grew by 6.64% to Rs. 2,403 crores in this quarter. Non -interest inc ome also grew by

around 20% to Rs. 997 crore in this quarter.
– Cost of Deposit: Our cost of deposit was at 4.84%, whereas in the same period last year, it was 4.79%. There is an increase of 5 bps on the cost of deposit.

– Cost of Funds: Similarly, cost of fund also, it was 4.79% last year, June quarter, now it is 4.73%.
– Yield on Adva nces : It was 8.76% last year, same period, now it is 8.60%. This is the yield on advances domestic level.
– Cost to Income Ratio , which was 57.23%, and quarter -on-quarter basis, it is coming down, so now it is at 54.06% in this quarter.
– NIM Global , earlier in last quarter, last year, same quarter, it was 3.09%, and in March, it was 3%, now it is 2.96%.
– NIM Domestic , 3.29%, same p eriod last year, now 3.18%.
– Slippages: Slippages for the quarter was around Rs.631 crores, slightly on a higher side than the last year, basically because one mid -corporate account in the MSME segment slipped in this quarter, which was in our watch list, which we monitored on a quarter -to-quarter basis. but overall slippages are within our guidance given of 1.25%.
– And sector -wise slippages, if we look at in Retail, slippages was around Rs.1 50 crores, and Agri, it was Rs.91 crore, and MSME Rs.3 68 crores. S o this was the slippages sector -wise.
– SMA Book: As you all know, we declared more than 1 crore of SMA on every quarter. So SMA more than 1 crore is now around Rs. 1,5 41 crore, and as a percentage -wise, it is 0.7% of the total advances.
– Capital Adequacy p osition of the bank: Bank's capital adequacy position is quite strong. We stand at 18.39%, with Tier -1 at 16.36%.
– Provisions: As you all know, we have been maintaining some additional provision over and above the RBI -mandated provision. We continue to hol d the same provision at the same level. We have not reversed any provision, and approximately 1,000 -plus crore provision is being maintained in addition to the RBI -mandated provision on our books.
– Initiatives: Now coming to certain initiatives which bank has started last year, where we shared with you, was the Project Parivartan, that's a digital transformation journey we started in September, and our target was to digitize around 25 journeys in one year’s time. I'm happy to share that till now, our team h as already developed 22 journeys, and 8 journeys are in pipeline. I think by the end of September, we'll be live with 30 journeys; 22 already are live, and 8 more will be live. Last year, we targeted 6,000 -plus crores of digital business. This year, our ta rget is 25,000 crores, and already we have crossed 8,000 crores of digital business in this current quarter.
– Bank introduced WhatsApp banking also, and 43 services are active, and now we have expanded to five languages - English, Hindi, Bengali, Assamese, and Odia. We are regularly working to increase the services, and five more services are in pipeline. So maybe, in another three months' time, we will be up with 48 WhatsApp banking services.

– We have been focusing more on the digital adoption as well, and I'm happy to share that mobile banking users, which was very low around two years back, where we had only 14,000 active users, now, we have crossed 51 lakh active users as we speak. So it is around 38% of our registered mobile users who are active on mobil e banking now.
– Various IT and other initiatives were also undertaken, which we have already highlighted. Some are more planned in this year.
– Now, with regards t

o the ATM infrastructure, interoperable cardless cash withdrawal, and deposit via UPI facility , we are working. Unified dispute and issue resolution system, we are working. To improve our robust infrastructure, application performance monitoring software is being implemented. We are also in the process of setting up near DR at Kolkata, Cybersecurit y World for enhanced cybersecurity also. To improve efficiency and cost optimization, we are now in the process of implementing centralized forex processing centre, enterprise, DMS, and CASA back office.
– Further, to improve efficiency and again, cost opti mization, robotic process automation is being put in place in selected areas. Then, in order to identify risks and mitigate security and all these things, Identity and Access Management System is also being implemented.
– We announced about the CBDC. Now, C BDC is in the final stage. This quarter, we will be going live with CBDC. All approvals and onboarding has been completed, accounts have been opened. Now, this quarter, we will see that CBDC is also live.
– We introduced tab banking last year. Full -fledged t ap banking was launched in the month of March. Now, around 35% of our accounts are being opened through the tab banking that is being used by the branches for quality customer onboarding.
– To enhance our outreach, bank is now doing a carnival on a fortnigh tly basis, where we

focus more on customer outreach in respect of Agri, MSME and Retail customer, along with the CASA customer acquisition. Every fortnight that is being implemented now.
Last year, with these initiatives, we brought out various new schemes based on the requirements of our customers. Around 11 new MSME schemes were launched last year, and around 6 -7 are additionally planned in this quarter also for bringing out, to serve our MSME customers.
– Human Resources: The bank has engaged 545 apprenti ces, and recently the bank has also taken 182 local bank officers in various parts of our country. Reward and recognition policy has also been put in place. Further, woman -centric policy has been further strengthened in this current financial year.
– Skill development programs have been introduced for the specialized skill development of our requirements in the IT, Risk, Treasury, Forex areas.
– Customer Service: To improve our customer service, we introduced PULSE alert monitoring system and that has been wo rking fine. Now, with the help of this monitoring system, we are able to identify certain mule accounts. The success rate, at the start of this alert monitoring system which was around 40%, has reached 88% So, whatever alerts the

team is getting now, 88% o f the accounts are being identified and marked 'mule' well in advance.
– Our bank is very closely working with the Reserve Bank of India also for the Reserve Bank of India Innovation Hub with regards to integration with the MuleHunter and ULI also. ULI, we have already onboarded and many services we have started using. Some services are in pipeline. So, in this quarter, we will see that most of our services available in the ULI platform, the bank will be integrated.
– Thank you. And this was the major importa nt highlights, I will say, which I wanted to share with all of our colleagues in the analyst fraternity. And I have my EDs also if they want to add anything. Otherwise, we are open for the Question & Answer session. Thank you very much.
– Question & Answer Session:
– Moderator:
– Thank you, sir. We will start the Q&A session now. Participants who wish to ask a question, please raise your hand.
– We have first question from the line of Mr. Ashok Ajmera. Ashok sir, you can ask your question.
– Mr. Ashok Ajmera – Participant:
– Sir, at the outset, compliments on the business growth. In a time when others are facing problem and they are going in degrowth , you have grown well. I mean, even 2% of this growth in

the quarter in the overall business and 1.73% in the deposit and 2.32 in credit,
is really commendable in this environment. So, my compliments to you and both the EDs and the top management teams for the same.
– Having said that, sir, we are a little bit lagged on the profitability front, maybe because of the margin pressures, and because of the RBI rate cuts, another combination, which you can explain a little more in detail. Our operating profit also has gone down. And eventually, I mean, accordingly, consequentially, net profit has also gone down. And one major contributor is lesser recovery from the written off accounts, I think, which is almost about 500 crores. Had that recovery been even a little better or as equal to the March quarter, I think on the recovery from written of accounts is only 425 crores against 954 crore in the last quarter, which is major. To some extent, the Treasury profit has added 150 crores more than the last quarter, but th at is the major dampener in our profitability. But considering the business growth, we would like to hear from you the targets for this year, FY26. Many banks are shying away from that because of the uncertainties, but we would like to have it. So, this is one.
– Secondly, sir, there is one Note No. 10 on SRs (Security Receipts), in which because of the change in the provision guidelines of the RBI, the Note says that 274.95 crore has been taken… have been received in this quarter. It is received or it is pr ovision

written…? I mean, provision is reduced or this amount is received, or it's a fresh SR. What is it?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– It is fresh SR.
– Mr. Ashok Ajmera – Participant:
– These are the fresh SRs.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Fresh SR.
– Mr. Ashok Ajmera – Participant:

– So, it means 85%, 15% must have been in cash receipts.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Yes, yes.
– Mr. Ashok Ajmera – Participant:
– And this is the amount of the SR in the fresh
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Yes, sir.
– Mr. Ashok Ajmera – Participant:
– Okay. Provision might have been written back in the earlier quarter itself when the regulation came. I think extra provision.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Yes.
– Mr. Ashok Ajmera – Partici pant:
– So, that clarifies this point. And one point, sir, I think on MTNL also we have some small exposure of, I think, 273 -275 crores. So, how much provision total has been made against that amount so far? Maybe as per IRAC norms or even more… as you are s aying that you are floating reserves, you have got some hidden reserves still now. So, whether it has been fully provided for or what is the percentage of them?
– My last in this round is on the SMA -2 numbers. So, SMA -2 numbers in this quarter has gone up f rom 66 crores to 696 crores. Maybe something from SMA -1 spilled over to SMA -2. So, what is the status of that, sir? I mean, whether some recovery has already taken place in July against that upgradation, or they still persist? And can you give some

colour on that? And that one account, one Mid Corporate account, which you said, has slipped. So, how much is the amount of that out of the total slippage of 608 crores? So, these are some of my questions, data points, and observations.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Thank you, Ajmera ji. I will go one by one. First was about the operating profit and net profit. See, you rightly pointed out the last year, we had a good amount of written off recovery in last quarter, particularly that was in around 900 cro res. If you recall that we were expecting one account to be resolved in this quarter, but that recovery came in the last quarter. That was a bonus for us in the last quarter. And as a result of a recovery from written off account was higher.
– Second, in last March quarter, this account

which got resolved, it also had a component
of around 280 crores of interest income, which was booked. So, if you look at my interest income during this quarter, though the advances have grown in this quarter, bu t interest income has come down. The basic reason for interest income coming down in this quarter from advances was that Rs. 283 crores which was booked as an interest income last quarter on account of recovery from written off account, which was not avail able in this account. If we discount that and these two things, you will find that with the growth of business, though there is an impact of Repo cut also, but we were able to have our interest income intact during this quarter, barring if we exclude 283 c rores of income for that quarter. So, in spite of these two things, there is a marginal decline in operating profit and net profit during this quarter. So, the growth has contributed to the profitability, though the impact can be seen in our NIM also, slig ht impact. I think 4 bps impact is there in the NIM also.
– Our cost of deposit is also coming down now. Our yield or advances also, there is a slight impact. But having said so, this cost of deposit may come down further in the coming quarters because repri cing of the deposit will keep on happening every quarter now. But the Repo cut till now, which was probably front -ended, which we were expecting that Repo cut will come in stages, but it was front -ended, that had impacted slightly higher in this quarter. M aybe coming quarters, we'll have a better visibility of things.
– Now, coming to your targets, you asked about the visibility on the target. See, we have given a guidance of around 12% to 14% of growth in Advances. And if you look at our Advances, they have grown by 16.48%. And from wherever growth has come, growth has come from our home loan, our vehicle loan, our MSME segment and our Agri segment. So, these are the components or I will say, the engines of our growth. And our products are well aligned with the market. So, our teams are already active. The momentum, which we gained in the last year and last years, that momentum is continuing. So, we expect that we will be within our guidance of credit growth of 12 to 14% by the year end.
– Deposit growth, we h ave given a guidance of 10 to 12%. This quarter, we are within that guidance, 11.37%. But considering the CRR liquidity which will be available now in the next quarter onwards, we may have surplus liquidity available. So, we may have a slight cut in our de posit guidance, maybe after seeing the performance in the September

quarter. But as of now, we are not making any cut in our guidance. So, 10 to 12%, we are continuing with our guidance in that.
– And CASA, we have given a guidance of 37 to 38. We are margi nally lower than 37. But we expect that the way now the market is behaving, mutual fund industry, certain cash flows are now less, we expect certain amount to be with the banks. So, we expect that we may touch again 37%. But I think this will continue to b e a challenge, not only for our bank, but for all the banks.
– Third, SR, I already clarified that SR we have received in this quarter and existing SR, which are available with the bank, we are already holding the provision. We have not reversed the provisi on. So, in our notes, we already say that around 48 crore of SR are available with the bank. We'll continue to hold that provision. We have not… This 275 crore, we have taken as part of the new norms, new guidelines, right.
– Third, sir, you talked about MTN L exposure. MTNL, we are giving… we are already having 100% provision in the MTNL account. So, there is no room left for MTNL account.
– Another was your SMA numbers. Sir, if you look at SMA, you're right, it's 66 to 696. Basically, this is because of the… last year, if you recall that quarter was for 89 days, that was not… I think one day differential was there. Be

cause of that, certain accounts,
though technically they were in SMA -2, but they were reflected in SMA -1. So, but if you look at overall bucket, and if you look at previous quarters, like the December quarter and the September quarter, you will find that the overall numbers are almost in this range only, the SMA -2 range only. So, there is no much difference. Only this March quarter was exceptional, where because of this one -day differential, they did not cross 60 days. So, they were in the SMA -1 bracket. So, that is the reason that was there.
– That other account which slipped, that exposure is around 137 crores. So, if we exclude that, then our slip pages are in a similar range as in the last quarter. But including this also, our overall slippage ratio remains within the guidance.
– Mr. Ashok Ajmera – Participant:
– Point well taken, sir. You explained it very much in detail. Just one or two small data points. Our employees' cost has come down by about 350 crores as compared to the March quarter, 1,276 crore. Similarly, our other operating expenses have also come down by almost about 200 crores. So, what I would like to know, whether this is going to be t he trend for the remaining three quarters, maybe because March quarter needed some more spending, or the subsequent quarters will be higher on salaries and the operating expenses?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See this salary and staff expenses AS 15 provision will be in line with this quarter only for the next two quarters. Last March quarter, we provided for the PLI, and the AS 15 provision was there. So, whatever shortfall was there, that was provided for in the March quarter. And then PLI provi sion was also there. So, in this year also, in the March

quarter, PLI provision will be there. 150 crore of PLI provision which we kept last year in March, which we will be using this year. And in the March quarter, basis the performance, we will be making additional PLI provision for this next year also. So, for the next two quarters, I feel that this should be in line with this quarter only.
– Mr. Ashok Ajmera – Participant:
– Sir, if you permit just one more. This RBI relaxation on asking for the collateral of below 2 lakh loan from the Agri -loans and the farmers, how is it going to help us grow our book on that account? Because now we'll be having at least some collateral agai nst those loans. We can officially ask for. So, what is our strategy on that? And how much additional growth you see because of that?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See, we don't have a very large presence in the South where prominently this gold loan portfolio is there. But over a period of last one year, we have already built a gold portfolio of around 10,500 crores. And with this new relaxation available, I think it's going to benefit the bank and the industry as a whole, because there was a lot of ambiguity, or I would say, clarity was not there, whether they can be classified as agriculture or they can be taken as a collateral or not, because RBI guidance say below 2 lakh, you cannot take collateral. Now having got this clarity, we can go, at l east in a big way, to converse our gold loan portfolio also in the South, and in the North or East also.
– Mr. Ashok Ajmera – Participant:
– Okay, sir. Thank you, sir. If I get a chance again, I'll come back again for some more discussion. But let others also have the opportunity. So, thank you very much and all the best, sir.

– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Thank you.
– Moderator:
– Thank you. Thank you, Ashok sir. The next question we have from the line of Nitin Dharmawat. Nitin, you can ask your questi on now.
– Mr. Nitin Dharmawat – Participant:
– Thank you so much for the opportunity. Sir, my first question is related with the return on assets, ROA. It has been hovering around 0.7 to 0.75% and it has come down duri

ng this
quarter because of the net profit s. So, when we will be able to see 1% ROA or crossing 1% benchmark? Does the bank have any such target? Does the management have any such target in mind for 1% as well?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank

– See, Nitin, if you look at our Gross NPA and Ne t NPA, we have been consistently coming down. and our Net NPA stands at around 998 crores only, 1,000 odd crores. So, going forward, except that slippage, one additional account in this quarter that happened, the slippages are likely to be within the range which we are expecting. So, that additional provision requirement is going to come down in the subsequent quarters, maybe a quarter later. So, I believe that from next year, Q1 or Q2, we may see that we reach or cross at least 1% ROA, that is going to com e because the way the portfolio is behaving, our SMA levels are there, SMA level more than 1 crore we declare and more than 1 crore portfolio is around 1550 crores only currently. And that includes SMA 0 also, it is not that all includes SMA 1 and 2. So SM A 0, 1 and 2, all three put together is 1550 crores against a book of 2,20,000 crores. So, that is not even 0.7%. So, I believe that maybe next year anytime we will see that bank crosses 1%.
– Mr. Nitin Dharmawat -Participant:
– Okay, my second question is any possibility, you see this amount is small in MTNL, but do you see any possibility of recovery in MTNL account?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Yes, discussions are going on, bankers are waiting for a favorable solution so that not only the employees, our stakeholders, our shareholders are also benefited out of the resolution plan. So, discussions are already on, we expect something to come anytime. It is again depending on the acceptability of the resolution which is coming to us.
– Mr. Nitin Dharmawat - Participant:
– So, will there be any haircut for the banks or it will be 100%?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– As of now, there is no talk about that haircut, as of now.
– Mr. Nitin Dharmawat - Participant:
– Got it, sir.
– Mr. Ashwani K umar - MD & CEO, UCO Bank
– That is not on the agenda.
– Mr. Nitin Dharmawat - Participant:
– Got it. And my last question is, sir, do you see any stress in any of the sectors where we are serving currently or any potential sectors where you see the stress is building up in general, in industry, across the industries?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank

– See, I will first talk about our bank's portfolio, if you look at our bank's portfolio, if I go back to around two years, our slippages used to be in the ran ge of 2% of our advances. And slowly and slowly we have strengthened our credit monitoring system, we have strengthened our recovery collection system also. And as a result, last year ‘23 -24 , we improved in our slippages and upgradations plus collections, ‘24-25 we further improved. And this year also we have kept a target of 1 -1.25% only. So that is the last, basis the continuous decline in our slippage ratio, basis the mechanism or the control mechanism or monitoring mechanism we have put in place, I am confident that this will be achievable in this year.
– And if you ask me any particular segment where the stress is building up, I will say that as of now, we do not see any particular sector, because if you look at my restructured book also, consistently i t is coming down. It is now around I think maybe 1,500 crores or 1,500 crores that we have now restructured. And that includes your normal restructuring plus COVID -19 restructuring, both. So that is a very small amount where we could have thought of some…a nd the slippages which we see, and they are in the range bound. When we do business, certain slippages will continue to happen. But when we look at our segment -wise NPA also in various sectors, like in Retail, Agri, MSME, s

o that segmental
NPA percentage i s also coming down on a quarter -to-quarter basis. Slippages are there, but they are not out of control. They are well within the knowledge also and manageable also.
– Mr. Nitin Dharmawat - Participant:
– Got it, sir. Thank you so much. I'm wishing you best.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Thank you.
– Moderator:
– Thank you. We have the next question from the line of Amit Mishra.
– Amit, you can unmute your line now.
– Mr. Amit Mishra – Participant:
– Hi, thank you and good afternoon, everyone. Sir, my first quest ion was on cost to income ratio. I think we are around 54% this quarter, I think it's lowest in 8 to 10 quarters. So, what was the reason for this? And do we look at similar range of cost to income in future, or 56 - 57% as we have reported in last two year s?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank

– See, Amit, you are right that our cost to income ratio is lowest in the last 7 -8 quarters, we were at 61 also. Consistently, we have been coming down.
– There are many contributors to the cost to income ratio. If you look at our operational efficiency, our business per employee, business per branch is increasing. So additionally, that is helping the bank to improve on efficiency and cost efficiency is coming into play.
– Then if you look at our cost, overall cost, th at is also under control. And cost of deposit also is under, we are managing where we are --- with a 37% of CASA, we are able to manage our cost of deposit. And maybe if you can compare with some other banks with this higher CASA ratio, their cost of depos it is still higher, but we are able to manage. We are using all available sources to raise resources, maybe through refinance or overseas deposit at overseas or we raise equity also, so that is one.
– Then on yield front also, we are very cautious in taking exposures. You can see that our main focus is on the RAM segment where yields are slightly better than the corporate segment and our focus is on that. We have already reached around 63% of our RAM segment.
– So, all these factors are helping us to improve o ur cost to income ratio. I believe going forward the way we are planning to control the cost, to improve our income, fee -based income also you see that we are increasing. I believe that it should be in this range only. I believe it should not go up again. Our conscious effort is to reduce it further.
– Mr. Amit Mishra – Participant:
– Thank you, sir, for the answer.
– Sir, my next question is on retail mix, in your retail mix, there is like a pool. What kind of types of loans are there covered in pool?
– Mr. Ashwan i Kumar - MD & CEO, UCO Bank
– See in pool, majority of the pool is home loan pool. And their CIBIL is more than 725, that is our cutoff. 725 is our cutoff for the pool. Majority of the pool is home loan.
– Mr. Amit Mishra – Participant:
– 90 plus percent I can assume.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Yes, it should be. It should be. Yes, 90% should be in the housing loan segment.
– Mr. Amit Mishra – Participant:

– Okay. And sir, my last question is on a current account. So, we have seen a decline of 8% and acr oss other banks also we have observed that there is a decline in current account. So, any particular reason for sector or our bank, any trend you can point out?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See, there is no particular reason for any decline in cu rrent account. Current account - may be in March in order to strengthen balance sheet, corporates may be keeping certain amount of liquid in their books. So, that may be the reason that in March, there was a slightly higher current account balance. And in June, there was a slightly lower current account balance. I do not think any other reason will be there. This may be the reason.
– Mr. Amit Mishra – Participant:
– Okay. And sir, my las

t question on the same topic. Do you have average CASA number
with you? Ave rage CASA during the quarter?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Average I can give you separately. Right now, I am not having, but it will be around, I think, 95%.
– UCO Bank Management:

– 90 to 95.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– 90 to 95.
– Mr. Amit Mishra – Participant:
– Okay.
– UCO Bank Management:
– I think 88.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Maybe 90%, Amit ji, 90% I can say roughly 90%.
– Mr. Amit Mishra – Participant:
– Thank you, sir. And good luck.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank

– Thank you, Amit.
– Moderator:
– Participants, we request you to raise your hands for any question. And also, you can ask your questions via the chat window. We have a few questions from the chat window.
– The first question is, can you specify the total exposur e for MTNL?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Total exposure for MTNL is 245 crores.
– Moderator:
– Okay. The second question, is there any challenge in your SMA book? Because your slippages have increased from 198 to 368 crores. So, can you give some col or there?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See SMA book, I already informed that only it is slightly elevated because of one account only. Otherwise, the slippages are in a normal range only. That was one account which was already SMA 2 and was under the watch list as we have already declared and because of that only, otherwise slippages in SMA book are in the normal course of business and normal slippages are there.
– Moderator:
– Thank you, sir. We have the next question from the line. Mr. Sushil Chokse y. Sushil sir, can you unmute your line now?
– Mr. Sushil Choksey – Participant:
– Good evening, Team UCO for a very stable result.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Thank you.
– Mr. Sushil Choksey – Participant:
– Sir, my first question is in your slide, you've shown vehicle loan at 50 to 82 crores. I know that UCO does second -hand car finance, which yields much better than any of your retail loans. What would be that portfolio out of vehicle loans?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank

– Sir, that e xact number I'm not having, but majority is first -hand, second -hand will not be so huge. Second -hand will be a very small number, may not be very huge. We have just started, but we are not having such a huge portfolio to look into.
– Mr. Sushil Choksey – Participant:
– Sir, in my view, you are one of the few banks which has started this product and the market condition for second -hand car is very good, whether it's an imported second -hand or a domestic and the yield can be almost nearing double digit or at leas t 100 bps higher than the car loan, which you are doing today. In view of that, how are we going to capitalize on the market through our bank's branch strategy, publicity or what that yields your benefit? Because looking at your guidance, we need support f rom some of these products to match all your aspirations.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See, Sushil ji, in this segment, we are looking for DSA tie -up because these segments generally come through DSAs only because there are corporate agencies als o like Maruti they have their own, Mahindra they have own, Toyota they have their own. So, we are planning to have some tie -up with these corporate agencies itself so that the leads flow to us. So, that is one segment.
– There are certain imported car dealer s also, second -hand car dealers, we are talking to them also. And we got some leads also, maybe slightly higher ticket leads we got and we sanctioned that is also there. So, apart from branch, the DSA network will be the most helpful. Online DSA network is there, companies DSA network is there which we are exploring.
– Mr. Sushil Choksey –

Participant:
– Sir, my next question is our RAM and corporate book 62:37 or 63:37 is stable where we are concerned. How are you seeing other than car loans which is growing w ell, home loans are growing and reasonably double -digit, you may do 18 -20%. How are you seeing the advances on agriculture, MSME, retail, if you are looking from a yield perspective where the bank balance sheet is concerned?
– Mr. Ashwani Kumar - MD & CEO, U CO Bank
– See, our home loan is around 18% we have continued to grow in this range of 18 -20% home loan segment for last --- if you look at last around 6 -7 quarters or 8 quarters, our home loan growth continues to be in this range.
– And vehicle loan growth is also in the range of more than 30% for last 5 -6 quarters.

– And MSME particularly we have started focusing for last 2 -3 quarters where yield is slightly better than these retail loans. And MSME our target is slightly mid -corporate segment than the small mi cro segment. So, mid -corporate is the segment which we are now focusing in the MSME segment where yields are slightly better than the corporate also and then the retail segment also.
– In personal loan, the growth is there --- personal loan we are growing m ostly in loans given to salaried employeees accounts, customers are keeping accounts with our bank and pensioners getting pension from our bank.
– Now, we are coming out with a new product that personal loan to salaried customers maintaining account with othe r banks also through NACH mandate and all this, that product is also in the offing. So, we will try to grow, to focus on those areas also where yields are slightly better than the corporate and the home loan segment.
– Mr. Sushil Choksey – Participant:
– Sir, most of your offerings would be there in the marketplace from private or public sector small finance banks also. Now, to beat the banks who are in competition either it has to be TAT which is a better way to manage this or it is a rate which is lower than the market. What strategy we are adopting where MSME is concerned specifically? Retail I understand it's a rat race so nobody can compete with a 10 -20 bps difference unless you sacrifice on quality.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See, MSME we have only one USP I will say and that is TAT where we are focusing very closely which is being monitored from Head Office level. Daily our MSME team monitors these sanctions and their pendency at the hub level. Just to give you some idea about… I think we have already talked about that last year we created specialized hub for MSME segment and last year because of the creation of the hub first time in the history of the bank total MSME sanctions crossed 12,000 crores which was earlier 7,000 to 8,000 crores, so, l ast year 12,000. This quarter in the first quarter itself it is more than around 3,000 crores - MSME sanctions. So, it will continue to grow in next quarter and next quarter. So, these MSME focused hubs along with the tight monitoring because MSME journeys are all digitalized that is in the loan processing system. As and when anybody enters their proposal in the loan processing system it is being monitored and the pendency is being watched at Head Office level. Wherever the proposal goes beyond TAT, our team from MSME immediately gets into action to ask questions why it is getting delayed. So, that is the only mantra if you see our MSME growth for the last 4 -5 quarters or 8 quarters, only for last 2 -3 quarters our growth has picked up, earlier our growth use d to be 5%, 8%, 7% now this quarter it is 20%, previous quarter 18%, prior to that 13% and

otherwise it was around 7% - 8% overall growth. So, focus is purely on the MSME core business growth.
– Mr. Sushil Choksey – Participant:
– Sir, this business of MSME - average ticket would be 10 -20 crores or lower?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– No, i

t is lower also, it is not that we are getting every proposal 10 -20 crores, it is 5 crores also, 4 crores also, 2 crores and 1 crore also. So, every type of proposal is coming.
– Mr. Sushil Choksey – Participant:
– These are what regional sanction or zonal managers' power or it will come to HO?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– These are the see up to up to 2 crores or 3 crores depending upon the delegated powers of the hub, they are getting sanctioned there only. And the zones are mostly headed by DGMs now there they get around 20 crores and above 20 crores that comes to head office. So, we have only three - one at hub, second is at zone and third is at hea d office. So, head office gets into action only above 20 crores, zone up to 3 crores to 20 crores and 3 crores is sanctioned at the hub level.
– Mr. Sushil Choksey – Participant:

– So, what would be the TAT on this product?
– Mr. Ashwani Kumar - MD & CEO, UCO Ba nk
– See TAT if you ask me at head office, our head office TAT we try to see that 15 to 21 days is a maximum TAT…
– Mr. Sushil Choksey – Participant:
– As a bank average you may say it because I don't want to dismerit the retail or a regional level. On average , can I consider three weeks or two weeks as a good time?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See 2 to 3 weeks will be reasonable for all levels, 2 to 3 weeks.
– Mr. Sushil Choksey – Participant:
– Sir, my next question is to Mr. Kamble what is the unavailed credit today where corporate sector is concerned which you have sanctioned or what is visible in pipeline?

– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See it should be around 6000 to 7000 crores which was availed earlier and because of the rate to sensitivity t he amount we got back, and another 5000 to 6000 crores is sanctioned which are yet to be disbursed. So, overall if you ask me 10,000 crore to 12,000 crore is the unavailed limit for limits which were already availed paid back and which limits which are yet to be availed.
– Mr. Sushil Choksey – Participant:
– And what is the sanctioned pipeline looking like?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Sanctioned pipeline will be again 5000 crore to 7000 crores currently.
– Mr. Sushil Choksey – Participant:
– Sir, most of the large PSU banks or peer banks have, I am not mincing words, but I've shed assets where NABARD, SIDBI, NAFID or equivalent agency where the PFCIC where the yield is below 6.5, 6.2, 5.8, 6.3. What is the strategy at UCO? Are we still having advan ces with these few selected PSUs and locking in or we have given it up?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See you talked about 2 -3 names where we don't have exposure currently. We have taken that long back. So, we are not there, I think for last 3 -4 quarters in this maybe in one or two NBFC we are still there but our rates are slightly better than the rate which you told. So, it's not that it is still there for NBFC but other than NBFC it is already back on. So, that is already I'll say that unavailed.
– Mr. Sushil Choksey – Participant:
– Sir, I understood you are not willing to lend to them. It's good for us. Third is what is your outlook on treasury? Will you have a bumper profit in coming quarters or it's just a sustainable trajectory as RBI has already done all the prediction. Maybe one more repo cut may come in one quarter or two quarters later, one doesn’t know. Will the batting for India be done by the top end or the tailender?
– Rajendra Kumar Saboo, Executive Director:
– So, yes, Sushil ji, we all know that RBI cut repo rate in the last quarter it was 0.75 basis point 25th April and 15th June again. So, the June quarter has seen a bumper profit from treasury. You can see from the numbers also. We have around four times more profit from treasury in t he June quarter. So, we have taken the opportunity. Now going forward I think in th

e current quarter so far the yields are stable and we don't think that any cut

would be there in the current quarter, if at all it will be maybe in the next quarter. So, the current quarter will be stable quarter. Maybe still we have some opportunities of trading and booking some profits from the treasury also that will continue as and when we see the opportunity.
– So, reasonable number of profitability might be there.
– Mr. Su shil Choksey – Participant:
– Sir, how open are we to buy corporate bonds which are yielding better than government bonds?
– Rajendra Kumar Saboo, Executive Director:
– That also we are continuously seeking the opportunity in the market. In the last quarter also we can see that we have increased our non -SLR portfolio particularly in the corporate bonds. So, that we are continuously seeking for opportunity in the market wherever the yield is okay and it meets our requirement we are going into that also. So, we wi ll continue to invest.
– Mr. Sushil Choksey – Participant:
– Are we investing in REIT and InvITS also?
– Rajendra Kumar Saboo, Executive Director:
– No, not yet. We have not yet invested in any REIT or InvITS.

– Mr. Sushil Choksey – Participant:
– Sir, please have a look at it.
– Rajendra Kumar Saboo, Executive Director :
– We are particularly in the corporate. We are seeking all other opportunities also. We are exploring that also. We will take a reasonable call as and when it comes to us.
– Mr. Sushil Choksey – Participan t:
– Sir, good luck to the bank and may you have the best year coming.
– Sir, last question I forgot. There is chatter from the ministry that you may have to do a QIP again. Is it soon or it is in the year?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank

– See, we have a lready taken the approval of the shareholders, after the board recommendation shareholders have already given approval and the bank is having it in the government holding of 90%. So, we will be reaching out to the government also for giving their approval and once approval is received we will seize the opportune time. If required we may go for the best way to raise capital. So, whatever is the mode available maybe OFS or QIP or whatever. So, we don't know but let us see, watch and wait.
– Mr. Sushil Choksey – Participant:
– Sir, thank you very much and all the best for the year to come.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Thank you, Sushil ji.
– Moderator:
– We have two more questions from the chat box. The first one is for FY25 and 1Q FY26 in terms of retail dis bursements especially in housing what is the contribution of origination from DSA, branches, co -lending, assignment or others?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See, if you ask me in the housing loan, in the pool segment there is a contribution of I will say that is I will not say co -lending or the co -origination but that is in the pool the growth is in the home loan. If you look at our home loan portfolio particu larly there is no co-origination -nothing - that is purely a branch -initiated housing loan. Yes, there will be a contribution of DSAs in that housing loan segment but exact number that how much origination was done by DSA that I'm not having but that numbe r is clearly branch and originated of DSA initiated housing loan.
– Co-lending and pool we have a separate number that is already there around I think around maybe 5600 or 5700 crores is from housing loan pool out of 6500 crores.
– Moderator:
– Okay, the next qu estion is how can NIM decline by 4 basis points when yields decline by 30 bps QoQ while cost of fund declined by 5 bps QoQ?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– See, if you look at our income total --- 30 bps, , in the income I explained that last quarte r we had Rs.283 crores of additional income in one of the accounts and which was a TWO account which was booked so yield was sli

ghtly higher during that quarter. Now, with
this rate cut I think the yield was expected around 22 bps with this rate cut, so yi eld the expected yield was 22 bps but actual yield is around 30 bps.

– Rajendra Kumar Saboo, Executive Director:
– Weighted average yield decline due to the repo cut was around 22 bps.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– 22 bps weighted average so that is basically because of some additional recovery, one time recovery - one of interest income in March ’25.

– Rajendra Kumar Saboo, Executive Director
– So, one more thing is there that this yield is only on the advances but if we see the investment yield that ha s declined only marginally so we have around 25 or 23% portfolio in investment also so the overall means NIM is protected through that also.
– Moderator:
– Thank you. We take that as the last question. I request MD sir for any closing remarks.
– Mr. Ashwani Kuma r - MD & CEO, UCO Bank
– Thank you. I thank you all our analysts for taking out time and attending our call and supporting the bank. And we will continue to strive for the better performance in quarter after quarter as we have been doing for the last two yea rs. So, wishing all of you also and to the bank also very best and look forward for your continued support in the times to come.
– Mr. Ashok Ajmera – Participant:
– Thank you very much from our side sir. We generally don't get the opportunity but in

your case I got it. So, thank you for sparing your time for the analyst community. Thank you very much sir and all the best.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank
– Thank you.
– Moderator:
– Thank you everyone for joining the UCO Bank earnings conference call. You may disconnect the lines now.
- END OF TRANSCRIPT

Call: Oct 2025

■■■■ ■■■■
UCO BANK
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National Stock Exchange of India Ltd.
“Exchange Plaza”
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051
NSE Scrip Symbol: UCOBANK

Madam/ Dear Sir

Re: Transcript of Post Earn ings Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the Post Earnings Call with Analysts hel d on October 17, 2025.

The transcript is enclosed herewith and has also been uploaded on the Bank’s website. It can be accessed through the following link:

Transcript – Q2 FY26

We request you to kindly take the above on record and disseminate .

Yours sincerely,
For UCO Bank

(Vikash Gupta)
Compa ny Secretary

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,Fort,
Mumbai – 400 001
BSE Scrip Code: 532505

FINANCIAL RESULTS – Q2 FY26
Post Earnings Call with Analysts
Date 17.10.2025
Time 03:00 pm
Mode Virtual (Webex)

Bank’s Senior Management is represented by :

1. Mr . Ashwani Kumar, Managing Director & CEO

2. Mr . Rajendra Kumar Saboo, Executive Director

3. Mr . Vijay N Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

– Moderator:

– Good afternoon, everyone. Welcome to UCO Bank Q2 FY26 Earnings Conference Call. It is my pleasure to introduce to you the senior management of UCO Bank. We have with us today Mr. Ashwani Kumar - MD and CEO; Mr. Rajendra Kumar Saboo - Executive Director; Mr. Vijay N. Kamble - Executive Director; and other members of the management team from UCO Bank. We will have the opening remarks from the MD sir, post which we will be open to questions. Over to you, sir.

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– Thank you. I welcome you all analysts and investors , to this post -September quarterly results call of UCO Bank. Along with me, I have our EDs, Mr. Saboo and Mr. Kamble; the top management team, in cluding CFO, CRO, and all other executives.

– First of all, I welcome you all to this Analyst Meet. Just to give you a brief on the bank's performance in this quarter and half -year ended September '25: Business of the bank grew by 13.23%, of which deposit g rowth was 10.85% and credit growth was 16.56%. CASA Deposit grew by 9.53%, Savings growth was 7.50%, and Current deposit growth was 23.94%. We were able to maintain CASA at 38.11%, and the guidance for CASA given was 37 -38%. Consistently, our CASA has been in the range of 37 -38% for the last almost 2 years.

– When we look at our credit growth, within the credit, our RAM growth , Retail, Agri, MSME put together , grew by 22.87%. Within the RAM, Retail growth was 25.4%, and Retail growth was supported by housing loan growth of 18.94%, vehicle loan growth of 72.87%, and agriculture was 17.28% growth, and MSME grew by 23.8%. Our RAM percentage increased to 65.23% of the total advances.

– Now, coming to the profitability parameters, our Operating Profit for the quarter ended September '25 stood at Rs. 1,613 crore, registering a growth of 12.64%. Net Profit stood at Rs. 620 crore s with a growth of 3% on a Yo

Y basis. Our Operating Profit growth and Net Profit was sup ported by growth in Net Interest Income the growth of which was 10.08 % for the quarter ended September '25 and fee - based income growth was also more than 10% on Q -o-Q basis.

– Our Net Interest Margin, global, stood at 2.90%, and domestic NIM stood at 3.08%. T his NIM is calculated excluding one -time interest income of Rs. 107 crore s, which was realized in a TWO account. This was an exceptional item, so that has been excluded. If that is included, our global NIM and domestic NIM improves by more than 15 bps.

– Now, coming to asset quality, our Gross NPA has reduced by 62 bps on a YoY basis to 2.56%, and Net NPA has reduced by 30 bps on a YoY basis to 0.43%. Our PCR further improved to 96.99%; tangible PCR excluding TWO improved to 83.68% as against 7 7.65% the year be fore.

– Total recovery and upgradation for the quarter ended was Rs. 792 crore s, and previous quarter it was Rs. 756 crore s. For the half -year ended, total recovery and upgradation was Rs. 1,548 crore s against a full -year target of Rs. 2,200 to Rs. 2,700 guidance we ha d given.

– Now, coming to the slippage ratio, the slippage ratio for the quarter ended September '25 was 0.26%; annualized, it was 1.0 5%. It is again within the guidance given of 1% to 1.25%. When we look at the slippage, sli ppages are mainly this quarter from agriculture , Rs. 238 crore s, basically because of the KCC portfolio. Half -year ly there is a phenomenon; last year also, same quarter it was Rs. 206 crore s; this quarter it is Rs. 238 crore s. Apart from that, the slippage s are under control, and overall slippage ratio remains within the guidance given by the bank.

– When we look at SMA position more than Rs.1 crore , and all three categories SMA 0, 1, and 2 more than 1 crore , put together is Rs. 1,790 crore s, and that works out to 0.77% of our total advances.

– When we look at restructured portfolio, our restructured portfolio has been consistently coming down. Normal restructured portfolio as per RBI guidance , September '24, it was Rs. 2,786 c rores; now it has come down to Rs. 1,5 01 crore s, which works out to be 0.65% of the total advances. Apart from that, COVID -19 restructured portfolio , that was Rs. 1,718 crore s in September '2 4; it has come down to Rs. 1,283 crore s in Septem ber'25, that is again substantia l reduction is there. So, overall restructured portfolio , both the schemes put together , is Rs. 2,784 crore s only.

– Then, coming to our key financial ratios, our cost of deposit has been contained, and it has come down from 4.88% in September '24 to 4.73% in September '25. Though our CASA is around 38%, but we are able to manage our cost of deposit well by managing our liquidity on an ongoing basis.

– Similarly, our cost of fund also has come down by 22 bps over one year from 4.79% to 4.57%. Cost -to-income r atio, which used to be very high at once upon a time at around 61%, has been consistently coming down; now it is 52.79% in this quarter.

– Our yield on advances on domestic is now at 8.39%; yield on investment is 6.85%; it has improved from the last quarter.

– Our business per employee has also improved from Rs. 22 crore s a year before to Rs. 25 crore s. Business per branch has also improved from Rs. 145 crore s to Rs. 161 crore s in this year. If we include the exceptional income of Rs. 107 crore s i.e. one-time interest income of Rs. 107 crore s in this , while calculating our yield on advances or NIM, our yield on advances stood at 8.25% as against 8.06%, and NIM global would stand at 3.03% as against 2.90%, and yield on advances domestic would stand at 8.6 0% as against 8.39%, and NIM domestic would stand at 3.23% as against 3.08%. So, in all these parameters there's a considerable improvement.

– Now, coming to the capital adequacy ratio of the bank, capital adequacy ratio of the ban

k has been consistently st rong, and this quarter also without adding profitability for the half year ended September '25, our capital adequacy ratio stood at 17.89%, and with tier 1 capital of 15.90%.

– CD ratio has improved to 75.47% as against 71.77% a year before . So there is an improvement in the CD ratio as well, and this CD ratio is again within the guidance we have given at the start of the year.

– Most of the parameters , whatever guidance we have given at the beginning of the year in business performance , as deposit growth , target guidance was 10% to 12%; our achievement is 10.85%. Credit growth our guidance was 12% to 14%; achievement is 16.56%. CASA percentage was 37% to 38%; achievement is 38.11%. RAM percentage we projected 61% to 63%; we have achieved 65%. CD ratio was in the guidance of 75% to 77%; we had 75.47%. Credit cost less than 1%; our credit cost is 0.72%. NIM global was 3% to 3.10%, which we have revised to 2.8% to 2.9% in view of the sharp reduction in repo rate by Reserve Bank of India; that now we started 2.90% . Gross NPA our year -end projection is at 2.50%; we have already reached 2.56%, and we are poised to improve to below 2.50% by the year -end. Net NPA our guidance was less than 0.35%; we have already reached 0.43%. We are still two quarters, and we are confident that we will be achieving this Net NPA ratio also. Total slippage ratio was also 1% to 1.25%; now our ratio is 1.05%. Recovery and upgradation our guidance was 2,200 to 2,700; achievement is 1,548 crore s. So, these all are the financial perfo rmance parameters of the bank which I wanted to highlight in this forum.

– Now, I will come to the various initiatives the bank has taken and which are under pipeline. And you all know that we started Project Parivartan , a di gital transformation in last year September, and till now we have already digitized 27

digital journeys across Retail, MSME, Agri, and all liability products. 5 more journeys are in pipeline. The bank's total digital business has reached Rs.10,554 crore s as on 30th September 2025. Our mobile banking users have increased from 14 lakh in March '23 to 57 lakh in September '25. Our mobile banking rating , mobile banking app rating on Google Play Store has improved, and it is consistently now at 4.8. Our mobile banking ch annels are available 24x7 for all activities with regard to transfers or payment or liquidation o f FDR or premature FDR or payment of FDRs —anything.

– We introduced ta b banking in the last financial year in March to all the branches . Today, around 57% of ou r accounts are opened through ta b banking in the branches. WhatsApp banking was also launched last year . Today, when we speak, WhatsApp banking user base has increased to 15 lakh, and now we are offering 46 services in five languages: Hindi, English, Benga li, Assamese, and Odiya to our customers. Many new features have been added: positive pay system, re -KYC, Aparajita debit card issuance, account balance i n Sukanya Samriddhi, and STP journey lines . Many more features are planned in WhatsApp banking in the near future.

– In mobile banking, we have launched beneficiary lookup, and for the convenience of our customers to book slot . So, slot booking option has been given in the mobile banking also. Re -KYC has also been introduced through ATMs also. We have introduced Eterna Metal Card for HNI customers. 250 new ATMs have been installed, and 59 recyclers have been installed. We have starte d API gateway and API integration with number of corporates. Last year, we started with CBDC, which has now become operational, and now CBDC app for the Android customers is already launched . And we have also migrated to the new website to the new domain i.e. .bank.in as per the direction of the Reserve Bank of India.

– In IT, number of new initiatives are also planned which are underway in this half-year , coming half -year , and

the next year, like performance monitoring
software, cybe r security vault, near DR at Kolkata, robotic process automation, omni -channel interoperable credit, cardless cash withdrawal, and Android ATMs. More functionalities will be added in the CBDC. Face authentication for quick reset that will be added. S o, against that budget of around Rs.1,000 crore s which we have kept for the IT enhancement, Rs.270 odd crore s has already been spent; another 300 -odd crore s is in pipeline ; may be by December, we will be spending that also . So that is also on track.

– Now, variou s other initiatives are being planned which are underway: that is Murex Treasury solution, which we started last year; now it is going to be live in

the next quarter by December. We have also planned to launch our CASA back office for onboarding of new cust omers . DMS is already on way. Consolidation of data cent re is already in process. Video KYC will be launched soon. We are also launching Capital Market Cell for various activities. Tie -up with various mutual funds are being explored to the boost our fee -based income. Branch expansion plan which is approved by a board , we are now planning to have 150 more branches by March. We are aggressively working for the improvement of our branch ambi ence and tie -up with v arious OEMs to boost our Retail, Agri , and MSME outreach. Omni -channel experience , omni -channel project is also underway, and maybe by next year that should be up and running to give a uniform experience across channels to our customers.

– Plus, on that emp loyee side also, a lot of initiatives are being taken. Bank is recruiting more and more skilled manpower to support the new realities of today's world, like in IT, digital, and also in cyber security. AI/ML -driven grievance redressal system is being introd uced; we have already created AI/ML cell, and now we are exploring use cases where we can use AI/ML in a big way . To enhance our customer service , we have revamped our Uday chatbot also with live agent and balance inquiry, mini statement, etc. IVR system h as been upgraded to 35 services with priority option for senior citizens, NRI, CKYC information. Employee -specific feedback has been introduced to understand the behavior or the services rendered by our staff members. Priority services have been flagged fo r divyang jan customers. We have also integrated with the RBI MuleHunter to combat this mule account problem. Integration with I4C has also been completed. We have already launched 8 -digit toll -free number in line with RBI guidelines , government guidel ines. Integration has been completed with the suspect registry also. API has been linked with DoT for MNRL and FR I usage. Enhanced enterprise fraud risk management for proactive transaction

monitoring has been done.
– So, these are the number of initiatives whic h the bank has already initiated and are in pipeline, which we will be seeing light of the day in the next quarter and next year also. So, these were the few thoughts I thought before we open up , I must share with you all. So, now we are open for your ques tion-answer or your observations, which our team is there to respond to your queries. Thank you very much.
– Question & Answer Session:
– Moderator:

– Thank you, sir. Participants who wish to ask a question, please raise your hands. The first question that we have is from Ashok Ajmera.
– Mr. Ashok Ajmera – Participant:
– Good afternoon, sir . Ashwani sir, Vijaykumar sir, Saboo sir, and the entire top management team sitting there. First of all, yes, compliments for yet another good quarter . Both on the profitability front as well as the asset quality front , there are a lot of improvements. Having said that, and of course you have maintained even that little bit of CASA has also gone up, which is under pressure in some of the other banks , even this percentage -wise

. So they are all
very good points. My major point which generally comes to my attention is , number one is the credit growth. Though on annualized basis you are talking about 16.56%, but if you look at the current FY26, now 6 months have already gone, and we ar e still at about, I think, 10,000 crore s or something . Only plus 30,000 crore more is required to be sanctioned and disbursed to meet your target of 14% on this. So, on the credit front, this half -year has been comparatively slower if you talk about the en tire FY26 end results. So, your views on that . And what is the sanction pipeline, and how are we going to meet, and whether we are going to … B ecause in our corporate book also there is a fall in this quarter by about, I think, 4,000 crore s.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes.
– Mr. Ashok Ajmera – Participant:
– Are we again looking at rebuilding the corporate from here to meet the shortfall as well as also to increase the Corporate book, or you are going to continue to have the Retail book only? So, your thoughts and planning on that.
– My second question is on the SMA 1 and 2: you have made a provision of Rs.462 crore s. So, what has gone into this calculation? Because SMA 1 and 2 is around Rs.970 crore s something. So, on that, the provision you hav e made is Rs.462 crore s as per your note in the accounts , above 1 crore. So, on the overall picture on the ECL, what kind of calculations have you done, and what will be required to be to meet these guidelines, and whether we are within the comfortable zone for that? So, some light if you can throw on that.
– Another one is on the income and expenditure front: our income in this quarter has gone down; non -interest income has gone down because mainly t he Treasury income has gone down from 198 crore s to 104 crore s this quarter, and the

recovery from written -off account is also about 45 –50 crore s lower than the last quarter. Because of that, I think the non -interest income is under pressure in this quarter.
– Another thing which I would like to know is that we have a recovery through the NCLT resolution of 104 crore s in this quarter. So, can you throw some light on that also, and what are the recovery prospects in the remaining two quarters on that?
– And similarly, on that one SR, there is a note of the governmen t security NARCL that 274 crore applied revised norms. So, on 274 crore s SR, you have a pplied the revised norms. So, how much in absolute terms, any effect has come into P&L in this quarter because of that? That is note number 19.
– So, these are some of my data points at which I ask , and some of the observations on which I seek your comments.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you , Ajmera ji. I think most pertinent and relevant observations made by you. See, so far as credit growth is concerned, you will find that our Retail, Agri, MSME is growing well. In Corporate, we have de -grown. And if you look at our Corporate where we have de -grown, if you go a little deeper into that, more than Rs.2,000 crore s is from PSU segment. So, basically that is becau se of the yield

pressure. So, when we wanted to give them at a higher price, they had the option of taking it at a lower price from some other competitive banks or peer banks. So, we d id not agree to the lower pricing, and we thought that instead of bringi ng our NIMs under pressure, it is better to not go for a top -line growth without having any margins in the yield. So, that was the intent , and because of that only… and there were certain IBPC which were there, which became due for payment, but we did not agree for the pricing which they were offering. So, now the balance sheet is totally free of IBPC; there is no IBPC outstanding as on date. So, because of this only, there was a de -growth . But if you look at previous quarters, every time there was a growth in

Corporate credit book also.
– And so far as the next half -year is concerned, let me also tell you that around 17,000 to 18,000 crore s sanctioned pipeline is there. It is again subject to agreement on the pricing. If we agree to the pricing or corporates agree to the pricing, we will be able to lend them. Otherwise, we look for more and more new opportunities, which are now, I think, ava ilable in the market in various renewable segment s, your data cent re, your battery swap segment, this smart metering. So, a number of opportunities are there in the market where we are targeting new business opportunities.

– The second was about the ECL. See, if you look at our June, we have already made some provision on SMA 1 and 2 book of 189 crore s, and 190 crore s of forward -looking provision was there. So, it is nothing , but we have clubbed that towards ECL. We have not done any calculation. It is same thing. Some additional provision has been made on the book. So, next quarter, we'll be doing a detailed exercise, and then we'll be allocating it to different segments like Stage 1 and Stage 1, like that we will be doing in the next quarter. We'll start do ing. But our intent is that before the new norms kick in, we'll have at least baseline provisioning required , baseline provisioning for different, different … So, that baseline provisioning should be available within the bank.
– If you look at our SMA 1 book , it's more than 1 crore. More than 1 crore s, one book is around 1,700 crore only more than 01 to all. So, 01 to 1,790 crore s, I think this much is only …
– Mr. Ashok Ajmera – Participant:
– Yes.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yeah, Rs.1,720 crore. So, per se, this provision is applicable to the entire portfolio, and even below 1 crore also we'll be spreading it , so that next quarter we'll be doing a detailed exercise. This quarter we have just clubbed it and marked it towards ECL going forwar d.
– Yes, Treasury non-interest income , if you look at fee -based income, there is a growth in fee -based income. But because of Treasury and write -off recovery, you can see . Every quarter we cannot have same set of recoveries , that whatever we recovered. If you remember in March, we ha d a bumper recovery from one account, and that helped us to register a good amount of total overall recovery and a good amount of profitability also. So, that is the reason we have already reduced our target of rec overy because that was expected in this last quarter.
– But if you look at overall recovery, including upgradation, recovery, and writ ten-off, we are well within our guidance given, right? In spite of our slight reduction in Treasury income and in non -interest income, our Operating Profit has grown. So, that clearly shows that other channels have participated maybe NII or fee -based income. That's what led to the growth in our operating profit also.
– Regarding that SR note, I think if you can explain.

– Management - UCO Bank:
– This SR is basically a government -guaranteed line with the RBI guidelines. This 275 crore pertaining to government -guar anteed SRs has been deducted from the capital. So, according ly, the capital positions has been reduced.
– Mr. Ashok Ajmera – Participant:
– So, no impact during the quarter on a nything in P&L? No, nothing in P&L.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– No, no impact on P&L. Yeah.
– Mr. Ashok Ajmera – Participant:
– And that NCLT recovery of Rs.104 crore through the resolution has come this time.

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes. Yes, that is, I think in a few accounts it has come, and two accounts are already in pipeline where maybe in the next quarter, we'll get some recovery. It's five accounts, and through resolution, it has come Rs.104 crore s. Other than Rs.104 crore s, it is throug h a SARFAESI action or normal

recovery or
upgradation. So, out of total recovery of Rs.758 crore s, which we have reported as Rs. 792 crore . Out of Rs.792 crore , only Rs.104 crore is through NCLT. Other recoveries are through SARFAESI actions or recovery and upgradation e fforts by the branches.
– Mr. Ashok Ajmera – Participant:
– And sir, one point on this, our DTA . Because of the carry -forward losses, and we have a huge DTA even now also, I think of Rs.5,258 crore s as reported in note no 7.
– Mr. Ashwani Kumar - MD & CEO, UCO Ban k:
– Yes.
– Mr. Ashok Ajmera – Participant:
– But with this kind of profitability, which we are having 620 -650 crores per quarter, means maybe around 2,800 or 3,000 crore s maybe for the whole year. So, is there any calculation done that by what time we can go under the new regime of taxation by setting off the entire DTA available to us?

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– I think, we have another two years. 2027, 2028, we should be going into the … Because now as we are going forward, 83% of the portfolio is already provided for our tangible PCR . So, that provisioning requirement will come down. So, once the provisioning requirements are coming down, naturally we will h ave an opportunity to declare more profits. And then as you declare more profits, more reversal will be there. So, hopefully in the next two years, we will be consuming it.
– Mr. Ashok Ajmera – Participant:
– All right, sir. Thank you very much. I'll come bac k again if time permits. And all the best.
– Moderator:
– Thank you. The next question that we have is from Sushil Choksey. Sushil, you can unmute yourself.
– Mr. Sushil Choksey – Participant:
– Happy Diwali to all UCO Bank team and congratulations for a very sta ble number.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you. Thank you. Happy Diwali, Sushil ji and to all of you. Thank you.
– Mr. Sushil Choksey – Participant:
– Sir, my first question is, you are showing very good growth on some new segments which have started, specifically car loans. Means we always had a product, but some new initiatives are there. We are talking about Retail loan growth. Now with the new credit … new guidance come from RBI, co -lending and other verification, new policies, CLM 1 an d 2, what kind of initiatives are we taking to energize our RAM sector on a higher trajectory?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, Sushil ji, you are right that car loan has been growing well. We have revamped our product in housing loan, car loa n also. And that segment is growing well now. In light of new RBI guidelines on co -lending, we have started looking at certain tie -ups with certain NBFCs to enter into some relationship with them so that this co -lending thing can be taken further. As far as at present

is concerned, we have a co -lending exposure. Currently , we have a co -lending exposure of Rs.2,100 crore s. And we expect that in light of the new guidelines, we should enter into relationship with more and more NBFCs and take it forward. Pool exposure is around Rs.10,700 crore s. But the target will be that we enter into a co -lending where we have more control and visibility about the customers to whom we are onboarding.
– Mr. Sushil Choksey – Participant:
– Sir… in the market activities, where M&A finan cing is at boom , you also have an international position from Singapore, Hong Kong. Do you see that this year the traction will come from that segment too? And in the Retail product , share advances and a new IPO financing?

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, this new announce ment made by RBI, I think it is definitely going to open up a new stream for the banking sector as such. So once the guidelines are in place, I think we should be open to looking at the opportunities for participating in those M&A activities, having our pr esence

in Singapore and Hong Kong. We should be very keenly looking at those opportunities.
– Mr. Sushil Choksey – Participant:
– We can set up from GIFT City also, no, sir?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yeah, GIFT City. We have already got approval from Reserve Bank of India to open GIFT City branch. And now we are getting all the infrastructure in place. So once the GIFT City comes into play, at that time, GIFT City will be a major contributor to this segment.
– And then third one? Capital market. Ca pital, yeah. IPO financing, yes, definitely this is an area which is, I think, a very interesting area. We should be looking at getting into this area. We have not yet ventured into this, but definitely we will be looking into this area now.
– Mr. Sushil Choksey – Participant:
– Sir, my question is more pert aining to… because cross -sell of mutual fund, car insurance, car loans, share advance, new IPO financing will attract a lot of customers from CASA point of view, which would help the bank's margin to improve.

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Definitely mutual fund. I tell you, although we have already a platform through which the customers can onboard on the mutual fund, but we are also exploring direct tie -up with the mutual fund s. The bene fit is that we will have a more percentage as a commission than a shared commission. So we are exploring that also. We have already taken the ARN. Now we'll be going for adding … entering into a partnership or MOU with the mutual fund so that we onboard thr ough that some channel, and bank gets more commission . Be cause many of our customers are directly getting into that mutual fund . SIPs are there or one -time mutual fund investments are there. So that also we are exploring. Definitely that will… as we engage more with the customers, stickiness of the customers improve. It will have a positive impact on our CASA also, apart from our fee - based income. It will give us more cross -sell opportunities for car, housing, whatever we think. So that is another area wher e we are working on.
– Mr. Sushil Choksey – Participant:
– Sir, what is your outlook on global NIM and domestic NIM , and also on balance between Corporate and RAM?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, Corporate and RAM, we have given a guidance of 61% to 63% in RAM and 37% Corporate. We'll continue to have that guidance of 61% to 63%, though we are at 65%. The 65% is basically because of some reduction in our Corporate by 4,000 crore s this quarter, other wise we were at around 63%. And second …
– Mr. Sushil Choksey – Participant:
– Those advances must be low -yielding ones. That's why you have faded, no?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes, yes, yes. That was low -yielding advances. And second, on global NIM and domestic NIM. Earlier, global NIM, we have given a guidance of 3% to 3.1 0%, but subsequently in June, there was a sharp reduction in repo cut by RBI. So we have revised our guidance to 2.8 0% to 2.90% for global NIM and 3% to 3.10% for our domestic N IM.
– Mr. Sushil Choksey – Participant:
– Sir, what is our digital spend and what is your outlook on Treasury for the year?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– See, digital, I've already told, our target is around Rs.1,000 -odd crore s in this year, out of which Rs.275 crore s is already spent, and another Rs.370-odd crore s projects are in pipeline, which are under ordering stage or RFP stage. Further , new projects will come. So I believe that by the year -end, we'll be spending around Rs.800 to 9 00 crore s in the digital spend. That is one.
– Number two, in the Treasury, if you look at Treasury, we have slightly built our book in this quarter. Earlier, our total book was around … the investment book was around Rs.91,000 -odd crore s, and now it is Rs.94,000 or 95,000 crore s.

So to
take advantage of the slightly higher yield during this quarter, we have built some portfolio. And hopefully , whenever there is an opportunity in the times to come, either some repo cut is coming or some other treasury yields are fa lling, that time we'll have an opportunity to make use of those securities and to book some profit on those securities.
– Mr. Sushil Choksey – Participant:
– Okay . Second thing, sir, I hear that you are also getting good capital market gains. Is that to be assumed that it's a sustainable profit to your Treasury?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Treasury gains, okay. See, Treasury gains are depending upon again the market situation and transaction to tra nsaction.
– Mr. Sushil Choksey – Participant:
– No, no, no. So, sir, you are assuming only on bond. I understand equity is also contributing well. That's what I'm asking.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Okay, IPO. IPO opportunities are always there, a nd we are regularly participating in IPO opportunities also. That we are already in. Recently also there were 2-3good IPOs we participated in, and definitely we had a good gain in those IPOs. So that opportunity base wherever is there, we'll continue to enc ash on those opportunities. We are very active in it.
– Mr. Sushil Choksey – Participant:
– Yes, yes. Second thing, sir, how are you positioning yourself that there is a commodity boom likely because hard assets are under more likelihood. You've seen what has happened in gold, silver. Now, I understand minerals are the next phase. Are we capitalizing because we are based in East where a lot of

headquartered companies are in this business ? Are we seeing any green shoots in that business where mineral mining and all is concerned?
– And second thing on green energy i.e. green financing , if you have taken any steps.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– First, let me tell you green financing , we have a very good appetite for green financing. I think in last tw o years we have already done around Rs.3,000 crore s of sanctions, and Rs.3,000 is outstanding. So this is again done in last almost two years . But two years prior, we don't have much exposure. We are into that Surya Ghar Yojana also, EV financing also . These are the small chunks which are adding to the renewable segment.
– And now coming to minerals, I'll say though we are there, we have customers who are dealing in all those commodities. So we are ready to explore the funding opportun ities in those commodities to those customers who are into manufacturing lines, and we'll try to avoid the customers who are into speculative trade in these commodities.
– Mr. Sushil Choksey – Participant:
– Sir, thank you for answering all my questions and g ood luck for the year.
– Moderator:
– Thank you, sir. The next question that we have is from Mr. M.B. Mahesh. You can unmute yourself.
– Mr. M.B. Mahesh – Participant:
– Hey, hi. Yeah. Hi, just one question sir . Can you give us the SMA 0,1 and 2 for the overall bank as well? What you've given is only 1 crore. You've given us for 1 crore and above. Can you give us for the entire portfolio?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– I think more than … if I have to give one full number, it should be in the ran ge of 5,000 crores . It should be in the range of 5,000 crores.
– Mr. M.B. Mahesh – Participant:
– Can you split this between SMA 0,1 and 2?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– See, SMA 0,1,2, if you asked me, SMA 0 should be … more than 50% should be in the SMA 0, and around 50% should be in SMA 1 and 2.
– Mr. M.B. Mahesh – Participant:
– And the number which you said, sir, sorry, just , kind of… What is the number that you said? The overall number, Rs.5,000 crore s?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Overall number should be … I don't ha

ve an exact number. It should be in the
range of, I think, Rs.5,000 or 6,000 crore . It should be in this range only.
– Mr. M.B. Mahesh – Participant:
– 5,000, okay. Okay, and the second question, sir, on this itself . As per your understanding, the movement of this provisions on the … when it's implemented in 2028 ..
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Sorry, we are not able to hear you, sir. Volume, can you increase volume?
– Mr. M.B. Mahesh – Partici pant:
– Sir, just checking on the provisions that you're creating today and if there is any shortfall, the provision goes through the P&L or it goes through the net worth?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Mr. M.B. Mahesh – Participant:
– No, which prov ision? When you're doing this one -time transition.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– If we make provision, it goes to the P&L. If we make provision, it goes to the P&L. On advances and wherever we make the provision.
– Mr. M.B. Mahesh – Participant:
– See, the Regulator has given a time period of close to about four years for implementation.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes.

– Mr. M.B. Mahesh – Participant:
– But the question that we are asking is, if there is a shortfall, do you have to charge it to the P&L when the balance sheet opens in '28 , or does it go through the net worth as an adjustment on reserves?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Okay, during that time ? Entire amount will not go to the P&L.
– Management - UCO Bank:
– Entir e amount will go to the P&L, and it will be adjusted to the capital. A little bit of capital will be used.
– Mr. M.B. Mahesh – Participant:
– Okay, and the last question, sir, do you have any excess provision outside of this? Outside of standard assets and …
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yeah, excess provision we have kept. See, in total, we have around Rs.1,000 crore s of excess provision, which is by way of a COVID -19 Rs.530 crore s and around Rs.462 crore s towards ECL, which we have captured this time in our notes also. So it is declared in our notes that around 1,000 crore s is additional provision , over and above RBI -mandated provision that is lying in our books.
– Mr. M.B. Mahesh – Participant:
– Okay, perfect. And last question on the … what will be the outsta nding stock of written -off or technically written -off? And your current expectation of recovery from that book?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, it's total written -off, it's in a?
– Management - UCO Bank:
– 24,000 crore – 25000 crore
– Mr. M.B. Mahesh – Participant:
– And your expectation of recovery from this?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– See, recovery is very … a number giving out of that number will be difficult because recovery number we are giving every year based on our assessment at what level of resolution that asset is. So when we look at our … technical write - off is around 26,000 crore .
– Mr. M.B. Mahesh – Participant:
– Perfect, sir. Thank you.
– Moderator:
– Thank you, sir. Ladies and gentlem en, that was the last question for the day. Now, I would like to hand over the call to the management for the ir closing remarks.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you very much to all of our analysts and investors who have taken out time to jo in our conference call post half yearly results for September '25. And wish you all Happy Diwali and I can again ensure to all of you that UCO Bank is

doing well. We have been improving our performance in various parameters on a quarter -on-quarter basis. Maybe business growth in various segments. It is very proportionate across all segments. Deposit growth, bank has started improving . And also in asset quality parameters , considerable improvement is there, and it

is a sustained improvement on a quarter -on-quarter basis.
– Our team will continue to work towards further improvement in the coming quarters. Thank you very much.
– Moderator:
– Thank you, sir. On behalf of Antique Stock Broking, we would now like to conclude the call. You may all now disco nnect the call. Thank you.

– END OF TRANSCRIPT

Call: Jan 2026

■■■■ ■■■■
UCO BANK
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National Stock Exchange of India Ltd.
"Exchange Plaza"
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051
NSE Scrip Symbol: UCOBANK

Madam/ Dear Sir

Re: Transcript of Post Earn ings Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclos ure Requi rements) Regul ations, 2015, w e hereby submit the transcript of the Post Earnings C all with Analysts hel d on Januar y 20, 202 6.

The tran script is enclosed herewith and has also been uploaded on the Bank's website. It can be accessed thr ough the fol lowing li nk:

■ Transcript – Q3 FY26

We request you to kindly take the above on record and disseminate .

Yours sincerely,
For UCO Bank

(Vikash Gupta)
Compa ny Secretary

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,Fort,
Mumbai – 400 001
BSE Scrip Code: 532505

FINANCIAL RESULTS – Q3 FY26
Post Earnings Call with Analysts
Date 20.01.2026
Time 03:30 pm
Mode Virtual (Webex)

Bank’s Senior Management is represented by :

1. Mr . Ashwani Kumar, Managing Director & CEO

2. Mr . Rajendra Kumar Saboo, Executive Director

3. Mr . Vijay N Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

- Moderator:

- Good afternoon everyone and welcome to the UCO Bank Q3 FY’26 earnings conference call. Today from the management side, we have with us Mr. Ashwani Kumar - MD and CEO, Mr. Rajendra Kumar Saboo - Executive Director and Mr. Vijay N. Kamble - Executive Director. With this, I hand over the call to MD sir for his opening remarks, post which we'll have a Q&A session.

- Thank you and over to you sir.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Thank you. First of all, let me welcome all our analysts and investors to this post - December results concall. With me, I have our EDs Shri Saboo ji, Shri Kamble ji, our Corporate General Managers, CFO, CRO, CGM IT, CGM HR. First of all, let me wish you all happy new year and now I'll just give you a small brief of the financial performance of the bank. Though we have already uploaded the presentation, I believe that every one of you have gone through but brief about the results of the bank I would like to share with you all.

- So far as business growth is concerned bank's busines s grew by 13.25 % on y -o-y basis which was backed by deposit growth of 10.64 % and advances growth of 16.74 %. Deposit growth was backed by growth in CASA deposit by 11.49 %. Within CASA, savings grew by around 10 % and current grew by around 23 %. Our CAS A ratio improved by 44 bps to 38.41 % and we have been able to maintain our CASA in the range of 37 to 38% consistently for last 7, 8 quarters. In advances, the growth of 16.74 % was backed by growth in the RAM segment which increased by 25.86 % and that w as backed by growth in retail advances by 28.18 %, agriculture by 24.69 % and MSME by 23.56 %. In MSME we have seen that last 3, 4 quarters, we are growing more than 20 % consistently. Within retail, housing grew by 19 %, vehicle grew by 73 % and RAM share in the overall credit mix works out to be around 66 %. So fa

r as capital position of the
bank is concerned, capital adequacy ratio of the bank stood at around 17.43 %, with Tier 1 capital 15.41 % and CET1 at 15.18 %. If we include these 9 months profit al so, then our capital adequacy ratio stood at 18.67 %. CD ratio of the bank has been improving on a quarter -on-quarter basis. In March’23 it stood at around 65 %, now in December’25 it has reached to 78.56 %. So, every quarter there is an improvement in our CD ratio.

- Coming to profitability, operating profit of the bank for this quarter stood at around ■1,680 crores registering a growth of 6 % on a Y -O-Y basis and net profit was ■739 crores registering a growth of 15.65 %. During this period, net interest income grew by 11.27 % on a Y -O-Y basis and on 9 -month basis it grew by 9.38 %. Net interest margin improved to 3.08 % on the global and domestic NIM stood at 3.27 % as against 3.03 % global and 3.23 % in domestic last quarter. Our cost of fund also improv ed by 27 bps, came down to 4.48 %. Yield on advances stood at 8.06 %. Cost to income ratio that is an important

parameter, it has come down to 52.20 %. It is a 330 -bps reduction on a year -on-year basis. Return on asset, which is again an important paramete r, it has improved to 0.83 %, last quarter it was 0.71 %. Fee based income also grew by around 30 % on a Y -O-Y basis and on 9 -month basis it grew by 22.46 %.

- Then coming to asset quality, gross NPA has improved to 2.41 % as against 2.91 %, that is a 50 -bps reduction on a Y -O-Y basis. Net NPA also improved to 0.36 % as against 0.63 %, that is 27 bps reduction on a Y -O-Y basis. PCR improved to 97.32 % and tangible PCR also now stand at 85.47 %. Slippage ratio for the quarter improved to 0.85 %. Slippages were mainly from the MSME, retail and Agri and not from the corporate segment. So, the total slippages ■419 crore were from the RAM segment itself and that too majority of the slippages were less than ■10 lakh accounts. If I have to look at SMA, more than ■1 crore, we always in every quarter declare more than ■1 crore SMA book. ■1 crore SMA book of the bank, SMA -0, 1, 2, all three segments put together is only ■1,605 crore, that works out to 0.66 % of the total book. And if I look at SMA -1 and 2, that is only ■858 crore and that works out to less than 0.5 % of the advance book. And within the SMA book, if I have to look at the corporate SMA, SMA -1 and 2 in the corporate segment, it is only ■316 crore.

- Coming to recovery, recovery during this 9 - months period, total recovery is ■2,215 crores and against a guidance we have given of ■2,200 to ■2,700 crore. During these 3 months, the recovery was ■383 crore and last quarter it was ■366 crores. So, on the recovery front, our recovery and upgradation is always in excess of the slippages during the quarter. If I have to look at the efficiency of the bank, business per employee improved to ■26.12 crore in December '25 as against ■23 crore in December '24. Similarl y, business per branch also improved to ■166.32 crore as against ■149.74 crore in the last financial year. As far as some provisions which bank has been carrying, there is a buffer or floating provision or you can say that forward looking provision towards ECL. We have already started making the provision. This quarter we have made additional provision in the standard book. So now the overall provision which we carry, forward looking provision is ■1,252 crores, which includes ■530 crore of COVID looking provision which we have made earlier. So, total provision towards ECL today stands at ■1,252 crore. As far as LCR is concerned, 112 % LCR is maintained by the bank. These were all about the performance of the bank.

- Now few of the initiatives which bank star ted this year and previous year, we have already completed those initiatives. Few of the initiatives bank is now planning in this year also. I'll just highlight few of them. Previous

year we started the digital transformation, Project Parivartan. Bank has already implemented, more than 30 journeys have been made live in retail, Agri, MSME and liability segment as well. So, total around ■15,900 crore of digital business book has been built by the bank and of that more than 2 lakh customers have been given cr edit through digital means. So, through STP journey 2 lakh customers have been given loans by the bank. Today when I speak more than 50 % of our FDs are made digitally, loan against FDs more than 50 % is

happening digitally, more than 61 % accounts are ope ned through Tab banking digitally and mobile banking users have also increased four times over last 2 years. Now it stands at more than 64 lakhs. Banks mobile app rating continues to be at 4.8, which is one of the best mobile app rating of the bank. WhatsA pp banking, we started last year. Now we are giving 47 services through WhatsApp banking, 8 regional languages plus Hindi and English. So total 10 languages are there in WhatsApp banking. In almost less than one year, 17 lakh customers are now using WhatsA pp banking.

- In addition to this, CBDC has also been implemented, PMS has been implemented, learning and development center of excellence has been made, then new treasury solution which we were talking last year, that has gone live this quarter. Then data center consolidation also we talked last year, so the last quarter that has also gone live now. Data center consolidation at Kolkata has happened. Then API gateway also have been implemented. We have already completed our automation of ALM TPM solution. Application performance monitoring system has been implemented. And in order to improve and to gauge the level of customer service and customer resolution, grievance resolution mechanism, we have started a feedback mechanism also where customers are giving feedback about our current services by our staff members. That is also now happening. Now Mule Hunter and I4C integration is also completed. So, these were the initiatives which we had started and they are already completed now. What we are planning is omn i-channel experience, that omni -channel project is already on way. Next year it will be completed. Cash management services, then supply chain finance, robotic process automation, Forex travel card, CASA back office, DMS. Then 10 more digital journeys are in pipeline in the Project Parivartan. Then last year, we revamped our call center. Now we are planning to make call center as a profitable center by using call center for the digital services like digital cross -selling of the products and digital journeys also. As far as IT expenditure is concerned, we have kept a budget of more than ■1000 crore. Around ■700 odd crore has already been now spent. So, next quarter hopefully we will be completing the digital budget, IT budget also.

- So, thank you very much an d now we are available for your question answers. Thank you

- Moderator:

- Thank you, sir. We'll start with question and answer session. Those who have any question please raise your hand. The first question is from the line of Ashok Ajmera. You have been un muted, please go ahead with your question.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:
- Yes, Ajmera ji.

- Mr. Ashok Ajmera – Analyst:

- Can you hear me?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes, yes, Ajmera ji now we can hear you.

- Mr. Ashok Ajmera – Analyst:

- Sir, compliments to you Ashwani sir, Saboo ji, Kamble Saab and the entire top management and the entire management of UCO Bank for a fantastic result, even continuously, I mean maintaining good results quarter after quart er. And this quarter is no exception. So, my compliments to you for the same. In fact, generally, there is a concern on the you know credit growth in most of these banks barring some 2, 3 banks, but i

n your case, you have excelled very well on the credit a lso. 10.73 % only in 9 -months against your whole target of the whole year of 13 % to 14 %. So, of course on the deposit side, in 9 -months we are only 5.63 %. So, my first question is sir on the credit growth. When you already achieved a handsome growth of almost about 11 % in 9 -months, why don't you just revise the overall year's credit target because your CD ratio is still comfortable. Good LCR and deposit also, I am sure, you will meet the target of 10, 11 % which has been given. So, this is my first que stion and sir I need your comments and feedback on this please.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yeah, thank you Ajmera ji. Thank you for your compliments and you see the bank has been consistently showing stable growth in each of the parameters quarter after quarter. So far as credit growth is concerned, if you look at on a quarterly basis, Y -O-Y bas is, we are growing more than 15 %. But on a conservative basis, we always keep our guidance 12 to 14 % because in this current market though we are growing well in RAM but if you look at our corporate credit growth there is slight muted growth in the corpo rate segment. That is basically because of some pricing issues. If you go deeper into the details you will find that our PSU exposure has come down by around ■6,000 crore. So, if you look at our corporate book, so 6000 means around 8 to 9 % of exposure. So , had that been our corporate credit growth would have been better and our overall credit growth would have been much better. So, looking into all those things we always keep our guidance within the trend, slightly higher than the trend rather I will say, because when we look at the economy and the credit growth in the overall system, we don't want to outgrow beyond a reasonable margin. So, that is the reason we are keeping our growth targets within. But every quarter if you see, we have been surpassing our target. So, we expect that we will be achieving and surpassing that credit growth target also, but we will continue to keep our credit growth target of 12 to 14 %.

- Mr. Ashok Ajmera – Analyst:
- Yeah, why I said sir that because our base is still comparativ ely small, you know.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes, yes.

- Mr. Ashok Ajmera – Analyst:

- In the size of near to the, say bank of Maharashtra and some of the other banks like. So, here there is a lot of scope and you have got a strong team, strong management.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes.

- Mr. Ashok Ajmera – Analyst:

- Strong balance sheet also. Your provisioning is almost about 97 %, 98 % already there. And I think the current underwriting book is also very good, as I see. So, anyway sir, now coming to this, you have already talked about ECL provisioning of ■1,252 crores of this. But sir what will be the total quantum of the ECL, if you have done some calculation and whether you are going to complet e it in one or two, ‘27 and ‘28 only or you are going to also take the benefit of that 5 years sir, in that.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, if you look at our calculations which we have done, it should be in the range of ■2,500 to ■3,000 crore currently, as per our estimates. So, around 50 % of that, if I take a lower band of 2500, so 50 % of that we have already built in, right. And I expect, now we have still 5 …6 quarters rather, because in June ’27 we have to go live, right?

- Mr. Ashok Ajmera – Analyst:

- Yeah.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- So, we have 6 quarter. This quarter we have also again built around ■200 odd crore towards ECL. So, going by this trend, if profitability supports, everything supports, I believe, we should be near to our requirement by the time it

is implemented. We should
be near to it. And if at all not, then probably within one year, I think we should be in a position to achieve what is required to be achieved. So , I don't think that bank will need longer period of 5 years’ time which is required, which is permitted because we have already started building and I expect that by June we should be near to the numbers required.

- Mr. Ashok Ajmera – Analyst:

- Sir, my sec ond question is on the impact of this new labour code. Have you calculated, like because I don't find in this quarter any hit has been taken, rather I think, if you look at the employee cost, which is lesser than the last quarter? So, how much impact do yo u see? Is it significant or it's a small impact which you are in the normal course going to pass on it?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- It's very insignificant because we have a very small number of contractual employees. We don't have a large number of contractual employees. It is very insignificant. May not be even ■25 lakh.

- Mr. Ashok Ajmera – Analyst:

- Sir, my next question is on the capital raise. You had done the QIP, ■2000 crores, I think in the March’25 quarter and still the government holding is very high, 90.95 %. So, is there any plan in the immediate future, you must have got already the approval, I suppose. But are you planning to raise any, I mean doing any further QIP or government is going to planning for any OFS to r educe the government holding?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, there are two ways, one is QIP, one is OFS. I think, OFS is already government is planning. 2 banks it is already done, I think, 2 -3 banks are there in the pipeline . We may see that anytime there will be OFS also. So, by that it will come a little bit lower. As far as, requirement of capital is concerned, I have already shared that we are adequately capitalized. Otherwise, if we add our 9 -months profit even, with the se profits itself we are more than 18 % CRAR. But nevertheless, we have to achieve the requirement of SEBI also by bringing down the shareholding of the government to 75 %. So, we have already taken board approval, AGM approval, all approvals are in place. At the right and opportune time, we will come to the market for QIP also. We have taken approval of ■2,700 crore from the board.

- Mr. Ashok Ajmera – Analyst:

- Sir my last question in this round is on the treasury book. Some colour on that because our treasury income though in this quarter is little better than the last quarter but overall if you see, the treasury income contribution is coming a little down in th e overall banking profitability. So, going forward how do we see our treasury behaving?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, if you look at our treasury book, we have been maintaining this book almost at the constant level. We are not outgrowing and if we look at March, from March little bit we have increased, from September rather, after June. March to June we have not grown our treasury book, that was in the range itself because that time the yield was low. After June the yiel ds have again spiked. So, we have started building up in some SDLs and all that. So, wherever we are getting little opportunity, through OMO we are exiting also and we are buying OMO also. So, if you see our yield also is improving and our, I think, modified duration is around in the range of 3.6….?

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- 3.6.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- So, 3.6. So, we are well placed. As far as treasury book is concerned, we don’t foresee any challenge, as far as income from the treasury book is concerned because very cautiously we are investing and liquidating the treasury portfolio.

- Mr. Ashok Ajmera –

Analyst:

- Sir, very good, sir. Thank you very much for having replied to all my queries in this round because I suppose, many other people also must be waiting. Though I can discuss for another 10 minutes on some of the other points but I will give opportunity to others sir. Thank you very much and all the very best.

- Mr. Ashwani Kumar - Mana ging Director & CEO, UCO Bank:

- Thank you.

- Mr. Ashok Ajmera – Analyst:

- And let us see that you grow much, much higher than what the targets which you have given.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Thank you, sir.

- Moderator:

- Thank you. Participants please raise your hand for the question. We have the next question from the line of Sushil Choksey. Sir please go ahead.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes, Choksey ji, I think you need to unmute .

- Moderator:

- Sushil sir, please go ahead with your question.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- I think there may be some network issue or something.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes, I think that is w hy there is a problem. Yeah, Sushil ji.

- Mr. Ashok Ajmera – Analyst:

- You can take somebody else also, otherwise, then if Sushil is taking some time.

- Moderator:

- Yes, sir please go ahead with your question, if you have any further question.

- Mr. Ashok Ajmera – Analyst:

- Yeah, yeah. In this quarter you have performed very well on the NIM front also. The NIM is 3.08 as against, I think your guidance of 2.9 or 3.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes.

- Mr. Ashok Ajmera – Analy st:

- So, going forward, I mean going back even in the last quarter it was 2.9 and now 3.08. So, going forward with all the kind of impact of the earlier liability mismatch and other thing and the deposit getting into in the picture because now, I think, th e burden will get reduced. So, do you think that the NIM will further keep improving or improve in the coming quarter to finish a good FY'26?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:
- I think NIM will continue to be in this trajectory only be cause if you look at the pace of reduction in the deposit rate, that is not in line with the reduction in the Repo rate. Still

deposit is at a very reasonably high rate, not at lower rate. So, I believe that the NIM should be in the range of this trajector y only going forward, in the next quarter.

- Mr. Ashok Ajmera – Analyst:

- Okay, sir. Sir, in the case of this SMA, though the SMA numbers are very much under control and where rarely you see this kind of only 0.68 or 0.5 for the corporate book, the entire S MA, including, I think, in your case even SMA -0 also. But you said that corporate SMA was something around ■300 crore or something isn't it, in the SMA - 2, ■316 crores?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes.

- Mr. Ashok Ajmera – Analyst:

- So, is it one or two chunky, I mean, bigger accounts which have slipped to SMA -2 or it is a, I mean variety of the corporate accounts?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- This is not SMA -2 this is all SMA. SMA -0, 1, 2 put tog ether is ■316 crores. So, this is not only 2. 0, 1, 2 put together.

- Mr. Ashok Ajmera – Analyst:

- Okay. 0, 1, 2 put together and there are various corporates, not some……

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Sorry, 316 is corporate only, corporate SMA -2.

- Mr. Ashok Ajmera – Analyst:

- Yeah, SMA 2. That is why I raised that question that whether…..?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yeah. The total is 511, SMA -2 is 316. See, it is not one or two account, there are few accounts which are in SMA -2. But i

f you look at the SMA -1 is 0. So, there are certain accounts which were there in SMA -0 they will come back to SMA -0. Because of some reason they have come to SMA -2. So, as per…….

- Mr. Asho k Ajmera – Analyst:

- No, no, by the time, like we are already one month, you know, like we are in January. So, whether this SMA -2 was under control, I mean regularized or…..

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes.

- Mr. Ashok Ajmera – Analyst:

- Okay. So, no chance of slipping into……?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- No, no, not.

- Mr. Ashok Ajmera – Analyst:

- Into the NPA?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes, yes.

- Mr. Ashok Ajmera – Analy st:

- Can we discuss something more?

- Moderator:

- So, we will take the next question from the line of Sushil Choksey.

- Mr. Ashok Ajmera – Analyst:

- Okay. Sushil ji please come.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Welcome. Sushil ji will have to be unmuted.

- Mr. Vijaykumar Kamble – Executive Director, UCO Bank:

- There is some issue with his connection.
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- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- He is not getting unmuted.

- Mr. Ashwani Kumar - Managing Director & CEO, UC O Bank:

- I think he is not able to unmute.

- Moderator:

- We have already unmuted him.

- Mr. Sushil Choksey – Analyst:

- Sir good evening. Congratulations to UCO management for very stable number.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Good evening. Good evening. Thank you.

- Mr. Sushil Choksey – Analyst:

Thank you and sorry for all the hiccups which we are having with our technology platforms. Sir, seeing our result, if I have to look at growth, which is the core understanding which we need to have in the current economy, PSU banks is the flavor of the sea son in Stock Market as well as on credit performance, what we should look forward from UCO in the quarter to come by and for the year of '26?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, if you look at our growth, more particularly credit growth, and you look at the composition of credit growth, the proportion of each segment in the credit growth and not only in December quarter but previous quarter as well, so every quarter…like I will take example of retail. So, retail is growing more th an 20% for last 4 -5 quarters and within retail housing is in the range of 18% -19%-20%. Car loan growth is 40% -50%-60%-70%, in this range car loan growth is there. So, retail is growing, each segment is growing and both the segments major components of reta il, housing and car, are growing in proportion. So, there is no challenge on the credit growth concern and the subsequent quarters also will continue to grow in the same way because there is a set pattern and stability is there. It's not that one off quart er we have grown and one off quarter we have not grown.

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- Similarly, Agri also. Agri also quarter -on-quarter consistently we are growing. This quarter growth was around 23% -24% and previous quarter it was in the range of 17% - 20%.

- Similarly, MSME for las t three quarters is more than 20%. Prior to that, there was some slowness in the MSME but last four quarters it is 18%, 20%, 23%+. And similar growth we can see in next quarter also.

- And how and why this growth is coming? Because last year we revamped our underwriting standards. We started Retail hubs and MSME and Agri hub. Now, the decision making is happening centrally, our TAT has improved. As a result, the quality of underwriting has improved and service delivery time has also improved. So, that is leading to the credit growth in various segments. So, next quarter, 4th quarter, similar trends we will see and we will ac

hieve our guidance which we have already given at the start of the financial year.

- Mr. Sushil Choksey – Analyst:

- Sir, if we sustain our RAM growth with Retail growth as a part of the story, our margins in Home loans, our margins on Auto loans and our margins on the other products where we are likely to be, whether it is education or any other loans, where we think we will grow well. I understand that Home loan in India is not a, I mean, there is a big market yet to happen looking at the urbanization and development. Education within India itself can become big with all the noise which is coming from Mr. Trump. So, keeping in mind, what product is very profitable? I understand second hand car market you are far ahead of many banks and I think leading PSU banks also have opened their eyes that, 'Mr. Ashwani Kumar is doing well at UCO Bank on this product. Let's look at it'.

- So, can you highlight all this product? What will lead to a betterment compared to competition where we can grow faster?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yeah. First, you talked about margins. Our growth has come mainly from RAM segment and even then our margins have improved. If you go back to the history, our margin used to be 2.8% NIM. So, now, we have already crossed 3 and we are consistently above 3. In the last quarter, I think, 3.03 and this quarter 3.08. We have improv ed our margin. So, we are growing each segment and we are growing in profitable segments.

- If you look at the segment where we are growing, Car loan growth, our growth is around 70%. We have revamped our entire product profile of Car loans, Education loans and Home loans, Agriculture loan. MSME; more than 30 products we have launched in last 2 -year time for various schemes to cater to the requirements of our MSME

customers. So, better NIM is coming from MSME segment, even Education loan, on second hand Car loan, even Car loan also because when we take car loan, we have the opportunity of taking his CASA account also. So, salary account, current account, in case he is a businessman, or family accounts. So, we don't look at purely a transaction of Housing loan and Car loan. We look at the whole bouquet of products which we are able to offer him and generate some revenue by way of cost reduction through CASA or by cross selling of the product.

- So, many of the banks you can see there is a CASA reduction over a p eriod of time, right. but if you look at our bank for last, I think March'23 onwards, we are continuously maintaining our CASA ratio in the range of 37% -38%. So, we have not seen decline in our CASA ratio except in one quarter, it was 36.91. But, again, in next quarter it was 38. So, overall, the strength from where the margins are coming is through cross sell also, through generating their CASA accounts and we'll continue to explore and deepen the relationship with our customers.

- And another important thi ng which is adding to our margins is our digital journeys. In last one year itself we have digitized 330 journeys and we have built a book of around ■15,000 crore in digital journey. More than what 50% FDs are opening online through mobile banking and loan against FD. So, all this is adding to reduction in my cost also. So, that is the way on a progressive basis we are trying to improve our cost also and income also by combination of various products and services.

- Mr. Sushil Choksey – Analyst:

- Sir, reply to my question. I accept that you are able to master CASA also along with selling retail products. On a hypothetical or reality, on an average basis if I am generating 100 loans, how many accounts are converting to other products?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, our endeavor is to get at least 1 more product from each customer; our endeavor is that. But definitely not every customer, maybe 40%

-50% of the customers we are able to onboard on some other product.

- Mr. Sushil Cho ksey – Analyst:

- Okay. Now, looking at geographies where we are stronger compared to pan India basis, how is the behavior on acceptance of our new products, existing products and saving products? Are we able to penetrate better compared to where we stand today or the outlook is getting better or we need to enter with new geographies and new branches for expansion?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, if you look at our strength currently, more than 30%+ branches are in East and Northeast and similar is the trend in North. So, far as expansion is concerned, we are more focused for expansion towards western and southern part because there our presence is slightly less and they are the more contributing states in the GDP of the economy. So, that is one stra tegy we are working that we are planning to open branches in those geographies where the GDP contribution is higher. And we also look at the pin code wise deposit and credit profile of the area while we open the branches, number one.

- Number two, as far as the penetration of products in the areas where we have strength or not, that itself speaks about the quality of our CASA which we have maintained. Had we not penetrated in those areas, we would not have been able to maintain our CASA in the range of 37% -38%. We have revamped our entire saving, current account products, entire saving, and we are more focused towards the salary. Recently, the Ministry of Finance has announced a comprehensive salary package for the central government employees where our bank is also participating and we will be opening now more and more salary account of various central government employees as well and the benefits will continue to come to the bank.

- So, that is the way we are working and where we have strength we are giving b etter products also to those areas. Apart from product the differentiator, I think will be more important is the customer service and the ambience of the branches. In these two fronts also bank is continuously working to see that our customers get better q uality of service and quality of resolution of their grievance also improves. So, on these fronts also we are working.

- Mr. Sushil Choksey – Analyst:

- Sir, answering to my question you already elaborated that service and digital both are key towards whethe r to sell product or attract customer for deposit or any other services.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes.

- Mr. Sushil Choksey – Analyst:

- How much spend are we likely to do on digitization over a period other than what we have spent over next 12 -24 months? I know it is a repeat question from every Analyst.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- No-no, no issues. We are more than happy to answer.

- Mr. Sushil Choksey – Analyst:

- And second is…

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yeah, please, go ahead.

- Mr. Sushil Choksey – Analyst:

- …customer service, human resource, empowerment and decentralizing lot of processes, centralizing the TAT would be important but decentralizing sourc ing when you are looking at expansion, what kind of unique measures and what kind of spend are we doing so that we garner more customers and our performance get better than where we stand today?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Okay . Going by the first question I think about the IT spend, IT and digital spend, this year we had kept a budget of around ■1,100 crore and around ■700 crores + is already spent. Next year; teams are already working for the plan for the next year. I believe the next year because now majority of the projects which we thought of in last 3 years almost are nearing completion but st

ill there is a lot of s cope for further improvement
and enhancement in our existing IT infrastructure also and I believe that next year also it should be in the range of ■800-■1,000 crore because many projects are still in pipeline like I talked about the various projects which we are thinking - omni -channel, Forex PC, Forex card, we are planning and then supply chain we are planning, CMS we are planning, CASA back office, DMS and on cybersecurity also enhance tools we are planning. And we are planning to convert our call center into a profitable center through use of digital journey through call centers. And robotic process automation is also in the plan. So, number of initiatives are there, I think it should be in the range of ■800-■1,000 crore in the next year also.

- Mr. Sushi l Choksey – Analyst:

- Sir, East is well known for resources whether it is some of the Agri related specifically or even in minerals. The world is chasing minerals which is very visible; the country which has. Now, India also becoming a big manufacturing hu b we will need our captive resources and there is lot of demand likely to emerge in the part where you have good focus. Can you indicate if people are approaching you for some kind of working capital or term loan facilities where resources companies are co ncerned?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, we have not seen much traction in this part; we have not seen as yet. Maybe in the next quarter or so we will get some good proposals in that. But till date we have not got any bigger big-ticket proposal in this area.

- Mr. Sushil Choksey – Analyst:

- Sir, how the international book shaping up?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- International book is steadily increasing. I think deposit if you look, at our deposit growth in the international is around 18% growth as far as overseas deposit is concerned and overseas advances around 12% growth is there.

- Mr. Sushil Choksey – Analyst:

- No, Sir, published numbers I have seen it, I am saying from a future point of view when the fight is for lowering interest rates and at the same time there are very many challenges on each geography wise, based in Singapore and South East Asia predominantly or GIFT City. How is demand coming for those kind of loans on a fully hedged basis for international market? Can we have a good growth because Indian management are also looking at opportunities of acquisition?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, proposals are coming and the only challenge is in the pricing. So, we are taking a very calculated call where we have a good pricing and some margins are there so that we are able to generate revenue for the bank. So, only those proposals we are taking. That is the reason, I think, you can see that growth is around 12% only in the advances. So, as far as the overseas market is concerned, we are raising resources in the overseas market. That is not a challenge but lending at a profitable margin is a challenge. But we evaluate each and every opportunity and als o the repayment, if it is coming, at what rate the earlier loan repayment is coming, at what rate the new loan is giving, whether it is giving some better margin from the previous loan. So, all those avenues we consider before taking a call to go ahead to say no to any proposal.

- So, opportunities are there, there is no challenge about the opportunities. And with this, I think, opening up of the M&A also, new opportunities will be there and I expect the margins may be better in the times to come.

- Mr. Sush il Choksey – Analyst:

- Sir, my next question to Saboo ji. What is the outlook on G -Sec based on current yield?

- Mr. Rajendra Kumar Saboo – Executive Director, UCO Bank:

- So, Sushil ji, you know the markets, nobody can say anything about the markets as t

o
how they will behave in the future. But, yes, we have seen that G -Sec yields have

strengthened in the last quarter also and currently in this cycle we are at the upper end of the yield. We may see further, little bit maybe, but I think this will remain in this range only because RBI has been taking good initiatives, many new things they have done means OMO has been brought and then again they are coming with VRR and all those things to ma nage the liquidity. So, the liquidity RBI is watching for and we get good support from them.

- So, I think the yields on G -Sec will remain in this range only where it is moving for the last one quarter, at least in the last one month. So, we do not see much means movement into these yields for the time being because we know that RBI is having neutral stance and inflation has at least means been in the range of the RBI and any action further going forward will be only on the data basis. So, which type of data comes on the growth front and on the inflation front that will decide the future course of action. So, we are also in the neutral position as of now as far as the yields are concerned.

- Mr. Sushil Choksey – Analyst:

- Next question to Kamble Sir, how m uch is unavailed credit from sanction today and what is the pipeline for the quarter, specifically for corporate credit?

- Mr. Vijaykumar Kamble – Executive Director, UCO Bank:

- Yeah -yeah. Sushil ji , in case of corporate credit, almost ■4,000 -■5,000 crores are unavailed, in pipeline almost ■8,000 -■9,000 crores in the pipeline. Total ■10,000 -■12,000 crores available in the corporates.

- Mr. Sushil Choksey – Analyst:

- And this is credit which you have sanctioned allowing the low yielding advances to be shredde d and then new replacement or existing customers borrowing new I suppose.

- Mr. Vijaykumar Kamble – Executive Director, UCO Bank:

- Yeah, it will be case to case basis, Sir.

- Mr. Sushil Choksey – Analyst:

- Sir, what is the exposure between, I may be getting little into specific, but SIDBI, NAFID, NABARD.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Nothing. Zero.

- Mr. Vijaykumar Kamble – Executive Director, UCO Bank:

- Zero.

- Mr. Sushil Choksey – Analyst:

- Congratulations, Sir. I am happy that you are, I mean, one side you are not lending to them.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- All exited. IBPC also exited. Total zero.

- Mr. Vijaykumar Kamble – Executive Director, UCO Bank:

- Yes.

- Mr. Sushil Choksey – Analyst:

- Sir, I would take it as a good news that whatever your result are, if there is no IBPC, there is no SIDBI, there is no NAFID. Government may not like that you are lending at 6.15% and 6.25% but if you are yielding any assets at 8.5% and 9%, it is a very good news and congratulations to team UCO and best wishes for FY26.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Thank you.

- Mr. Vijaykumar Kamble – Executive Director, UCO Bank:

- Thank you.

- Moderator:

- Thank you. We will take the next question from the line of Pashmi Chheda. You have been unmuted, please go ahead.

- Ms. Pashmi Chheda – Analyst :

- Hi, Sir.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Hello, yes.

- Ms. Pashmi Chheda – Analyst :

- Just I have one question. What is the quantum of MCLR cuts that you have taken so far in the year? And how much do you expect to cut in the next 4 -5 quarters?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- MCLR, I think, 30 basis po ints cut is already in place and expected cut I cannot tell you because it is to be decided by ALCO on a monthly basis. Next month we will have, on 10th again, ALCO; 8th, 9th, 10th because 10th is our date. So, if you look at every month, there is some red uction in MCLR beca

use it is based on the formula given by Reserve
Bank of India. So, I can't give you the number that how much will be the reduction in next quarter or next 6 months but definitely basis the formula if reduction is there, it will definitel y happen. But till now 30 bps is already done.

- Moderator:

- Thank you. We have a follow -up question from the line of Ashok Ajmera.

- Mr. Ashok Ajmera – Analyst:

- Yes, Sir, thanks. Of course, Sushil has covered most of the remaining questions which I could not either take it earlier but, Sir, I would like to know the color of the NBFC book, Kamble Sahab and Ashwani Sir. How do we stand there on the NBFC front and wh at are our policy ways? I understand that we are little choosy and rigid on the NBFCs but, having said that, what is our experience is that some of these NBFCs, even though they are small, but they are lending to the low cost housing and low amount of loan , average ■7-■7.5 lakhs for the housing and other thing, even though they are not rated A, maybe BBB - or so, but they give you the better opportunity to earn good money. The interest rate can be 9.5% -10.5%, anything between that. So, what is the present situation and a re we thinking on those lines to little bit liberalize the small loans to the smaller NBFCs?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, Ajmera ji, so far as NBFC or any other corporate is concerned, MSME, retail, bank looks at every pro posal from bankable angle. If the proposal is bankable, we don't say no even if it is a BBB or BB but if they have an established track record, everything is there and it fits into our norms. So, we don't say no to every proposal. So, every proposal is exa mined on a case to case basis and accordingly decision is taken. So, there is no go to anyone like we will not go with this NBFC or this corporate or this MSME segment. So, there is no such no go type of thing. Every proposal is examined from the credit an gle and the bankability of the proposal.

- Mr. Ashok Ajmera – Analyst:

- And what is the total exposure to the NBFC as on date?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, NBFC, if you look at our exposure is around ■27,000 crore to NBFCs . It works out to around 12% of our total book, that is ■27,000 crore.

- Mr. Ashok Ajmera – Analyst:

- And what is our experience on those accounts?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- There is no slippage in those accounts except in MF I there was one slippage earlier but our overall MFI exposure is now only, I think, less than ■500 crore. So, not even ■440 crore. So, that is also under control. If you look at one year back, it was around ■1,300 crore, now it is ■440 crore.

- Mr. Ashok A jmera – Analyst:

- Oh! Yeah, that is good to know, Sir. And some color on the gold loan, Sir? Gold loan, Agri and non -Agri, because now the categorization has been little bit changed. I think the liberalization is there that you can take some collateral also up to the, I thi nk, ■2 lakh loan also. So, what is the position of the Gold loan? And are we bullish on that? And what is the LTV? Yeah.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yeah. If you look, our Gold loan portfolio is around ■15,000 crore only. We do n't have very big exposure in the Gold loan; ■15,000 crores. And of that, around ■4,000 crores should be in the retail, ■4,000+ should be in the retail, and around ■10,500 crores odd should be in the agriculture sector. So, this is the overall composition of our retail and Agri.

- In retail, LTV should be in the range of 25% -30% . In Agri, we will be around 15% -20% in LTV. But, again, what is the current price of the gold, the base price taken is an average of some period. So, the base price and in the current price itself the margin is there and over and above that we keep anot

her margin. So, no, we do not expect any issue in as far as LTV is concerned.

- Mr. Ashok Ajmera – Analyst:

- So, we have a robust system of auctioning and other thing as pe r the…

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- Yes, yes, , SOP is there and everything is in place. The sale happens according to that only, in case an auction is to be done.

- Mr. Ashok Ajmera – Analyst:

- Now, Sir, just your views on what ever is happening around, the current geopolitical situation, of course, duty things are there, then the sanctions are there, more sanctions are coming, Iran and Russia and all that. And, I mean, some unimaginable things are happening around. So, do you se e as per your banking portfolio, I mean, if you look at that, that there can be any major concern on that if something like this keeps happening? I mean, do you have that particular segment which is exposed to this kind of businesses or are subject to this high duties and exports and other things? Have you evaluated whether some work has been done on that to understand and to evaluate the situation if it arises? What is the quantum which can be affected, Sir?

- Mr. Ashwani Kumar - Managing Director & CEO, U CO Bank:

- See, if you look at our total…let me talk about the scenario first. I think the geopolitical scenario, it is impacting not only UCO Bank but all the banks, even the customers also. So far as overall impact, if you ask, I believe we have a strong consumption economy. And if there is an impact on the export front, I think domestic is able to support the surplus quantity available of the products.

- If I have to look at our banks' exposure, we have around ■2,000 crore of export credit exposure and of which only 5% is in respect of countries where some tariff and all these things have happened. So, it is not a major one; around ■100 crore of only exposure for the bank in those countries. So, not much of worry for the UCO Bank because our exposure to tho se countries is very limited.

- Moderator:

- Thank you. There is a question in the chat box. What percentage of your deposit book has been repriced so far? And what is the direction for the Net Interest Margin for FY27?

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- See, around 75% of my d eposit book has been repriced. I think remaining some portion will get repriced in this quarter and maybe one -tenth of the book will be repriced in the first quarter. So, I think by first quarter entire book will be repriced, number one.

- And second, on ma rgin front, I think it again depends upon the Repo rate cut in the times to come, how it happens. Still, we do not know. In February, there is an MPC, in April there is MPC. But given the scenario that there is no rate cut and the liquidity conditions rema in same or rather improved, I think the NIM should be in the range of 3% in the next year also.

- Moderator:

- Thank you. We will take that as a last question. I hand over the call to MD Sir for his closing remarks.

- Mr. Ashwani Kumar - Managing Director & CEO, UCO Bank:

- So, thank you very much to all the analysts and investors for joining the conference, taking of the time and thank you for your trust and confidence in the bank. And we will continue to deliver our performance, stable and consistent perfor mance, in the quarters to come. And it will be our endeavor to come to your expectations. Thank you very much. Thank you.

- Moderator:

- Thank you.

END OF TRANSCRIPT

Call: May 2026

[redacted]
UCO BANK
[redacted] Honours Your Trust

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HO/Fin ance /Shar e/30/2026-27 Date: 02.05.2026

National Stock Exchange of India Ltd.
“Exchange Plaza”
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051
NSE Scrip Symbol: UCOBANK

Madam/ Dear Sir

Re: Transcript of Post Earn ings Call

Pursuant to Regulatio n 30 of SEBI (Listing Obligati ons and Disclos ure Requi rements) Regulations, 2015, w e hereby s ubmit the trans cript of the Post Earnings C all with Analysts he ld on April 27, 202 6.

The tran script is enclosed he rewith and has also been uploaded on the Bank' s website .

We request you to kindly take the above on record and d isseminate .

Yours sincerely,
For UCO Bank

(Vikash Gupta)
Compa ny Secretary

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,Fort,
Mumbai – 400 001
BSE Scrip Code: 532505
Vikash
GuptaDigitally signed by
Vikash Gupta
Date: 2026.05.02
19:16:30 +05'30'

FINANCIAL RESULTS – Q4 FY26
Post Earnings Call with Analysts
Date 27.04.2026

Time 03:00 pm
Mode Virtual (Webex)

Bank's Senior Management is represented by :

1. Mr . Ashwani Kumar, Managing Director & CEO

2. Mr . Rajendra Kumar Saboo, Executive Director

3. Mr . Vijay N Kamble, Executive Director

Moderator : M/s Antique Stock Broking Limited

TRANSCRIPT

– Moderator:
Good afternoon, everyone and welcome to the UCO Bank Q4 F Y26 Earnings call. Today from the management side , we have with us:
– Mr. Ashwani Kumar - MD and CEO
– Mr. Rajendra Kumar Saboo – Executive Director
– Mr. Vijay N Kamble - Executive Director
– With this I hand over the call to MD sir for his opening remarks , post which we will have a Q&A session. Thank you and over to you, sir.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you. A very w arm welcome to all the analysts and investors to this Post Results Conference Call for the financial year 2025 -26. So, I have with me our executive directors, Mr. Saboo and Mr. Kamble and also our CRO, CFO, all other top management team is with me. So, tha nk you for joining the conference call, once again. I'll just give you the brief about the overall performance of the bank for the last quarter and the full financial year.
– Our business grew by 14.95% on a YoY basis, and the gross advances grew by 19.44% o n a YoY basis, and deposits grew by 11.59% on a YoY basis. Within Deposits, our CASA growth was around 12.46%, Savings grew 11.78%, and the current account registered a growth of 16.77%. Our CASA ratio was maintained above 38; our guidance was 37 to 38, an d CASA was 38.65, improved by 75 bps over last year.
– And within the advances, our RAM segment grew by 24% plus, and in the RAM segment, Retail advances grew by 26% plus, Agri culture advances grew by 26%, and MSME advances grew by 19%.
– Within Retail , housi ng loans grew by around 19%, and car loan growth was around 71%.
– Coming to asset quality, our gross NPA improved to 2.17%; there is a 52 bps reduction over last year. Net NPA brought down to 0.27%; there is a 23 bps reduction over last year. PCR improved to 97.79%, a 110 bps improvement over last year. Excluding TWO, PCR improved to 87.66%, a 571 bps improvement ov

er last year.
– And coming to profitability, our operating profit for the full year was Rs.6,429 crore, that is a growth of 6.49%, and full -year p rofit was Rs. 2,768 crore, with a

growth of 13.21% on a YoY basis. Net profit for the quarter ended was Rs.801 crore, with a growth of 22% on a YoY basis.
– Now, coming to the guidance versus actual achievement, our deposit growth guidance was 10 to 12%, achievement is 11.59%; credit growth guidance was 12 to 15%, and our actual achievement is 19.44%. CASA percentage was 37 to 38%, actual is 38.65%; RAM percen tage we targeted 61 to 63%, actual is 65%. CD ratio, our target was 75 to 77%; we have achieved a CD ratio of 80.21%. Credit cost guidance was less than 1%, it is 0.62%. NIM global, we have given a guidance of 2.8 to 2.9%; actual NIM is 3.03% for global, a nd for domestic it is 3.23%. Gross

NPA guidance was less than 2.5%, actual NPA is 2.17%. Net NPA guidance was less than 0.35%, actual is 0.27%. Slippage ratio guidance was 1 to 1.25%, actual net slippage ratio is 0.78%. Total recovery and upgradation guida nce was Rs.2,200 to 2,700 crore, actual is 2,944 crore.

– Now, coming to the guidance for the current year, deposits we have kept the guidance in the same range, 10 to 12%; credit 12 to 14%; CASA again 37 to 38%; RAM we have improved our guidance to 62 to 65 %; CD ratio 80 to 82%; credit cost less than 0.75%; NIM global in the range of 2.8 to 2.9%; gross NPA less than 2%; net NPA less than 0.2%; slippage ratio less than 1%; and recovery and upgradation in the range of Rs.2,000 to 2,500 crore.

– Now, coming to th e other parameters, our cost -to-income ratio, which has improved by 581 bps over last year, is now 52.66%. Our fee -based income grew by 32% on a YoY basis to Rs.516 crore against 389 crore. Our capital adequacy ratio has improved to 18.61%, with Tier -1 cap ital of 16.59%.

– The Board has approved declaration of dividend at the rate of 4.40% i.e. 44 paisa per equity share, subject to approval of the shareholders in the ensuing Annual General Meeting , which works out to be a dividend payout of approximately 20%.

– Business per employee of the bank has improved to Rs.28 crore against 24 crore a year back, and business per branch has also improved to Rs.173 crore against 155 crore a year back. Provision coverage ratio also improved to 98%.

– We have a total number of 3,412 branches and 2 overseas branches in Hong Kong and Singapore, and 1 representative office in Iran. So, 110 branches have been opened in the last financial year . 61% of the domestic branches are spread in rural and semi -urban areas.

– Now let me talk about the initiatives which we had earlier talked about, where we stand, and what are the further initiatives we are planning.

– The initiatives we spoke about last year which have been completed include CBDC, which is now available on both iOS and Android phones.

– The Performance Management Solution has also been completed. The Learning and Development Center of Excellence has been completed.

– Project Parivartan, which we initiated last year, focusing on digital transformation and digital bu siness, has come a long way. Till now, 31 journeys have been completed, and our total digital business across assets and liabilities has crossed Rs.25,000 crore in the last year.

– Mobile banking users have increased five times, from 82 lakhs to 153 lakhs in 3 years, whereas active mobile users have increased from 14 lakhs to 70 lakhs in 3 years. So, the active mobile users versus registered mobile user percentage was 17% three years back; now it has improved to 46%.

– We started tab banking across branches. A ll branches have been given tabs . In the last financial year , more than 10 lakh accounts have been opened through tab banking. The percentage of accounts opened through tab banking, excluding BSBD and PMJD Y accounts, is 66%.

– We launched WhatsApp bank

ing also. Now more than 20 lakh customers are onboarded on the WhatsApp banking channel, and 49 services in 14 languages are available on our WhatsApp banking.

– Many new features have been launched in our call center and in our mob ile app during the last financial year.

– A new treasury solution, Murex, has also been implemented. Data center consolidation, which we started last year, has also been completed in Kolkata.

– We have started Mule a ccount monitoring through UCO VIGIL PLUS unde r the transaction monitoring vertical.

– Our API gateway has started .

– Automation of ALM TPM has also been completed.

– Application performance monitoring systems have also been implemented.

– A feedback mechanism system to watch and improve customer service h as been implemented and has started working. Now we are getting real -time feedback from customers through SMS, QR code, website, and WhatsApp banking.

– We have already integrated with MuleHunter and IPC .

– Further initiatives planned for the current financial year include :

o Omnichannel .

o Cash management services
o Supply chain finance .
o Robotic process automation .
o Digital marketing solutions .
o Forex card and prepaid card solutions
o Document management system, which is already in progress and will be comple ted this year.
o E-note facility to remove paper from the system .
o Identity access management for cybersecurity .
o Centralized log management system are also planned.
o We have planned to convert our call center, implemented two years back, into a profit center. Project Parivartan Phase 2 has been launched.
o Centralized monitoring systems have been implemented for credit loans sanctioned through the ED CAM portal.
o A Tran sformation Management vertical has been set up with a widened scope and will be headed at the GM level now .
o Additional services will be implemented in WhatsApp banking.
o Cybersecurity Vault improvements, DR at Kolkata .
o CASA back office, and a centralized f orex processing center are also in the pipeline.
– So, all these are being implemented in the current year.
– With regard to the IT budget, last year we have kept a budget of around Rs.1,000 to 1,100 crore; around Rs.900 crore has been spent. This year also, more than Rs.1,000 crore budget has been approved by the Board. The spend for the last three years is: in 2023–24, it was Rs.576 crore; in 2024–25, it was Rs.642 crore; and in 2025–26, it is Rs.899 crore. So every year we are increasing the spend to bring more advanced technologies into the system.
– So this is all about the overall performance of the bank, and now we are open for the Question & Answer session. Thank you.

– Question & Answer Session:
– Moderator:
– Thank yo u, sir. We will start the Q&A. Any question, please raise your hand.
– We have the first question from the line of Ashok Ajmera. Please go ahead. Mr. Ajmera, please go ahead. Your line has been unmuted.
– Mr. Ashok Ajmera – Ajcon Global:
– Can you hear me, sir?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes, yes, please. Yes, please.
– Mr. Ashok Ajmera – Ajcon Global:
– Sir, compliment to you and the entire team for fantastic results. In fact, you have surpassed almost every parameter, and the kin d of growth you have given, especially in credit growth, is phenomenal at 19.44%. Even in this quarter itself, it is almost about 8% credit growth. Overall business growth is also good, deposit growth is also good, and everything is beyond the target. You have achieved those results.
– But sir, what I see is that if I look at the guidance given for 2026–27, it seems that either some geopolitical situation is there in your mind, or the impact of the West Asia war, maybe going forward, you are anticipating that you may not have the same kind of growth which otherwise you could have achieved. So my first question

is on that: I want to hear your views on the current situation , and going forward how the bank is taking it. In the 1st Quarter, will there be some majo r impact you are expecting?
– Though if I look at the SMA numbers, in fact, your SMA 2 of the last quarter has partly shifted to SMA 1, which is a better development. But SMA 1 has gone up from Rs.260 to 651 crore. Overall SMA numbers are under control. So have you already started seeing some kind of stress, especially in small businesses and MSME, who do not have deep pockets due to the West Asia war and other geopolitical situations? How do you plan to deal with it, sir?
– Mr. Ashwani Kumar - MD & CEO, UCO B ank:
– Thank you, Ajmera ji. First, let me talk about guidance. You have apprehended

that because of the West Asia crisis, we have toned down the guidance. Let me

make it very clear that if you look at our guidance for the last three years, it has been in this range only, and our achievements have always surpassed the guidance. Last year also our guidance was 12 to 14% credit growth; this year also 12 to 14%; and next year also we are planning 12 to 14%. If you look at our achievements for the last three fi nancial years, in 2023 –24 our credit growth was around 16%; in 2024 –25 it was around 17.72%; and this year it is 19.44%. So, the guidance remained 12 to 14%, but achievements were much higher than guidance.

– So similarly, guidance continues in the same range, looking at all scenarios, and I am sure the way we have rebuilt the organization, we will surpass the guidance with good numbers in this financial year also, not only in credit but in other parameters as well. If you look at our NIM, credit cost, an d slippage control, which used to be 1.7 to 1.75% three years back, it has now come down to less than 1%. Now we have toned down our guidance from 1 to 1.25% in the previous year, to less than 1% this year. Accordingly, net NPA and gross NPA guidance has b een toned down. So there is no such thing that because of this temporary crisis, we have shifted our guidance downward s. That's number one.

– Number two, coming to the impact of the current situation, I would request you to look at our SMA numbers. Consiste ntly, our SMA numbers are under control. Every quarter we declare our SMA numbers above 1 crore. Generally, there is a tendency to declare above 5 crore, but we declare above 1 crore. More than 1 crore of SMA 0, 1, and 2 together are at 0.45% of standard advances . While SMA 2 is lower and SMA 1 is higher, this is due to the February effect. February impacts every financial year. SMA 2 is 60 days, but February has 28 days, while January and March have 31 days. So certain accounts that could have been in SMA 2 are appearing in SMA 1. So it is not that SMA 1 has jumped significantly; overall SMA remains the same, only bucket shifting is happening. Next month, we may see slightly higher SMA 2 and lower SMA 1. So that transition will continue. This financial year , because of the February having 28 days, the SMA 2 number is slightly low, and SMA 1 is high because of 59 days' impact. So, this is about what you asked.

– Mr. Ashok Ajmera – Ajcon Global:

– Thank you, sir. One phenomenon we are seeing in some other banks i s that when profits are good and results are strong, they start providing additional provisions on standard assets , more than the IRAC . In our bank, provisions seem to have gone down. Are you not anticipating unexpected impacts, like ECL, etc.?

– Even in case of wages, I see that the salary i.e. the employee cost has gone down to 182 crore as compared to 278 crore in the last quarter. Is the revised Labour Code not impacting you? How are you dealing with those unexpected or unforeseen circumstances without creating some kind of a buffer, or do you have any buffer already?

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:

– Ajmera ji, la st quarter

we declared a buffer of around Rs.720 crore ECL provision, and this quarter we have increased it to 1,038 crore. So, ECL pro vision held as on this quarter is Rs.1038 crore, plus Rs.341 crore contingency provision is also made. So, if we take both of them together, more than 1400 crore is already available towards ECL. Along with that , during COVID times, we made Rs.530 crore of provision for COVID -19. So that is also available. So, all three put together today, we are holding around Rs.1,900 crore of additional provision as a buffer towards our ECL framework, which may trigger at the time when we have to shift to that. So, Rs.1900 crore of buffer is there.

– Now coming to the wage part. See last year, we made an additional provision of Rs.260 crore towards our PLI, the previous financial year, whereas the actual payment is around Rs.100 odd crore only this year. So, we are still c arrying Rs.160 odd crore of provision for the next financial year. Last year we made additional provision, which we are not required to make this year. So, on that account, our wage or employee cost is slightly down, because previous year 250 crore of addi tional provision was made on the PLI factor, which was being talked about . We asked PLI to scale 4 above for the employees, which could not be paid this year because of certain reasons. Now, maybe next year it will be paid. So, we have not reversed that pr ovision, we have continued the remaining provision of Rs.160 odd crore in this financial year.

– Mr. Ashok Ajmera – Ajcon Global:
– Sir, you already got the Board approval for the QIP. But what are the plans in the immediate future? With this present share price, I mean, the market somehow may not be understanding the kind of result which you have declared, or the kind of strength which you have. Even those provision numbers, I wanted to hear from you only, that when you have a cushion of Rs.1,900 crore, at this price, would you like to come out within this quarter… ? Do you have any plan for that?

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– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– So, this quarter we do not have any plans. We will be going to the AGM for approval. First, we will get the approval of the shareholders, and thereafter, at the right opportune time, when the market also supports, we will go for the QIP. That will not be in the immediate, this quarter.
– Mr. Ashok Ajmera – Ajcon Global:
– This last round, sir, is on the credit front only, because as you narrated, for the last three years it has been 15%, 17.5%, and now 19.5% to 20%. Going forward, I believe that even though the targets are very modest, you will be crossing that . So, can I just know about our sanctioned pipeline, or what kind of industries or businesses from where we are getting the business as far as credit is concerned? I can understand the overall ratio of RAM and Corporate, but within that, where do you see t he scope for increasing further and maintaining this kind of momentum, this kind of growth in credit going forward, sir?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, we have around Rs.14,000 crore of pipeline in the Corporate segment currently, and we have certain sanctions already in place, but because of the pricing issue, we are not able to disburse. We do not want credit growth in the Corporate segment at the cost of margins. So, that is the reason we are not growing corporate credi t below our expected price. So that is one.
– The growth or demand is coming from renewables, data centers, smart metering, and even road projects have started coming a little. So, there are a number of areas from where the growth is coming, and there are m any sunshine sectors. But pricing is the biggest challenge, where we would not like to compromise before entering into a deal.
– Mr. Ashok Ajmera – Ajcon Global:
– Okay, sir. Thank you, and all the best to you. If time permits, I will again come for further d

i scussion, sir.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Most welcome.
– Mr. Ashok Ajmera – Ajcon Global:
– Kam ble sir, Saboo sir, and sir, all the best.
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– Moderator:
– Thank you. Participant, please raise your hand for the question. The next question is from the line of Sumere Choksey. Please go ahead.
– Mr. Sumere Choksey – Participant:
– Yeah, hi sir. Am I audible?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Yes, yes, please. Please go ahead.
– Mr. Sumere Choksey – Participant:
– Yeah. Firstly, sir, congratulations to y ou and the entire team of UCO for a very good set of numbers. So, I have a few questions. I will just go about them.
– Firstly, we have seen a good, healthy deposit growth on a QoQ basis, about 6%. So, how do you view the same growth going forward, because i f there is a slight rebound even in capital markets, do you see this sticky deposit growth staying intact?
– Secondly, what we have noticed is from particularly last quarter to this quarter, our lending split, I think we have cut quite a few larger cheques t o more AAA - rated corporates, particularly on the PSU side. So, incrementally, how has the yield been on that book, and if we were to lend more in the AA bracket, would our yield be slightly better? Is that how we are looking at maintaining a competitive yi eld while hedging risk, or how is our view on that? I will ask these two first, then go forward with the rest of the questions.

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you, Sumere. First, let me talk about deposits. Earlier, we were not focusing on d eposits because our CD ratio was quite low. Now we have reached a CD ratio of around 80%, and our target was 74 to 77%. That is the reason we focused more on deposits. While focusing on deposits, we have not stopped chasing CASA. If you look at our CASA, i n spite of deposit growth of 6% in this current quarter , last quarter , our CASA ratio continued to be in the range of 37 % to 38 %. Rather, it has improved by 74 bps on a YoY basis. So, o ur focus while raising deposits is more on the Retail franchise than bu lk deposits. Going forward also, when we have to support growth, deposit concentration will continue to focus on Retail term deposits, savings, and current accounts, with

some portion in bulk deposits. Overall, we have a target of bulk deposit to total deposit percentage. We continue monitor and maintain our bulk deposit within a defined ratio. So that is on the deposit front.
– As far as AAA -rated exposure is concerned, if you look at our balance sheet, though this quarter we have increased exposure to AAA -rated and PSU, the same trend was there last year also. In between, demand from PSU was at a lower price, so we were not comfortable lending to them then. Now pricing has improved slightly, so we extended credit. Last year, in March ’25, AAA -rated exposure was around 33%; now also it is around 33%. AA was 29%, now it is 26%. Whenever there is a better opportunity, we will continue lending to AA and A-rated accounts as well , in additional to AAA -rated accounts.
– Mr. Sumere Choksey – Participant:
– Yeah, thank you. Now, on the digital side, we have seen very good traction, particularly in mobile banking. You touched upon it even in your opening comments. It’s very heartening to see. Any new digital initiatives we are working on, especially for younge r customers who are high -volume transactors on UPI and possibly new to credit?
– Also, in Retail loans, which products are covered under the “others” category? 25% of overall Retail loans and has seen a 40% YoY growth . So, c an you elaborate on this? And how is the demand for vehicle loans in the current quarter , because again, that book has also seen good traction.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– On digital, we have revamped our entire digital journey. On 6th January , 2025, we

launched our digital tr ansformation project, Parivartan, and since then, we have been launching customer journeys. Till now, 31 journeys have been launched across Retail , MSME, Agri , and liability products. Total digital business has booked is Rs.25,000 crore, with Rs.11,000 cro re in advances and Rs.14,000 crore in liabilities.
– For young customers, more than 50% of fixed deposits are now created digitally through the mobile banking app. More than 50% of loans against FD are also processed digitally by our customers . Our car loan STP journey is well accepted, with more than 50% of car loans processed digitally. For MSME, we have launched GST Smart Finance, MSME Smart Finance , which is also very well accepted. Good amount of business is also happening in the MSME segment through dig ital.

– For the ease of our young customers, we have revamped the UI/UX of our mobile app, and its rating is in the range of 4.7 to 4.8 on app stores, among the best in both the public and private sector banks . Even in the Apple Store it is 4.6. That clearly shows that our app is well accepted in the market.
– Further to enhance our reach to our new generation customers, we are now bringing omni -channel experience also. So maybe this year our omni -channel mobile b anking will be available which will be more interactive, more convenient for our customers.
– Second, you talked about Retail . In Retail, the “other” portfolio includes a small portion of co -lending; it’s not huge. It mainly is gold and staff loans. So gold loan portfolio out of that is around 5,400 crores. And the growth which we are seeing in the other portfolio is mainly coming from the gold loan portfolio.
– Mr. Sumere Choksey – Participant:
– Okay, understood. So one final question.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Sumere, one more thing. More than 2 ,50,000 customers have been given loan digitally last financial year. More than 250,000 customers. They have been

sanctioned loans digitally in the last financial year.
– Mr. Sumere Choksey – Participan t:
– No, sir. Of course, that's great to see because it's reflecting in your mobile banking numbers, which I think you'll have put a good slide in the presentation as well. Sir, one final question from my side. Which external benchmark rate would we have lin ked our loans, could you just shed some light on that?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Mainly it is Repo linked rate. More than 65% of our portfolios linked to Repo. Because if you look at our Retail and MSME, that itself is a huge portfolio. So, RAM is 65%. So, Retail and MSME itself is more than 1 lakh crore… I think around 66,000 crore is Retail and 48,000 crore is MSME. Both put together is under Rs.116,000 crores. So, more than 50% portfolio is in that segment itself. So, 65%, because in some of the corporates also, they were short term loans linked to Repo rate corporate, in the Corporate book. Though they are sanctioned at MCLR, but they short term when they have to take WC DL, they take Repo linked rate.

– Mr. Sumere Choksey – Participant:
– Und erstood. So, thank you so much for answering my questions and best wishes to Team UCO for the next fiscal.
– Moderator:
– Thank you. We'll take the next question from the line of Hriday Choksey. Please go ahead.
– Mr. Hriday Choksey – Participant:
– Congratulatio ns to Team UCO, Ashwani sir, Saboo sir, Kam ble sir on a great set of numbers. Again, I think our performance has been just been growing year on year, and kudos to the whole team.
– Sir, a couple of questions. Sir, on our cost to income ratio, we've shown a g ood decline this year down from 56.99 to about 52.92. So, we've seen a significant drop for a second year running. So, can you just speak about your initiatives on that front? And just one specific thing, in the last quarter we've seen a 45 bps increase al so. So,

if you can specifically speak on the cost -to-income bit first.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– So, on cost -to-income front, we have taken a lot of initiatives. From the last 2 -3 years, we are working and very closely monitoring our cost -to-income ratio. There are two components. One is to control the controllable cost; non controllable, you can't control. But controllable cost, how can you control? And also, how can you improve your fee -based income? If you look at our fee -based income, it has been growing on a QoQ and YoY basis. For fee -based income, our growth during this financial year is around, I think, 32%...? 32% on a quarter basis, and on a YoY basis it is 25%. So one is, we are working on fee -based income.
– And the second, our cont rol on the cost also, we have been very particular about the budget given to the field. Our teams monitor the expenditure against the budget. Various cost control measures have also been implemented. And if you look at our total operating expenses, it has also come down from the previous quarter to this quarter. So, these are the things which we are continuously monitoring.
– And second thing, if you look at our previous year, our cost -to-income ratio was high. At that time also, our recovery from the writte n off accounts was very high.

So, that was around Rs.2,400 or 2,500 crores. This year, it is around Rs.1,300 crores. In spite of that, we are able to reduce our cost -to-income ratio. So, every effort is being made to improve on income… fee -based income, and also to reduce our controllable cost. And these measures will continue in this financial year also.
– Moderator:
– Hriday, any follow up question?
– Mr. Hriday Choksey – Participant:
– So, thank you for that. Also, now, if I look at a segmented NPA book, within personal loans if you see, there's been a slight uptick in this quarter. Any specific reason?
– Mr. As hwani Kumar - MD & CEO, UCO Bank:
– See, I think there is a very small uptick; it's not substantial. Against Rs.2,700 crores of book, our NPA is only Rs.39 crores. Yes, last quarter, it was Rs.31

crores, but this is 39 crores. That maybe because of some reas ons. But there is no specific reason. It is hardly 1.43% in personal loan book. That's not a very big thing for us.
– Mr. Hriday Choksey – Participant:
– So, now a broader last question, which is so on the future vision, like your broader vision for the bank f or the next few years . We've significantly improved our ROAs and our performance last few years , and now we're ending the year somewhere around 0.8%. So, what are the steps we're undertaking to build towards a 1% RO A franchise?
– Mr. Ashwani Kumar - MD & CE O, UCO Bank:
– To build on ROA, we need to improve our net interest margin. We need to continue to focus on our CASA growth also, and our NI improvement also. So, there are a number of parameters where we are working. We need to work on our TWO recovery also. So, a lot of initiatives are being taken. We have reached 0.87, and if y ou look at for last so many quarters, every quarter, there is an improvement in our ROA. So, the same trend is expected to continue in the next financial year. And I believe that by end of next financial year, we should be nearing 0.95 to 1% RO A levels.

– Moderator:
– Thank you. There is a question in the chat box. How do you see the impact of the ongoing West Asia war in your MSME portfolio? And what percentage of your MSME portfolio is covered under CGT MSE ?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– See, in the current scenario, we have not yet seen any major impact . Currently, if you look at our slippages, they are in tandem with the previous quarter from the MSME segment. There is no sharp surge in slippages , number one.
– Number two, if you look at our SMA book also, within the overall SMA book, the SME , SMA book, that i

s also in the same trend as the earlier quarters. So, I don't foresee any major impact. There can be some impact, but it's not going to be a very major impact in the next financial year. But to counter those contingencies in case, if at all, we have built already Rs.341 crore of additional buffers by way of a provision in our standard book. So, that will take care of all the requirement going forward.
– And around 40% of our advances are covere d under CGTMSE.
– Moderator:
– Thank you, sir. The next question is, what is your total AFS reserves as on FY26, March ‘26?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– AFS reserves, give me a second. It's -140 crore. (Negative) 140 crores.
– Moderator:
– Okay, thank you, sir. The next follow -up question is from the line of Ashok Ajmera. Please go ahead.
– Mr. Ashok Ajmera – Ajcon Global:
– Hi, thanks for giving the opportunity again. Sir, I would like to have your views or clarity on the Treasury operation because the Treasury has not contributed this time into the profits , or rather it's negative only. But if you look at the segment wise results, the Treasury operations are showing up Rs.848 crore of profit as compared to Rs.557 crores. So, in segment wise, other than the Treasury , things have gone into that? And how do we see the Treasury performing in the

now coming financial year , in this current quarter and the remaining three quarters?
– Mr. Ashwani Kumar - MD & CEO, UCO B ank:
– See, Ajmera ji, if you talk about Treasury, you know that Treasury is a play of yields. So, last quarter yields f irmed up and it was more than 7% for a long period of time , even at the quarter end. A s a result, there was MTM on the AFS book and HFT bo ok also. And that has impacted not only our bank a little bit, but other banks also. But fortunately, for our bank, w e had very slight impact on our P&L because our Treasury, I think, had a profit of around Rs.130 odd crore last quarter , but this quarter i t was Rs. -16 crores only. So, for the AFS book, Rs.135 crore of the negative impact of MTM was there. And the way the yields have now moved down , it's ranging in the range of, I think, 6.95 to 6.98 , so some of the provisions or the losses which were booke d in March, they have already been reversed if we take MTM today .

– And going forward, I think the way the liquidity market is behaving, the way the things are shaping out , I think once the stability in the overall global environment is achieved, I think th ere will be a good amount of Treasury traction in this financial year. Again, it is subject to the global stability in the environment.
– Mr. Ashok Ajmera – Ajcon Global:
– Sir, any clarification on the segment wise figures, numbers?
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– I'll give you separately.
– Mr. Ashok Ajmera – Ajcon Global:
– No, no problem. Sir, I'll take it offline. Okay, sir , thank you very much .
– Moderator:
– Thank you. There is a question in the chat box. What is your total gold loan portfolio as on date - Agri and non -Agri . And what is the weighted average lead for this?

– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– The gold loan portfolio in the Retail segment is around Rs.5,400 crore and in Agri it is around Rs. 12,200 crore . So, put together, I think Rs.18,000 crores is our total gold loan portfolio as on date. And yield will be around … I think it should be around 8.5 to 9%. I'm not having the exact number, but it should be around 8.5 to 9%.
– Moderator:
– Okay, thank you, sir. Participants who have any questions, please raise your hand. As there is no further question, I hand over the call to MD sir for his closing remarks.
– Mr. Ashwani Kumar - MD & CEO, UCO Bank:
– Thank you to all the analysts and investors for taking out time and attending the earnings c all of UCO Bank for the financial year 2025

-26. We look forward for
your continued support in the next financial year. And whatever guidance we have given, it will be our team's endeavor to deliver on the same as we have been delivering for the last three years. Thank you very much.
– Moderator:
– Thank you. That concludes the UCO Bank Q4 FY26 Earnings Conference Call . Thank you.
– END OF TRANSCRIPT